

Mrs Bectors Food (BECTORFOOD)

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Call: Jun 2023

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To,
Department of Corporate Relations,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
To,
National Stock Exchange of India Ltd,
Exchange Plaza, C - 1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code : 543253 Scrip Symbol : BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q4 FY' 23
UNDER THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE
REQUIREMENTS), REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed here with transcript of the earnings conference call of the Company held on May 26, 2023 to discuss Q 4 FY '23 results .

We Request you to kindly take the same on record.

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud
Company Secretary and Compliance Officer
M.No. F10412

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"Mrs. Bectors Food Specialities Limited
Q4 FY'23 Earnings Conference Call "
May 26, 2023

MANAGEMENT : MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER –
MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. ISHAAN BECTOR – FULL-TIME DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. SUVIR BECTOR – WHOLE -TIME DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. PARVEEN KUMAR GOEL – CHIEF FINANCIAL
OFFICER – WHOLE -TIME DIRECTOR – MRS. BECTORS
FOOD SPECIALITIES LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Mrs. Bectors Food Specialities Limited Q4 and FY '23 Earnings Conference Call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions once the opening remarks concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded. A disclaimer, this call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinions and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. I now hand the conference over to Mr. Manu Talwar, CEO from Mrs. Bectors Food Specialities Limited. Thank you, and over to you, sir.

Manu Talwar: Thanks. Good afternoon, everyone. To start with, our Managing Director, Anoop Bector has not been able to join the call. So I will start with reading out his speech, and I'll read out on his behalf. So good afternoon, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend very warm welcome to all participants on the Q4 and financial year '23 financial results discussion call. Today on this call, I have with me Mr. Manu Talwar, Chief Executive Officer, Mr. Ishaan Bector, Whole-Time Director, Mr. Suvir Bector, Whole-Time Director; Mr. Parveen Kumar Goel, CFO and a Whole-Time Director, and Orient Capital, our Investor Relations Consultant. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and on company web site.

Financial year 2023 has been another very strong operational performance, driving healthy revenue growth and strong margins despite the macro economic uncertainties and challenges that the industry has been facing since last few quarters in terms of inflationary pressure, high freight costs, especially in the first two quarters but we continue to witness strong momentum across the businesses and we reported the market build yearly and quarterly performance and consistent in breaking our historical performance, operational and financial results.

Our robust performance was delivered by focusing on distribution expansion, excellence in selling execution, technology intervention, coupled with marketing execution, product portfolio optimization and premiumization and other responsible pricing actions aided in offsetting the ongoing pressure from consistent inflation during the year. Company continues to make significant investment on human capital and digitization of our new tracking system and has successfully smoothened the business during the year.

I'm pleased to inform, we have enhanced our presence in new geography and existing territories under both Biscuits and Bakery segments. We believe the export business will remain strong given the company's foothold in developed and emerging markets such as South America, Europe, MENA region and North America through a wider range of premium for us.

In Bakery segment, we expect this distribution and premiumization-led growth to continue the success of our brand English Oven. In Delhi NCR to other new regions like Mumbai and Bangalore. Under institution bakery business, we continue to focus on acquiring new clients and leveraging our deep rooted customer relationships.

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Updating on capex plan, which we announced previously to meet the growing demand for our products across the segment for addition of two new biscuit lines at Rajpura, Punjab is estimated to get completed by Q1 financial year '24. And addition of the Bakery plant in NCR is estimated to get completed by the Q2 financial year '24. As

you are aware, that two expansion plants in Dhar, MP, and Khopoli, Maharashtra are well in track and expected to be ready in financial year '24,'25.

I am satisfied with the overall financial year '23 performance of the company with a record turnover and profit. We continue on our journey of strengthening selling and distribution drive to achieve doubling our retail touch points by March '24. The distribution drive would be supported by our robust impact-led marketing, branding campaigns which will drive the next leg of growth for the company across business segments, supported by our passionate teams to address significant opportunities that lie ahead.

Now I will discuss the consolidated Q4 financial performance.

- The consolidated revenues for the quarter stood at INR346 crores versus INR252 crores in Q4 financial year '22, thus registering a growth of 37.2% on a year-on-year basis.

Biscuits

Biscuits segment revenue for Q4 financial year '23 stood at INR203 crores as against INR143 crores in Q4 financial year '22, thus registered a growth of 42% compared with Q4 financial year '22, including domestic and export Biscuit segment. Biscuit segment has grown by 48% as

compared to Q4 financial year '21. Both domestic and export Biscuit has grown by higher double digit in Q4 financial year '23 as compared to the same period last year.

Bakery

Bakery segment revenue for Q4 financial year '23 stood at INR128 crores, as against INR95 crores in financial year Q4 '22, thus registered a growth of 34%, compared with Q4 financial year '22, including retail Bakery and Institutional segment. Bakery segment has grown 70%, as compared to Q4 financial year '21. Both retail and distributional bakery has grown by higher double digits in Q4 financial year '23, as compared to the same period last year.

Margins

EBITDA stood at INR48 crores saw growth of 89.5% year -on-year. Our EBITDA margin for Q4 financial year '23 was 13.9%, as compared to 10.1% in Q4 financial year '22. PAT stood at INR27.7 crores saw a growth of 171% year -on-year. Our PAT margin for Q4 financial year '23 was at 8%, as compared to 4% in Q4 financial year '22.

Now moving to consolidated financial year '23 performance.

The consolidated revenue for financial year '23 stood at INR1,362 crores versus INR988 crores in financial year '22, thus registering a growth of 37.8% on a year -on-year basis.

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Biscuits

Biscuits segment reported a revenue growth of 36%, which stood at INR807 crores in financial year '23 as compared to INR592 crores in financial year '22, including domestic and export sales.

Bakery

Bakery segment revenue in financial year '23 stood at INR487 crores against INR339 crores in financial year '22, thus registered a growth of 44% year -on-year.

Margins

EBITDA for financial year '23 stood at INR175 crores, saw a growth of 43% year -on-year.

Reported an EBITDA margin of 12.9%, as compared to 12.4% in financial year '22. PAT stood at INR 90.1 crores, saw a growth of 57.6% year -on-year.

With this, I would request to open the floor for questions -and-answer. Thank you very much.

Moderator: Thank you very much. Our first question is from the line of with Prithvi Raj from Unifi Capital.

Please go ahead.

Prithvi Raj: Mr. Talwar, and gentlemen, good afternoon. Congrats on a great set of numbers. A couple of questions, and I'll go one -by-one. First up on the gross margin front Mr. Talwar, it seems to be flat sequentially. So is there a pricing lever available to us that we have not yet extinguished, or is this a function of high cost inventory that's in assistant that's kind of indicating on flatter gross margins?

Manu Talwar: In case of a gross margin, you would have seen that we kind of stabilize our gross margin. And we are equivalent to a little better than over last year, and it's in line with the last quarter.

So as

the prices for the commodities have settled well in the quarter 4. So there was no need to take any further price increase in this quarter. And that -- if you look at our gross margin, which is slightly better than last year, and it's in line with the previous.

Prithvi Raj: Okay. So is it fair to assume that we'll continue with these numbers for the year ahead? Is that the takeaway here?

Manu Talwar: Yes. So we would maintain and improve these gross margin percentages.

Prithvi Raj: Sure, sure. Two other quick follow-up questions, Mr. Talwar. Is there a blended average capacity utilization number you could share with us for the Biscuits and the Bread lines? We asked this question because given your high growth rates, the idea is just to understand how much of incremental elbow room you have for growth in FY '24 without having to resort to new lines coming in FY '24. I understand there are new lines coming in, but just to understand where are you on utilization numbers?

Manu Talwar: So our blended capacity utilization as of now should be close to 80% to 83%. And as we briefed you in the opening speech also. So we have two lines in Rajpura, which will be commissioned in this quarter itself on the biscuit side, which will add 2,000 tons of capacity, and we have

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another set of capacity in the next quarter on the Bakery side will come in the NCR. Alongside that, we have some other projects, which is Khopoli project for Bakery.

We have MP projects for Biscuits, which is -- which will get commissioned in the next financial year. So if we take into account the capacity, which we are investing in, in this financial year

and the next financial year, we have a headroom of going up to almost INR2,400 crores to INR2,500 crores of revenue. So we have sufficient headroom with the capacity which we are building in this year and next year.

Prithvi Raj: Lovely. And just the last question on your exports Mr. Talwar, we understand the business in a ramp-up mode. Any color on how our initiatives to go direct in the export markets are panning out? How should we imagine this business going forward?

Manu Talwar: So on the export side, as we briefed you, I think in the previous two calls also, we are growing very well across the region. But yes, we told you that in the BCC region, we have taken our initiative of setting up our own distribution execution in that region. And that whole effort is going very well, right? And we are investing there. And as we told you, we have our team there, we have office in Dubai. We have now 100% subsidy also there. So the whole effort is progressing very well and still confident that over the next two to three years' time, this region will contribute very well for us.

Prithvi Raj: Thank you, sir. All the best.

Moderator: Thank you. Our next question is from the line of Rahul Dani from Monarch Network Capital Limited. Please go ahead.

Rahul Dani: Yes. Firstly, congratulations on the great set of numbers, Manu sir. I think the initiatives you took has started to come in to play. Just a couple of questions from my end. Just wanted to understand, sir, in the Bread and the Biscuit front, what kind of growth are we seeing from the newer markets we have entered?

Ishaan Bector: Yes, hi. Ishaan, this side. So, Rahul, from all our markets, whether it is Delhi, with a blended of Delhi and outstation with Mumbai and Bangalore. We are looking at a 30% -plus growth, especially in Mumbai and in Bangalore market. We still see a lot of headroom in terms of ability to grow with Khopoli coming in. We are also very -- we have good expectations coming in from the Bombay market, which would be, I would say, the second largest market outside of Delhi NCR for us in the foreseeable future. So we are happy with our growth, and we're looking forward to our new capacities coming

up in the next 1.5 years.

Rahul Dani: Sure. And in the Biscuit segment?

Manu Talwar: So again, as the biscuit segment side, if we, as a company, let me first tell you that we are looking at high-teens kind of growth, and we want to sustain and maintain that kind of growth side. And so Biscuit segment, again, with the effort we are putting on the selling and distribution side, marketing side. I think we should continue to grow in high teens on a Biscuit segment and as well as a company.

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Rahul Dani: And sir, just wanted to check, last year, our focus area was to kind of expand our dealer retail networks. So what would be the final touch point as of FY '23? And what is the outlook there?

Manu Talwar: Sorry, can you come again, Rahul?

Rahul Dani: Sir, our strategy for FY '23 was to increase our retail distribution ship. So what is the target for next year in terms of retail touch points?

Manu Talwar: Okay. So as we briefed last year also when we started the last financial year, April of 2022. We had 1,50,000 direct distribution reach for the Biscuit outside. And that time itself, we said that our target is by March of 2024, we want to reach a number of 3,20,000. We also doubled our direct distribution reach over the two financial year. And so I'm happy to share that by end of last financial year in March '23, we were around 2,17,000 direct reach outlet. And this year, we will add another 1 lakh direct reach outlet to achieve our target of 3,20,000 by March of 2024.

Rahul Dani: Okay, sir. Thank you and all the best.

Moderator: Thank you. Our next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes. So just a couple of questions on my end. One was on the growth within the segment. So 40%-odd growth in biscuits and 34%, if could you give us even some qualitative flavor on which segments have within biscuits and which breads have done better. That will be very helpful.

Manu Talwar: So firstly, I think you would notice in all the quarters, overall Biscuits as a business and Bakery segment has quite grown in the same range, right? And within the biscuit also, our exports and domestic, again, have been going in similar kind of range, right? So if the overall growth was around 35%, 37%. So both are in the same range of few percentages here and there. And similar thing was very true for even our English Oven and the QSR segment.

So in terms of -- both in the domestic and export segment, our effort has been to increase the premiumization. And I must say that we have moved well both in the domestic and export biscuit to improve our premiumization because that's the target of the company to keep moving up the ladder and improving our realization through driving the premium segment of the SKUs.

Harit Kapoor: Got it. And just one question on Bread. Last three years, you've kind of doubled our distribution reach in terms of touch points there as well. Where do we see this kind of growth? We're currently

at almost 35,000. I would assume, given that their premium mark, total universe is slightly lower than the overall mass universe for bread. So where do we see this kind of stabilizing over the next two years or so?

Management: For us, what we are seeing is contrary to what we had believed is, outstation is actually showing us good results, outside of Delhi NCR, which is, going into smaller cities, primarily that, the outlet universe would not be there. But, as we can see, that even in the bread industry, the premium category of bread is growing faster than the mass category. Right. So the growth rate is there in the industry and, wherever required, to make our distributors successful in smaller cities, we also provide them, all the support even in terms of additional SKU, if it's required. I

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would not give you the number of outlets because as we are implementing our SFA, we are sort of rationalizing the number of outlets that, we believe versus, what data is being.

As, we get an accurate number of outlets that we are servicing, I'll be better able to give you, the number of outlets, we're targeting, but definitely, we are looking at even opening our Punjab market very -very shortly. We have started with our beginning. We have started with our recruitment drive and very soon, our products will also be available in Punjab, where we are quite sure, our product range is quite acceptable and is a very -very large opportunity. With the Mumbai market, that clearly is not a very big challenge in terms of our ability to drive further premiumization. So, yes.

Harit Kapoor: Great. Thanks, Ishaan for this. The third one was on the profitability. You mentioned last two quarters that, we want to stabilize in the 13% to 14% band and then kind of look forward, but last couple of quarters, we've already kind of been hitting the upper end of that band. Just wanted to know, going into the next, say, 12 months to 24 months, at least the next 12 months specifically, is there, are we confident that we've kind of stabilized here and, you could look upwards and onwards or could there be some headwinds to this going forward?

Manu Talwar: Well, that the intent remains the same to stabilize around 14%, continue investing in the business and growing the business well, in the high teens. So, that's the target and we are confident of achieving the same. And those few quarters, as we have said, that we will then start the journey of 14% to 15% and build up further.

Harit Kapoor: Perfect. And my last one is just a bookkeeping. You have mentioned a couple of capexes for Q4 and some investments going into FY '25. Some of it will partly be made in '24. Just wanted to know, what would be the absolute capex number that we are finalizing for FY '24?

Manu Talwar: In the financial year '24. Yes, the financial year '24, our capex should be close to INR120 crores.

Harit Kapoor: Perfect. That's it from me. Thanks. Thanks and all the best.

Moderator: Thank you. Our next question is from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Yes, thank you very much and congratulations for excellent results. Since, you highlighted your distribution strategy still continues and last time, we discussed you talked about efficiency and fleet on the street that helped in, you to drive growth. Do you think there is further room for, fleet on the street also going up and also I wanted to know the ad spend part of it because what would be the ad spend for the full year FY '23 and are we looking to increase our ad spends?

Manu Talwar: Yes, so, we achieved our target of having a fleet on the street of approximately 850, which are there. Yes, as we expand our distribution, as we go deeper, as we expand our geography, we will be adding fleet on the street and thus, there is a plan this year also, to add fleet on the street because that's the only way to drive the distribution. And, I just wanted to clarify that this is a strategy, which will continue for next few years, right, because if we have to expand, we have to become a Pan -India player, we have to get into new geographies, go deeper, that's the only way to do it and we will continue that journey.

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Amit Purohit: Sure, and just to follow up on this is, in terms of the growth rate, which you are highlighting in terms of teens, given that the momentum is similar, wouldn't that be kind of a higher number than probably, what we are looking at or?

Manu Talwar: Yes, so, it will be higher teens, not just the teens or lower teens and our target is always to stretch and do better. As of now, we had an outstanding year and a very large growth,

so we would like

to maintain a high teen kind of growth consistently, in this particular financial year, but yes, definitely, expansion is always to cross your own target.

Amit Purohit: And any signs that, you are seeing in terms of market dynamics, wherein you are, while you are getting into new markets, so for you, its competition is not so critical, but just to understand, how is the market scenario generally in the biscuit category, where pricing is being passed on to the consumer or you still think that, the price value equation for a consumer is now good enough for a biscuit? Have we taken any price cuts in Q4 and any plans in doing it in Q1 or going forward?

Manu Talwar: So, biscuit is a very, very competitive market as all of us know, right? And we normally follow and watch our market leaders in the market, whether any kind of price correction, both upward and downward, which has to be taken. Prices have definitely stabilized in the quarter 4 of the last financial year and thus, we haven't taken any kind of price increase in this quarter. And even from a consumer perspective, prices have really settled down. So, we will see as we progress, how the industry is kind of reacting because we being not a very large player, we will have to be market competitive with our products and prices.

Amit Purohit: Sure, sir. Agree. So, there is no pricing action taken in April and May is what I wanted to understand, at an industry level also?

Manu Talwar: Till date, we haven't taken any pricing action.

Amit Purohit: And ad spend, would you share some pointers on that? I mean FY '23, what was the better percentage of sales and how do you see that going forward?

Manu Talwar: So, overall our spend are around 8% odd between BTL and ATL. And on the ATL side, we briefed you last year from the quarter 3 of last financial year, we had enhanced our spend on the marketing side. And we are maintaining a spend range of 2.5 % to 3%, which is on media, which is on outdoor, which is on print and on and in shop. So these are the four verticals of spend, which we do to build our marketing.

And as we scaled up from the quarter 3 of last financial year, we continue to maintain that, in the range of 2.5 to 3%. Rather this year, we started extremely well. I'm sure some of you had a chance to kind of look at it on a bakery side. We had a very good campaign on the Mother's Day. So, marketing calendar is well planned for this year, for the company and we have initiated execution of the pay from the month one itself.

Amit Purohit: Sure. So in the context that, we may probably keep it same, right? Is what, I understand 2.5% to 3% of sales as they expect?

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Manu Talwar: Yes, as of now, we're keeping it around 3%. But as the year will progress, depending upon market situation, our ability to invest more, we will take that decision.

Amit Purohit: Okay. This is helpful. Thanks a lot.

Moderator: Thank you. Our next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Hi, sir. Thanks for taking my question. Two questions from my side. First, this 42% growth that, the company has done in biscuits and you said that, it is broadly in line between domestic and export. So can you give two sets of breakups here, in domestic biscuit growth? One is volume versus pricing, Y-o-Y basis. And second is in terms of overall growth, how much has the core markets of our, where our market share is high, Punjab, Haryana, Himachal, versus the newer markets that, we have been entering. So, just these two, granular details on domestic biscuit growth, if you can?

Manu Talwar: So firstly, as I said last time, also domestic and export, both have grown in the same region. Now coming to the domestic side, just to share with you, that our market share is high in the upper part of the north,

which is Punjab, Himachal, Jammu, J&K, where we again had a good high double digit growth. But yes, definitely in the lower part of the north, which is your Delhi, UP and Rajasthan belt, where we were investing heavily on distribution, because those were not so strong areas for us. They have definitely given a much higher growth. So the growth in the lower part of north is much higher, which was also expected and should be there, because our share is low there.

So, on an overall basis, in north, we moved our share from 3.8% to 4.6%. And our share growth was much steep, steeper and higher in a place like Delhi, where we moved from 2.9% to 4.7%. And similar was the case in UP and Rajasthan, where both the shares moved up. And even in Punjab, where our share was higher, we moved up from 13.6% to 14.5%. So yes, on a growth perspective, lower part of the north, which is Delhi, UP, Rajasthan had a much higher percentage of growth. But yes, we had a good high double digit growth even in the upper part of the north.

Sameer Gupta: And sir, volume versus pricing this quarter, Y-o-Y?

Manu Talwar: Volume versus pricing, very simple that in a whole biscuit segment between exports and domestic put together, our growth would have been approximately 12% odd from the pricing and balance from volumes.

Sameer Gupta: And this 12% odd is similar across export or domestic or there is a wide difference?

Manu Talwar: Export is marginally higher than domestic on pricing.

Sameer Gupta: Okay, and one follow up here, sir, you said 4.6% market share in the north, and PPT mentioned 5.4%. So, why is there a difference?

Manu Talwar: No, that 5.4% which you're reading on the left hand side corner up, is the premium contribution. If you look at that slide, the presentation, that's on the premium product range side.

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Sameer Gupta: Got it, sir. Last question, capex just mentioned INR125 crores in FY '24, INR120 crores. Can you give us similar guidance for FY '25 also? I believe, there are some Greenfield projects lined up.

Manu Talwar: Yes, so we are in the process of finalizing the final amounts there. Right, in the next quarter meeting, we'll be able to share the exact amount, which will be for '24, '25 financial year.

Moderator: Thank you. Mr. Sameer Gupta, may we request that you return to the question queue for follow up questions as there are several participants waiting for their turn. Thank you. Our next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

Tejas Shah: Hi, thanks for the opportunity and congrats on good set of numbers. A couple of questions from my side, sir. So you spoke about a feet on street strategy for domestic biscuit category in terms of thrust on that part along with direct feet expansion. So just wanted to know the technicality of this expense of feet on street is rooted through our P&L or is it through distributors P&L?

Manu Talwar: It is put on distributors.

Tejas Shah: Distributors P&L. And just second, as we enter hyper premium market of Maharashtra, Karnataka, what is the strategy to get shelf space because it is a very competitive market. So is it higher discounts or is it higher schemes? How do we entice the existing shelf space to be replaced or to get shelf space for our sales versus the existing brands there?

Manu Talwar: Okay, just a brief view that we launched in these three cities of Bombay, Bangalore and Pune, towards the beginning of last financial year. And you know, we, our sense is product quality and product. So, we are not, neither over discounting there, not pushing anyone. We are placing our product on retail.

We are executing it well through merchandising. And so it's pretty happy to share in that, in all the three markets, we have now reached a presence of almost 17,000 outlets in these three cities.

And happy

to see that, in just a short period of some nine months, 10 months, our numeric availability or numbers are very well showing even in market reports. So, we play on our strength of good products and good quality products, which consumers enjoy. So, primarily we are building a distribution expansion. We launched in three cities in the last financial year and this year, we will be launching in couple of more cities in the year, financial year '24.

Tejas Shah: Thanks, sir. And the trade terms also remains the same here, in terms of receivable days and others?

Manu Talwar: Yes, almost similar.

Tejas Shah: Okay. That's all from my side. Thanks a lot.

Moderator: Thank you. Our next question is from the line, of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please go ahead.

Kaustubh Pawaskar: Yes. Good evening, sir. Thanks for giving me the opportunity. Congrats for a good set of numbers. So my question is on your bakery plant expansion in Khopoli. So, can you help me

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with the capacity you are coming over the re? Because last quarter, I believe you said that you are still, yet to come up with any particular plan. But, have you decided on what, how much capacity you are planning to put in Khopoli?

Ishaan Bector: So, here in Khopoli, we are looking at a very state of the art infrastructure. We are looking at the kind of lines, which are very -very efficient, very large production lines. In fact, we are now just about to close our capex plan on these fully automatic lines, which will either be between 4000 breads per hour to 6000 breads per hour. So, these lines are going to be fully automatic, very -very less manpower, untouched by hands. So it's going to be a significant capacity expansion. And for us, in terms of, let's say scale, we would envision our Mumbai factory to be as big as Delhi, in terms of capacity.

Kaustubh Pawaskar: Okay. So that will give a significant scale for your bakery business over the next two years to three years. If a facility comes on board in FY '25, then it should be a significant scale over the next two years to three years?

Ishaan Bector : On that, it will give us a long headroom to grow. Yes.

Kaustubh Pawaskar: Okay. And correct me, if I'm wrong, bakery business have little better margins compared to your biscuit business. So, if the contribution of bakery business continues to improve, will that be, additional reward for you, in terms of overall margins to improve in the coming years?

Manu Talwar: Just to share with you that we, our effort is to improve margins in every business. And we haven't been able to do the same in the previous financial year, which was '22 - '23. And as our biscuit division has grown more, slightly more than the bakery. So Bakery contribution has remained stable over the -- in '22, '23 versus '21, '22. But yes, we are improvement in margins -- so we, as a company, which we have kind of stated on earlier calls also that we are equally focused company. For us, revenue and margins are equally important, while we step-up and invest in distribution, marketing, which leads to good growth in revenues. Our focus on cost efficiency and margin remains as strong as revenue.

Kaustubh Pawaskar: Got your point sir. Thank you.

Moderator: Thank you. Our next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Yes, sir. Thank you for taking my question. So just wanted to understand in the three cities that we penetrated in FY '24 with 17,000 outlets, what would be the volume sales for Biscuit?

Manu Talwar: So volume for the last financial year was not much as we were just in the process of opening outlets and servicing those outlets. But we kind of very confident that it's a too early statement to make, but I think that the South and West should start contributing well in next

two to three

years' time as a contribution of domestic Biscuit sales on India basis. As of now, you would kind of completely agree that the first is the journey of seeding, right, opening more cities, opening more outlets.

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If you look at Bombay, Bangalore, Pune are very big cities. So for us to, in the first nine, 10 months, we opened -- have our products blend in 17,000 outlets and servicing customers from there. It's an extremely large number. So we will be opening more cities in this financial year and adding more outlets in these two cities. And these sales will start adding. And in the south and west, I must add that we are also penetrating faster and very well through modern trade channel. And there will be a significant effort also in the financial year, '23, '24 to penetrate much faster than general trade through the modern trade on the domestic Biscuit side.

Pallavi Deshpande: So just to understand if there were growth that you've shown in the Biscuit side, just want to understand how much of it on the volume growth side, how much of it would be to organic growth and how much will be to this -- the new geographies that we have penetrated? So maybe some color you can give us on Delhi or like you mentioned, the upper North, how much is the volume growth there?

Manu Talwar: The first thing is that large growth is primarily from Northern India. Bombay, Pune and Bangalore have hardly contributed to the growth because we were just placing our products and penetrating our products and starting our journey in these areas. Second, the growth which we got on the domestic side, I would say around 9% to 10% would have come from the price and the balance entire growth has come from the volumes. So large part of the growth in the year -- last financial year of -- financial year '23, it is volume driven.

Pallavi Deshpande: Right. This is much higher than the industry growth. I understand that the market share numbers, which you shared.

Manu Talwar: It is much higher. Much, much higher.

Pallavi Deshpande: Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Ameet Kalyanpur from East India Securities. Please go ahead.

Ameet Kalyanpur: Yes. Hi. Thanks for the opportunity. Sir, the capacity expansions, which have been mentioned at Rajpura, NCR, MP and Khopoli, so what will be the respective capacities at the places, the additional capacities that is?

Manu Talwar: So Rajpura will get commissioned in the next few months' time -- next two months' time. And Rajpura, we are commissioning through line. So it will give us 2,000 tons of additional capacity a month. Khopoli will take some time. Khopoli capacity will get added only towards the later part of next financial year.

Ameet Kalyanpur: So at NCR, what will be the capacity addition?

Ishaan Bector : We see the increase in capacity to about, by about 80,000 bread per day. And in Khopoli, it looks like it would be about 120,000 per day.

Ameet Kalyanpur: Okay. And at Dhar, MP?

Management: Dhar is a biscuit line.

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Manu Talwar: Biscuit line, again, in the Madhya Pradesh, Dhar, we will be starting there with two lines. So we're really starting there with approximately 2,000 tons a month. And as we have a large area there. So we will keep expanding as we need to put up more lines to fulfil our demand in future. But we will first start with two lines there, approximately 2,000 tons.

Ameet Kalyanpur: It's 2,000 tons per month?

Manu Talwar: Yes.

Ameet Kalyanpur: Okay. And what will be the debt for this capex that you have planned, the two capex, any debt - additional debt being planned or it's from internal?

Manu Talwar: Overall, on the funding of our project, we have kept a ratio of some 65% to 70% of debt and the balance

to our own funds. That's the kind of ratio we are maintaining. But just to give comfort to all of you that -- even if you look at our ratios, our debt equity ratio, which was 0.27, if I'm right, last year has further improved in the financial year '22, '23, to 0.22. So we're fairly more than comfortable on our debt equity ratio. And -- but yes, for financing of these projects, we're keeping around on own funds of 30% to 35% and borrowed funds are up 65% to 70%.

Ameet Kalyanpur: Okay, sir. Thanks. Thank you. That's it.

Moderator: Thank you. Our next question is from Naveen Bothra from Subh Labh Research. Please go ahead.

Naveen Bothra: First of all, congratulations for excellent set of numbers. So my question is regarding this INR1 crore investment in Mrs. Bectors English Oven Limited, is it related to Bakewalk Cafe? And if you can throw some more light on the reason about the Bakewalk Cafe? It will be quite helpful, sir.

Ishaan Bector: Yes. So for the longest time, we've been talking about developing our frozen bakery range of products, right? And in English Oven, we've always thought of ourselves as more of a bakery company rather than just a bread company. Bread being a large part of the portfolio, but the value addition coming in from Bakery. So we actually, we have all the right or the necessary product for a company today to sort of open up a cafe whether it is a pizza, whether it is a burger bun, whether it is croissant or whether it is desserts like muffin, cake etc. So we had the whole bouquet of products.

And with the entire cost as of a Bakery that's where, we had incorporated Mrs. Bectors English Oven, where we have set up four cafes which are using almost the majority or almost 80% of the Bakery product capex from our range of products that we have out there for the market. So that's what Bakewalk has been about. We have about four stores, it is still at a very nascent stage, and we are very excited about the opportunity and also showing to our customers that English Oven can be a one-stop solution for everything bakery that would be required to open up a cafe anywhere in India.

Naveen Bothra: So the four cafes are in the NCR region, Gurgaon and these things? We are a company owned company-operated model. So if you can throw more light about the franchise as well as COCO Mrs. Bectors Food Specialities Limited

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in the next one or two years, the ratio will be how much between the COCO and the franchisee-led models?

Ishaan Bector: We haven't really thought that far ahead. Seeing our model, I mean, the success of our modules, we have got to franchise theory, but we are first focusing on building a strong brand opening more number of stores. And I think that is something that we will work on a later stage.

Naveen Bothra: Thank you very much, sir. All the very best.

Moderator: Thank you. Our next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Hi, good afternoon, sir. Sir, my first question is, so we have gained market share on the Biscuit side. Any sense, are we gaining market share from the players like Britannia and Parle or more like Tier 2 players like, Annapurna and Priya, in those geographies?

Manu Talwar: So we are still a very small player. If you look at -- I shared what is a non-India market share gains, right? And if I look at that number on all-India basis, our market share would be just about 1.39%, right. I thought there'll be some marginal gains from different players. It's very difficult to say that it's coming from a regional player or from the large players.

Dhwanil Desai: Okay. Okay. Specific categories where we are doing much better, or it is like across the board, we are doing equally there?

Manu Talwar: As we were focusing more on the premium segment side. And so we have seen that we are doing well there, and that

's the whole objective that we build our premium segment, both on cookies and breads .

Dhwanil Desai: Okay. Okay. And second question is on institutional bakery side. So on that segment, any new products that we have won with our existing customers where we are kind of scale up more. And also QSR segment in general because of the overall discretionary spend slowdown is going through a challenging time. So are we seeing any challenges on that front for us?

Ishaan Bector: See, with our existing customers, we are working on a couple of projects, these are ongoing projects. So it's not right for me to really speak about them. But yes, on the sweet side, on the dessert category, we're expanding our portfolio which is helping us increase our presence with some of our partners. We have also started working with a couple of new concepts with one of our customers. We are supplying now frozen pizza dough balls, not a pizza itself but frozen pizza dough balls.

But what we are seeing is that over time, on the -- even on the QSR front, the acceptance of frozen products is becoming very good. We see a very bright future for this industry. I think the focus for us has to be to execute world-class R&D at a scale. And that's where we are focusing on. I'm very sure that we will be able to add new customers sequentially and we have a very strong line of products that we are working on. So that's fair.

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And I think on the QSR space, I think, whatever slowdown that you see is probably going to be very short term. The point is that there is just so many opportunities in terms of to add number of stores. And what we also see is that even our customers seem very bullish on the number of stores that they are planning for the next three to four years in terms of store additions. So we are very optimistic about this business and we have a lot of good time.

Dhwanil Desai: Okay, great. That's it.

Moderator: Thank you. Our next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Sir, congratulations on strong setup number. Sir, this is regarding in the Q3 FY '23 call, if I'm not wrong. So you did say that we are moving towards 13% to 14% EBITDA margin and we are here and we'll be targeting something like 14% to 15% margin in coming quarters. So just wanted to understand how are we placed as of now? Because if I'm right to understand we have not actually taken any price hike as such compared to quarter 3 due to the raw material price stabilize. So just if you could share this.

Manu Talwar: Yes. As we said in Q3 also that over the next few quarters, we would like to stabilize and deliver 13% to 14% EBITDA. We have delivered close to 14% in last two quarters of the last financial year. And I think it's very important for any organization to bring that stability of delivery. The whole objective should be to bring that stability of consistent delivery of around 14%. That's why we say, 13% to 14% EBITDA.

And then once we stabilize this level of EBITDA, obviously, the next step will be moving up from 14% to 15%. So we stick to what we said. Yes, we have delivered close to 14% in the last two quarters. Our objective is to sustain and maintain that consistency while working on the growth side and then take a next step, prepare for that next step and move towards 14% -- 14% to 15% revenue.

Vignesh Iyer: Okay. But would this movement from this 14% to 15% would it be primarily due to premiumization?

Manu Talwar: It's -- yes, premiumization of our revenue and our product is a key contributor to that journey. But that's not the only reason. It's a revenue scale, the revenue growth, working on cost efficiency and other two big elements, which are drivers to the margin improvement.

Vignesh Iyer: Right, that's all from my side. Thank you.

Moderator: Thank you. O

Our next question is from the line of Pratik Kapoor from ProInvest. Please go ahead.

Analyst: Hi, thanks for the opportunity. And congrats on good set of numbers. Sir, just two questions from my side. Firstly, what is your view on wheat crop going forward?

Manu Talwar: So wheat crop early January, February, we had good announcement that crop is good. We had record production in India. Then we had some challenges in the later months of February, March that there were unseasonal rains, which was kind of impacted. Things seem to be stable now. I

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don't have an expert view on this. So I would not like to comment any further on that. So we see somewhat of stability now as of now on the commodity on the wheat side. That's what I will stick to at this point of time. I won't be able to comment on any further on this particular subject

area.

Prateek Kapoor: What kind of asset turns we can expect from upcoming addition of new biscuit line of Rajpura and bakery line of NCR once commissioning Q1 and Q2 of FY '24?

Manu Talwar: If you have an average asset turn for our company with so much of investment going in, they'll as of now stay around 3%. We have a better asset turn on the biscuit side, which is 3.5% to 4%, and on a bakery side, 2.5% to 3%. We would maintain those kind of asset turns because, you know, you would appreciate that the way we are growing and also investing and investment by the time, any investment takes time to stabilize is always at a lesser percentage of utilization and then it grows to a higher level of utilization. So yes, we would maintain our company as a turn for approximately around 3%. A little lower on the bakery side and little higher than 3%, on the biscuit side.

Prateek Kapoor: Okay, thank you. That's it from my side.

Moderator: Thank you. Our next question is from the line of Vidhi Dadia from Raeden Securities. Please go ahead.

Vidhi Dadia: Good evening, team. Thank you for the opportunity. Sir, I just wanted to understand one data point from you, for the newly acquired geographies of newly entered geographies of South and West. What is the size of opportunity, there in terms of number of retail outlets? And what is the potential target reach for the next few years?

Manu Talwar: You see, South and West of India for biscuit industry is the most premium market, right? And the size of revenue as an industry of South and West is equal to more than North India, right?

So, as an opportunity is a very big opportunity of being presented.

Vidhi Dadia: I wanted to understand, I mean the data point, just the data point, the number of retail outlets, which these geographies have.

Manu Talwar: So, I will have to get back to you on that. What is that, outlet universe of South and West of India. I don't have ready in hand that particular part of it.

Vidhi Dadia: But and how are we, what are the number of outlets that, we are looking to add quarter-on-quarter or yearly, in these geographies?

Manu Talwar: So you know, in the coming financial year, which is the existing financial year of 2023-2024, we expect that, we should be able to almost double our outlet present in South and West of India, by growing in the same city and entering the newer city. That's the target for this existing financial year of 2023-2024.

Vidhi Dadia: Okay, so that's great to hear. All the best, all the best for the future. Thank you.

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Moderator: Thank you. Our next question is from the line of Amit Kashyap from Shubh Lab Research. Please go ahead.

Amit Kashyap: Sir, my question is with regard to the margin profile, sir. What is the margin profile for the frozen products and the current percentage of share of frozen products in the revenue?

Ishaan Bector: So, frozen products are still at a very -very basic

stage for us. Our largest customer for the frozen

side would probably be, somewhere where we are providing, the frozen steak. But on the margin side, we don't share individual margins of our businesses, whether it is on the bakery or the biscuit. So, we'd like to keep it like that.

Amit Kashyap: Okay, sir. And one follow-up on you said that, the additional product line, which we are introducing in the near future, so what time we can expect a break-even for that?

Ishaan Bector: Can you repeat your question?

Amit Kashyap: Sir, the additional product line, which we are adding in near future in the Rajpura area for the biscuit capacity, at what particular time, we can expect a break-even for that particular product line? The time there may be the six months.

Manu Talwar: The new lines which, we are putting on a bakery and biscuit side has a payback period of approximately seven years. So, that's the way we calculate. It has a payback period of approximately seven years based on the current forecasted sales over the next few years.

Amit Kashyap: Okay. That's it from my side. Thanks.

Moderator: Thank you. Our next question is from the line of Rushabh Doshi from Nirmiti Investment Advisors, LLP. Please go ahead.

Rushabh Doshi: Yes, congrats on a great set of numbers. So I just wanted to understand, what is our presence for modern trade and e-commerce and also like in modern trade for both breads and biscuits, like in which geographies are we currently present in? And how well is this trade segment growing for us?

Ishaan Bector: So, on the modern trade side, we are present in about 2,300 outlets this year. Our target for the next year is to be present in almost double the number of outlets, which is about 80% coverage of the number of doors. On the bread side, we are primarily listed with almost all modern trades and e-commerce in Delhi, Mumbai and Bangalore. And we have also now started, in fact, signed

national duties with, a couple of companies and our endeavor is to sign national duties all across, which will help our penetration into modern trade and e-commerce across India.

Rushabh Doshi: So, how big is this trade segment in our domestic business for both bread and biscuits?

Ishaan Bector: Sorry, can you say again?

Rushabh Doshi: How big is this trade segment in our domestic business for both bread and biscuits, the modern trade and e-commerce?

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Ishaan Bector: So modern trade e-commerce for bakery, I would think, would be around 14%. And on the biscuits side, it would be around 11%.

Rushabh Doshi: Okay, yes, that's all from me.

Moderator: Thank you. In the interest of time, that will be our last question for the question and answer session. I would now like to hand the conference over to Mr. Manu Talwar for closing comments.

Manu Talwar: Thank you everyone for joining us. I hope, we have been able to answer all queries. In case you require any further details, you may please contact us or Orient Capital, our investor relations partner. Thank you.

Moderator: Thank you. In case of any further query, you may write to irfan.raeen@linkintime.co.in. On behalf of Mrs. Bectors Food Specialities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

MBFSL/CS/202 3-24 14th August , 202 3

To,
Department of Corporate Relations,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
To,
National Stock Exchange of India Ltd,
Exchange Plaza, C - 1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code : 543253 Scrip Symbol : BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q1 FY24
UNDER THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE
REQUIREMENTS), REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed
herewith transcript of the earnings conference call of the Company held on August 7, 2023 to
discuss Q1 FY24 results .

We Request you to kindly take the same on record.

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud
Company Secretary and Compliance Officer
M.No. F10412

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“Mrs. Bectors Food Specialities Limited Q1 FY -24
Earnings Conference Call”

August 07, 2023

MANAGEMENT : MR. ANOOP BECTOR – MANAGING DIRECTOR , MRS.
BECTOR S FOOD SPECIALITIES LIMITED
MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER ,
MRS. BECTOR S FOOD SPECIALITIES LIMITED
MR. ISHAAN BECTOR – WHOLE -TIME DIRECTOR , MRS.

BECTOR S FOOD SPECIALITIES LIMITED
MR. SUVIR BECTOR – WHOLE -TIME DIRECTOR , MRS.
BECTOR S FOOD SPECIALITIES LIMITED
MR. PRAVEEN KUMAR GOEL – WHOLE -TIME
DIRECTOR AND CFO, MRS. BECTOR S FOOD
SPECIALITIES LIMITED

Mrs. Bector's Food Specialities Limited
August 07, 2023

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Moderator : Ladies and gentlemen, good day and welcome to the Q 1 FY24 Earnings Conference Call of Mrs . Bector's Food Specialities Limited .

As a reminder, all participant s' lines will be i n the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. This call may contain some of the forward -looking statements which are completely based upon our beliefs, opinions and expectations as of today . These statements are not a guaran tee of our future performance and involve unforeseen risks and uncertainties.

I now hand the conference over to Mr. Anoop Bector – Managing Director. Thank you and over to you, sir.

Anoop Bector: Good afternoon , everyone. On behalf of Mrs . Bector s Food Specialities Limited, I extend a very warm welcome to all participants on Q 1 FY24 Financial Results Discussion Call .

Today on this call I have with me Mr. Manu Talwar, our Chief Executive Officer , Mr. Ishaan Bector – Whole-time Director , Mr. Suvir Bector – Whole-time Director , Mr. Praveen Kumar Goel – Whole -time Di rector and CFO , and Orient Capital, our Investor Relationship Consultant. I hope everyone had an opportunity to go through our Investor Deck and Press Release that we have uploaded on the exchanges and on the Company 's website.

It gives me immense pleasure to inform you t hat the Company has managed to stay ahead of the curve by continuing to invest in its brands and ensuring strong execution of expan sion plan across biscuits and bakery segment. Domestic business growth has driven majorly by distribution , expansion in existing and new markets complemented by marketing campaign for consumer promotion for both biscuits and bakery businesses. We believe t he growth of QSR chain and new customer acquisition would boost our institutional bakery business for coming quarters .

We continue to build our manufacturing capacities to service our growth. We are commissioning the two lines in Rajpura in Q 2 enhancing o ur production capacity and shall be adding capacity on the bakery side in the National Capital Region by December. Our further investment in Indore , Madhya Pradesh and K hopoli, Maharashtra for biscuits and bakery respectively is progressing as per plan to be commissioned in FY24 -25.

During the quarter, the Company has successfully navigated the challenges relating to high prices of some raw materials with our prudent raw material procurement. Although volatility in prices of essential commodities like wheat, sugar etc . still remains . Company has achieved significant growth in financial performance driven by strong growth across categories over the

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sequential quarter and this is the testimony of our activities of building strong leadership team, strength ening distribution reach and marketing. We are confident Mrs. Bec tor's team would continue with same level of passion and deliver robust growth led by strong execution across segments, accelerating distribution reach, enhanced marketing input and entry int o newer markets.

Coming to our Q 1 FY24 Performance :

It has been another strong quarter for us on the revenue side as well as on the margin front. Our revenues increased by 24.4% and P AT by 174% on Y OY basis. Our focus on sales training program for salespe rson, improvement on technology side in order to track our costs and get latest frontline reports about SKU s and inventories have helped us in a long way to reach where we are right now. This will also assist in preparing a roadmap for us to construct our future strategies.

Now I will discuss the Financial Perfor

mance :

The consolidated revenues for the current quarter stood at INR 374 crore s versus INR 30 1 crore s in Q1 FY23, thus registering a growth of 24.4% on a year -on-year basis.

Biscuits :

On the biscuit side, our Biscuit segment reported a revenue growth of 25%, which stood at INR 223 crore s in Q1 FY24 as compared to INR 170 crore s in Q1 FY23. This segment has grown by 54% over Q1 FY22. Our domestic biscuit segment and export witnessed higher double-digit growth in Q1 FY24 as compared to the same period last year .

The bakery segment:

The Bakery Segment revenue for Q1 FY24 stood at INR 136 crores against INR 107 crore s in Q1 FY23, thus registering a growth of 26% y -on-y basis, including retail b akery and institutional segment. Both retail and institutional bakery have grown by higher double digits in Q1 FY24 as compared to the same period last year.

The Company continues to focus on increasing distribution and premiumization of the product. Our EBITDA stood at INR 58 crore s resulting in growth of 85.2% and 20.1% from the corresponding quarter on a year -on-year basis and sequential basis, respectively. EBITDA margin for the quarter stood at 15.5%, that is a growth of 50 9 bps points year -on-year basis and 155 bps points on sequential basis. P AT stood at INR 35 crore s saw a growth of 174% year -on-year basis and 26% on a quarter -on-quarter basis. Our P AT margin for Q1 FY24 was 9.3%, registering a growth of 508 bps and 132 bps on a yearly and quarterly basis, respectively.

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Company continues to work on expanding its distribution network across India followed by increase in marketing of its products in order to penetrat e and capture new markets. This will assist our Company to increase its footprints in North India as well as Western and South India where the product is equally liked by our customers. As we look to the future, I am excited by the opportunities that lie a head for the Company . There is a strong pipeline of significant projects in both our businesses and we have a strong opportunity to grow demand and consumption .

With this I would request to open the floor for question and answer s. Thank you so much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: First question, can you give your overall CAPEX guidance for the next 2 years and out of the 105 crore s earm arked for the Rajpura and Noida lines how much have you already spent till FY23? That will be my first question.

Management: Our overall CAPEX guidance for this and the next financial year is between 350 to 400 crores. Our CAPEX for the current financial year which is 2023 -24 should be approximately 225 odd crores and the balance would happen in the financial year '24-25. This is a broad breakup of the CAPEX .

Sameer Gupta: And this 10 5 crore s on Rajpura and order that you have stated in the PPT, all of it will be in FY24.

Management: Yes.

Sameer Gupta: Second question sir, on the biscuits and bakery, you've recorded around 25 %-26% growth in both the segments. Can you give a breakup of volume and value?

Management: So, our overall as a Company is largely led by volume s, value or the price led growth is about 5% or 6% out of total 24%. So, largely it's a distribution le d, marketi ng le d and the volume led growth.

Sameer Gupta: This 5% to 6% price increase is similar across bakery and biscuits , is it?

Management: This is a price impact this quarter versus the same quarter last year. So, our price increase in fact is little higher on the bakery side because we increased the prices last year in the month of May and June but little higher on the baker y side. But on a Company , on an average basis about 5% to 6% .

Moderator: The next question is on the li

ne of Amit Purohit from Elara Ca pital.

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Amit Purohit: Just wanted to know your thoughts on the gross margin side. You've done pretty well this quarter as well and even the EBITDA margins have been strong despite marketing spends. So, how do you think about it? We have talked about 14% to 15% kind of margin outlook. Added to that, there are some players talking about the regional players or unorganized guys getting aggressive. So, just wanted to know your feedback from the market. How are you seeing it and how do we look at for FY24?

Mana gement: So, first thing, I think that both biscuit and bakery are fairly competitive industry and the competitive ness in the industry is there to remain . Our whole effort and source of growth as we have mentioned also , is a distribution led and marketing led. So , we have put a lot of effort last year also when we spoke to you in all the four quarter s last year, we clearly stated that on a biscuit side we had a mission that from a direct reach of 160,000 outle ts, we want to get to

3,20,000 direct reach outlets by March of '24. So, we are on that journey. In Quarter 1 we have reached 2,50,000 direct reach outlets and as per A C Nielsen, we have crossed 6 lakh mark of our overall reach of outlet. So, similar is a journey also on the bakery side, the entire focus is on distribution, expansion and improving the sales execution through digitization. And similar efforts are being done on the marketing side on the consumer demand creation and we took both on bakery and biscuit side marketing initiatives to drive our growth. So, I would say that it's an S&D and marketing led inputs which are driving the growth. Coming to the EBITDA margin which you asked; so, we have delivered a 15.5% EBITDA in this quarter. So, as we have been saying earlier, so our endeavor should be to stay in the range around 15% EBITDA and keep it consistent over the next few quarters. Last year we were around 12.7% EBITDA, last two quarters, if you notice we were touching 14%. Now we have got 15%. Our endeavor will be to continue to just deliver around 15% EBITDA over the next few quarters.

Amit Purohit: So, just follow up on that. Have we taken any price reduction and grammage and what would be the case, especially on the biscuits or bakery?

Management: So, we haven't taken a price reduction, but we have been offering higher value to consumers. And that's what we had rolled out consumer promotion or consumer offering of a higher grammage in Q1 and now in the month of July also we have rolled out a consumer promotion on Bourbon which is just being launched.

Amit Purohit: Raw material input cost scenario remains stable for you, basically the wheat.

Management: Raw material commodity pricing, I would just request Anoop to pitch in.

Anoop Bector: So, on the raw material front, definitely there have been some pressures which are coming on the wheat front, but the Company has done some forward contracts where they will be quite secure even going forward. So, there will not be any major impact on account of wheat going forward, at least for the next two quarters.

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Amit Purohit: Second question is on the management side, so we have done quite a bit of talent upscaling for the entire organization with a lot of recruitments. Are we done with that process or are we still in the process of hiring talent in terms of whether it's marketing, IT, distribution side?

Management: So, we are done with our leadership hiring now. We are through with our leadership hiring in Quarter 1 of this financial year, whatever few positions were left out. So, very well in place in terms of all the leadership positions.

Moderator: The next question is from the line of Harit Kapoor, Investec.

Ha

Harit Kapoor: I just had a couple of questions. Firstly, on the distribution side, at 2.5 lakh outlets and another probably 30% to go for this year, I just want to get your sense of how you're looking at the revenue trajectory. You've done 23%-24% this quarter. I think your expectation is to kind of hit the high-teen number. Just wondering whether there is a possible upside to that as well, given that you still have a large distribution to be done for this year itself.

Management: So, on a distribution side as we told earlier, we also want to double and reach 3,40,000 direct reach outlets by March of '24. In terms of growth, I think we've been consistently maintaining that we would be maintaining a mid to high-teens kind of growth in the coming quarter also and that's what our aim and effort is to continue maintaining a mid to high teen kind of growth.

Harit Kapoor: And the second thing was on pricing. So, when does the pricing kind of come into the base? You currently have 5%-6%. Would that be Q3 onwards the pricing starts to come in the base and it would be largely volume led growth from there on?

Management: This year it seems to be largely volume led, although last year we as a Company was largely volume led. But this year will be entirely distribution and volume led growth. We don't expect price increases or price correction like last year and this year.

Harit Kapoor: And the third thing was on the CAPEX side. The image that you put up for in FY25. Which part of FY25 would they be commissioned? You mentioned that you expect a commissioning in FY25. Would this be kind of back end of FY25 where you expect the Indore and Noida units?

Management: I think Indore should come up in the second quarter and Khopoli should come up in the third quarter of FY25.

Moderator: The next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Baribas.

Kaustubh Pawaskar: My question is on the international business. So, how the business has performed and what is your outlook about this part of the business? And second question is on the market share whether we have gained any market share in any of our key markets? These are my two questions.

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Management: On the export side, we continue to do well and grow well. So, export side also, this was again a consistent good quarter for us. We have grown well in this quarter and your second part of

question was on ?

Kaustubh Pawaskar: Market share.

Management: On market share side; in the same time last year, Quarter 1 last year, we were at in North India we were 4% market share and now in the Quarter 1 we are at 4.6%. So, same period last year we have gained 0.6% market share in the north region where finally we are present. And on all India level we have moved from 1.19% in the same quarter last year to 1.43% now. So, there has been a consistent market gain over the same period last year.

Kaustubh Pawaskar: And this realization growth of 5% to 6% you mentioned, is there any element of mix improvement into it or it is because of the price increases what we have taken last year?

Management: Yes, there is. As you are aware that as a Company, we continue to focus on premiumization and our continuous focus on premium creams, cookies continue to be there. So, on a premiumization side on a biscuit side, we have moved up by 5 percentage points. So, our premium percentage on a biscuit side has stuck 36% and there is a clear -cut movement of over 5% on premiumization. So, mix has also improved. Although the premium categories are growing much faster than overall growth in biscuit and this is leading to improvement in our premiumization and improvement in our mix.

Kaustubh Pawaskar: So, you mean to say that creams contribution has gone up from 31% to 36% now, is it right?

Management: Premium percentage.

Moderator: The next question is from the line of Sashwat Jalan from Purnatha Investment Advisors.

Sashwat Jalan: I just have two quick questions; one is on new products. Can you please share which ones are those and what would be their share in revenue? And secondly is on distribution in newer geographies. So, can you please share any comments on any difference in competitive landscape we are seeing for the new geographies compared to Punjab or Delhi and other neighboring states?

Management: So, firstly, on the NPD side, as we brief you around Quarter 3 of last financial year, we had launched Me Ito, a premium cream biscuit and we had launched rusk in this segment. So, clearly the Me Ito doing well in the market is reflected in our market share. Our market share on the premium cream side has gone up from 1.4% in Quarter 4 of financial year '23 to 1.8% in Quarter 1 of '23-24. So, that's kind of doing well and this was launched just about in Quarter 3 of last financial year. On the rusk side also we launched in the Quarter 3 of last financial year and that's also building up very well and growing very well. Both the new products are doing fairly well and building up well.

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Sashwat Jalan: And second question was on distribution side, in new geographies can you share any comments on the difference in competitive landscape from what we are experiencing in Punjab or Delhi?

Management: On the competitive landscape, we were always strong on the upper North side, which was Punjab, HP, J & K and Haryana. We continue to grow even there fairly well. We have grown in mid-teens there. In the lower part of the North, which was UP, Rajasthan, Delhi, MP and East Bihar, in terms of Bihar, there we have obviously grown in high double digit. So, the growth has been much larger there and even the newer markets of South and West are moving well where majority of our effort is going in terms of opening new outlets and expanding our distribution. So, on all the three geographical segments we are doing fine. We're growing well.

Management: On the competitive landscape we are same. I mean, even in North we compete with the same 3 to 4 companies and in south and west also we compete with the same companies. So, competitive landscape remains the same. Hope this answers your question.

Moderator: The next question is from the line of Kaushik Jawa from AK Investment.

Kaushik Jawa: I have questions on particularly the bakery segment. Can you give me the exact breakup of the retail and institutional?

Management: Exact breakup in terms of percentages is about two thirds and one third, about 60%-65% towards bakery and 35% towards buns.

Kaushik Jawa: 35 is institutional, right?

Management: Institutional ;QSR.

Kaushik Jawa: And the second question is on the working capital. Do you foresee, is there any possibility that can be improved further on the working capital cycle?

Management: On a working capital cycle, we did quite a considerable improvement in the last four quarters, both in terms of NODs on outstanding side and the stock side, both have come down. If I compared to the last-to-last financial year, we used to be on outstanding NOD and stock NOD of 31 and 37 days and now we are sitting at 11 and 22 days. So, yes, we are now implementing PMS, which will take you two quarters to stabilize and we can see some more improvements post that. But we are at a good level now because bakery is a fairly cash business for us. On a domestic biscuit side, we have come down by almost 40 %-45% of improvement between the debtors and stock. On our export side, we tend to keep our distributor out, our outstanding fairly

in control between 45 to 50 days. I think we are in a fairly good level as of now. The focus is to maintain the hygiene, keep this good standard and focus on growth.
Ka

ushik Jawa: The last question I have so, as we are trying to become the pan India player in the longer run, so currently what percentage of revenue comes from the Southern part of the India?

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Management: So, from the West and South, in terms of percentage revenue because we launched just about a year back is very low. We had launched in 3 cities last year. We are launching in multiple new cities in this financial year. So, as a percentage of revenue to the GT biscuit business, it will be very marginal, about 3% odd. But yes, it's time for this year and next year to invest more in distribution penetration and also to support through marketing efforts to build that territory.

Kaushik Jawa: How many years are you envisaging that we would be reaching at a good pan India level?

Management: I think we said earlier that we want to take about next 4 to 5 years to penetrate well, even in South and West in next 4 to 5 years' time, we should be well present in all the key large cities of South and West India also.

Kaushik Jawa: I have a last question, if I can. So, if I see historically, our revenue growth was around 10% to 15% odd. Currently we are guiding and hence we are proving that we can grow up to 15% to 20% in FMCG more competitive area. So, I know that we are working on the distribution led, if anything more you want to add what are the future things you are more excited about here in this space?

Management: So, three things. One is distribution and growing our penetration. Second is marketing, inputs to create demand led, plus the new product introduction and the last side of the triangle is improving our mix through premiumization. These are the three efforts which are being made and we want to stay consistent on them in terms of driving, in terms of defining our revenue growth management, our RGM. We will as of now, stick to these three things to drive our RGM.

Moderator: The next question is from the line of Diksha Iyer from Fort Capital.

Diksha Iyer: My question is, for the biscuit and the baked front, what kind of growth are we seeing from these newer markets that we have entered?

Management: So, the newer markets which we have entered are basically South and West for biscuits as of now and the North upcountry for the bakery side, English Oven. So, obviously, the base of South and West is so small, the percentages are extremely high because we never had actually. In case of upcountry north, which is outside NCR, we are going in a high double digit. So, are we going in high double digit even in Bombay. So, the newer territories of Bombay and upcountry north, it's a growth of a high double digit.

Moderator: The next question is from the line of Rushabh Doshi from Nimiti Investments Advisors LLP.

Rushabh Doshi: My question was one of the products launched by Cremica Industries which is run by Akshay Bector. So, they have a product called Cremica French Fries peri-peri flavored. So, my understanding was they would be focusing on the condiment side and we can use the Cremica brand for the biscuit side on the biscuit side. So, on other categories, can they launch more products? So, that's my question.

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Management: Can you repeat your question again?

Rushabh Doshi: My question is regarding the Company run by Mr. Akshay Bector; they've launched a product which is Cremica French Fries with the Cremica brand. So, my understanding is that....

Management: I'll tell you; I understood your question. They were in snacking business where they were making chips and these products. So, in the snacking side, yes, they could use Cremica as a brand, but not for anything else. Other than their own business what they were trying like condiments and snacks, yes.

Rus

habh Doshi: Like also in future if we want to enter the snacking category. So, we will have to build a new brand like English Oven or we can leverage on the trade....

Anoop Bector: When we create brands, we create them for the particular reason that English Oven was created and the reason was that we wanted to premiumize. So, if our Company tomorrow thinks of entering into a snacking business, we will create a relevant name. Cremica is not a relevant name for getting into a new segment which might not suit us. So, effectively, our Company can use Cremica for biscuits and we have our brand on the biscuit side, English Oven is used on anything today. We can use it on anything. We just launched our rusk in our brand English Oven, which is doing very well in the market. So, in case there are products which are, there will be a relevant brand which we will create for that.

Moderator: The next question is from the line of Reshabh Sisodiya from Sam eeksha Capital.

Reshabh Sisodiya: Slightly on the market opportunity. In the North, Punjab, Haryana, Delhi, how would you define your market size for biscuits and if you could quantify that ?

Management: You are referring to the industry size?

Reshabh Sisodiya: Yes, industry size.

Management: The biscuit industry size North region contributes almost 23 %-24% of the industry. So, that's how industry is.

Reshabh Sisodiya: And on the gross margin industry size as explained earlier, so just the clarification on that. So, the majority of the improvement has happened in the numbers or we can still see further gross margin expansion from here on?

Management: As of now, I think that our whole effort should be to maintain our margin and consistently deliver both gross margin and the EBITDA margin. So, around 15 % odd. So, that would be our effort because we have moved up well if you look at the last four to five quarters. So, now the whole effort is to consistently deliver over the next few quarters around this.

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Reshabh Sisodiya: This and on the current capacities. So, we have, like you mentioned, Khopoli, next you would be commercializing? Is there enough capacity for the year.

Management: Just to brief you, that capacity for Khopoli started around Quarter 3 of financial year '24-25.

And we have two lines which are being commissioned now in July -August, in Quarter 2 of this financial year which is right now. In Rajpura plant which will add 2000 tons of capacity and again on the bakery side, we will be adding capacity for our fresh English Oven side in December of this financial year by December of '23. So, we have both these biscuit and baking capacity getting added in this year also and also in next year where in Quarter 2 MP plant is scheduled to be commissioned and the Khopoli in Quarter 3 of next financial year.

Moderator: The next question is from the line of Dhwani Desai from Turtle Capital.

Dhwani Desai: My first question is we are commissioning the MP plant in Q 2 next year. So, in terms of establishing the distribution network beyond MBOs what are we doing, which are the states that we want to start out with, if you can talk a bit about that?

Management: So, we are expanding our distribution in MP which is central part of India. As we said, we have already launched in South and West of India. We were in 3 cities and we are launching in multiple new cities now and we will be present in states of Maharashtra, Karnataka, Telangana and Andhra. So, we will be present in all these 4 states in multiple cities. So, over the next financial year, next to next financial year, we expect to make a much faster progress in these geographies.

Dhwani Desai: Any aspirational numbers about reach in terms of retail outlets or distribution points on those 4-5 states that you want to kind of capture the market.

Management: We are in the stage of planning or putting a plan in place for the financial year of '24-25 and '25-26 specially from new geography point of view and we can share in our next quarterly call with you more clear distribution targets for these new geographies.

Dhwani Desai: As the second point was on the bakery side, I think a couple of quarters back were saying that our response to the retail bakery in the Mumbai and around area is very good, but this Khopoli plant still will take some time for us to commercialize. Is there any shortage in terms of capacity, availability to serve demand? How are we bridging that gap, some color on that would be helpful?

Management: Like mentioned, we still have some time for the Khopoli unit to come up, but we have been already since the past last quarter, developed an outsourcing partner and we have been outsourcing some of our production. We are well planned for ramping up both outsource as well as our own production till the Khopoli plant comes up online and we don't really foresee any shortages.

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Dhwani Desai: Any new development in terms of customer or product tradition on the institutional bakery side, is there something which is of significance.

Management: We had updated that Subway has become a very important partner to our QSR ecosystem and we are seeing them putting a lot of trust on our organization as we see our volumes and our business scaling up. On the dessert side, on the frozen side, we are also working very strongly on products for the Café businesses. In fact, we are going to be launching with some of our existing customers on Cafes a variety of new products which are going to be very exciting. I think these would be the two highlights.

Dhwani Desai: So, when you say Café means McDonald putting up McCafé, Burger King putting up Café, those kind

of things, right ?

Management: Absolutely and also you could have certain coffee cha ins, etc., which are also cutting into the coffee and the bakery space.

Dhwanil Desai: One last question so when we are done with whatever current CAPEX that we have planned both MP, Khopoli, and Rajpura and the NCR bakery . All put together, once they are in place, we should be able to do around 2,200-2,300 crores top line . Is that the potential of the total CAPEX available with us?

Management: Absolutely . So, with these CAPEX getting delivered in this and next financial year and commissioning our plant, we should have a revenue reachability of around 2,400 crores approximately.

Moderator: Thank you the next question is from the line of Amit Thawani from Clear Blue Capital .

Amit Thawani: My question is regarding actually I don't know if it's already been covered in the conference call but it's regarding the development in the Ukraine and Russia situation where we have kind of stopped exports of food from Ukraine . Have we seen an impact on the prices of wheat that we are procuring because of that?

Management: We work on partial long-term contracts so, you know, we feel that we will not be majorly impacted because of the Ukraine war but Ukraine and Russia war does impact on everything , right? So , there would be some impact which will come in . But on the wheat front, we might be marginally affected but not majorly affected.

Amit Thawani: Any quantification if you can give us.

Management: See, listen, the Indian government is already talking about cutting down import duties so you cannot predict a commodity. You cannot talk about a commodity because what is going to be happening, we don't know. So, you can never predict a commodity. But I think there is going to be pressure. But we have seen in the last years also whenever there's been pressure, the market

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has responded acc

ordingly. But currently we do not estimate in the coming quarters there is anything which is going to be majorly affected because most of our raw materials have been covered for us in this quarter at least, and let's see how it shapes out in the next quarters.

Amit Thawani: When you said that our contracts are long-term, what is the period of our contracts?

Management: We really don't work on some system, but currently, since the markets have been erratic and wherever we feel markets can be erratic or the crop shortages are there, then we work on long-term contracts. So, we could see wheat coming under shortage. So, there were long-term contracts which have been brought in. On the raw material side, we could see some pressure, but right now we have not had a foresight of it , that what will be the impact, because currently we are well secured on the Biscuit side, on our QSR side . But it's very difficult to forecast, I'll tell you very frankly, because you never know when the Ukraine, Russia is going to start allowing wheat. Indian government is already talking about wheat getting imports free. So, the world prices of wheat have already fallen down substantially. So, we cannot foresee right now on this.

Moderator: The next question is from the line of Bharat Gerani from Money Control.

Bharat Gerani: To the earlier question, you were alluding that with all the new CAPEX that you pointed out in this fiscal as well as in the upcoming fiscal, with the Khopoli plant coming, as well as the MP plant coming, you could reach a revenue rate of 2,400 crores. But that would be by what fiscal? 2,400 crores would be reachable because obviously in FY25 there would be some time lag as you enhance your distribution as well as there is a capacity ramp up in the plants , so, 2,400 crores revenue that you pointed out, that would be reachable by what fiscal year? That would be my first question.

Management: So, that was an answer to the question that what will be the peak revenue potential after these capacities are added? And that's where I clarified that on 100% capacity or 95% capacity of the new addition, we can reach up to 2,400 crores of revenue . Now, in terms of growth, as I clarified earlier also , as of now, we intend to deliver mid to high-teens revenue growth over the next few quarters. And that itself, you also know, is much higher than the industry growth, which industry is reflecting on an overall basis both for Biscuit and bakery . So, the whole endeavor is to deliver consistently mid to high teens of revenue growth by investing in distribution, by investing in marketing new products and improving our mix group in the market.

Bharat Gerani: My next question would be like , obviously , you have achieved a good margin in this quarter, and we have heard your commentary that you would keep the margins around this level for the next two to three quarters. But my margin question for you is from a slightly longer-term perspective, basically from FY25, FY26, that kind of level. So, do you think that in your type of industry and given that the growth prospects that you have, and given that there is obviously RMC, you cannot predict, as you earlier pointed out, that globally it's very difficult to kind of

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put a forecast on the commodity. So, this 15% kind of margin, do you seem, is a peak margin that you have reached, or on a long-term perspective you can improve from here on? So, that would be my last question.

Management: So, on a long-term basis, as we have always said that we are an equity-focused Company which focuses on revenue growth and margin growth. We have both, and I think we've demonstrated that well over the past few quarters. So, as of now, coming to over 15% EBITDA, our endeavor is to keep delivering consistently around 15% EBITDA alongside mid to high teen

percentages of revenue

growth. Definitely after we have consistently delivered, we continue to work on margin improvement KPIs and in the long term, definitely we feel there is enough opportunity to keep raising the margin bar.

Moderator: The next question is from the line of Janhavi Jain from Axia India. We lost the line for the participant. The next question is from the line of Rajit Aggarwal, an individual investor.

Rajit Aggarwal: I have just a couple of questions. One is on the CAPEX. Given that our growth is as we had been projecting, and by FY25 you would hopefully be ramping up the utilization also. Are there plans to or is there a thought beyond FY25 as to some tentative plans on the CAPEX beyond that?

Management: Not yet. We work continuously on our growth plans and also on our capacity plan. So, as of now, we had four, particular two now which we implemented commissioning this year and two for next year. And again, towards quarter three, quarter four of this financial year, when we will start planning for the next 2-3 financial years, we'll put down those plans in place. So, that's how the planning cycle rolls. So, definitely towards Q 4 of this financial year, we will start getting visibility on what's the kind of...

Management: Manu, I would like to add that in Madhya Pradesh, the infrastructure what we are putting is for actually four lines. So, major investment is being done for four lines. But currently two lines are getting installed. So, we will always have the capability to invest in two more lines without much of major investments. So, that can be taken up whenever there is a need be going forward.

Rajit Aggarwal: Second question is on the contract manufacturing piece. Can you share what percentage of our revenue comes from contract manufacturing? And the reason I'm asking is, given the ramp up in utilization of our own facilities for our own products, is there a thought to reduce contract manufacturing? I'm assuming contract manufacturing would be a lower margin business.

Management: Contract manufacturing as where we are doing contract manufacturing or what we are doing from outside?

Rajit Aggarwal: What you are doing for others.

Management: We are only working with Mondelez, in contract manufacturing and that percentage of business Manu, you can please tell them how it has been reducing as a percentage of the total business.

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Management: That percentage is continuously coming down year on year. Now we are around 3.5% -4% of that. Because our entire focus is on the growth of our own business. We are not as much focusing on expanding the contract manufacturing business. So, that percentage year on year is on a reduction side.

Rajit Aggarwal: On the margin front, my assumption was the Company was looking at a range of 13% to 14%. So, it was a very good surprise to see it at 15.5%. Now, going forward, as the new capacities come on stream, there'll be certain overheads which will increase as soon as they are capitalized. So, I mean, will there be a substantial impact on the margins because of those overheads in, let's say, Q 2 and Q 3?

Management: In this month we are commissioning, as like in this quarter, two lines in Rajpura which are very well required to service our growth. And similarly, we are commissioning our NCR plant on the bakery side to service growth. We don't see an impact on margins on account of adding these two capacities.

Management: Rajpura is a brownfield expansion. In fact, it will help only in reducing costs, so not increasing costs.

Moderator: The next question is from the line of Naveen Bothra from Subh Labh Research.

Naveen Bothra: My question is to Mr. Ishaan and Manu sir, if that helps. When we talk about the overall CAPEX Rs. 350 crores to Rs. 400 crores for the next financial year, does that include our

new subsidiary

which was incorporated in the last quarter for Bake Walk the English Walk? And if you can separate the CAPEX and overall...

Management: That CAPEX is not included for the Bake Walk because like we said, it's still on a trial phase, it is a very nascent stage right now. And this CAPEX that we're mentioning is mostly for the larger

manufacturing facilities.

Naveen Bothra: If you can talk briefly about the Bake Walk, it will be helpful for all.

Management: Currently we have four stores and the entire reasoning behind this business was to display our capabilities on the frozen side. And what we have seen is our range is so diverse today that we have a lot of solutions for cafes, etc., and it is also making us learn as to how a frozen business can be scalable. So, what we are seeing in Bake Walk itself is month-on-month our sales are improving as we are also improving our menu and focusing on R & D for newer products for our own cafes first. And as we see this business developing further, we can look at ramping up more stores. But currently it is still at a very conceptual stage.

Moderator: The next question is from the line of Amit Purohit from Elara Capital.

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Amit Purohit: Basically, I just wanted to know in terms of total expanded capacity in tons, if it is possible to share by FY25 what it would be for biscuits and breads and buns that you give.

Management: Amit, thanks for the question, Amit, can I share with you separately? Can mail it across.

Amit Purohit: Yes, we can do that.

Moderator: The next question is from the line of Himesh from Purnartha Investment Advisors.

Himesh: Could you help us know what will be the total capacity utilization maybe at the end of Q1 FY24?

Management: Capacity utilization as of now for the Biscuit side, we are around 95%, but as we said, we are just implementing two more lines. One line has got commissioned and the other is getting there in a month, which will enhance our capacity by 2000 tons. On a bakery, we are around 70% to 73% capacity utilization as of now on an overall basis.

Himesh: And I just wanted to understand more detail on the distribution network for the bakery business apart from the northern region. And given the low shelf life of the product, just wanted to understand the entire supply chain management, if you could just help us understand that.

Management: So, for us, our supply chain is focused on opening distributors as well as having our own direct distribution to outlets where we find it viable and where we are wanting a focus directly from the Company. We try to limit our geographical reach to around 300 km from any plant that we do. And as we scale up Pan India, we could also be looking at another factory, the upper north particularly it could be at the Rajpura site where our business is to serve the upper north market. Mumbai and Bangalore, like we said, are growing well, and Mumbai will be seeing a capacity expansion.

Himesh: So, in terms of distributor addition, could you help us understand more of the addition will be done on the western and the southern part of India or more distribution is required on the northern part as well.

Management: I think both territories, I think even in Delhi NCR, we have a lot of room to grow as what we see is an opportunity to at the moment still double our distribution numbers in Delhi NCR. In the rest of the North, I think Punjab and upper north is actually a territory where we are absolutely not present. So, a lot of distribution expansion gains are available there for us. And Mumbai again, while we have been there for some time, we are continuing to see growth in double digits and there's still a lot of room for distribution expansion there as well. So, we'll be focusing both on the north and the west and south.

Himesh: A

nd in terms of QSR, any kind of client addition or more reach that is required.

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Management: So, I think for us, reach that is required, see with QSR, there's two fronts of growth, with our existing partners with new store openings, and there we see quite aggressive and bullish nature in terms of new store opening plans that are there with our partners. On the second portfolio is how we can diversify our product range and how we can add new customers. So, like we had shared that as we got into the frozen dough business, were able to add Subway to our portfolio for frozen breads. And then on the frozen side, like I said, the cafes are also a big opportunity.

Himesh: So, just that part of the business will be more driven by the store additions currently and not from the client addition perspective, right?

Management: Yes, by existing customers.

Moderator: The next question is from the line of Janhavi Jain from Axia India.

Janhavi Jain: My question was that as you mentioned, Rajpura will add 2000 tons of capacity, if I'm not wrong by quarter two.

Management: Yes.

Janhavi Jain: If you could elaborate on the capacity addition in the Indore plant for Biscuits and Khopoli and Bangalore expansion for bakery.

Management: So, in the MP plant, again, as our MD briefed, we will also be creating a larger infrastructure in

terms of building space. But we will be initially starting with two lines of approximately 2000 tons capacity there. The plan on addition on Khopoli I would request Ishaan to brief on that.

Ishaan Bector: So, on Khopoli, we are expanding capacity both on our breads as well as buns. On the bun side, we will be adding an additional about 5 lakh buns a day capacity. This will be additional. And on the bread side we will be putting up an additional 1,20,000 breads capacity.

Janhavi Jain: So, in terms of breads packs.

Ishaan Bector: So, like I said 1,20,000 bread packs a day.

Janhavi Jain: And 120,000 for breads and 5000 for buns.

Ishaan Bector: 5 lakhs individual buns.

Janhavi Jain: The second question is regarding the distribution for North India. Like you said, it will be like you have scope for distribution for North India. So, do we have any strategic plans by when can that come through?

Ishaan Bector: This is for the bakery or the biscuits that you are asking?

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Janhavi Jain: Biscuits.

Management: As we briefed, by March of 2024, we want to reach a direct outlet reach of 320,000 outlets. So, that's our plan, which has been pretty consistent from last year when we started this journey, when we were at 1,60,000 and we wanted to double it, our direct reach outlets to 3,20,000 over the financial year. So, that's our target as of now. We had reached around 216,000 -217,000 in March of 2023. In June of 2023, we are around 2.5 lakh outlets direct reach. And as per AC Nielsen our overall reach of Biscuits has crossed over 6 lakh outlets.

Moderator: In the interest of time, this would be our last question. I now hand the conference over to Mr. Anoop Bector for closing comments.

Anoop Bector: Thank you, everyone, for joining us. I hope we have been able to answer all your queries. In case you require any further details, you may please contact us or Orient Capital, our investor relationship partner. Thank you so much. Thank you for joining.

Moderator: Thank you. In case of any further queries, you may write to irfan.raeen@linkintime.co.in. On behalf of Mrs. Bectors Food Specialities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

MBFSL/CS/202 3-24 18th November , 2023

To,
Department of Corporate Relations,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 To,
National Stock Exchange of India Ltd,
Exchange Plaza, C - 1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q2 FY24 UNDER THE
SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS), REGULATIONS
2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on November 10 , 2023 to discuss Q 2 FY24 results.

We Request you to kindly take the same on record .

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud
Company Secretary and Compliance Officer
M.No. F10412

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“Mrs. Bectors Food Specialities L imited
Q2 FY’2 4 Earnings Conference Call ”
November 10, 202 3

MANAGEMENT : MR. ANOOP BECTOR – PROMOTER & MD –
MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER –
MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. ISHAAN BECTOR – WHOLE -TIME DIRECTOR –
MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. SUVIR BECTOR – WHOLE -TIME DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. PARVEEN KUMAR GOEL – WHOLE -TIME
DIRECTOR – MRS. BECTORS FOOD SPECIALITIES
LIMITED

MODE RATOR : MR. PARTH PATEL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Mrs. Bectors Food Specialities Limited Q2 and H1 FY '24 Earnings Conference Call. As a reminder, all participants' lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call is being recorded. This call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinions and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. I now hand the conference over to Mr. Anoop Bector, Managing Director. Thank you, and over to you, sir.

Anoop Bector: Thank you. Good afternoon, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend a very warm welcome to all participants on Q2 FY '24 financial results discussion call. Let me take this opportunity to wish everyone a very happy and safe Diwali.

Today on this call, I have with me Mr. Manu Talwar, our Chief Executive Officer; Mr. Ishaan Bector, Whole-Time Director; Mr. Suvir Bector, Whole-Time Director; Mr. Parveen Kumar Goel, Whole-Time Director. We also have Orient Capital with us on the call, who are our Investor Relations Advisor.

I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and on the company's website. It gives me immense pleasure to announce that Q2 FY '24 has been another strong quarter for us on the revenue as well as the margin front. Our revenues increased by 19% and PAT by 70% on Y-o-Y basis. We have overcome multiple challenges across the domestic and international markets to give another stupendous quarter of growth and margin expansion.

Our continuous focus on distribution expansion, investments in our brands Cremica and English Oven, long-standing relationships with our large institutional players and focus on growing exports with existing and new customers, along with focus on margins, have helped us to deliver sustainable results.

Company's focus on onboarding experience and focused leadership team, strengthening of input KPIs, addition of distributor sales representatives and digitization initiatives of salesforce automation and distributor management system has helped us in increasing the distribution reach and better servicing to our outlets and channel partners.

We continue to invest behind strategic marketing initiatives to build long-term sustainable growth. We recently signed our first brand ambassador, Kareena Kapoor Khan, and have plans to build reach and awareness through TV media, alongside print and digital marketing initiatives. In the current year, we have commissioned 2 new lines of Biscuits with a capacity of 2,000 tonnes per month. This will help us in meeting our demand and efficient serviceability.

Now I will discuss the financial performance.

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Starting with Biscuits. Our Biscuit segment reported a revenue growth of 25%, which stood at INR259 crores in Q2 FY '24 as compared to INR206 crores in Q2 FY '23. This segment has grown by 76% over Q2 FY '22. Our domestic Biscuit segment and export witnessed higher double-digit growth in Q2 FY '24 as compared to Q2 FY '23.

Bakery. Our Bakery segment revenue for Q2 FY '24 stood at INR140 crores against INR125 crores in Q2 FY '23, thus registering a growth of 12% on Y-o-Y basis, including retail Bakery and institutional segment. This segment has grown by 69% over Q2 FY '22.

The consolidated revenues for the current quarter stood

at INR415 crores versus INR347 crores

in Q2 FY '23, thus registering a growth of 19.3% on a year-on-year basis. EBITDA stood at INR65 crores, resulting in a growth of 46% and 12% from the corresponding quarter on a year-on-year basis and sequential basis, respectively. EBITDA margin for the quarter stood at 15.6%, that is a growth of 281 bps year-on-year basis and 11 bps on sequential basis.

PAT stood at INR37 crores and saw a growth of 70% year-on-year basis and 7% on quarter-on-quarter basis. Our PAT margins for Q2 FY '24 was 9%, registering a growth of 268 bps on yearly basis.

Moving to H1 FY '24 financial performance. The consolidated revenues for H1 FY '24 stood at INR789 crores versus INR648 crores in H1 FY '23, thus registering a growth of 21.7%. EBITDA for H1 FY '24 stood at INR123 crores versus INR76 crores in H1 FY '23, with margins of 15.5% as compared to 11.7%, resulting in a growth of 387 bps year-on-year basis.

PAT for H1 FY '24 more than doubled from INR35 crores in H1 FY '23, now stands at INR72 crores, with improvement in PAT margins to the tune of 380 bps year -on-year basis. Our focus remains on distribution and premiumization, supported by marketing to penetrate and capture newer markets. This will assist our company to increase its footprint not only in North India, but also penetrate in western and southern parts of the country, where the product is equally liked by the consumer.

With this, I would request to open the floor for question and answer. Thank you so much.

Moderator: Thank you very much. The first question comes from Sashwat Jalan with Purnartha Investment Advisors. Please go ahead.

Sashwat Jalan: Congratulations on great set of numbers. I just had a couple of questions. Firstly, have you taken any price hike in the Biscuit or Bakery segment in the last few quarters?

Anoop Bector: Yes. Manu, it's your turn, yes, please. Sorry.

Manu Talwar: Yes. No, so we haven't taken any price increase in this particular quarter or the H1.

Sashwat Jalan: Sure. And sir, can you also please share with us any B2B business in the revenue spread...

Anoop Bector: Can you be a bit louder? Your voice is not very clear.

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Sashwat Jalan: Yes. So I was asking if you can share with us the B2B and B2C revenue split, if possible?

Manu Talwar: So we normally, on the call, don't share B2B and B2C revenue. We share as we have shared, basically, for the overall Biscuit segment and Bakery segment revenues.

Sashwat Jalan: Right. And lastly, in the annual report for 2023, there was a small drop of charge. So are we in the outsourcing manufacturing?

Manu Talwar: See, outsourced manufacturing as a percentage to revenue will -- because we are focusing primarily on our own brand business, both B2B and B2C, and not expanding on the contract manufacturing side, which is primarily only we are doing for Mondelez, right?

So as a percentage to revenue, as we grow faster for our own brand, so that, as a percentage to revenue, you would see a minor decline. But on our value terms, this is constant or growing at a small percentage.

Sashwat Jalan: Okay. So I thought the job work charges for our own Biscuits -- but thanks for the clarification.

Manu Talwar: Job work charges for our own biscuits?

Sashwat Jalan: I assumed that could be the case, but thanks for the clarification.

Manu Talwar: Yes, for the -- on the revenue side.

Sashwat Jalan: Okay. And lastly, sir, since you have announced the capex on the R&D side. So that's not exciting to hear that in the annual review. So can you share focus areas we are heading? Any comments on that?

Manu Talwar: So our overall capex, we primarily have given the details earlier also. So on the overall capex are -- one is that we invested in our own plant in Rajpura. We invested in 2 lines, which were commissioned in the quarter

2 of this financial year. And then the other big investments on the

Biscuits side we are doing is an Indore, M.P., where we are investing in the plant. And that would -- plant would get commissioned in the next financial year.

On the Bakery side, we have invested in our plant in NCR, which is in Bhiwadi. And that plant would get commissioned in this particular quarter, which is quarter 3 of current financial year.

And then we have building up another state-of-the-art plant in Khopoli, Maharashtra. This is again a Bakery plant, and that -- both get commissioned in the next financial year.

So these are some of the large investments which we are doing on a Biscuit and Bakery side, on the capex to expand our capacity to service our demands.

Moderator: The next question comes from Amit Purohit with Elara.

Amit Purohit: Congratulations for excellent results. First on the Biscuit growth, which has been very strong at 25%-plus, what you would attribute this growth to? Is it both existing as well as new markets?

I'm sure both would be doing well.

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But within existing market, is it like a distribution-led growth? Or is it more true with line selling also now started to come in, where in the segments that are the retail outlets you have already entered, we are able to sell a full offering or complete portfolio?

Manu Talwar: So Amit, this growth is primarily led by distribution and supported by marketing. When we exited last quarter of the last financial year, which was March of '23, we were around 216,000 territories for outlets, right? And now in these 2 quarters, we have already touched 270,000 territories for outlets. And our Ac Nielsen number of our overall reach has crossed 6 lakh outlets.

So, a, we have increased our reach in the distribution; b, we had already implemented SFA, which was salesforce automation, last financial year; and this year, we are implementing DMS with partnering with [inaudible]. So we have already reached 400 distributors on the DMS implementation, and we are in the final leg of implementation of balanced distributor and the final modules on that side.

So to make this happen again, we have increased our distributor reach. So we have added number of -- more number of distributors. And also very importantly, right, other than distribution, we have worked on premiumization. So there is over 15% improvement on the premiumization over the last financial year. So distribution led by premiumization and the marketing -led support, so we continue to drive marketing alongside sales on both on -shop, in -shop, outdoor, print and digital media.

And while in the coming quarters, this quarter, we will -- as you're very well aware that we have signed the first brand ambassador, Kareena Kapoor Khan. And we will be now moving our journey to move towards a television, other channels for the media also.

So these are the efforts which are being made to drive the growth on the Biscuit side. And the Biscuit side growth, which you see there is both for domestic business as well as exports. So also on the exports, which is doing well for us, we are doing and adding a substantial amount of business with our existing customers and as well as adding new customers. So this is a brief response to your question on what is fueling growth on the Biscuit side.

Amit Purohit: Sure. And sir, just on this Biscuit itself, any price reductions that you have taken or much of -- because most of this pricing would be investorizing, right? So of the 25% growth, is it safe to assume that 20% would be volume -led? Or how do you think...

Manu Talwar: Yes. So you're very right. Majority of the growth is volume -led on this, right, so almost over 75% of the growth, and this is led by volume.

Amit Purohit: And have we taken any price reduction? Because, I mean, we keep hearing the leader also talking about increase...

about increase...

Manu Talwar: So as we -- it's very important in Biscuit domestic market to keep seeing how the competition, especially the leaders, is taking it forward. So we ran some consumer promotions, right? We ran some promotions on the premium Biscuit side, right? And that's what we did for the consumers. So kind of you can say as a consumer offer, we did give the kind of price offer in -- more in form of a consumer offer.

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Amit Purohit: Okay. So -- and when was that implemented in the...

Manu Talwar: We did that in quarter 2.

Amit Purohit: Okay, okay. So full of quarter 2 had this impact?

Manu Talwar: Yes. So quarter 2, we ran our consumer promotions.

Amit Purohit: Okay. And second point on the ad spends and margins, so basically, you highlighted. What would be the broader ad spend in first half as a percentage of sales? Would you be able to share?

Manu Talwar: If I would say, percentage to B2C sale, which is both on English Oven and Cremica brand side, so our overall spend, right, both B TC and ATL, continues to be around 8 -odd percent. But yes, definitely on ATL side, we have moved up. And we are approximately 3.5% now on our ATL as has been briefed earlier also that we'll continue to keep investing more in our brands.

Amit Purohit: Okay. And sir, any outlook on the margin side? Do you think this quarter has also been a strong performance? And in the context that how is this raw material basket for us? And how do we see any change in the guidance you were talking about earlier, 14%, 15%? And then, what is the outlook for margins, should be building?

Manu Talwar: So before I hand it over to Anoop for the commodity side, but on the margin side, as we have been maintaining that we kind of achieved 14% over the last 2 quarters of last financial year. And our whole endeavor was to maintain the margins in the range of 14% to 15%. And that's kind of what we have delivered, is 15.5% in the first 2 quarters.

But yes, our endeavor is to keep around 15% consistently over the next coming few quarters. So anything between 14.5% to 15% is what we want to consistently deliver in terms of margin over the coming few quarters. And on the commodity side, Anoop, would you like to brief on the commodity...

Anoop Bector: Yes, yes. So on the commodity side, we definitely -- there are certain challenges. We have some benefits, like the oil prices are low. And -- but we do have some challenges there on the wheat side, where the prices are a bit on the higher side.

But definitely, as Manu has said, our aim is to maintain our target, which we've always been committing it to be around 14.5% to -- between 14.5% to 15%. And our company is on the buildup stage. So we are going to be building up, investing in distribution, investing -- keep investing on the brand. So -- but we will retain our targets, what we have been committing to

our investors on a 14.5% to 15% sort of markets.

And in case -- I mean biscuit is an industry where definitely, if there is a price increase, which is going to impact us. Then there are price corrections happening and things like that. So at the moment, in the last 2 quarters, we have not seen anything like that because we have seen overall things under control.

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But going forward, I do not foresee any much -- in the short term, you could have some challenges. But over the long term, we do not feel there are any challenges to maintain our targets of margins what we always stood to.

Moderator: The next question comes from Arihant with Bowhead.

Arihant: So my first question is that our employee cost has increased in the last 2 quarters. So what would be the reason for the increase?

Manu Talwar: So our employee cost, first, had a reclassification of some expenses, which were coming in other

expenses. They moved to employee expenses. If you will notice particularly, our other expenses are down, and you'll see an increase in employee expenses. So that is one reason for that.

Secondly, as we have been indicating that we were doing a leadership hiring, right, over the last 3 quarters. So that's kind of reflecting in the -- some part of that increase. Now we are through with our leadership hiring, and we should be able to kind of consistently maintain.

But in a growth company like ours, and I'm sure you will appreciate, it was important to get the organization ready for the future growth. And thus, we needed to strengthen the organization at different levels. And that's what we did.

Arihant: And sir, my next question would be, sir, the Bakery growth has slowed a little bit, so is it because of capacity constraints? I mean, do you see it as a temporary blip? Or it is something structural?

Manu Talwar: Ishaan, would you like to answer?

Ishaan Bector: Yes. So, on the Bakery side, we have our Bhiwadi plant, which is actually coming up in this quarter, in Q3, pending which we had held back some new territory expansion, which we will start progressing with again. So that will definitely add to our growth outside of our core market of Delhi NCR.

I think secondly, what we also did witness in the past quarter is we were also coming off of a very high base, so I think that is the effect of that. But going forward, we are focusing on distribution expansion. We are continuing to open up outlets as per our targets. And we are confident that over the long term, we will be achieving a mid - to high -teen growth rate.

Arihant: Okay. Sir, and what you expect the runaway growth for the next 3 to 5 years to be because of the distribution and capacity expansion in Biscuits and Bakery?

Manu Talwar : So as we have already maintained, we want to consistently achieve mid -teens kind of growth over the next few years, and that's the endeavor.

Moderator: The next question comes from Kaustubh Pawaskar with Sharekhan by BNP Paribas.

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Kaustubh Pawaskar: Congrats for a good set of numbers. Sir, my question is on Biscuit segment. As you mentioned that 75% of the growth is because of the volume. So if we consider 5% to 6% kind of a realization growth, how much is because of the premiumization?

Manu Talwar: It is primarily because of premiumization. Premiumization, as we said earlier, has, over the last year, improved by over 15%. So this is primarily whatever -- what you see in the rise side is led by the premiumization.

Kaustubh Pawaskar: Okay. And so can you help me understand how is expansion happening in some of your newer states, where you have recent? You have entered last year or maybe a year before that in terms of the Biscuit business because that was also one of your key driver because you wanted to enter into newer markets to gain share, and that is how you were planning to grow in the coming years. So if you could highlight on that.

Manu Talwar: So we did started our journey in south and west and we launched three cities Bombay, Bangalore and Pune -this year we have gone further from a presence in three cities to close to 15 cities . So, we did add a few more cities in Maharashtra, we did launch in city in Gujarat, Goa, Telangana , Andhra Pradesh & Karnataka . Now we are addressing South and west it is the initial part of this journey because we are there lets say for more than a year now, so we continue to explore new cities there. Because of this reason we are in process of setting up Plant in MP which is in the central part of India to service south and west market.

Kaustubh Pawaskar: Right, right, right. So the plant in MP would largely help you to expand further into the southern and western market?

Manu Talwar: Yes, southern, western and

central part of it.

Kaustubh Pawaskar: Okay, okay. And this strategy will continue? We will continue to add more and more cities as you grow?

Manu Talwar: Yes.

Kaustubh Pawaskar: Okay, okay. And sir, any target in terms of market share you are looking for, maybe not immediately so, but over 3 years? Any particular target we have in mind that we should achieve in the business market share?

Manu Talwar: The kind of investment we are doing on the distribution side and marketing, our intent is to continue to grow our market share and Over the past 1 year, we have grown our market share from 4.1% to 4.4% in a highly competitive market. But yes, the whole aspiration is that we keep moving up the market share ladder.

Moderator: The next question comes from Harit Kapoor with Investec.

Harit Kapoor: Just one question on the premiumization bit. So you just expanded in Biscuit, what are the spaces where the growth that you are getting it so much faster, which is driving the significant realization? Some examples in terms of category that you've been able to grow at a much faster pace?

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Manu Talwar: Basically, as I said that in a premiumization, we have moved up more than 15% over last year. And our key focus remains on premium cream and cookies, which are, anyway, our faster - growing segment. And they are definitely showing a much higher growth to us in our sales mix also.

Harit Kapoor: And second, on this -- on the distribution expansion, so you spoke about South and West and how MP will help you -- the MP plant will help you. But if you look at outside the core markets in the north, Rajasthan, U.P., some of those markets where you've expanded over the last 3 -odd years, would you give a kind of report -card sense of how Biscuits have done for you for your level of comfort and how are you growing that? Or something around that could be helpful.

Manu Talwar: For large part, you see, we were always strong on the upper north, which is Punjab, H.P., Haryana. We have high market shares in Punjab and HP, J.K. So our entire focus or large part of focus has been to build a lower part of north, which is probably a belt of Delhi, U.P., Rajasthan and then the central states like Bihar and M.P., right?

So yes, so the large part of distribution expansion in terms of outlet which you see, right, which has also moved up from 216,000 to 270,000 in last 6 months, is happening in the lower part of the north belt, which is U.P., Rajasthan and Delhi, right? And that's how we are expanding. That's where we are also expanding in the number of districts.

So if you look at the districts where we were kind of present, so we have moved up from a last year -- last financial quarter, we were at 269 districts. And now in the 6 months' time, we have moved up to 331 districts, so which is obviously addition of almost close to 18%, 19% of addition in district presence also.

So large -- the prime part of expansion which is happening here because our upper part of north is very well covered, right, is happening at the lower part of north, which is U.P., Rajasthan and Delhi belt.

Harit Kapoor: And your level of comfort with the kind of early throughput you've seen over the last 6 to 9 months in some of those stores, any sense on that?

Manu Talwar: Look, no, no, we don't have any concern. We've been moving well. We have also expanded our feet on Street, which was at 900 by end of the last financial year. Now we are sitting at close to 12,00. That's a number we wanted to achieve for this financial year.

So distribution plays a very key role in terms of driving not only the geographical presence as well as the growth, duly supported by strengthening our brand through different sources of marketing. So we are on that journey, and we will continue on that journey for the next many years to come.

Harit Kapoor: G

ot it. And you mentioned something around DMS. I was wondering, about 18 months back -- 18, 24 months back, you made some changes there to third -party platform, etcetera. Any -- since then, has there been any kind of incremental change which has happened on the DMS side?

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Manu Talwar: So DMS, actually, we started the implementation of the DMS starting this financial year. So far, we have reached 400 distributors. There are 2 key modules which are being implemented as we talk. The implementation started in November. We see the whole DMS as stabilizing over the next 2 quarters, and we should see a substantial benefit of DMS coming in the next financial year.

Harit Kapoor: And the last question is for Ishaan. Any call -out on the QSR part of the business? It seems like those numbers, at least on the QSR companies, are a bit slower in terms of growth. So I mean, what are you seeing there in your conversation with -- to those buyers? And any kind of growth impact that you could see in the near term there?

Ishaan Bector: See, no doubt that sales have been slower than expected on the QSR front. And given our exposure to some of the larger customers whose results you are also referring to, growth seems to be muted. But I feel this is a very short -term phenomenon. We have been speaking with our partners who are very bullish on store growth, adding new number of stores.

So we see this entire QSR ecosystem to be very robust in the long term. And going forward also, with some new products for us, opportunities of expanding business are immense. So I would say that whatever we see is more on the short term. We can also see that we are expanding our capacities in terms of the capex that we are doing on the Bakery side, some of which is also for the QSR, right? So we are not concerned on the growth.

Harit Kapoor: Wish the team a very happy Diwali. Thank you.

Moderator: The next question comes from [Arun Marothi] with S hubhlabh Research. Please go ahead.

Arun Marothi: Congratulations for the great set of numbers. Sir, my question is with regard to the arrangement we have with the Walmart. So if you can throw some light on that, that will be quite helpful that what kind of supply we have and the size of opportunity we are looking for?

Manu Talwar: I would request Suvir to take that question. He handles the export business.

Suvir Bector: Sorry, I couldn't hear the question.

Manu Talwar: I can take it, please. It is the question about Walmart, what is the potential of Walmart on business?

Suvir Bector: Okay. So I think Walmart has a lot of potential. This was only our first year working with Walmart. Walmart, currently, is the largest retailer in the US, having a market share of upwards of 30%, 35%, with the store count of close to 4,800 stores to 5,000 stores. And I think we are meeting a lot of Walmart leadership just to establish a stronger relation with them and possibly get into a stronger partnership with Walmart for many more years to come.

So I would say, this is the start with how big Walmart is. And with the size of Walmart, I think there is a lot of potential to grow and a lot of headroom for that. I hope that answers.

Arun Marothi: Okay, sir. And on the capex side, sir, is all the timeline which we have decided earlier also? So, capex plan is running as per that timeline or any modification on that?

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Manu Talwar: No, it's running as per the plan. As we said that we had a plan for Rajpura lines getting commissioned in this year. Both the lines of Rajpura which we started last year have been commissioned in this quarter.

We invested in NCR bakery capacity and we had a plan of commissioning in this quarter and that will be commissioned in this quarter. And then there were two other large invest

ments other

than the many small investments which were Khopoli for bakery and MP Indore for biscuit.

Both are scheduled to be commissioned in the next financial year. And they are going as per the plan and they will be commissioned in the next financial year.

Arun Marothi: Okay, sir. And my last question on the recent development on the marketing side for the engagement with the Kareena Kapoor. So, because of that particular arrangement, what impact we can see on our marketing side, sir?

Manu Talwar: So, as I said earlier also that we had an intent to keep investing more on the ATL side and in this quarter also we have invested higher on the ATL. We are on the B2C side of revenue. We are around 3.5% now and that trend would kind of continue because objective is to step by step keep investing more.

Moderator: Thank you. The next question comes from Aashish Uppanlawar with InvesQ Investment Advisors. Please go ahead.

Aashish Uppanlawar: Yes, thank you for the question, sir. So, is it possible to bifurcate the growth of H1 which I think is around 20% -plus on the revenue between the new distribution initiatives versus the growth of current with earlier standard rate?

Manu Talwar: So, on this question specifically relates more to domestic biscuits and our 70% of growth is coming from existing outlets which outlet which existed as on 31, March of 2023 and the balance 30% growth is coming from new outlets. So, that's how that should kind of answer your question

that how from the source of growth how much growth is coming from existing outlets which existed as on March exit of last financial year and how much is coming from new end.

Aashish Uppanlawar: Okay. So, is it possible to build it further in the opening remark that you said that around 14%, 15% annualized growth that we are targeting for the next few years. So, is it possible to lay a strategic path to the journey that you are talking about into the more contributions from the expansion and lower market itself based out etcetera, [inaudible]. It is a bit difficult for us to comprehend how this growth is going down to 15% or it can be more than that because of all these initiatives.

Manu Talwar: So, that our almost 75% growth was led through volumes and the balance through premiumization and volume rate growth is entirely led by the distribution again where I gave you a bifurcation that out of this distribution led growth 70% of growth came from existing outlets. And balance came from the new outlets. So, this journey of expanding distribution as you see we clearly stated our intent in the March -April of 2022 that where we were presenting 1,60,000 outlets and we said over the next two years by March '24 we want to double.

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By March of '23 we reached at 2,16,000 and we will be reaching around 3,10,000 -3,20,000 outlets by March of '24. And that is why we start the plan now next two years to three years in terms of distribution. So, we will be happy to share the last quarter of the financial year that what is the plan like in terms of distribution expansion for the next two years.

So, in terms of source of growth the biggest driver will always remain distribution and duly supported by brand marketing. So, these two are the large levers which will help. The DMS which we are implementing because last year we implemented SFA and we clearly saw the results coming out of the SFA in terms of monitoring the large sales force or front line of almost 200 people now.

So, DMS will further integrate distributors with us whereby we will be able to monitor, drive the secondary sales, improve their stock availability and streamline other things also. So, which will further strengthen our distribution and execution effort and we will see majority of those results coming in the next financial year. So, this is how I see the both distribution, technology,

technology,

marketing supporting the sources of growth on the biscuit side.

Aashish Uppanlawar: Okay. So, my limited point was that should we assume that the current strong geography for us can organically grow at maybe 7%, 8% on volume. Since you mentioned 15%, so the assumption is that incremental growth of 7%, 8% that gets added, that comes from the newer initiatives on distribution? Or can it be higher because the territories that you have still not covered are pretty large and the placement efforts there and acceptability if it happens, growth could be in the range of maybe 20 % and not 15%. Is it possible in that way or we are going to move on?

Manu Talwar: So, current our forecast which we have stated again -and-again, with all the efforts on the distribution, technology, marketing side we are seeing, we would like to consistently achieve a mid-teens kind of growth over the next quarter.

Aashish Uppanlawar: Sure. And margins you will stick with that 14%, 15% band?

Manu Talwar: Yes, 14%, 15% band. Very right.

Moderator: The next question comes from Rajiv, an individual investor. Please go ahead.

Rajiv: Good evening, sir. Congratulations on a great set of numbers. I just have a couple of questions. One is a lot of companies that have declared the results over the last 15 days, 20 days have highlighted challenges in the rural segment. Do you see similar challenges for our company as well? And is it possible for you to share the split between rural and urban sales?

Manu Talwar: Okay. So, our primarily, we are largely present in urban as of now, with a reach of now 270,000 outlets, which is primarily urban, other than Punjab and HP, where we are widely distributed, both Punjab, both in urban and kind of rural. So, our overall basis, our rural share, I don't have exact number, won't be very high at this point of time. But as we progress and expand distribution, so we are entering into semi-urban and rural segment also over the next few quarters.

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Rajiv: Great, sir. Thank you. The second question is on the media campaign that you highlighted, and that we will soon be stepping into TV as one of the medias. So, I mean, I'm assuming this campaign would be a national-level campaign, am I right?

Manu Talwar: So, this campaign will be largely focused, yes, it will be in this section. But yes, as you know, our weightage as of now is high on the north side, right, for the biscuit. So, obviously, we do

keep a constant weightage corresponding to our revenue in the region and the state.

Rajiv: Right. So, I think the voice broke or I lost what you were saying. And so am I understand that it will still be focused on certain regions and not a national campaign.

Manu Talwar: No, no. Obviously, it will be focused based on the size of the revenue and potential in different states, right? So, whether channels or what program, how much frequency is completely dependent upon the potential and the current size of that particular state.

Moderator: The next question comes from Nishit Jain with MG Investments. Please go ahead.

Nishit Jain: Yes. Thank you for the opportunity. So, in our last call, if I can recollect properly, you said that our target is like around INR2,400 crores of revenue once our expansions are done in this year as well as the next year. So, we still maintain that, right?

Manu Talwar: No. So, last time the question was, after you do all this capacity expansion, what is the maximum revenue achievable by the company? And to which my answer was that once we invest in these expansions, which I just addressed earlier also, the maximum revenue which we will be achieving is INR2,400 crores to INR2,500 crores. It's not that next year we will reach INR2,400 crores to INR2,500 crores.

Nishit Jain: Okay. So, basically it is at full capacity utilization, it can be INR2,400 crores to

INR2,500 crores, right?

Manu Talwar: Absolutely.

Nishit Jain: Okay. So, also one thing. So, as we go forward in next year, so we still feel that our EBITDA will be near about 15%, 16% or it can inch ahead more also?

Manu Talwar: So, again I will repeat. So, we as a company are clearly an equally focused company and that's what we have demonstrated that while we focus on growth, we also focus on margins, right?

And if you go back a year back, we always said that we want to get to 13%, 14% EBITDA margin and by end of the year, the last two quarters, we were close to 14% EBITDA. And now we have been maintaining that we want to remain in the range of 14% to 15% because we are a growing company and we also need to invest more in the growth, right?

So, yes, we as of now maintain over the next few quarters our endeavors to consistently deliver in the range of 14% to 15% EBITDA.

Nishit Jain: Okay, thank you. And last point. So, as we are a growing company, so I am pretty much aware that our employee cost if you see in percentage of sales, it will be higher to peers. But if you see our employee cost in FY23 was around 11%, 12% of sales. And just for reference, in the market

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leader, if you see their employee cost would be 4% or so. So, I don't intend to say, the difference is too much. What I mean to say is going forward in a couple of years' maybe. So, will that be able to get the cost in percentage to like 8%, 9%? Do you feel that way?

Manu Talwar: Yes, over the years. So, as of now, because we are in the growth phase, right? So, that's why we are investing ahead of the curve. You know, so what happens is that A, the companies you are referring to almost 12, 13 of us, right, size. 12x to 13x. So, that the scale which that 12x of us will get on the employee cost will be very different.

Second is, so we are at a higher growth trajectory. So, thus, we need to invest in people ahead of the curve to keep achieving that kind of growth, right? Yes, over a period of time. There will be always fast periods and slow periods of growth. But it's important that we invest in that capability. Yes, over a little longer period of time, should our employee cost come down? Definitely, it will and it should, both.

Moderator: The next question comes from [Prakash Sunil with Value Research]. Please go ahead.

Prakash Sunil : Thanks for taking my question. My question is pertaining to as the capex and expansion plan.

So, as you said that you are investing ahead of the curve. And on the contrary, just now, what the previous conversation was, Ishaan quoted that refraining from expanding to new geographies because of capacity constraint in bakery segment. So, can you throw some more light on this?

Manu Talwar: No, no. So, what I think, I'll just first clarify what Ishaan said was that we added a capacity to NCR which will help us grow faster and getting into new territories outside the NCR region, whether the region of, whether Haryana, whether the region of Rajasthan, [MP] or Punjab. Right. So, we had expanded well in the last financial year, the upper country, but the potential there is much, much higher.

So, that's what he said. Now, we are also going to the Bhiwadi plant in this quarter. And that would further strengthen the expansion in the upcountry of Northern India.

Prakash Sunil: In our existing geographies, we are not facing any capacity constraint to meet the demand? Or is that the case? Is anywhere in either of the segments or this regard?

Manu Talwar: So, in our existing territory, Bangalore, Bombay, or NCR, as of now, we are not kind of short of capacity in terms of our English Oven growth or others. But yes, we are investing there in Bombay to be ready for the future growth because, any kind of investment in capacity has to be

done ahead of the curve for the next few years, almost five years

to six years time. So, that's the reason we're investing because Bombay is a very big market. And we are a premium bakery player there and customers enjoy our bread. So, we need to give them the best and be ready to service the growth and the demand over the next five years. And that's the reason we're investing in a state-of-the-art plant in Khopoli.

Prakash Sunil: Okay. And one question is related to the capex. How do we look forward to funding the capex? Will it be through internal accruals? Or will we need debt for any expansion, which have to take over?

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Manu Talwar: So, we will be keeping a mix of our own funds and debt, which is bank loan. And banks loans will be around 65 approximately percentage on approximate basis. And the balance will be our own fund. So, that's the kind of ratio we will maintain to fund. As of now, we're very comfortable on our debt-equity ratio of 0.24%. And so, that's how we will be taking it forward in terms of capex funding.

Prakash Sunil: Okay. I guess my one last question that was related to this DMS, which you will be implementing. So, that is for, as you said, it's for better inventory management at the distributive front. So, any challenges we are facing as per the product mix shortages, which are not available in the front and they're not able to fulfill the demand in the market as of now? Or is it like as a future growth perspective we are doing that?

Manu Talwar: So, in terms of our distributors, they maintain around three weeks of stock to ensure the stocks are available. But to get further efficiency into larger distributor base, it is very important that we are connecting them to both on order processing, claim processing, stock availability, secondary schemes. And that's the reason we are implementing DMS.

And we are implementing DMS with Bottree the largest DMS provider in India. We work with first-grade companies. And that will also further help in the coming years to also integrate this with SFA and also further start adding the analytics to that. Because as we see, this good amount of data is available. So, that's the roadmap. We started with DMS, we are on DMS now. And while we get into seeing some benefit of DMS next financial year, we will further start adding analytics to that. And that's how the journey will build up.

Moderator: Thank you very much, sir. In the interest of time, that was our last question. I would now like to hand the conference over to Mr. Anoop Bector for his closing comments.

Anoop Bector: Thank you so much for participating in the conference, and I hope we have been able to satisfy all the questions. And in case still we have -- there are any questions, you are please free to connect to our investment relationship partners. And we wish you a very, very happy Diwali, and thank you so much again.

Moderator: Thank you very much, sir. In case of any further queries, you may write to parth.patel@linkintime.co.in. On behalf of Mrs. Bectors Food Specialties, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

MBFSL/CS/202 3-24 13th February , 2024

To,
Department of Corporate Relations,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 To,
National Stock Exchange of India Ltd,
Exchange Plaza, C - 1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q3 & 9M FY24 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on February 8, 2024 to discuss Q 3 & 9 M FY24 results.

We Request you to kindly take the same on record .

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud
Company Secretary and Compliance Officer
M.No. F10412

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“Mrs. Bector 's Food Specialties Limited Q3 & 9M
FY24 Earnings Conference Call ”

February 08, 2024

MANAGEMENT : MR. ANOOP BECTOR –MANAGING DIRECTOR
MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER
MR. ARNAV JAIN – CHIEF FINANCIAL OFFICER

MR. ISHA AN BECT OR – WHOLE -TIME DIRECTOR
MR. SUVIR BECT OR – WHOL E-TIME DIRECTOR
MR. PARVEEN KUMAR GOEL – WHOLE -TIME
DIRECTOR

Mrs. Bector's Food Specialities Limited
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Moderator : Ladies and gentlemen , good day and welcome to Mrs. Bector 's Food Specialities Limited Q3 and Nine Months FY24 Earnings Conference Call .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. This call may contain some of forward-looking statements which are completely based upon our beliefs , opinions and expectation as of today . These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

I now hand the conference over to Mr. Anoop Bector – Managing Director. Thank you and over to you sir.

Anoop Bector: Thank you so much. Good afternoon , everyone. On behalf of Mrs. Bector Food Specialities Limited , I extend a very warm welcome to all participants on Q3 FY24 Financial Results Discussion Call .

Today on this call I have with me Mr. Manu Talwar – our Chief Executive Officer , Mr. Arnav Jain – Chief Financial Officer , Mr. Isha an Bector – Whole-time Director , Mr. Suvir Bector – Whole-time Director , Mr. Parveen Kumar Goel – Whole-time Director . We also have Orient Capital with us on the call , who are our Investor Relations Advisor .

I hope everyone had an opportunity to go through our "Investor Deck and Press Release " that we have uploaded on Exchanges and on the Company's website.

It gives me immense pleasure to announce that Q3 FY24 has been another strong quarter for us , on the revenue as well as on the margin front. Our revenues increased by 17% and PAT by 25% on YOY basis. Our continuous focus on premiumization of the portfolio by offering various premium and mid premium category of biscuits including cookies , creams , crackers and digestives as well as premium category of bakery products , including whole wheat , multigrain and footlong breads has helped us to improve our margins on a sustainable basis.

We remain committed to distribution and marketing led growth. We are on track to achieve direct distribution of over 3 lakh outlets by the end of FY24. General trade complemented with our efforts on expansion in modern trade and e-commerce channels has helped us to penetrate our presence across new and existing markets.

We have enhanced our advertising spends in media and digital with focus on building premium range. The company had its first ever media plan on top Hindi channels featuring Karina Kapoor Khan on Star Plus , Sony Entertainment and Zee. Introduction of new festival packs on occasions of Diwali supported by the Diwali print ads , Arch gates to enhance festivity spirit among consumers .

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As category leaders we had an integrated marketing campaign on bun grade to burger grade with bus shelters , digital marketing and influencer marketing campaigns. Further we ran consumer offers on our English Oven bakery product. The company has launched new health products like Bake Fit , millet cookies and atta kulcha along with multigrain breads which contains 11 grains. This will further aid in driving premiumization.

Our export business has demonstrated robust growth because of increased demand in Canada , North America , South America , Europe and Australasia. This is fueled by premium range of cookies and cream categories. We are focusing on building Cremica as a brand and continue to remain a preferred partner in white label.

In the current quarter we have commissioned a bakery plant in NCR which will help us to cater to the demands of the national capital and the surrounding region where our products continue to witness significant

demand. In Rajpura , two more lines are being added and estimated to be completed by Q2 '24-25. Along with that we will also be setting up a new bakery unit in Mumbai and a biscuit factory near Indore , Dhar in '24-25 to strengthen our supply chain in existing and emerging markets. Also , I am pleased to share that we have declared interim dividend of Rs. 1.25 per share.

Now I will discuss the "Financial Performance " starting with biscuits :

Our biscuit segment reported a revenue growth of 22% which stood at INR 268 crores in Q3 FY24 as compared to INR 219 in Q3 FY23. This segment has grown by 71% over Q3 FY22. Our biscuits segment witnessed high double-digit growth in Q3 FY24 as compared to Q3 FY23. Bakery ; our bakery segment grew for Q3 FY24 stood at INR 146 crores against INR 127 crore in Q3 FY23 , thus registering a growth of 15% Y-o-Y basis including retail bakery and institutional segment . This segment has grown by 58% over Q3 FY22. The consolidated revenues for the current quarter stood at INR 429 crores versus INR 368 crores in Q3 FY23 , thus registering a growth of 16.6% on a year -on-year basis . EBITDA stood at INR 61 crores , resulting in a growth of 19.4% from the corresponding quarter on year -on-year basis . EBITDA margin for the quarter stood at 14.3% , that is a growth of 40 bps on a year -on-year basis . PAT stood at INR 35 crore and saw a growth of 25% on a year -on-year basis . Our PAT margins for Q3 FY24 was 8.1% , registering a growth of 60 bps on yearly basis.

Moving to nine months FY24 "Financial Performance ":

The consolidated revenue for nine months FY24 stood at INR 1,218 crore versus 1,016 crores in nine months FY23 , thus registering a growth of 19.8% . EBITDA for nine months FY24 stood at INR 184 crores versus INR 127 crores in nine months FY23 with margins of 15.1% as compared to 12.5% resulting in a growth of 260 bps year -on-year basis. PAT for nine months FY24 stood at INR 107 crores versus INR 62 crores in nine months FY23 , with improvement in pad margins to the tune of 270 bps year -on-year basis.

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Our focus remains on distribution and premiumization , supported by marketing to penetrate and capture new markets. This will assist our company to increase its footprints not only in north India but also penetrate in west and southern parts of the country where the product is equally liked by the consumers.

With this I would request to open the floor for question and answer. Thank you so much.

Moderator: Thank you very much sir. We will now begin with the question -and-answer session. We take our first question from the line of Percy Pan thaki from IIFL Securities.

Percy Panthaki: My first question is on the gross margins. Your margins have contracted on a QOQ that is sequential basis Q2 versus Q3. I just wanted to know one is whether it is largely because of the biscuit business or because of the bakery business , I know it might be a combination of both but which is the larger factor here? And secondly what is the underlying reason for the same?

Manu Talwar: Our margins have contracted over the previous quarter , primarily on amount of two reasons. The first reason is in the Q3 , there has been little upsurge in the commodity prices which is both on the bakery biscuit side. And second reason is that Q3 we have seen a higher amount of competitive ness specially in the domestic biscuit business where by the grammage offer of free grammage offers by the competition has kind of increased. So have we also participated in this , so these are the two prim ary reasons of seeing that contraction in the Quarter 3 over Quarter 2.

Percy Panthaki: Britannia mentioned in its result call that it has taken cut in its average selling price sequentially by about 3%. So , would we also have taken similar action? Also despite the price cut taken by them ,

their gross margin actually has sequentially increased and the reason they gave for them is that , the input costs have actually sequentially come down. They have come down a little more than the decline in the average selling price. That is what is driving the gross margin. Why such different kind of movement because you have the same commodity basket here ?

Anoop Bector: Sometimes what happens , when we have done hedging on raw materials , there can be different policies on hedging . So, on wheat front our hedging was very different because the crop of wheat what we had anticipated was going short and government was not having much of stocks. But then the government's policies to contain inflation , giving stocks into the market and things like that. There are certain times that hedging might be different. Otherwise , there is no principal difference in the changes . So, if you look at our most impact which has come is mostly on the sugar pricing or a little bit on the wheat flour . So now what has really happened is that on the bread side we were able to take a price rise but on the biscuit side there was more competitiveness . We had to respond to the market needs. That was probably one of the reasons otherwise everything is normal. We do not feel that the inflation is high. Inflation is under control. They're better than what we had experienced earlier. I would say that it could be more because our probably hedging might be carried on for a longer period of time where we could see a better position coming up going forward.

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Percy Panthaki: So basically , you are saying that your consumption cost this quarter was higher than the spot prices of the commodities ? Is that understanding correct?

Anoop Bector: You could also see one thing, see when till Diwali we are also doing a lot of exports of biscuits which are feeding the Christmas market in the export side. And those cookies are very highly priced cookies, like Diwali gift packs are highly priced. Christmas orders are executed by the month of September because they have to reach their destinations before November and they have to be lying on the shelves at that time actually. So, in our case because of exports our NSR in exports in the second quarter will always tend to be higher than the 3rd Quarter. You will also see gross margins reflecting adversely like this. But overall, there is nothing which is substantially anything wrong. That's what I'm saying.

Percy Panthaki: So basically, the current quarter gross margins that you have, should that be an indicator of what we can expect over the next three-four quarters?

Anoop Bector: I think you will have to compare it vis-à-vis the quarter last year. I think they should be okay.

Percy Panthaki: I'm just trying to understand how I build my estimates. I understand on a YOY basis for this quarter it is okay. But going ahead, should we take this quarter's delivery as a representative of what can be achieved going ahead as well or can it be higher than that?

Manu Talwar: On an indicative trend side, yes you can take that.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I just wanted to get your sense on the volume growth trend for the quarter. So again, going back to what market leader said 3% cut, would this indicate that biscuit volume growth would have been 25% odd for the quarter? Is that a right way to think about it?

Manu Talwar: So, our prime growth this year on the biscuit side has been led by the volume growth. We haven't taken any big changes in the prices, both on the domestic and export side. The revenue growth which you are seeing in Quarter 3 and the YTD side is primarily led by the volumes.

Harit Kapoor: And incrementally is there a need in your view to change the price table or you already adjusted the

at through higher promotions grammages etc.?

Manu Talwar: As of now as I said in the previous question also, especially on a domestic biscuit side we and the competition are both offering free grammage. From a per gram perspective consumer is getting a better price. Quarter 3 as well as in the current scenario a lot of free grammage offers are being given by us and the competition and that should be true for this quarter, also Quarter 4.

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Harit Kapoor: On the bread side, Anoopji mentioned that some price increases you've been able to kind of manage. Is that the one you got at the beginning of the year or is there an incremental price increase you've seen in breads?

Manu Talwar: No. So, we had a selective price increase in the northern India in the month of December. So, it was not all across but there were selective SKU's. We were able to take some price increase and that too in this quarter, primarily in the month of December.

Harit Kapoor: You see the benefit of that for English Oven to come in more so in Q 4, it was not for Q3?

Manu Talwar: Yes, we should see some marginal improvement on account of these price increase and in the overall bakery business, primarily the price increase we have been able to take is only in the north India on certain extent. There'll be some marginal improvement, not very significant improvement on account of price in Quarter 4.

Harit Kapoor: And the last thing from my end was on the distribution side, you've done a phenomenal job in the last 18 to 24 months on driving distribution expansion and you're going to get to that 3.2 lakh output number by the end of this fiscal. I was just wondering whether you've kind of charted out plans for next year if they are shareable right now in terms of what kind of outreach you want next year and going forward.

Manu Talwar: I just want to kind of brief that on selling and distribution side, we continue to progress well and as we had committed in the starting of last financial year April of '22 that our direct reach outlets from 1,60,000 outlets at that point of time should almost double by March of '24. So, we have reached as you saw 2,80,000 outlets by December and as our Managing Director said and we're very confident that we'll be getting crossing 3,00,000 outlets by March and almost getting close to our target of doing 3,10,000-3,20,000 outlets in terms of driving a direct reach of outlets. In terms of next year plan, definitely there's a plan to continue increasing our reach and we are in the process of finalization of that plan rather we have meeting over the next 10 days to two weeks to finalize that and we should be very happy to share our plans for the next year and next 2 years in our next call.

Harit Kapoor: And the last thing if I may, was in the context of the competitive environment that you're seeing right now especially in domestic biscuits, is there a risk to your kind of 14.5%-15% kind of margin range holding up over the next two quarters? You feel that is a range that a band that you will continue to hold going forward as well?

Manu Talwar: We have always kind of maintained that we will be maintaining and doing our best to deliver EBITDA margin in the range of anything between 14% to 15%. Our endeavor and confidence

as of now is that we should continue to deliver 14% and upward kind of EBITDA over the next few quarters.

Moderator: The next question is from the line of Amit Purohit from Elara Capital.

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Amit Purohit: Just wanted to get your sense on how does one look at the growth environment over the next one year or so, especially on the domestic biscuit side and also on bakery what has driven the bakery growth? If you could qualitatively highlight for both the segments what has been the

key growth driver?

Manu Talwar: So, on the overall side of the company, I would say that we have been maintaining that our endeavor to get closer to mid-teens kind of growth and that's how we are driving and delivering and that is broadly our plan to stay close to mid-teen kind of growth as an organization to deliver that kind of growth. Coming on the domestic biscuit side, where two trends are very clear in the market and you have also seen the results of various companies coming out. But definitely on the food FMCG side, we've seen clearly a pressure on the consumption, and we think pressure on the demand side. So, there is a bit of slowdown which is clearly being seen across the food FMCG category. Alongside what we also seen in domestic biscuit side which I mentioned earlier, there's a fair amount of increase in competition intensity and better offering to the consumers. But we are very sure that this trend is not here to stay. Another quarter or two we should see a correction in this trend and getting back to the better growth for the industry and for us also. Our endeavor to drive the growth which we have been maintaining has been on the two key actions, which is distribution and second is supporting that with the brand marketing which again MD had elaborated in their call and we started our marketing advertising also on the television media alongside digital media as well as on the print side. These are the two input activities which we will continue to invest in and focus, to keep building our infrastructure which is necessary for the growth and although there is a bit of a stress on a food FMCG growth, especially on the biscuit side. But our premiumization and our new product introduction is clearly helping us to continue our journey of growth on the domestic. On an English Oven bakery side I would request Ishaan to step in and also share how that part of the business is performing and how growth is coming in there.

Ishaan Bector: On the domestic bakery side, we are standing very well in the north market where we are focusing on upcountry territories. In fact, we are also now with the Bhivadi plant coming up putting a lot of focus on the Punjab market as the next lever of growth. As for us at the moment, this is a virgin market. So that's where our focus is going to be is to sort of expand distribution, expand our reach, number of routes and number of outlets and that is what is going to bring new outlets and new volume to the system. As far as our existing markets of Delhi, Bombay and Bangalore are concerned, we are focusing on increasing our distribution in Delhi market. At the moment we are still covering about 55% of the market and we still have a long way to go. So, the focus is going to be on building the right infrastructure.

Amit Purohit: For the quarter, would it be safe to assume that the branded English Oven would have done better than the QSR because we are seeing some slowdown in the QSR category?

Ishaan Bector: No, actually both have done similar. You are right that the institutional business has seen a slowdown. But as we were always mentioning that we are focusing on adding new products,

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new product innovations to new customers and new products to existing customers. I think we are doing that also very successfully which is why even though the QSR industry is a little muted in the moment, we have also still grown higher than the market.

Amit Purohit: Just on the ad spend, what would be probably our ad spend to sales ratio and how do we see it for the next year with the now increased media spends that we are doing?

Manu Talwar: On the B2C businesses which is domestic biscuits and English Oven bakery business—we have now almost gone close to on our advertising side—we have almost gone close to 3.5% of the spends on above the

line and then we do obviously close to 5% to 6% below the line. But we have been scaling up our investments on the ATS side which on these two businesses are now standing close to 3.5%.

Amit Purohit: The last one if I can ask on the capacity expansion. I saw two things which is adding two more lines in second half of FY25 in Rajpura and Kolkata new bakery unit. Could you share some details in terms of the amount of CAPEX which it would entail for FY25 additional of these and also what would be the capacity like?

Manu Talwar: In terms of investing in the manufacturing line where we are investing , we have always updated you that we are building up a plant Indore which is a biscuit plant. And that's under a full swing of construction , moving very well. This will be commissioned in the next financial year. Second large investment which we are doing is on the bakery side which is in the Mumbai Khopoli region. There again the work has started there and that also will be ready towards the end of the Quarter 4 of the next financial year . We are adding two more lines as you mentioned , in Rajpura and these two lines will be ready in the H1 of the next financial year and Calcutta we are on the verge of closing and starting. And that itself will again will be ready by Quarter 3 of next financial year. So , these are you can say that some of our large project investments . The NCR was shared in the speech that NCR plant has been commissioned in the Quarter 3 and that is up and running .

Anoop Bector: Basically , also Manu I think Calcutta investment is a very small investment. It's just a plant that we are trying to feed the QSR business because they are showing very aggressive movements in the northeastern side. So , it's a very small investment what we are doing , it's not a material investment.

Manu Talwar: So, our overall investment in the two financial years including the lines which you already commissioned in Rajpura in the month of July and August , the total investment over the two financial years will be close to 500 crores. So , little over 500 crores. So that's the kind of investment we are doing to augment our capacities and to be ready for the supply chain to feed into our growth plans over next few years.

Amit Purohit: This 500 crores will also be there in FY25 , it's '24-25 combined ?

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Manu Talwar: Combined , '23-24 and '24 -25.

Amit Purohit: '23-24, '24 -25?

Manu Talwar: Yes, 2 years combined.

Moderator: The next question is from the line of Abhishek Maheshwari from Sky Ridge Wealth Management.

Abhishek Maheshwari: You spoke about margin sustainability through premiumization. Can we also expect some margin improvement to come in through the benefits of scale because as we understand we would have hoped , that 'okay' gross margins will stabilize at maybe 45% levels ? But as you scale , as you improve your volumes there would be a benefit of lower other expenses compared to overall revenue. Can we expect the merchants to go to maybe 16% level coming few years?

Manu Talwar: So, I'm sure you would kind of appreciate that we as a company are growing well and that's what our aspiration. We said we want to continue growing at close to mid-teens level where as we have grown so far over the last 18 months much better than that. While we are getting the benefits of scale and the volume increases , definitely we are getting. But you must appreciate as I briefed in the previous call , we are also upping our investment to drive this growth. Whether it's an S & D side or on the marketing side. It is very important for us to also continuously invest in the brand and in the distribution , if we need to keep progressing fast. I'm sure you'll be very appreciative for any company to literally double the direct reach outlet in 24 months . But yes , that takes investment on

the area distributors . Alongside we also briefed on every call , that last year we implemented the SFA , Sales Force Automation with a partner. This year we are in the journey of implementing distributor management system with our partner Bottree which is a leader in that category. We have already done the first two modules with over 500 distributors and by March we would have covered distributors covering almost 75% of our revenue. So , there are a lot of work happening on that side in terms of digitization , so that we can also integrate with distributors on account of tracking secondary sales , schemes , promotions , claim management and order management. So , keeping all that in mind and that's why maintaining our endeavor is to at least for next few quarters to deliver EBITDA margins of (+14%).

Abhishek Maheshwari: My second question is , now that we are focusing on scaling and setting up new plants, in the key geographies that we plan to enter that is south and Maharashtra. So in this area are we taking enough land to accommodate future expansion in the facility also? So today if we start small but tomorrow if the market picks up will we have enough land to accommodate future debottlenecking in the same facility?

Manu Talwar: Yes, we are doing that. Anoop, would you like to answer that regarding Indore plant?

Anoop Bector: Yes, I'll take this. What we currently do is in fact if you look at there are two Greenfield projects which have come up. One is Indore for the biscuit side and there is a greenfield bakery project

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which is in Khopoli. All these places in fact the infrastructure can handle double the amount of

volumes for the biscuit side and around 35% to 40% additional on the bakery side around 40%. So basically, these facilities, the buildings which we have constructed are for much larger capacities. So, the cost of project has become higher because the complete infrastructure around it has been created for a bigger capacity. In Indore we do have land available and in case in Khopoli we need land we have surrounding land available for growth. In fact, there will not be a problem.

Moderator: The next question is from the line of Kaustubh Pawaskar from Shrekhani by BNP Paribas.

Kaustubh Pawaskar: My question is on bakery business. Correct me if I'm wrong, capacity was the constraint for us in this business and now we have come up with a new capacity in NCR. So, considering the demand what we are getting in this region, should we expect bakery business performance to improve from the quarters ahead?

Ishaan Bector: So even on the bakery side, we are targeting to grow in mid to high teens and we have been guiding on this growth for some time now. Definitely, I will not deny that there is an opportunity as we have a lot of room for expansion. Like I mentioned that now that we have capacity available, we are opening Punjab. We have already appointed people. Our teams were in Punjab just a couple of days ago appointing distributors. And in fact, Punjab is going to be a territory where we are from day one going into a new way of working which is through complete automation and visibility onto secondary performances. As we are stepping in our back-end infrastructure on the IT side is set up to track secondary sales. So, we are very excited about this opportunity. What we are also seeing as feedback which comes from territories outside of our core market which is Delhi NCR is that our product is very well accepted. Some of the new products that we have launched, some products being like atta kulcha and another variant of pav have been very well accepted in outstation markets. So, I think we have the kitty, we have the strong backend. We have built a team to expand into new territories. So yes, we are excited about the growth but as a management guidance

, we would still say mid-teens to high-teens growth.

Kaustubh Pawaskar: My second question is on your premiumization. As sir mentioned in his initial comment that premiumization is also helping us to drive growth, also helping us to have a better competition. So, in that I just wanted to understand what is the contribution of premium products to your biscuit and bakery portfolio.

Manu Talwar: So, on the premiumization side we have improved both on the biscuit and bakery side in terms of premiumization. In case of our premiumization on the biscuit side over last year is further improved by 15%. So, it was 100% last year. It has gone to 115% and so is the case in bakery. There is an improvement in the premiumization percentage over the last financial year. So premiumization continues to be a key focus area for our consumer businesses both on the biscuit and bakery side.

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Moderator: The next question is from the line of Manasi Tatal from Bodh Capital.

Manasi Tatal: I had two questions. Just to extend the previous question as far as ad spends are concerned if you can just help me with the number or a percentage of what will be the planned percentage of the ad and digital media spends for the next 2 years as a percentage of revenue?

Anoop Bector: Over the last 2 years we've literally come up to the level of 3.5% on the consumer businesses and literally grown these spends at a pretty quick speed. Our aim over the next, I won't say over the three years' time, would be to scale these spends up close to 5% odd. So, aim of the company that we know we need to invest in our brand. So gradually take this to 4% and then 4% to 5%. But over the next three years' time our aim is to take investment in the brands through the ATL route to close to 5%.

Moderator: The next question is relating to the bakery segment. If you could just help us or throw some light upon what will be the percentage of products returned or unsold considering the perishable nature. I mean any number or a percentage if I can get through.

Anoop Bector: These returns because of short shelf life across the industry this number varies between 7% to 9%. And we are also within this range in that. But yes, definitely we are putting continuous effort and we have seen some good results to keep bringing this down over a period of time.

Moderator: The next question is from the line of Priyank Chheda from Valium Capital.

Priyank Chheda: I'm repeating a question again from the previous participant. You did mention the contribution. So, the premium biscuits portfolio has grown at 15%. If you can help me what is the contribution in your total sales of this premium portfolio? That is question number one.

Anoop Bector: Our overall current premium contribution on our domestic biscuit side is approximately around 34% to 35%.

Priyank Chheda: What was this two years ago, say last year or whatever number you think.

Anoop Bector: Exactly a year back we were close to 30% to 31%. So basically, we have moved from 30% to 31% to close to 34% to 35%. That's a journey we have done.

Priyank Chheda: Second question is on the current growth which is volume driven. If you could help us dissect it

further whether this growth is , of course it is driven by distribution , but what could be the growth contributor from the existing markets or maybe a repeat sales growth or maybe an SSG growth within your current stores , that would be great .

Anoop Bector: As we are opening aggressively new outlets and new trajectories , so approximately the source of growth you can say around 65% to 70% , two third is from the existing outlets and then one third is from the new outlets the new territories .

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Moderator : We move on to the next question from the line of Chirag S

hah from White Pine Investment
Management.

Chirag Shah: There are two questions. One , how do you define premiumization or premium portfolio and how frequently do you revisit the definition? That is the first.

Anoop Bector: The definition of premium , so premium cream , premium cookies, premium health. These are very well defined, and we follow the AC Nielsen in that to stay uniform for the industry. So, we made this change about two years back and we are now following the premium segment as it is defined in the AC Nielsen.

Chirag Shah: If one has to assess the impact of the rising premiumization , what is the right metrics we should look at? Because your revenue growth will be a function of volume plus pricing plus premiumization.

Anoop Bector: Correct .

Chirag Shah: Gross margin is a far better reflection of your premiumization strategy. So how should one assess the premiumization strategy that you are adopting . Internally what is the metrics that you use to assess whether the strategy is working to your desired level?

Anoop Bector: Internally how do we track , because these categories are well defined as said and we follow AC Nielsen in that on all the three categories of premium. And we put a target of improvement in premiumization in these three categories and the growth which has to be higher than value and other segments. And that's how we measure whether we are progressing well on that or not. So , this journey of 30 %-31% to 34 %-35% which I said is close to 15% improvement over the last year, is a reflection of that j ourney whether we're moving in the right direction or not.

Chirag Shah: So, it's assessed on your gross margins or gross contribution , is not that important a function for you? That is the right way to look at it ?

Anoop Bector: It is.

Chirag Shah: Given y ou are in the growth phase. I'm more referring to that part because your ambition is to grow at a reasonable fast pace. Gross contribution from the premium or premiumizing portfolio , let me use that word , is not a primary area of focus. It's more about how much that share is going up. Is this the right way to look at it?

Manu Talwar : No that's not. You see , first thing fundamentally the premium segment gross margins are better than value and the mass segment , that's a step A. And step B is that through the AC Nielsen data we all know the premium segments in the industry is growing better than value and the mass

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segment , that's B. And that's the reason based on this and we as a company as you know we are a more premium and value -led market and we are not so much in the mass segment which is glucose. So based on this we set up our growth targets of higher growth on premium segments and as well as growth in the old premiumization percentage which helps in our revenue growth and as well as helps in our margin growth.

Moderator: The next question is from the line of Saket Saurav from Sagari Capitals .

Saket Saurav: This is a question pertaining to a gourmet chip that I've come across at say some kiosk at Delhi airport. So, it is under Opera brand and it had Bector or Cremica printed on it. So, is it part of this listed entity?

Anoop Bector: No, there is no relationship between that company and this company . This does not belong to our group. That belongs to my brother. So, there is no linkages between Mrs. Bector Foods and Opera .

Moderator: The next question is from the line of Bhavesh Jain from Devi Investment Advisors.

Bhavesh Jain: We mentioned that premium biscuits contribution to the overall revenue has been around 35% and hence registered around 15% growth year -on-year. But if I can recall the contribution remained around 36% in Q1. So, on a sequential basis if I see are we seeing some factors that is hindering the growth of premium biscuit contribution to the overall sal

es?

Anoop Bector: No, I don't think it was 36%. We can check it again because our last year premium .

Bhavesh Jain: I'm talking about Q1.

Anoop Bector: I am also talking about Q1. You'll have to give me the opportunity to get back after checking the number because on a YTD basis and on a quarter -on-quarter basis we will be around now 34 %-35% on a premium percentage which for the last year same quarter was around 31%. So

Bhavesh, we will check and get back to you on that but that should not be the case.

Bhavesh Jain: My second question is like in our previous calls we mentioned around expanding into the lower part of north and seeing high growth opportunities in Mumbai and Bangalore market. So, can you touch upon what is the status and how it is shaping out.

Anoop Bector: Journey of south and west is shaping up well. As you know we launched in the last financial year in the three cities of Bombay , Pune and Bangalore. And this year we have added another twelve cities, and we are now in 15 cities of south and west markets. In terms of outlets also , our unique build outlets for the south and west have touched about 20000 outlets and that also has kind of grown well in terms of journey on the south and west side. In terms of journey on the north side districts we have kind of moved from last year , we have now moved to coverage to almost 208 districts now. And on an all-India basis last year exit last quarter were around 269

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districts and now in this quarter three exit we are close to 340 districts. So, our district coverage also on overall basis has improved on the last year basis. So , both on south and west moving from three cities which we launched last year , now we are in 15 cities. Outlet coverage , the build outlet coverage on a month -on-month basis around 20000 outlets. On an overall district coverage, we move from 269 to close to 350 district coverage now on overall basis compared to last year .

Moderator: The next question is from the line of CA Arun Maroti from Shubh Labh Research.

Arun Maroti: My question is with regard to Walmart . I would like to know the status with the Walmart currently.

Anoop Bector: We are currently working with Walmart in their one specific SKU which happens for Christmas. But we are aggressively working with them to extend this relationship to daily usage products also which will be sold on their shelves. So rather than just working on supplementing Christmas requirements for them we are trying to work with them on daily consumption products. So currently this is a relationship which is happening. But we are very confident to take this relationship forward not only with Walmart but also with other large retailers in US.

Arun Maroti: If you can share some more light on the Bake Walk concept that will be quite helpful.

Ishaan Bector: As we've always mentioned that Bake Walk is completely on the freezer to oven model. And it's in line with our strategy of getting into a complete bakery format which is ambient products frozen products of all nature whether sweet or savory. What insights we generally get from Bake Walk is what we also execute in the market and has also helped us bring a lot of new products into the market for our B2B customers. So that is one big positive that we see. Other than that, we are still currently operating four stores. The focus is to improve the model , to work on improving sales per store and getting the right mix before we think about expanding this or scaling this business. For us the key focus is going to be how to grow as a bakery brand both on the B2B and the B2C.

Arun Maroti: On the Bakebest we are willing to invest around 30 crores. So that will be on the Khopoli plant or something else.

Arnav Jain: This is basically a subsidiary company which is based out of Bombay. The entire bread business

is managed from the western part of the country so that is managed through Bakebest .

Arun Maroti: It will be for the Khopoli or something else.

Arnav Jain: Only Khopoli.

Moderator: Ladies and gentlemen , in the interest of time we will take that as the last question. And I would now like to hand the conference over to Mr. Anoop Bector for closing comments.

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Anoop Bector: Thank you everyone. I hope we have been able to answer all your queries. If any further questions are there , please feel free to contact our investor relationship partner , Orient Capital. Thank you and best wishes to you.

Moderator: Thank you. In case of any further query, you may write to parth.patel@linkintime.co.in . And on behalf of Mrs. Bector's Food Specialities , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

MBFSL/CS/202 4-25 06th June , 2024
To,
Department of Corporate Relations,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 To,
National Stock Exchange of India Ltd,
Exchange Plaza, C - 1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q4 & FY24 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on 31st May, 2024 to discuss Q 4 & FY24 results.

We Request you to kindly take the same on record .

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud
Company Secretary and Compliance Officer
M.No. F10412

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“Mrs. Bectors Food Specialities L imited
Q4 FY’2 4 Earnings Conference Call ”
May 31, 202 4

MANAGEMENT : MR. ANOOP BECTOR – PROMOTER AND MANAGING
DIRECTOR – MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. ARNAV JAIN – CHIEF FINANCIAL OFFICER – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. ISHAAN BECTOR – WHOLE -TIME DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. SUVIR BECTOR – WHOLE -TIME DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. PARVEEN KUMAR GOEL – WHOLE -TIME DIRECTOR –
MRS. BECTORS FOOD SPECIALITIES LIMITED

Mrs. Bectors Food Specialities Limited
May 31, 202 4

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '24 Earnings Conference Call of Mrs. Bectors Food Specialities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone telephone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Bector, Promoter and Managing Director. Thank you and over to you, sir.

Anoop Bector: Good afternoon, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend a very warm welcome to all participants on Q4 FY '24 Financial Results Discussion Call. Today on this call, I have with me Mr. Manu Talwar, our Chief Executive Officer; Mr. Arnav Jain, Chief Financial Officer; Mr. Ishaan Bector, Whole -Time Director; Mr. Suvir Bector, Whole -Time Director; Mr. Parveen Kumar Goel, Whole -Time Director. We also have Orient Capital with us on the call who are our Investor Relations Advisor. I hope everyone had an opportunity to go through our investor deck and the press release that we have uploaded on the exchanges and on the company's website.

Company reported a strong fourth quarter with revenues from operations increasing by 17.4% and PAT by 21.6% on Y -o-Y basis, reflecting on our annual performance for our year FY '24, company stands at the highest ever revenues as well as PAT with both our business segments registering growth in high teens.

Indian economy continues to demonstrate resilience amidst global slowdowns, India story continues to be domestic consumption -driven and now we are increasingly becoming a sourcing hub for the world as well. I'm glad to tell you that your company is well placed to make the most of both the opportunities. Our journey of driving multipronged business strategy continues with focus on spending both in domestic and international business with continuous investments in developing our brand, brand portfolio and building future ready supply chain with state -of-art manufacturing setup. We all understand technology is key to any business success. The company has focused on selling and distribution side through SFA and DMS implementation in the past 2 years and now has taken an agenda of technology intervention in manufacturing and supply chain over the next 24 months. On the domestic front, I'm glad to inform you that we have achieved our stated objective of doubling direct coverage to 3 lakh plus outlets in 2 years.

On the export side, I'm happy to share with you that Cremica brand now has a footprint in over 65 countries. We will continue to follow our stated strategy of calibrated expansion in both domestic and international markets. On the brand portfolio, we continue to invest behind our brands, Cremica and English Oven. Campaign with Kareena Kapoor Khan, Apna Apna Cremica, Bun Great toh Burger Great and Goodness of Fiber aimed at driving awareness on the range of Cremica and English Oven products was received well and continued in Q4 '24. While we continue to expand our portfolio by offering the launch of preservative -free cake, cashew delight cookies, atta kulcha and a 12 piece pav amongst others.

I would like to share with you, in particular, our foray into frozen bakery. We have invested ahead of the curve and developed the capability on frozen premium bakery products like filled puffs, desserts

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and artisan cookies. We believe as the disposable incomes rise, need for high -quality premium bakery products will increase and provide for an opportunity of future growth.

Updating on the capex plan on the biscuits front, we have commissioned two

biscuit plants in Rajpura

in FY '24 with two more additional lines to be added and estimated to be commissioned by H1 '24 -'25. Commissioning of the MP Dhar plant is also expected in the current financial year. On the bakery front, we have commissioned Bhiwadi plant in FY '24. We have started construction of building for our Khopoli bakery in Maharashtra and we are putting another bakery unit in Calcutta, both with -- both will be commissioned by Q4 '25.

We have initiated Project Impact 1.0, a journey towards cost transformation throughout the organization. It is an initiative across multiple fronts, which includes procurement, packaging, optimizing manufacturing process, reducing wastages, streamlining logistics. The preliminary assessment work has started across these functions. We believe this will lay a strong foundation for a sustainable growth moving forward. Also, I'm pleased to share that we have declared interim dividend of INR1.25 per share and declared final dividend of INR2 per share.

Now I will discuss the financial performance. Starting with biscuits. Our biscuit segment reported a revenue growth of 18%, which stood at INR240 crores in Q4 FY '24 as compared to INR203 crores in Q4 FY '23. This segment has grown by 68% over Q4 FY '22. Our biscuit segment witnessed high teen growth in Q4 '24 as compared to Q4 FY '23.

Bakery. Our bakery segment revenue for Q4 '24 stood at INR151 crores against INR128 crores in Q4 FY '23, thus registering a growth of 18% Y -o-Y basis, including retail bakery and institutional segment.

This segment has grown by 59% over Q4 FY '22. The consolidated revenues for the current quarter stood at INR406 crores versus INR346 crores in Q4 FY '23 thus registering a growth of 17% on a year - on-year basis.

EBITDA stood at INR 59 crores in Q4 FY '24 resulting in growth of 22% from the corresponding quarter on year -on-year basis. EBITDA margin for the quarter stood at 14.4%, a growth of 49 bps on a year -on-year basis. PAT stood at INR34 crores in Q4 FY '24 and saw a growth of 22% on a year -on-year basis. Our PAT margin for Q4 '24 was 8.3%, registering a growth of 28 bps year -on-year. Moving to FY '24 financial performance. The consolidated revenues for FY '24 stood at INR1,624 crores versus INR1,362 crores in FY '23 thus registering a growth of 19%. EBITDA for the financial year '24 stood at INR242 crores versus INR175 crores in FY '23 with growth of 38%, resulting in improvement of EBITDA margin of 207 bps year -on-year basis. PAT for FY '24 stood at INR140 crores versus INR90 crores in FY '23 with a growth of 56%, resulting in improvement of PAT margin to the tune of 203 bps year -on-year. The company has reported highest ever PAT margin of 8.6% in FY '24.

With this, I would request to open the floor for question and answers. Thank you so much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is on the line of Subh Labh that is from Arun Kumar. Please go ahead.

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Arun Kumar: Yes. Congratulations for the good set of numbers. Sir, I would like to know about the current acquisition which we did for the Mrs. Bectors Cremica Enterprises that we said that it was in the manufacturing of the ice creams. So would like to know your views on it?

Anoop Bector: So this -- I mean this company was originally making bread. So we have acquired the bakery business from this company. So it's not ice cream. Although they also make ice creams, but we have acquired the Cremica brand with their manufacturing capabilities, whatever they have and the brand for all the bakery products. So we have acquired that. So this is a transaction, which should happen in the coming quarter or sometime -- the time lines are being worked out. So it is more about the bakery operations.

Arun Kumar: Okay. And sir, the amount of capex ...

A

Anoop Bector: For Punjab, I think Cremica brand being very strong in the upper north. So we will have in the future when the deal happens there could be a possibility of a Cremica brand also getting launched in the bakery side of the business.

Arun Kumar: Okay. Okay. And just a follow -up on the same that what amount of capex we need to do for the upgradation of the plant? Or is it available to production?

Anoop Bector: Currently we have not worked on this. We will work on it once the deal happens. So currently, we are not working on it. It's more about getting the brand in hand and then evaluating what we should be doing in the North Indian market of Punjab, Haryana.

Moderator: Thank you. The next question is from the line of Janhavi Jain from Axia Asset Management Private Limited.

Janhavi Jain: Yes, so I have a few questions first one being largely on the working capital...

Moderator: Sorry to interpret Ms. Jain, you're sounding too low. Can you speak a bit louder please?

Janhavi Jain: Hello, is it better now?

Moderator: Yes, yes. Please continue.

Janhavi Jain: Yes, I have a few questions. The first one being largely on the working capital. We see the receivables to be quite inflated for FY '24. Any specific reason? Any change in credit cycle or anything to worry for the future? That's the first one.

Anoop Bector: So, would you like to tell us all the questions, then we can answer them.

Janhavi Jain: Sure. The second one largely on the contract manufacturing front. If I just calculate that, that was the contract manufacturing revenue has been declined. Like is there any reason for that? Third one being cakes like you've launched cakes right now. So what are the plans to actually grow? Do you have any plans to launch more variants in that? And any strategy or any number to further reach in that segment because that's a very big market as well. So these are the 3 -- last question.

Manu Talwar: Okay. So Manu this side, let me answer first 2 and then Ishaan will take up the bakery side, cake side. On the working capital side, our contribution of exports a, has been high. And because of the Red Sea

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disturbances, the receivables are high but it has been taking more in transit time to reach to the destination. So that's actually one of the large reasons of that, that higher export contribution in this quarter and the Red Sea issue, which had led to the higher debts.

Second is we also had bought and booked the sugar for a long 8 -month period. So that has also led to

some increase in the working capital. So these are the 2 prime reasons largely being exports and the Red Sea issue, which has led to a temporary increase in working capital. Coming to the b) contract manufacturing. Just because of the demand cycle, there has been a bit of a contraction in the quarter 4 on the contract manufacturing side. But as for the company for which we are doing the contract manufacturing, this is more about temporary transit stage and it should come back in 1 or 2 quarters. So over to Ishaan for the cake part.

Ishaan Bector: Yes. So on the cake part, what we are doing is we are building some capability for cakes both in the Delhi market and the Mumbai market. So the idea is to leverage our ability to do both B2B and B2C via cakes, B2B would largely be in the frozen front in which we are already operating. The idea is to become more competitive and reach a lot more customers.

On the B2C side, we have already launched a cake in the Delhi market, which is a small INR10 cake. We have seen a good success in that cake and the idea would be to get a range of competitive products on the B2C side, primarily right now via English Oven, which is short shelf life products, the current life of our cake is about 1 month as we progress and get more confidence, we can also look at higher shelf life products on

the cake side. So I think it's going to be a journey. But it will definitely add a revenue stream for the business in the future.

Janhavi Jain: Okay. Just follow up if I could squeeze in, on the capex front, if you could just stratify the capex for the next 2 years.

Manu Talwar: So as of now, we -- at the last time also we gave the capex visibility for the year 2023-'24 and '24-'25 then over the 2-year period, we will be doing the capex of around INR550 crores and that's the current projection look like. In terms of our capex going forward beyond that is -- it's still under planning cycle in the next Board meeting -- the next investor call, we should be able to give you a visibility on a capex beyond this.

So as of now, around INR550 crore, INR560 crores is the capex between the last financial year and this financial year. Last financial year, what we have capex which we have spent and the balance would happen in this financial year.

Janhavi Jain: One last question on the export contribution to the total biscuit if you could just justify. That's it from my side.

Manu Talwar: Export contribution to our overall business?

Janhavi Jain: Yes.

Manu Talwar: So as of now, we normally don't share the contribution business-wise and we share on an overall basis as you are aware. But it is close to, we can say 30-odd percent is our exports.

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Moderator: The next question is from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Yes. So I'm saying -- I just wanted to understand in terms of demand trends, how are you seeing the demand, one on the biscuit side, specifically from a competitive intensity perspective and otherwise, also in terms of growth trends.

Manu Talwar: Okay. So let me start first with the demand trend. The demand trend post Diwali as we are aware has been a little low. There has been a pressure on opex and that's what is even reflecting in all the reports of all the companies and the A.C. Nielsen so there's definitely a slowdown in offtake versus what it was in the first half of the '23-'24 financial year, right? So that's the case there. In terms of competitive index also starting, I think the quarter 3 of last financial year, there has been more competition from all the companies, especially the leader in the category has rolled out a lot of consumer offers kind of dropping the consumer price of the product. And we have also taken a respective action in quarter 3, quarter 4 in terms of being competitive in the market. So -- but we're very hopeful.

We all know the good monsoons are projected for this year and the inflation is also coming in control. So we are also very confident that starting quarter 2 of this financial year, we should see the demand coming back and definitely post Diwali, it should be a good run. So that's our kind of outlook that good monsoons as well as inflation, which has been under control for the last 2 quarters and going forward also to remain in control should swing it back to a good demand and a better growth should be back starting from quarter 2, quarter 3 of this financial year.

Amit Purohit: And sir, in view of the FMCG companies have indicated that they have seen some uptake from April May. Have you also witnessed similar kind of a growth offtake improving from...

Manu Talwar: We are also witnessing a slight improvement in demand trends, right? But it's still not reached back to the significant level what it was pre-Diwali, I would say, in the last financial year. So yes, the trends have started looking minorly better now and we hope post monsoons, they should start improving it in a much better way.

Amit Purohit: And on the biscuit side, you don't share the breakup within biscuits on domestic and exports. But just to get a sense for the full year, the 23% kind of growth in the biscuit category. Are -- is it safe

to assume

that biscuit growth would be very close to mid-teens or high -teens? How do you see it?

Manu Talwar: Yes. So we are targeting it to be mid -teens, right? For the annualized growth.

Amit Purohit: FY '24.

Manu Talwar: Pardon?

Amit Purohit: FY '24 was also similar mid -teens.

Manu Talwar: Yes, FY '24, that's what I'm coming to -- that was also mid -teens growth in FY '24 also. And FY '25 also, we are targeting that on an annualized basis for the full year, we should be able to achieve a mid -teens kind of growth.

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Amit Purohit: And sir, just continuing on the overall growth plan you've been indicating growth rate around mid -teens. But I mean, when I look at the overall -- that is for the overall company as well? Or you're just referring to branded biscuit, domestic business?

Manu Talwar: No, I have answered as of now mid -teens for the domestic biscuits . I think your question was specific to domestic biscuits and that's what I've indicated.

Amit Purohit: So effectively, the overall company growth could be higher, right, because one, we have a bakery capacity which is coming and...

Manu Talwar: So we have been consistently saying that we want to maintain at a company level mid -to-high teens kind of growth, right? And that's what we have achieved this year also. So that's what we are striving for to achieve on a consistent basis on an annualized basis, mid -to-high teens kind of growth.

Amit Purohit: Okay. And sir, on the margin side, 2 things you have indicated 14% to 15% margin, but you also have initiated a cost -cutting initiative, any estimated saving benefits that would probably come and which can able to have at least stable or increased margins from here on?

Manu Talwar: So that program has just started and it's more on a study and scoping stage. So in terms of benefits to start coming in from this program, it would start reflecting in some manner in quarter 4 of this financial year and then in the subsequent quarters of the next financial year.

Moderator: The next question is from the line of Rushabh Doshi from Nirmiti Investment Advisors.

Rushabh Doshi: Congrats on a great set of numbers. So my first question was related to the acquisition, like could you just share where the plant was located and what the capacity does it have ?

Manu Talwar: Sorry, we are not able to hear you properly. I think voice a little echoing.

Rushabh Doshi: Yes. So my first question was related to the acquisition, like what is the capacity and where is this plant located?

Anoop Bector: So the capacity is -- actually, this is an old plant. And so once we take over. So this has been an agreement with the company that we will take over this brand, Mrs. Bectors Cremica for the bakery purposes because this brand enjoys a lot of equity in the North Indian market, especially Punjab and Haryana. So, on the investment side, they are holding old plants. Our teams will be evaluating what is going to be the status of these lines, how can we use these lines. And the location of this plant is right next to our biscuit plant in Phillaur. So it is at an adjacent wall to the biscuit plant.

Rushabh Doshi: Okay and like, have we thought like how we would be operating 2 brands in the bakery division, right? Because we've built English Oven and it's projected to be...

Anoop Bector: As you understand that we've always looked at premiumization. So it's also about -- we will look at this strategy, but Cremica as a name enjoys a lot of equity, right? We hold a 15% to 16% market share in the biscuit side and our coverage in the outlets is extremely high. So when we are doing rusk, we do rusk under the brand English Oven. So when we were getting into the market, which are Delhi, Bombay, people understand what is English Oven.

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But when you move out of these markets, then you have to create presence, you have to make people know what is English Oven now? So being also in the urban and rural segment, so I think Cremica with its coverage of 320,000 outlets will have a better accept ability. So the rusk or our other products, which were coming under the English Oven brand could also have the possibility to come under Cremica brand.

Rushabh Doshi: Okay and also, like this quarter, can you just break up the revenue growth between volume and value?

Manu Talwar: Which quarter? You're talking of current quarter?

Rushabh Doshi: Yes, by 18% growth.

Manu Talwar: The quarter 4, you said.

Rushabh Doshi: Yes.

Manu Talwar: In the quarter 4 growth, we had a mid -teens kind of growth in volume on overall and our revenue growth, you're aware, it was around 17%.

Rushabh Doshi: Yes. And then my last question is in FY '25, like what do we expect like a price growth of around 2%, 3% that would -- are we expecting that? Or it would be mostly flattish.

Manu Talwar: In terms of price growth?

Rushabh Doshi: Yes.

Manu Talwar: See, I tell you the -- what are the levers of revenue growth management in our company, right? And in our -- the very key factor of revenue growth management is the premiumization, there company focuses a lot. And we have considerable journey of premiumization over the last 2 years, right? And our premiumization percentage even starting from a part of this year, to quarter 4, we have reached 37%. So there is a 20% jump in the premiumization percent. And if I take a 2-year period, it has rather considerable so that is one of the large levers of revenue growth.

Second, on overall basis, the second lever of revenue growth is always our business mix. And third is definitely price. So we are in a very competitive industry world. It is entirely -- and we are not the market leaders in especially biscuits in India. So it will be more about keeping a high on the competition and how the leaders are taking it forward. And then accordingly, we will act at that point of time.

Moderator: The next question is from the line of Harsh Shah from Bandhan Mutual Fund.

Harsh Shah: First one is on the employee cost for the quarter, it's up 36%. Now I think you mentioned in one of the footnotes that we have an ESOP trust, which we kind of set up in October 2023. Is there an element of one-off in these employee costs because of any ESOP expenses ...

Manu Talwar: Let me just come again, our employee cost in the quarter 4 of last financial year is 14.2%. The percentage you referred was very high. So it is 14.2%, right?

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Harsh Shah: So it's 14.2%, yes, that's what 14.2% Q-on-Q and 36% Y-o-Y growth.

Manu Talwar: Okay. That is, yes. So the reason of this higher growth, there are 2 particular reasons. A, because we are also starting new lines in Rajpura and new plant in Bhiwadi, so we had to -- we have to pre-hire some of the staff and where as line doesn't become suddenly fully productive. So as you know, we have made operational our Bhiwadi plant and we also made our 2 lines operational in Rajpura, so that entire line manning has to be put in place. And this challenge will remain for a while, while we are investing in new plants and new lines.

Second, we kind of also did our leadership hiring, the 2 specific senior leaders who joined us was on the project head and the HR head, but yes, there was some other leadership hiring done. So this -- in terms of -- these are the 2 prime reasons of increase. Third reason of increase is there's a reclassification of some bit of employee cost from other expenses to the employee cost. That was being reflected last year into the other expenses and now it's being reflected in others. That itself is about 0.75%. So out of 14.2%, the 0.75% is on account of the reclassification of employee

costs from other expenses to the employee cost.

Harsh Shah: What is the nature of that reclassification? What is the nature of that expenditure versus the reclassified, sir?

Manu Talwar: So those were some bit of employee expenses which were classified in the other expenses for last many, many quarters. And then on the advice of the auditor, they have been reclassified rightfully into the employee cost side.

Harsh Shah: Okay. So basically, this employee cost will remain elevated. That is what the gist is right?

Manu Talwar: Yes. So because if you look at other expenses, so other expenses, I'll tell you on an annualized basis, if you add other expenses and employee expenses, then for the both financial year, it is 31.7%. So a bit of a reclassification and definitely employee expense has gone up for the reasons I told you too. But for the full year basis, our employee expense and other expenses if you add both these 2, they are both at 31.7% for year '23-'24 and '22-'23.

Harsh Shah: The reason why I was asking is because we had a good quarter in terms of top line growth. We've had very good gross margins. I think it's at a multi-quarter high. And despite that, we could not see any benefit of leverage going through. So that is the reason why I wanted to understand this. But I....

Manu Talwar: Yes. Yes, definitely, in this particular quarter, I would agree that our employee plus other expenses, which last year was around 31%, they are 33%. So there is a 2% increase there. And the 2 reasons I told you is on account of employee expenses and there a bit of a higher marketing spend, as I was briefing in one of the previous question, that competition on the biscuit side, the intensity of competition has really gone up from quarter 3 of the last year.

There's a -- by the biggest player in the market, all kind of consumer offers have been rolled out and we had to match it to protect our shares in the market. And that's more of a temporary, may last for another 1 more quarter. But that's the bigger reason that we had to spend more on the marketing side in this particular quarter.

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Harsh Shah: Okay. And gross margin primarily being higher because of higher contribution from exports and bakeries, would that be the right understanding?

Manu Talwar: One is the business mix, yes. Export has a much higher mix in this quarter. That's one reason. Second reason is definitely, as I said, premiumization right? That is definitely kind of a major difference to the higher realization, higher margin. And our commodity costs compared to the last year same quarter, were better, which is our material and packing material costs. So these are the 3 reasons, which have led to the better margins.

Harsh Shah: Okay. But will it sustain at this level, I mean, going into, let's say, the first I think the near term going into first half? Or do you expect it to kind of taper down a bit?

Manu Talwar: So yes. It may remain around the same level, right, at this point of time. But yes, the higher contribution of export, we don't expect to continue at the same pace. So there could be some moderation on account of that. But our own endeavor is to always endeavor is to try and maintain our margins. If we have improved, we should try and maintain around the same level. There could be slight moderation on that in the first quarter or the coming quarter.

Harsh Shah: Got it. And sir, 1 on exports just wanted to understand let's say from FY '23 to FY '24, has the growth come more from adding new customers or it's come more from increasing the value of sales to an existing customer?

Manu Talwar: So we have added more customers. We have added more countries. So both have happened. So as you would have heard in our Managing Director speech also that in terms of expansion, both domestic and export, we continue to do that journey.

Harsh Shah: So we have definitely -- we added more countries and as well as we added more customers.

Harsh Shah: Got it.

Manu Talwar: And also one more thing, which is a specific -- Suvir would you like to take this?

Suvir Bector: Yes, sure. This is Suvir here. So like Manu -ji was saying that we've added couple of customers as well. We've started opening new territories. Recently, the last time you would have also heard that we partnered up with Walmart to supply some of their private label white label to them. And we've continuously growing our focus in North America and the Middle East and more developed economies. I'm trying to tie up with retailers to supply them with our brand and also tie up with a couple of retailers to supply them their own brand. So the strategy is that keep acquiring new customers and also keep expanding our current customers by offering them our existing product portfolio. and also developing new innovative ideas to pitch to them.

Harsh Shah: Got it. Got it. And then one last question on cash flows, right? And in last quarter, if I remember correctly, our target capex for F '24 and F '25 put together was INR500 crores. And I think this quarter, I think we've revised that to INR550 crores, if I'm not wrong, right?

Manu Talwar: Yes. So these are large capexes. And where I said it will be -- the word I used in the last call that it will be over INR500 crores. And so as we are getting closer to more elastic numbers on the capex. So

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yes, it should be around INR550 crores to INR570 crores kind of amount. That's what it looks like as of now.

Harsh Shah: Correct. So INR215 crores, if I look at your cash flows, is something which you spent in FY '24. So balance basically INR250-odd crores or, let's say, I think -- I mean the balance will be spent in FY '25.

So in terms of cash generation and payment of debt, we'll not be able to repay any part of debt this year. Is there a possibility of us that you might have to take some more additional debt to kind of fund our capex?

Manu Talwar: So the first thing is that -- I'll let Arnav answer you this question. He is our CFO.

Arnav Jain: So basically, there will be a funding which will be there and there is moratorium period that you get as part of the investment. So it will never come to a situation where we are kind of taking funds to kind of a refinancing is something that is not there on the cards. That's question that you have asked.

Harsh Shah: Basically, if you look at the current year's cash flow, probably our operating cash flows were not enough to meet our capex requirement, right? So -- and then that's the reason why we also see increase in debt, right? So my question was that, similarly, I mean, compared to F '24 INR215 crores capex, our F '25 number, if you were to compute INR550 crores minus INR215 crores. It is basically on the higher side compared to FY '24, right? So will our operating cash flow will be enough to sustain that? Or do we need to kind of incrementally take some more debt in FY '25 as well?

Arnav Jain: There will be more debt. So the whole idea is to keep it in the range of one third - two third kind of a scenario. The two third will come through borrowings and one third will be coming from our own resources. And additionally, if you look at this year, our working capital has also kind of gone up because of certain strategic calls that we have taken and received back and stuff. So we expect a certain

amount of release coming in from that as well.

Harsh Shah: Okay. And what -- by when do you -- when do we expect to be debt free? Or do we have a target in mind for net debt to EBITDA or something of that sort, which we want to be in?

Arnav Jain: So once the debts will come on board, it will be for a certain amount of time for a few years. And if you look at it from an overall perspective,

our debt-equity ratio is at 0.34. So it may kind of go up

certain decimal places, but it will not be kind of coming to an alarming level or anything of that sort.

Moderator: The next question is from the line of Rajit Aggarwal from Atharva Investment Managers . Please go ahead.

Rajit Aggarwal: Congratulations for a good set of results. Would you be able to throw some light on Bakebest. I think in the third quarter, we had committed close to INR30 crores of investments for Bakebest. How much has already been invested and what's the plan of investing the rest? And if you could just help us with certain business details of that venture?

Manu Talwar: Arnav?

Arnav Jain: So Bakebest is our company which is kind of operating the West market for the bakery business. And this investment is part of the total outlay of the investment that the company is kind of planning, which

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we have been discussing about like INR500 crores, INR550 crores over the period of '24-'25. So it's a subset of that. And so out of this INR30 crores, INR10 crores has been kind of invested at this point of time and balance as the time progresses and as a capex take shape, there will be investments, which will come.

Rajit Aggarwal: Sorry, I couldn't understand. So INR20 crores will be invested in FY '24-'25?

Arnav Jain: Right.

Rajit Aggarwal: And anything on the business side, how many outlets have been opened? Or what's the plan of opening outlets in this quarter or next quarter, something like that. I mean, just a little colour on how it is shaping up. Since INR30 crores is not exactly a small amount, whether you will be able to share it now or maybe a quarter down the line?

Anoop Bector: He is not understanding the question.

Rajit Aggarwal: No, I just want to understand something on the business side as in by when can we see the revenues.

Anoop Bector: Bakebest -- I'm Anoop Bector here. It is an investment which we are doing in putting up a state-of-art bun line and bread line, right? and that investments are happening right now and they will -- only the lines will come up in the end of this quarter this year, '24-'25. So you will only see sales after that. you understand. So what probably you are seeing is a part investment of the total project cost.

Rajit Aggarwal: Right, sir. So got it. I was under the impression that there will be bakeries set up under that venture.

Manu Talwar: Let me give a perspective . So in the west Bombay market, our bakery is already growing at a very good, high double-digit percentage, right? We had started facing challenges in terms of capacity and that's why we plan and we see the Bombay and the West market to be a very high potential market. And we are confident that we will be able to kind of grow there just like our NCR and North business, right? And so this growth engine will further get stronger once this plant comes up as a Managing Director Anoop has said, in the quarter 4 of this financial year, right?

So we have today taken help of a contract manufacturer to strengthen our supply chain to feed in markets but our work in terms of expanding distribution, adding more outlets and adding more feet on street in terms of expanding business that continues, right? So that's not on a kind of hold. But yes, with the state-of-the-art facility coming, we will be more stronger on our supply chain and we'll be able to offer the best product, quality product, the state-of-the-art plant to the market and expand the market much faster and cover the entire Bombay probably in the coming year, which will be the year '25-'26 financial year.

Moderator: The next question is from the line of Amit Purohit from Elara.

Amit Purohit: Yes, sir, on the working capital, you indicated, one, was the debtor days which had gone up and second, basically, is towards some advanced payment, right,

ht, you indicated for buying sugar. Is that what -- was that?

Manu Talwar: Yes. Yes.

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Amit Purohit: Yes. Okay. So that would -- so because the other current assets have gone up significantly. So how do we think about this? I mean, this is a kind of onetime which gets reversed or this is -- there is a change in the way we are doing business.

Manu Talwar: Obviously, as far as sugar stocking is concerned, it will obviously come down because we'll keep consuming it. But the Red Sea impact is something which can take another 1 or 2 quarters to come down because this is a force majeure kind of situation for us or for anybody. So hopefully, it should also kind of come down over the next 2 quarters.

Amit Purohit: Okay. And sir, the facility -- the acquisition that you've done for the bakery and the bread for that -- and last call, you indicated that you are looking to now expand the bread business in the Punjab and strong markets where already Cremica is there. So is that the thought process that Cremica brand would be more in these markets of north whereas English Oven could be in rest of the -- that's not we need to think.

Manu Talwar: As Anoop briefed earlier also that Cremica in Punjab is a very, very strong brand and we have very high market share on Cremica biscuits. We have a very high distribution of Cremica biscuits in Punjab and the upper side of the north. With this acquisition, we also will have Cremica brand available for the bakery side. And so that's -- once this acquisition gets completed, that's a go-forward business strategy and the brand strategy we would finalize and definitely, that will further strengthen our foray into the upper north on the bakery side.

Moderator: The next question is from the line of Mahendra Mundra from Simba Investments .

Mahendra Mundra: Okay. Actually, I just want to know, you mentioned there is a dedicated subsidiary in U.A.E. in the slide number 21. So can you just throw more light on that, more details on that?

Manu Talwar: Okay. This is regarding our subsidiary, which is out of Dubai. And this was to focus on the GCC region and I would request Suvir who is heading the international and export business can brief you about the entire GCC region opportunity and strategy with which we are going forward.

Suvir Bector: Yes. Hi, So basically, the Dubai subsidiary has -- we are going to start dispatching our containers and billing it through the Dubai route from the coming quarter. And this time, the subsidiary will be fully active. The purpose of this subsidiary is that we want to start routing the containers into different countries through the subsidiary and also start billing locally to fuel our expansion into the Middle East. The Middle East for us is going to be for the export department, our next foray into trying to build a distribution network with our importers on the ground.

We have 2 people located out of Dubai itself and 1 person out of Ghana. So their Visa allocation has been done from the subsidiary and they are the people who are going to be helping us build our Cremica brand into the market and start supplying our products locally and build a very good presence over there.

Also, in addition to this, what I would like to say is that those are the current individuals who are working to find importers in different countries altogether, supply our products in the market and also what we're trying to do is that we are working alongside our importers to build a branding presence by leveraging our brand ambassador, Mrs. Kareena. So we are utilizing the same strategy, what we are

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employing in India as well as in the Middle East. So the purpose of the Dubai office, the subsidiary is for that purpose.

Mahendra Mundra: Okay. I appreciate that. One more thing, have

you entered any agreement with Lulu supermarket in

Middle East because recently I saw Cremica brand with Lulu cover on that. So it was not a Cremica cover, it was Lulu cover, which we mentioned, manufacturer of our Bector foods. So that's what I got notice.

Suvir Bector: So we have been partners to Lulu in the Middle East for quite some time now. It has been a couple of years since we've been associated with them. So we are manufacturing not just a single product but a couple of their SKUs. We are manufacturing them from India and supplying to them in all the 6 GCC countries and also to their stores locally in India. And what we are also planning to do is from this year, we are already present in Lulu in India with our Cremica brand. Also, this year, we will start being present in Dubai, Lulu with our own brand and that should be happening from Q3 or Q4. The negotiations are currently ongoing and we will be bearing the listing cost and investing in the market.

Mahendra Mundra: Okay. Appreciate that. And one more feedback is our comparison of Good Day cookies are really very good and value-wise also and weight-wise also. So that's what I want to mention, your feedback on that.

Manu Talwar: Thank you.

Moderator: The next question is from the line of Abhishek Kumar from Sanctum Wealth.

Abhishek Kumar: Congratulations on a good set of numbers. Just wanted to touch upon -- just wanted to know your view on the bakery segment, especially the QSR bit. So how exactly the demand trends over there are as we have seen over the past year now that demand has been somewhat subdued. So what is the picture you guys are getting to if so then.

Ishaan Bector: So Ishaan this side. Yes, there is a demand pressure on the QSR definitely. But as you have seen, we are continuing to build capacity because this is a very solid business model. We feel it's a very short-term thing. We do have visibility to new store opening, which is definitely going to drive growth.

There are newer enterprises, which are also entering the market, so which are also potential customers for us. If you have seen, we have posted mid -to-high teens growth, even in the bakery segment, also including the institutional the QSR business and I would say that is a reflection towards our plan and our strategy to grow this business as we are adding more customers, we are adding newer products and I've always been saying the opportunity for us is not only on burger buns, right?

The opportunity for us is definitely on burger buns but also expanding into the frozen side where we are getting into the desserts. It is also on other value -added products. So without naming a customer, even we have started now working on a very major project with a very large QSR chain for new products, which are non -core to burger buns. So definitely, value addition will keep happening in terms of other products, new customers. But also, we remain very bullish on the buns market, where we will add capacities as India still has a very long runway in terms of number of those growth.

Abhishek Kumar: Okay. Got it. Thanks for that. And just the last bit on the QSR thing. So I just wanted to understand. So you guys are exclusive partners for, say, ABC, say McDonald's / Burger King in any other QSR in Mrs. Bectors Food Specialities Limited
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your business as you guys become exclusive partners for supplying buns across the region or is it you guys also face competition from say unorganized -- maybe some others.

Ishaan Bector: No. See, it's not an exclusive -- there's no exclusivity here. Yes, we do hold a large share of business for most of our partners. For some of them, it's exclusive; for some of them, it's a large share . I think it's more about the value that we are giving to our customers. So there is no exclusivity here. It is a very competitive and dynamic business environment, but we do hold a ve

ry strong market share and

we are further strengthening it by adding new products.

Abhishek Kumar: And the contract agreements are with the main franchisee's parent or the franchise operators?

Ishaan Bector: No, there are no agreements.

Moderator: Thank you. In the interest of time, this would be our last question. And I now hand the conference over to Mr. Anoop Bector for closing remarks.

Anoop Bector: Thank you, everyone, for joining us. I hope we have been able to answer all your queries. In case you require any further details, you may please contact us or Orient Capital, our Investor Relations partners.

Thank you. Thank you so much.

Moderator: Thank you. On behalf of Mrs. Bectors Food Specialities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

MBFSL/CS/202 4-25 10th August , 2024
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Bandra Kurla Complex, Bandra (East),
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Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q1 & FY25 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on 02nd August , 2024 to discuss Q 1 & FY25 results.

We Request you to kindly take the same on record .

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud
Company Secretary and Compliance Officer
M.No. F10412

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“Mrs. Bectors Food Specialities L imited
Q1 FY’2 5 Earnings Conference Call ”
August 02, 202 4

MANAGEMENT : MR. ANOOP BECTOR – MANAGING DIRECTOR AND
PROMOTER – MRS. BECTORS FOOD SPECIALITIES
LIMITED
MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER –
MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. ISHAAN BECTOR – WHOLE -TIME DIRECTOR –
MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. SUVIR BECTOR – WHOLE -TIME DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. PARVEEN KUMAR GOEL – WHOLE -TIME
DIRECTOR – MRS. BECTORS FOOD SPECIALITIES
LIMITED
MR. ARNAV JAIN – CHIEF FINANCIAL OFFICER – MRS.
BECTORS FOOD SPECIALITIES LIMITED

Mrs. Bectors Food Specialities Limited
August 02, 202 4

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '25 Earnings Conference Call of Mrs. Bectors Food Specialities Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Bector, Managing Director and Promoter. Thank you, and over to you, sir.

Anoop Bector : Thank you. Good afternoon, everyone. On behalf of Mrs. Bector Food Specialities Limited, I extend a very warm welcome to all participants on Q1 FY '25 Financial Results Discussion Call. Today on this call, I have with me Mr. Manu Talwar, our Chief Executive Officer; Mr. Ishaan Bector, Whole Time Director; Mr. Suvir Bector, Whole-time Director; Mr. Arnav Jain, Chief Financial Officer; Mr. Parveen Kumar Goel, Whole Time Director. We also have Orient Capital with us on the call who are our Investor Relations Advisors.

I hope everyone had a chance to review our investor deck and press release, which was uploaded on the exchanges and our company website. The company has started the first quarter of financial year '25 on a positive note with a 17% increase in revenue from operations and a robust gross margin of 48%. Both the business segments, Biscuits and Bakery continue to exhibit strong growth trajectory. I would also like to highlight that this is our highest ever quarterly revenues. While India's consumption story remains firm, the nation underwent a long schedule of Lok Sabha election in this quarter, followed by anticipation of results and an impending full union budget. This is on the back of extreme heat wave during this period, made for a steady but markedly cautious consumption patterns.

As an organization, Mrs. Bector's journey of expanding both domestic and international business continues to progress well. Our business philosophy is driven by developing robust product portfolios, investment in building brands and setting up state of art supply chain and manufacturing setup, we remain committed to that.

Our focus continues to bring in technology-led intervention for enhancing sales and distribution through SFA and DMS implementation. In this quarter, we piloted handheld devices for our frontline Bakery sales team, for real-time billing and improving turn around time. We believe this will boost in increasing efficiency and, in turn, improve ROI for our channel partners.

Our next step in technology adoption journey is to focus on supply chain and manufacturing over the period of next 24 months. On the export side, I'm happy to share with you that our company has reached to 70 plus countries with your preferred Cremica brand having a footprint in over 65 countries. We will continue to follow our stated strategy of calibrated expansion.

In terms of brand initiatives, to mark the occasion of World Health Day, English Oven came up with a Slice of Trust campaign, highlighting the goodness of fiber in our select range of breads.

This was followed by contextual participation of Cremica biscuits in the highly visible Lok Sabha election campaign on news channels.

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Towards the end of the quarter, Mother's Day campaign, Maa Se Happiness, a campaign close to my heart, witnessed enthusiastic participation from mothers across the country. On new products induction, being in touch with evolving consumer needs, we launched an English Oven Zero Maida, 100% Atta, no palm oil and no artificial preservative bread online on e-commerce at INR60 for 350 grams, which has been received very well.

We also introduced

ed Cremica Non-Stop cracker, which is baked not fried at INR10 for 25 grams.

Our innovative frozen bakery products, as I had mentioned in our last call, also continues to grow. Updating on our capex plan. On the biscuits front, we have commissioned one more biscuit line in Rajpura in Q1 and one more line is expected to be added in Q2.

Commissioning of Madhya Pradesh plant is also expected on the -- in the current financial year.

On the Bakery front, construction of a building for our Khopoli factory in Maharashtra will be commissioned in the current financial year. In the previous quarter, we embarked on Project Impact 1, a comprehensive initiative aimed at transforming our cost structure or growth organization. This ongoing journey will help the company to continue its path of sustainable growth.

Financial performance. Now I will discuss the financial performance. Biscuits. On our Biscuit segment, reported a revenue growth of 23%, which stood at INR273 crores in Q1 FY '25, as compared to INR223 crores in Q1 FY '24. This segment has grown by 53% over Q1 FY '23.

Bakery. Our Bakery segment revenue of Q1 '25 stood at INR154 crores against INR135 crores

in Q1 FY '24, thus registering a growth of 14% year -on-year basis, including retail bakery and institutional segments. This segment has grown by 44% over Q1 FY '23. The consolidated revenues for the current quarter stood at INR439 crores versus INR374 crores in Q1 FY '24, thus registering a growth of 17% on a year -on-year basis. EBITDA stood at INR64 crores in Q1 FY '25, resulting in a growth of 10.5% from the corresponding quarter on a year -on-year basis. EBITDA margin for the quarter stood at 14.6%. PAT stood at INR35 crores in Q1 FY '25 and saw a growth of 1.7% on a year -on-year basis. Our PAT margin for Q1 '25 was 8.1%.

With this, I would request to open the floor for question and answer. Thank you so much.

Moderator: Thank you very much . First question is from the line of Percy from IIFL Securities. Please go ahead.

Percy: Can you give us a breakup of this year's INR350 crores capex in terms of locations as well as whether it is Bakery or Biscuit?

Manu Talwar: So Manu, this side. This year, capex, which we do spend is primarily, a large part of that is on two specific plants, which were mentioned by the Managing Director in his opening speech, which is MP plant for Biscuits in Indore. And second is a Khopoli plant in Maharashtra, which is close to Mumbai. And there are some other projects which are there. So largely a large amount of investment out of this is going for two large plants, which are setting one for Biscuit in Indore and one for Bakery in Mumbai.

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Percy: Am I right in assuming that the total amount is INR350 crores for this year?

Manu Talwar: Yes. The total amount is approximately INR350 crores for this financial year.

Percy: Okay. Okay. So these two plants would account for somewhere around INR270 crores to INR280 crores out of the INR350 crores?

Manu Talwar: Yes, approximately that much in that range. Yes. There are other smaller investments. There are some investments we are doing in our current existing Bakery in Noida and there are other few investments which are there, which are a normal year -on-year investments. But yes, what you said it will be in ballpark that number.

Percy: And both these are greenfield, right?

Manu Talwar: Both are greenfield. Absolutely.

Percy: Right, right. Sorry to dwell a little deeper, but will you be able to tell me which one is the larger of the two in terms of the capital outlet, Khopoli or MP?

Manu Talwar: So Khopoli is the larger outlet and there is a reason for that. Let me also explain that. In a Biscuit plant, we are creating a larger infrastructure because these are both greenfield plants. And we have a -- we will have a space to keep adding lines in the

future.

And in case of Khopoli plant, Bakery plant because normally you have to put a line based on the capacity for the next few years. So that's always the difference between Biscuit and Bakery. So Bakery capacities are core, taking horizon of 5, 7 years.

In the case of Biscuit, we are creating a larger building infrastructure, commerce facility, utility and we're putting up our two lines to start with and in future journey, we can keep adding that.

Percy: Understood. Understood. And with this INR350 crores of capex, assuming that whenever it is fully utilized, that would be able to generate a turnover of how much?

Manu Talwar: So as on our 100% usage, when these two kind of capacities come in place and also the capacity which we already have. On 100% utilization, we can almost start touch close to INR2,800 crores to INR2,900 crores.

Percy: Okay. But practically speaking, we would sort of start doing capex when we are at somewhere around 80%, right?

Manu Talwar: Yes. You're really right. In those particular territory.

Percy: Understood. So basically, with this...

Manu Talwar: For those particular territories here, but other territories where we are growing or we have to newly start the business, we would definitely need investment there.

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Percy: Understood. So with this heavy capex done in FY '25, should we be right in estimating that FY '26 and '27 put together would be like just mainly maintenance like INR50 crores each or something like that? Would that be the right assumption? And then FY '28 might see another big one?

Manu Talwar: No, it won't be. Actually, we are just in the process of finalizing our layouts for '26 and '27,

right? So probably in the next call, we'll be able to forecast, but it will be definitely more than that. Because when we are in a growth mode, we need to have our supply chain capacity well in place, right?

And as I explained to you, especially in case of Bakery, we need to have core capacity well in place for the next few years. Because we can't keep adding capacity on a yearly basis, normally you add capacity to take care of good next 4 to 5 years or more than that in that particular geographical area.

Percy: Right, right. Understood. Understood. Coming on to the Biscuit segment. You have grown 23%, but any rough idea on what would be the domestic growth out of this?

Manu Talwar: So as we briefed in the last call also, and as you can see the consumer trends. So Biscuit growth have kind of slowed down over the last two quarters in a domestic side. But yes, we saw this quarter being better than last quarter. So that was a [inaudible 0:13:52].

Percy: Sorry, lost you, sir?

Manu Talwar: That we briefed in the last call also. And as you can see, all consumer businesses even in our industry of Biscuits are kind of slow down on growth over the last two quarters. But the good news is that this quarter, we saw a better movement up versus the previous.

Percy: Right. Right. That's very heartening. So roughly like -- I mean, since the average is 23% domestic and export put together, how much is the divergence? Like is it a 1000 basis points divergence between the two or lesser than that?

Manu Talwar: We at this stage won't share it, growth separately for both the businesses, both on the Bakery and Biscuit side. So I think I've given you good indicator numbers, how these progressing.

Percy: Understood. Understood. And finally.

Moderator: Sorry to interrupt, Mr. Percy, may we please request you to rejoin the queue.

Next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I just had two or three questions.

Moderator: Sorry to interrupt, Mr. Kapoor, your voice is sounding low.

Harit Kapoor: Okay. The first question was on the bread side. So this quarter has been a bit slower at 14% growth. Would this largely

have been on account of B2B given that the burger players have

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continued to see slower rates of growth? Is that the key reason why growth rates are a little slow, is B2B the key reason is my question.

Anoop Bector: So no, the bigger reason for this first quarter was, if you -- as you know Navaratri sometimes falls in the quarter 4, which is March, and sometimes it falls in April. So this time, Navaratri was in April. So that was one reason for that. And second reason was definitely the very extreme summer in the North India, which is the largest contributor of business for us on the Bakery side. So that was the second big reason.

Yes, definitely, large part of QSR business, as we know from all published results has been on - little sober. But yes, with the frozen range, which we have introduced last year and started adding customers and the ranges with our existing customers is giving a good fill up on the B2B business side on the frozen side.

Harit Kapoor: Understood. And the second thing was the 17.7% revenue growth overall. I remember last quarter, you said volume growth is the primary driver here. There isn't much on the pricing. Would it be fair to assume that volume growth is large -- it's almost entirely volume driven, this 17.7% growth.

Anoop Bector: So yes, it's largely, let me use the word largely volume growth and a fair amount of growth is coming from a volume growth at this time. Not entirely, fair amount of growth is coming from the stronger volume.

Harit Kapoor: And my last question was on the Biscuit side. There has been talks of higher promotional intensity for the last couple of quarters. And I hear even smaller players outside yourselves have been significantly competitive, especially at the low end. Just wanted to get a sense from you about whether this is the pressure point for growth or a pressure point for gross margins, because you have delivered very good gross margin. But I just wanted to get a sense about what you are seeing on the ground right now on the Biscuit side? Especially on the competitive intensity, promotional intensity et cetera.

Anoop Bector: So yes, you're right. Over the last 2, 2.5 quarters, the competition intensity has increased quite significantly, especially on account of the market leaders taking an aggressive stance on consumer promotions across variety. And thus we also had to join to ensure that we are able to kind of retain our market share. The good news is that we -- in this journey over the last two quarters, we have very well retained our market share.

So with our intervention on the distribution side, our intervention to match the -- or to play our part of the consumer promotion for the consumers, we have been able to very well retain our

market shares over the last two quarters and not to the inch of space there. And this was very important to do. And also, it is also rescheduling our marketing budget towards -- more towards the consumer side than with the brand side. These are some of the static changes we did over the last 2.5 quarters to be -- to have a fair play in the market.

Harit Kapoor: Got it. I'll come back for more.

Moderator: Next question is from the line of Amit Purohit from Elara Capital.

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Amit Purohit: Congrats on good numbers and revenue terms. Sir, on the export side, what would be the growth drivers now? I mean, if you could give some flavour in terms of the growth has been driven by one client addition or same -- I understand you have expansion plans in Middle East as well as in U.S., but if you could provide some more details on that.

Ishaan Bector: I'll answer this. So in the exports front, it's not coming from a single geography. But it's just our team is working towards all the territories, and we're trying to have

associations with a lot of the

retailers worldwide, who are liking the product quality, liking the taste and are liking our ability to craft the product for them according to their taste and preferences.

So we are building our presence in North America, South America and the Middle East, and that -- those are the areas where we're seeing major growth coming up from.

Amit Purohit: Sure. And actually, last year, if I look at -- you indicated that the Biscuit segment grew at mid-teens and so in glide export would have grown significantly higher. So that momentum, one should expect it to continue? Or do you think that there could be further aggression in terms of the growth from here on, given the initial success that you would have got in some of the retailers?

Ishaan Bector: So I'll let Manu ji take over this question.

Manu Talwar: Yes. So we are seeing strong trends to continue. And if we don't -- we are not seeing any signs of that trend. But obviously, as the base keeps becoming bigger, you will not have the same rates of growth coming in, right, in sequential quarters. But yes, that on a trend basis, we see good trends to continue on the domestic business.

Amit Purohit: Sure. And on the QIP that we planned, the usage of -- I mean this one is clearly, is it more to do with the debt repayment and probably funding this INR350 crores of capex? And you also indicated you have plans in '26 and '27 also. But those would be largely fund through internal accruals or they will be also large enough for you to raise debt? Or how do we think about from a balance sheet perspective at the debt level side?

Manu Talwar: So first thing, Amit, just to put attention on that our debt equity ratio, it continues to be strong, right? And it is just about 0.36%, right? So that's a strong debt equity ratio. We are investing for the future and which we briefly know where we are investing in the manufacturing facilities side to ensure that we have a stronger supply chain with the ability to continue producing world-class Bakery and Biscuit on the product line.

Yes. So the fund raise, which has been kind of planned in this financial year. It is primarily to fund this capex and to stay more conservative in our approach and not to have a higher debt on our balance sheet. So it's in line with that.

Yes. So our cash flow, even now are fairly strong with the debt equity of only 0.36%. So that's not a challenge. It is just a more conservative approach to do that and fund this current capex and I'm sure that we have enough cash flow to fund our future capexes also, which will come up in '26 and '27.

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Amit Purohit: So just one follow-up on this. I mean, we had, I think, INR225-odd crores -- yes INR225-odd crores of debt level. and which some of the machinery we would have bought for the capex, right. So post this QIP, would you look to repay it? Or one should keep the debt level the same since you have a fairly decent debt equity ratio? So.

Anoop Bector: So Amit, I -- we would be able to share. So I'm saying the fund raise in this financial year, which we have kind of got passed through in the AGM and the Board meeting. The modality and the usage of those funds will kind of follow. But yes, it will be fairly in that direction, which we are talking about.

Moderator: Next question is from the line of Yash Goenka from Awriga Capital Advisors LLP.

Yash Goenka: What kind of demand are you seeing from the Q-commerce space for garlic bread, burger buns, pizza base and kulchas?

Anoop Bector: Sir can you be a little closer to mike and louder?

Yash Goenka: What kind of demand are you seeing from the Q-commerce space for garlic breads, burger buns and pizza base.

Anoop Bector: I'll hand it over to Ishaan to kind of take up this.

Ishaan Bector: So, I think demand on the Q-commerce has been ro

bust throughout. On pizza bases and burger

buns, we are the market leaders in these segments. So I would say that we've seen a very, very positive response, not only on these products, but overall as well. We are also -- we have looked at launching -- we have launched healthier products as the Managing Director said.

We have on Q-commerce launched the Zero Maida bread. For the first time, we have launched a product which is a preservative free. For the first time, we have launched a product which has no palm oil and we have seen exceptional response. So I would say that on the Q-comm, robust growth is there throughout and we have a leadership position in these products that you are mentioning.

Yash Goenka: Can you comment on the growth rates?

Ishaan Bector: So for us, I would say, modern trade is -- modern trade and e-com are becoming a very, very strong thing. We are growing I would say, by 20% plus in these segments.

Moderator: Next question is from the line of Rajit Aggarwal from Atharva Investment Managers.

Rajit Aggarwal: I just refer to the discussion on QIP. And I appreciate that you have planned out the usage of those funds. My request would be just one that while it might be seen as conservative to reach out for easier capital, at the same time, it leads to equity dilution and that too at an expensive rate.

I mean, from very beginning, we have been taught that equity is more expensive. And with the kind of EBITDA and the strong balance sheet you have, I'm sure you can support a lot more

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capex than what you are going to do even in this year. So that's just an input. Any thoughts would be much appreciated.

Anoop Bector: So I appreciate your inputs and definitely, they are in the right direction. But this decision is fairly taken into account the growth trajectory, which company had and company wants to achieve, right? In the coming years. So keeping both into things into consideration, right? It's a fairly long-term kind of decision to arrive at that.

No doubt, what you're saying is absolutely right that equity is higher -- the cost of capital is the highest among any other source of fund raise. But it's a very thoughtful decision by the company and by the Board and duly supported by the shareholders that looking at the growth trajectory, which we want to achieve over the next few years. This is a right decision to go for.

Moderator: Next question is from the line of Soham Samanta from Centrum Broking.

Soham Samanta: Sir, two questions from my side. One is the gross margin. Like this quarter, we have almost the highest gross margin in the last 14 quarters. So can you expect for this year, FY '25 margin expansion of 100 and 120 bps of margin expansion can you expect for this year?

Manu Talwar: Just go a little slow in the second part of the question.

Soham Samanta: So basically, last year, we had a gross margin of 46.7%. This quarter, we have seen that last 14 quarters, we have exceeded the highest gross margin, right? So do we expect any gross margin expansion for FY '25?

Manu Talwar: Further -- you are asking do we expect any further gross margin expansion?

Soham Samanta: Yes, yes, compared to FY '24, yes.

Manu Talwar: No. So see, this gross margin expansion has happened because of; first is improvement in the premiumization realization. Second thing is that happened on account of more favourable business mix towards export side. And third, it's also -- yes, third it has also happened because of -- this also -- this revenue also includes the freight recovery from our export customers and because of the Red Sea issue, those freights are a little on the higher side.

So these are the 3 reasons why it has happened. And correspondingly if you look at in the other expense line, there's a marginal increase also sitting there about, I think, 0.5. So if you kind

of

set off that, that's the right way it will be -- that would be the right way to look at it.

Soham Samanta: Okay. Okay. And sir, the last question, like currently, you have a direct reach of, I think, 3.2 lakhs and indirect is more than 7 lakhs. So what is kind of a target?

Manu Talwar: Direct reach is more on the Biscuit side and our overall reach has reported by inaudible 31:48. So it's over 700,000 outlets.

Soham Samanta: So what kind of target we're looking for next couple of years?

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Manu Talwar: As we said in the last call also that over -- our next target to receive our overall reach over the next few years to hit at a milestone of 1 million outlet target from 700,000. So that's the target, which will take another few years, but that's our next goal to reach there.

Moderator: Next question is from the line of Mr. Percy from IIFL Securities.

Percy: Sir, I'm sorry if this question was answered. I was away for a while. If so, I will read the transcript. But if not, can you give some idea on your EBITDA margin? What do you see going ahead? This quarter, whatever you are done, is that a stable state kind of margin for us to take ahead?

Manu Talwar: Yes, Percy, that we have been maintaining that. Over the next few quarters, we will be maintaining our EBITDA within the range of 14% to 15%, right? And that's what -- and then we will start our next level of journey of moving upward side. So at least for the next few quarters, we see some maintaining of our EBITDA in this range.

Percy: Understood. And on domestic biscuits, while I know you're not giving the growth separately. Could you tell us if -- in your estimation, you have gained market share? And also which are the geographies in which the growth is significantly ahead of the company average growth, company average as in for domestic biscuits?

Anoop Bector: So on a market share, as I said, our market share on an overall basis, we have over the last two quarters, maintained our market share, right? And if I remember right, over the last year, there is a marginal increase over the last full year. So full year versus full year, there was some marginal gain. But yes, in this highly competitive actions and a very aggressive play by the market leader, we have been able to very well retain our market share and our space in the market.

Percy: Got it, sir. And finally, on exports, the growth in exports is coming from sort of which geography and what type of clients? So is it like supermarket clients? Or is it a sort of contract manufacturing for some smaller brands there? Or is it that you are selling in your own brands in the export? I'm sure it's a mix of all 3, but where is the growth largely coming from?

Suvir Bector: Percy, this is Suvir this side. So the growth we're experiencing is from South and North America. South America predominantly is where we're supplying our own Cremica branded products, which are going into the market, where we have distributors in a lot of the markets which are prevailing there, right? So we are experiencing a lot of growth from those territories.

The second is North America, when you said clients, some of the clients, which we are associated with are Walmart, Walgreens, CVS, Dollar General. So we are supplying to these plants under their label. And with some of these retailers, we are also supplying them with Cremica label products. So it is a mix of a wide brand like a private label and also Cremica branded approach. And these two are the territories where we are experiencing major of our growth.

And the third one is the Middle East, where our target market is the 6 GCC countries, where we have two employees who are based out of Dubai as well and they are instrumental in going to Mrs. Bectors Food Specialities Limited

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the market, buildin

g our brand, finding distributors and also making our products available in the local retail chains. So that is how we are trying to get the most out of our growth.

Moderator: Next question is from the line of Priyank Chheda from Vallum Capital.

Priyank Chheda: Sir, one observation and I would like to know your thoughts on it. So, sir, recent launches if I had to track. So your whole of the portfolio, what I seen is has been in there price range of, say, INR20 to INR30 or INR40 per 100 grams. Now the new launches, which we have seen in the last quarter, which is again around the cashew cookie has been around, say, INR13, INR14 per 100 grams. Just go back to the slide number 19, which is new launch of Butter Double Delight has been around say, INR13, INR14 per 100 -gram.

So do you find consumer getting downgraded and you also pivoting towards that end? Or you find a problem in the premium side of the portfolio, which is -- which might be under stress and the competitive intensity picking and getting intensive over there. What has been the strategy on the new launches, which we see the price points going downwards?

Anoop Bector: Okay. So let me first brief you that the company has a very clear -cut focused strategy on the premiumization. And if you look at our trends on premiumization over the past two years, you would have seen a very aggressive movement in our premiumization over the last two financial years and even now.

So if I go back to premiumization, two years back, then our premiumization was on -- in high 20%, thrice it was 27% and 28% kind of stuff. The last year, we gain up to 37% of premiumization. And now we stand -- in the last two quarters, we stand at 39% premiumization on the Biscuit side.

Similarly, on the Bakery side, we are sitting on a very healthy premiumization, and we kind of moving like our premiumization on value terms. In volume terms, we're sitting at a premiumization of almost 56% and in value terms it translates into 62% contribution of premium standard.

So first is that, yes, the premiumization is the way which company is progressing and has progressed well over the last two years. Coming to one or two examples which we have given. They were -- as we particularly know that competition, the hyper competition drawn in by that aggressive consumer promotions and other things being done by the market leaders, we had to come and participate to protect our ground.

And the Butter Delight is a step-up on the butter, right? It's not a -- we have downgraded that entire range, which is clearly a bit in some of our territories. So we are only up and give our consumers superior product at a superior pricing to kind of maintain our lead in this particular product line. So premiumization is the way forward, and Ishaan also had just recently briefed you on the kind of product on the health side with no palm oil we have launched. And that's also all in that direction.

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Similarly, on the Bakery side, on the B2B side, the amount of frozen product which we have launched over the last 9 to 12 months time has built our business on the frozen category side that again is on a premiumization journey mode.

So that premiumization is the way the company has been living a life and growing that very well, as I said, gave you the numbers over the last two years. And that's the way it will continue. And the same is on the export side also, and we have very well seen that premiumization of journey on exports is also continuing and moving in the right direction.

Priyank Chheda: Perfect. Perfect. And sir, would it be possible to share which are the top selling biscuits or maybe you can share the top-selling SKUs or maybe top 5 biscuits for us in terms of the revenue scale it would be great.

Manu Talwar: Can somebody get back to you separately on this. Because we have to gi

ve some other people

also some chance to ask questions. Definitely I will make somebody just get back to you on that.

Moderator: Next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I just had a follow-up. This quarter, you have been seeing continued competitive intensity. You know there are some one-off challenges on the heat waves and out-of-home as well. And we all know how QSR businesses are operating currently. Would it be safe to assume that the growth has come in spite of all this. And if you do see improvements at a macro, growth can accelerate usually from there. Is that the right to think about how this year should pan out?

Anoop Bector: So, Harit, as I was briefing you earlier also that we -- let Ishaan, I think he'll be able to explain you better that how we build up the whole frozen range of new product development and also helping us in the revenue growth management. Ishaan, would you take up that?

Ishaan Bector: Yes. So Harit, our bigger part of our portfolio on the B2B side is burger buns, right? And I'm sure you know from -- you know the market trends, I don't think it's been growing very well.

Though we strongly feel and we are very bullish that market trends will improve, new store additions will happen, because there is also a lot of competition intensity on the QSR front, right?

So yes, I feel that as stronger growth rates come up, that will definitely support the growth of the B2B business. Other than that, what we have been also focusing on is getting into non-bun businesses, right, to reduce our dependency on one product category.

And I think that story is playing out very well. On the frozen side, I think we've done a very good job. We are still very, very nascent on frozen desserts as a category, which we see has a big potential because whether it is our existing customers or opening new customers, this kind of product portfolio will definitely strengthen our position. So yes, we feel that good growth should lie ahead.

Moderator: Next question is from the line of Amit Purohit from Elara Capital.

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Amit Purohit: Sir, on the Biscuit, again, you had highlighted last year that mid-teens kind of growth. So in the context that we are in, where there is competitive intensity, and overall slowdown in consumption generally. Would you maintain that kind of a domestic growth outlook could continue this year as well? Or do you think there could be some challenges here?

Manu Talwar: So Amit, as I had briefed you earlier that the consumer offtakes slow down for the industry, the

competition intensity both have -- the competition intensity has increased and we very well know that consumer offtakes for the industry, it has been -- has slowed post Diwali over the last 2.5, 3 quarters, right?

We -- our first motto was to ensure that we hold our ground in this competition intensity and don't lose an inch of a space and maintain our market share. So I just want to confirm that we've done that over the last few quarters of overall maintaining our market share and participating in this highly competitive market to hold our ground and maintain our market share.

Second thing I said was that this quarter compared to the previous quarter. So preceding quarter, it was -- it has shown some forward momentum and coming Diwali season, we are very, very hopeful that it will be a start of a turnaround for the industry as well, right? Because we are a smaller part of this industry, and we're very hopeful that with our continued focus on distribution and marketing and duly supported by the festive season which is there, it should move in the right direction.

Amit Purohit: Sure. So second half should -- so one should start building a better outlook and Q2 would still be some challenges with that?

Manu Talwar : Yes, I said that Q1 was better than Q4 of last

financial year. And definitely, we expect Q2 also

to be better than the previous quarter. And then coming next quarter which is a festive quarter, it should definitely start further improvement, and it should keep scaling up every quarter. That's what we as of now foresee.

Moderator: Next question is from the line of Gurmeet Singh, who is an individual investor.

Gurmeet Singh: Our net profit growth for the quarter is less than 10% compared to 17% revenue growth, even after premiumization and benefit of scale. What can be the reason?

Manu Talwar : Yes. So yes, absolutely, you're right that our EBITDA growth is 10% versus our revenue growth of 17% and it is forming out of 2, 3 reasons. One is that our export contribution is higher, and because our export contribution being higher, we have a higher logistics cost kind of coming in.

So the ocean trade has kind of gone up there.

Second is that we -- because of hyper competition, we have invested more in the marketing promotion price. Third, the financials that our employee cost is higher than the previous year and that's higher largely, one, because of the reason that we added new lines in Rajpura.

Last year, we added a new line, one line in this year. We added a new plant in Bhiwadi in Bakery.

So we need to put the organization of people in place and the utilization fees improves quarter - on-quarter for these lines. So that's also impacting the cost -- employee cost. And plus some bit

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of last leg of strengthening of the leadership was required, which we have done, which will kind of get normalized over the next few quarters.

So these are the few reasons why you see that. This is the reason and which -- as I said, you will see over the next 3, 4 quarters, that will get normalized.

Moderator: Next question is from the line of Chirag Lodaya from Valuequest.

Chirag Lodaya: Sir, If you can talk more about frozen dessert categories. How big is the opportunity here and what to expect over the next 3 to 4 years?

Ishaan Bector: You see, we are very new in the category. But what this also does is open up the HoReCa channel for us, right? It's not only the QSR channel, it also opens up the HoReCa channels, where is actually, if you ask me a new line of business for us, right? I think it also adds as we are seeing whether it is McDonald's or Burger King or Rebel Foods, today, they are introducing cafe models. Rebel Foods also has its own brand of frozen -- sorry, of desserts, right? So what I see is that the industry is definitely gravitating towards this. I feel that a lot of new customer acquisition will be in the pipeline. I really cannot put a figure to the size of the industry.

But for us, it is a natural extension as we aspire not to be only a bread company, right? We aspire to be a bakery. And it is part of that broader vision where we have an entire portfolio of products for a customer, whether it be deserts or whether it be savory products or whether it be burger bun or a pizza base. So, yes, for us, it's a very positive outlook. And we are going to be looking at ailing this in both the North market and the West market.

Chirag Lodaya: Any specific products you would like to highlight which would be still doing well or some sense on what kind of products we are doing? And what kind of investments you would have done so far?

Ishaan Bector: See, investments are not very large in this. These are like I said natural extension of our bakeries, these are smaller investments. But what we are using to our advantage is we are creating a frozen chain between all our factories, right? So whether it is Delhi or whether it is Mumbai or whether it is Bangalore.

All these factories, because you see at the end of the day, on the frozen side, logistic cost is an extremely important cost. Our multi -locational facilities and having the ability

to create frozen

products out of multiple facilities will give us definitely a competitive advantage, right? So that is the thought process behind it. And each bakery would be an independent bakery with multiple products lines.

Chirag Lodaya: Some sense of products currently, what kind of products you would be doing?

Ishaan Bector: So, it could be on the dessert side, muffins, cookies, cakes, products like -- speciality products like millet cookies. On the bread side, it could be frozen paninis, footlong breads, center-filled puffs. So these are all the kind of products that we are looking at. Cheesecakes.

Chirag Lodaya: Right. No, no, I got the idea. And just lastly, if you can call out A&P for the quarter and Y-o-Y?

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Ishaan Bector: What?

Chirag Lodaya: Advertisement spend for the quarter and Y-o-Y?

Manu Talwar: So consumer spend and advertisement spend for the B2C business, they are ranging between 3% to 3.5%. So we're consistently maintaining that investment. So consumer promotion, marketing brand, product promotions, that's on B2C business around 3% to 3.5%.

Chirag Lodaya: So Y-o-Y as a percentage of sales on B2C, it is more or less flat. That is what you are saying, right?

Manu Talwar: Yes. So -- so yes, it's around 3%, 3.5%. I will have to check last year same quarter what it was. So we can check and get back to you on that. This quarter.

Moderator: Next follow-up question is from the line of Soham Samanta from Centrum Broking.

Soham Samanta: Sir, last quarter, we have launched this cake. So how is the performance? If you can give an update on that.

Ishaan Bector: Sorry, which cake are you talking about?

Soham Samanta: In the last call you had mentioned the INR10 cakes there was a launch.

Ishaan Bector: Yes, yes, yes. So that product is more of a product to support distribution, right? For us, our focus will always be on premiumization, right? I mean we have launched a Zero Maida Bread, right? I would be more excited to talk of a product, which is, let's say, INR60 for 350 grams rather than a INR10 cake.

That is more of a tactical call for improving efficiencies of distributors and all of these things.

But as a premiumization journey goes, we would focus more on healthier products as the industry shifting, gravitate towards the shift rather than de-premiumize.

Soham Samanta: Got it. And sir, last thing, like last quarter, you acquired this Cremica Bakery brand. So what is the update right now? Any capex plan or something on that?

Manu Talwar : Pardon, can you just repeat, please?

Soham Samanta: The Cremica Bakery brand you have acquired.

Manu Talwar : So we're still in the process. The process is not completed yet, as it completes we will update.

Anoop Bector : I will take this one. Yes, the Cremica brand deal is in the pipeline. So we are clearing -- we've given it to the legal. So once it is -- we get the response from legal, it will be done. But otherwise, I think it's a process of another 2, 3 months, but it will happen.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, this would be our last question for the day. I would now like to hand the conference over to Mr. Anoop Bector for the closing comments.

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Anoop Bector: Yes. Thank you, everyone, for joining us. I hope we have been able to answer all your queries.

In case you require any further details, you may please contact us or Orient Capital, our Investor Relations partner. Thank you.

Moderator: Thank you very much. On behalf of Mrs. Bectors Food Specialities Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2024

MBFSL/CS/202 4-25 15th November , 2024

To,
Department of Corporate Relations,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 To,
National Stock Exchange of India Ltd,
Exchange Plaza, C - 1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q2 & FY25 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on 08th November , 2024 to discuss Q2 & FY25 results.

We Request you to kindly take the same on record .

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud

Company Secretary and Compliance Officer

M.No. F10412

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Q2 FY '25 Earnings Conference Call "
November 08, 2024

MANAGEMENT : MR. ANOOP BECTOR – MANAGING DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER –
MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. ARNAV JAIN – CHIEF FINANCIAL OFFICER – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. SUVIR BECTOR – WHOLE -TIME DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. PARVEEN KUMAR GOEL – WHOLE -TIME
DIRECTOR – MRS. BECTORS FOOD SPECIALITIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of Mrs. Bectors Food Specialities Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Bector from Mrs. Bectors Food Specialities Limited. Thank you, and over to you, sir.

Anoop Bector : Thank you. Good afternoon, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend a very warm welcome to all participants on Q2 FY '25 financial results discussion call.

Today on this call, I have with me Mr. Manu Tulwar, our Chief Executive Officer; Mr. Arnav Jain, Chief Financial Officer; Mr. Suvir Bector, Whole-Time Director; Mr. Praveen Kumar Goel, Whole -Time Director. We also have Orient Capital with us on

the call who are our Investor Relations Advisor.

I hope everyone had a chance to review our investor deck and press release, which was uploaded on the exchanges and our company website. The company continued its growth trajectory in Q2

FY '25, achieving a 19.7% increase in revenue and a 21.4% increase in gross profit for the quarter. This strong performance was driven by robust growth across both business verticals, resulting in highest -ever quarterly revenue and PAT for the company.

Coming to macroeconomic environment, we witnessed a rather subdued June quarter consumption pattern on account of extreme heat and Lok Sabha elections, the impact of which continued over the September quarter as well. This coupled with extreme rains and in ching inflation meant the consumption scenario remained muted, especially in the urban markets. We expect inflation on the back, key duty hikes and increased commodity prices to pose significant challenges as we move forward.

During the current quarter, we successfully completed INR400 crores capital raise, a milestone that will support several strategic initiatives. The proceeds from this capital raise will be allocated towards key priorities, including the liquidation of select outstanding borrowings.

INR155 crores have already been paid. Further funds have been allocated towards investments in biscuit plants in Dhar, Madhya Pradesh and in our subsidiary Bakebest Foods Private Limited to set up a new bakery facility in Khopoli, Maharashtra.

Also, I'm pleased to share recent updates on our credit ratings from CRISIL and ICRA, which reflect our strengthened financial and business profile. CRISIL has revised its outlook on our long-term bank facilities to positive from stable. Reaffirming our rating at CRISIL AA, our short-term rating with CRISIL remains strong at CRISIL A1. In parallel, ICRA has upgraded our long-term ratings to AA stable from AA positive and reaffirms our short-term ratings at A plus, A1 plus. This positive outlook underscores the continued resilience and growth potential of our company.

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Our focus remains on driving growth through several key areas. We are capitalizing on premiumization, trends by delivering quality premium products to meet rising consumer demand. Strategic capacity and distribution expansions are enabling us to reach more consumers, building a strong presence in new markets.

Additionally, our export business continues to grow steadily with increasing market share internationally, as we bring our trusted products to global audience. Together, these initiatives position us for sustained growth and success. In this quarter, we have repurposed and enhanced our health range of breadth with

zero maida as well as zero palm oil, thus becoming one of the leading available brands to move towards cleaner ingredient products. The change was communicated with the campaign No means No, highlighting the no maida, no palm oil and no added colour through print and digital platforms.

In Cremica biscuits, our annual property School Shuru Cremica Bourbon Shuru was well-received across geographies. This included on-pack promotion supported by TVC campaign and select channels. Our frozen bakery products like cookies, muffins, croissants continue to do well and strengthen our presence in the new upcoming segment. We strategically -- we are strategically spending our distribution reach and increasing our production capacities.

We have commissioned one more biscuit line in Rajpura in Q2. Our new upcoming facilities in Dhar and Khopoli are also advancing well with both expected to be operational by March and June, respectively. These additions enhance our ability to serve diverse regions across the country and provide us with competitive edge over other players, unorganized players.

Now I will discuss financial performance. Starting with biscuits. Our Biscuit segment revenue reported a revenue growth of 24%, which stood at INR320 crores in Q2 FY '25 as compared to INR259 crores in Q2 FY '24. This segment has grown by 55% over Q2 FY '23.

Bakery. On Bakery segment, revenues for Q2 FY '25 stood at INR167 crores against INR140 crores in Q2 FY '24, thus registering a growth of 19% Y-on-Y basis, including retail, bakery and institutional segment. This segment has grown 33% over Q2 FY '23. The consolidated revenues for the current quarter stood at INR496 crores versus INR415 crores in Q2 FY '24, thus registering a growth of 19.7% on a year-on-year basis.

EBITDA stood at INR71 crores, resulting in a growth of 9% on a year-on-year basis and a growth of 10.1% on quarter-on-quarter basis. EBITDA margin for the quarter stood at 14.2%.

PAT stood at INR39 crores and saw a growth of 4.4% year-on-year basis and 10% on quarter-on-quarter basis. Our PAT margin for Q2 FY '25 was 7.8%.

Moving to H1 FY '25 financial performance. The consolidated revenue for H1 FY '25 stood at INR936 crores versus INR789 crores in H1 FY '24, thus registering a growth of 18.6%. EBITDA for H1 FY '25 stood at INR135 crores versus INR123 crores in H1 FY '24 with an EBITDA margin of 14.4%. PAT for H1 FY '25 stood at INR74 crores as compared to INR72 crores with

PAT margin of 7.9%.

With this, I would request to open the floor for question-and -answers. Thank you so much.

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Moderator: Thank you so much. We will now begin the question-and -answer session. The first question is from the line of Arun Maroti from Subh Labh Research. Please go ahead, sir.

Arun Maroti: Sir, thanks for the opportunity and congratulations for the good set of numbers, sir. My question is on the financials that we see in this quarter, our other expenses has got shoot up in a very aggressive manner. So I would like to know about that, sir?

Arnav Jain: Good afternoon. So yes, other expenses have gone up. Other expenses, primarily the largest contributor in other expenses is the freight and forwarding. The reasons for this is two. One is that our export contribution, export in this quarter is higher. And second, we all know the Red Sea issue, which has been persisting and the freight rates on account of it are higher, and so is our realization.

So actually realization on account of freight, which gets added on the top line and the expenses come here. So expenses are higher, primarily on account of higher contribution of export business. And secondly, the Red Sea issue because of the freights are much higher for the past few months.

Arun Maroti: So can we quantify the amount and sir, it will be great if you can guide us that the nature of these expenses will be recurring or is it one-time?

Arnav Jain: No, so this is the varied situation. This whole Red Sea issue started because of the war and this will -- we had a similar impact on the freight charges when in 2022, we had Ukraine war and now because of the current war, the situation is persisting. As this situation will normalize, these rates should normalize.

At this point of time to predict on account of this issue getting resolved, we don't have a visibility to that as of now, it is entirely on that issue getting resolved, which is primarily led because of the war situation, is persisting now close to a year's time.

Arun Maroti: Okay, sir. And one question on the gross margin side, sir, that despite lower CPI in the July and August, our gross margin has gone down slightly. So, any specific reason for that?

Arnav Jain: Our gross margin versus last year is better. Our gross margin versus Quarter 1 has slightly come down and that has come down primarily on account of one single item that we have inflationary trends, which are clearly resilient -- visible on the commodity side and they have started impacting. And in the recent months, last one or two months, we have seen a further higher pressure on the commodity inflationary prices. So, we see little more challenging times ahead.

Arun Maroti: Okay, sir. Thanks a lot, sir. That's it from my side.

Moderator: Thanks so much. The next question is from the line of Mr. Amit Purohit from Elara. Please go ahead.

Amit Purohit: Thank you for the opportunity and congrats on strong revenue growth. Sir, just one on the demand, you indicated that has muted. So, this was referring more to the biscuit -- domestic biscuit demand, right? Otherwise, most of the other segments were doing well, right?

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Arnav Jain: Yeah. So what the Managing Director, mentioned about the trends, which is very much true for the entire FMCG and which is kind of reflecting also in our domestic business. Yes, they are more reflecting in our domestic biscuit business. In case of bakery business, both on the B2B and B2C side, we continue to kind of grow fairly well on the revenue side.

Amit Purohit: Sure. And I mean, just to get a sense, would -- because -- and the growth would be somewhere closer to like mid to high single-digits, is a fair estimate for the biscuits?

Arnav Jain: So, on the biscuit side, what we have seen and I think that everyone is aware that there has been a slowdown over the past few quarters and -- but only thing the goods -- the good sign was that Quarter 2 revenue growth over the previous quarter has started showing some good signs of growth and hopefully that trend should keep building up.

But yes, that build-up as we see in all the reports that urban markets have again kind of slowed down. So, it will take probably a few more quarters by the time the trend on the consumption and the growth gets into the -- you know into the good growth bucket.

Amit Purohit: Okay. And the point you were referring to that gross margin, the input cost has gone up. So, you were referring to largely vegetable oil, right or that price would have gone up?

Arnav Jain: I would request Anoop to brief you.

Anoop Bector: Yeah. So, this is also you know, actually the edible oil prices have gone up and the cocoa prices have gone up

substantially, right? So, that is one of the major things. And also the wheat flour prices have shown -- started showing upward trend or although we have some hedging in the wheat flour side, but there is a pressure on raw material prices, you know, which is necessary that the -- which has come in mostly from upsized duty, the import duty hikes which government of India has imposed and also some escalation of prices internationally. So oil has taken that and wheat, there has been an increase in prices because there was an expected

release of wheat from the government, which has probably not happened yet, might happen at a later stage. So these are few of the reasons why this impact is there.

Amit Purohit: And any price increase we have taken or the industry as such?

Anoop Bector: So, we are already working on it. So, in the biscuit side, the price increase does not come as fast as they come in our bread side because bread is very instant, but on the biscuit side, we have materials which are lying in the market, materials are lying in our stocks, there's packaging materials and things like that. So, but the process has already started and -- but however, this process takes some time, right? It will take probably two to three months to fully gear up and get the prices back to whatever increase has happened.

Amit Purohit: Okay. And on your comment that, I mean the other expenditures were higher because of freight costs, but I mean most of the exports would build in the freight cost, right?

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Arnav Jain: So as I explained to you, Amit, that freight cost recovery comes in the top-line, and the cost comes in other expenses and that's why you know the cost is showing that increase because of the increase in the freight cost.

And a higher contribution of export in this quarter. Both are the reasons. And just to add what Anoop was saying was that, yes, biscuit takes time in the time whole journey of price increase take two to three months' time. But on the bakery side, especially in the North, which is a larger part of the bakery English Oven business, the price increases although the Phase 1 of prices increase has already been executed by us in the market.

Amit Purohit: Okay. And what is the quantum of that price increase? If you could share?

Arnav Jain: I won't be able to share the quantum of that, but yes, obviously, price increase is always to commensurate with the material cost increases.

Amit Purohit: So would this covers up for the RM index increase or how should we think about it?

Arnav Jain: On the bakery side of the business, it should -- it should more or less cover.

Amit Purohit: Okay. And biscuit is yet to be.

Arnav Jain: And as we brief, it is in the process, but the whole Stage 1, Stage 2, Stage 3 rollout will take about two to three months' time.

Amit Purohit: Okay. And sorry, but just on the margin outlook, you've been guiding for 14%, 15%, should we stick around that kind of margin for near-term to medium-term?

Arnav Jain: So we definitely see some bit of a pressure on that in the in this coming quarter or in the running quarter, right? We will definitely have some pressure because as explained that price increase as a role also is in cycle. So yes, there would be -- they can be and there would be some impact from that. But that would be temporary. We saw that again in the Quarter 1 of 2022-'23, but we were able to get over that also very fast. So I see that temporary pressure coming in this quarter, but it should be fine over the next quarter.

Amit Purohit: And sorry, the last one is on bakery side. What would be the number -- contribution of the new product launches in the -- that's the last question in our total bakery sales?

Anoop Bector: On a total bakery side, we -- on a total bakery business, our contribution should be close to 4% to 5% of NPDP.

Amit Purohit: Okay. Thank you, sir.

Moderator: Thanks so much. The next question is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: So, this freight component right that you've said, it's like it's a reimbursement for us or do we inherit any risk -on these cargo prices going up?

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Anoop Bector: So we are able to recover these freight costs from our customers. So, as of now, we don't have any kind of a major negative

impact on our bottom-line on account of freight cost, but you can very well understand that with a higher freight cost, it definitely have impact on the customers who are sourcing from us in India. But so far we don't have any negative impact in terms of recovery of freight cost.

Rishi Mody: So could you call out that absolute amount that you have recognized in the top-line as well as in the expense on freight cost this quarter?

Arnav Jain: I won't have a ready number as of now in terms of that. But if you can specifically write to our Investor Relations, or we taking note, we can get back to you.

Rishi Mody: All right. And within -- apart from the freight cost, anything else in the other expenses, any one - offs or any seasonality impact which you want to call -out?

Anoop Bector: No, they are very minor, so there's no major item on that.

Rishi Mody: Okay. On the commodity inflation piece, right, you mentioned that breads you all will be taking price hikes, which is understandable. And biscuits also, are you all planning to take price hikes or are there any other levers that you all want to use to tackle the inflation?

Anoop Bector: No, no, we are -- okay, Manu, over to you.

Manu Talwar: Go ahead.

Anoop Bector: So we are already -- we have worked on taking a price rise. So, this price rise has been very, very instant. It has more affected the -- I mean, more from late September into October and you know, when the government brought in increased duties and things like that and then -- so I mean, we have already started working on it. We would be working on getting the increased costs over the commodities recovered, probably I think by the -- you know, by the next quarter, we'll be fully -- we should be able to recover it.

Rishi Mody: Okay, all right. And I'm looking at the balance sheet, your receivable days have gone up by 10 days when I compare it to Q2 FY '24. So anything you want to -- like could you explain what's driving that? Like I'm seeing INR70 crores increase in receivables.

Arnav Jain: Yeah. So as pointed out that our export contribution in this period has gone up and what happens is typically in the case of exports, the turnaround of the debtors to cash is slightly on the longer side and that is what is impacting.

Rishi Mody: So could you just tell me how much is your export contribution for the quarter and how much is the typical payment cycle there?

Arnav Jain: Typically, we don't share the breakup between the export and domestic, but payment cycle ranges from 60 to 90 days.

Rishi Mody: Okay. All right. Got it. Yeah, thank you. Also, just any start-up costs on the Rajpura lines in this quarter?

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Anoop Bector: No major impact.

Rishi Mody: Okay. All right. Thank you.

Moderator: Thanks so much. The next question is from the line of Soham Samanta from Centrum Broking. Please go ahead.

Soham Samanta: Yeah, hello, sir. So thanks for the opportunity. So just wanted to check on basically domestic biscuits. So is it fair to assume that this quarter we have gained mid - to high-single digit volume?

Anoop Bector: Can you come again? Sorry.

Soham Samanta: So for domestic volume on a biscuit side, is it fair to assume the growth is mid to high single - digit?

Anoop Bector: So, growth in this quarter over the last quarter, which is Quarter 1, Quarter 2 or Quarter 1, yes, we had decent growth in the numbers. The growth of the Quarter 2 over the last year same quarter has been in low -single digit in terms of volume growth.

Soham Samanta: Okay. And what is our full -year expectation for this domestic volume?

Anoop Bector: So our expectation is that trend of growth should only improve from now onwards. But as we see the trends on the growth under pressure on the FMCG side and the inflationary trends are also not coming full in control as we see from

the statement of the RBI governor both in

September and October. So that the trend in terms of improving consumption seems to be a little on a slower side as per our estimate and will take another few quarters to get corrected.

Soham Samanta: Okay. The second question is on A&P, like what is our contribution for this quarter's advertisement and promotion?

Anoop Bector: Our advertising and marketing spend in this quarter, just hold- on. We normally maintain our advertising and marketing spend on our B2C businesses of about 3% to 3.5% and that's where we try and maintain. There could be a bit of an up -and-down over the quarters. So, that kind of happens. But yes, our consumer and marketing spends are around 3%, 3.5% for the B2C businesses.

Soham Samanta: Okay. Distributions that we have introduced DMS. So right now, the full -- all our distributor has covered in DMS system?

Anoop Bector: Oh no. So DMS system, we have onboarded close to 550, 600 of our distributors, right, and these distributor account for almost 65% of our revenue. And so we have implemented the order module there. We are now implementing the secondary sales and the claim management module.

And beyond these, the distributors are small distributor where we are piloting the mini DMS and that pilot is going on as we speak and we should have reserved some mini DMS in the November

and then we will start rolling on the mini DMS sometime in Quarter 4. So now, the whole effort

is that we roll-out the balanced modules in terms of secondary tracking, inventory management and claim management in this top 500 distributors, which account for almost 65% of our biscuits revenues.

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Soham Samanta: Okay. And sir, on margin, right, like you have already guided 14% to 15%, but right now as we have seen some commodity inflation and all, so are you looking this guidance from revised guidance like towards lower side or are you still maintaining this margin guidance towards upper side of 15%?

Arnav Jain: So you see, as I said guidance which we have given on our margins always is that on an annualized basis, we will be maintaining between 14% to 15% of EBITDA margin, right? And we still stand by margin. Only thing which I were explaining to Amit who asked this question was that because the commodity price going up and as our MD explained that especially in the biscuit side, it takes about two to three months in the terms of finalizing on pricing and executing that in the marketplace. So, you could see some bit of an impact in the -- in this coming quarter, right? But yes, I think in the next quarter, this should more or less stabilize.

Soham Samanta: Okay. And sir, last question from my side. What is the LUP contribution on biscuit on an average?

Arnav Jain: What is the ...?

Soham Samanta: LUP contribution?

Arnav Jain: NPD contribution?

Soham Samanta: No, LUP that small packet one, the contribution, low unit packets on a biscuit?

Arnav Jain: You're referring to INR5 and INR10 pack?

Soham Samanta: Yes.

Arnav Jain: Okay. I don't have a ready figure as of now, but I can certainly get back to you on that.

Soham Samanta: Okay. Thank you.

Arnav Jain: Or you can take note of this and we can get back to you on that.

Soham Samanta: Okay. Thank you. Thank you very much.

Moderator: Thanks much. The next question is from the line of Abhishek Agarwal, an individual investor. Please go ahead.

Abhishek Agarwal: Hi, thanks for the opportunity. So my first question is around last call, I remember, sir, you had said that the company would also think about entering the frozen dessert business as this would open the HORECA category for us. So where are we on that? Do we have aspirations to enter that category? And if yes, what are the kind of margins that we can enjoy there and the asset turns that we can get?

Anoop Bector: So the frozen

is, just let me build- on this. We started Ishaan, who leads the business, he's not on the call he would have elaborated better, but let me do it for you. Frozen product as a category, Mrs. Bectors Food Specialities Limited
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we started developing and started building that almost two years back. We started offering it to our B2B customers about a year, year and a half back and they are really moving very, very well. The frozen products in terms of contribution out of our B2B kind of business has really grown well and now is contributing almost over 18% to 20% of our B2B business. So our frozen -- the frozen -- you see just to also make it a point, all of us know that the entire QSR business has been on a slow growth trajectory for the last few quarters.

But the whole NPD initiative taken by Ishaan two years back in terms of building the Frozen range and taking it forward has really helped to bridge and our B2B business has been growing very healthy, thanks to the frozen business and the contribution of frozen business is growing. Now so we have been adding new product lines the frozen and the frozen side are in the -- in the B2B business side, our NPD contribution is almost touched 8% to 9% in this financial year. So that's going well. The next step obviously will be to start introducing also on the B2C segment and build it there, but this journey is moving very well for us.

Abhishek Agarwal: Got it, sir. So in general, the margins that we enjoy on the frozen products, the gross margins, are they higher than the biscuits category?

Anoop Bector: So it's in-line with the bakery business margin, let me put it that way.

Abhishek Agarwal: Got it. So sir, the other question that I have is on the biscuit side, the production that we have, is it all 100% of it, is it in-house or do we also outsource some of the manufacturing to contract manufacturers?

Anoop Bector: No, on the biscuit side, we are manufacturing everything ourselves at this point of time. So, there's nothing outsourced. But yes, as we briefed you over the previous many quarters is a new

category of recipes started about a year and a half back or almost close to two years back now, is something which is outsourced and we get it manufactured from a contract back.

Abhishek Agarwal: Got it, sir. Those were my questions. Thank you so much and all the best.

Moderator: Thank you so much. The next question is from the line of Rishi Mody from Marcellus Investment Managers. Please go -ahead.

Rishi Mody: Hi, sir. Thank you for giving me the chance again. Just wanted an update on the project Impact 1.0. I think in Q4, you'd listed down six priorities. If you could just give us an update on what - where are we in each of those priorities and what impact can we expect over the next two, three years on those?

Anoop Bector: So project Impact 1.0 was to drive efficiencies and the cost efficiencies within the company. That project is kind of moving very, very well and we have projects identified in the different work areas, whether it's a manufacturing efficiencies, whether it's logistics cost or whether it's a efficiency on the human source side or whether it's the efficiencies on the revenue management side. So these are the -- all the four buckets we are kind of focusing on, which is obviously also added in the presentation.

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And the whole project is kind of moving very well in direction and kind of adding the -- in terms of bringing our cost -down. This project, I would say because this project is kind of moving well and we are also being helped in this project by A.T. Kearney. So the full impact of this project will be visible on a 12-month basis in the next financial year in terms of cost optimization. And then very importantly, what this is going to do is that we have also built our int

ernal

capability of taking up this project and executing this project. So, this will also enable the company in the coming quarters to make this as a way of life to identify the projects in each work area and then working with each function of the business ahead to implement and that will become a way of life in the coming years. That's how it is progressing.

Rishi Mody: So it's good to hear that it's going well. If you could just share any instances of where like any particular bottlenecks you identified and how you're solving for it?

Anoop Bector: Yeah. So if I if I was to give you kind of some example that on our logistics side, in terms of doing the network optimization, increasing the vital utilization, right, bringing efficiency in the rates, similarly on the manufacturing side, you know, identifying a -- in terms of faster changeover, right, in terms of reducing the wastages in terms of line manning efficiency improvement. So there are multiple number of projects which are in each of the work areas which is mentioned, which I spoke about, right?

And this will remain a continuous endeavour and process in our company, right? We will kind of identify also the projects for the next year, then we will implement. So this whole project 1.0 is kind of not only bringing us efficiencies but also has been able to build a capability within the organization to make that as a way of life and execute year after year and keep improving the excellence in this execution.

Rishi Mody: All right, sir. Thank you. That's helpful. That's it from my side.

Moderator: Thanks so much. The next question is from the line of Varun Gandhi from Fident Asset Management. Please go ahead.

Varun Gandhi: Thank you, Mr. Talwar, I'd just like to seek your commentary on traction you're receiving on QuickCommerce because, and I ask this because your larger FMCG manufacturers they've recently started talking about how competitive QuickCommerce is getting in comparison with regular distribution channel. Just like to seek your commentary there.

Manu Talwar: Sorry, can you just be a little louder?

Varun Gandhi: Mr. Talwar, I'd like to seek your commentary on QuickCommerce traction because your larger FMCG manufacturers are now talking about how inventory build-up is happening on the regular distribution channels.

Manu Talwar: Yeah, so I'll come to that. First, I would like to clarify that we don't have any inventory build-up with our distributors on the biscuit side and Bakery anyway is a daily business, so there's no inventory build-up at all there. So, we kind of brought in the fiscal discipline, both on the number

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of days of stock and outstanding, especially on the biscuit side. And we continue to maintain that fiscal discipline, just wanted to first mention that.

Coming to e-commerce side, e-commerce has been a very high focus for us as a company over the last almost two years and a bakery segment which is a very high salience on, on our e-commerce,

modern trade e-commerce side. We, we have really positioned ourselves very well and we are almost one of the leading players on the e-commerce side.

Our contribution also, if you look at our commentary over the past many quarters, has been kind of going up as a company. And now between empty e-com put together, it is almost kind of 18% of our revenue. And bakery, which has a very high salience, has been going extremely well and moving very high, where the contribution has kind of jumped over 25% in that kind of category. So moving very well, even in the biscuit now, we have very, very aggressive plan of moving very fast on the e-commerce bucket. And in the next three to four quarters, we will continue our aggressive journey on the bakery side and further build up a very strong position also on the biscuit side.

Varun Gandhi: Thank you for the clarification.

Moderator: Thanks so much. The next question is from the line of Alisha Mahawla from Envision Cap. Please go ahead.

Alisha Mahawla: Hi, sir. This is Alisha. Sir, while you've been calling out that we're witnessing a little bit of sluggishness and demand in the domestic market, especially in biscuits, biscuit revenue has grown very strongly both Q-o-Q and Y-o-Y. While I understand this will largely be driven because of export, has the domestic biscuit business degrown for us or has it still managed to grow in say single digit?

Anoop Bector: So, the export business as I said earlier also, that on a Quarter 2 or Quarter 1 has shown some better trends of growth than previous quarters, right? And Quarter 2 over the last year has grown in single digit in volumes. So, yeah, so growth are still under pressure, as I would say, but trends are looking better. That's how I look at it.

But yes, does it, you know, the kind of trends we are looking at overall on FMCG and food consumption trends, I won't say that they're very robust kind of trends which we are looking at.

They are still very low growth kind of trends, which we are observing and the industry is observing. So it will take about a few more quarters by the time we see some good growth in this business.

Alisha Mahawla: I understand. But has this business degrown for us in Q2?

Anoop Bector: Degrown?

Alisha Mahawla: Domestic biscuit business, has it degrown for us in Q2?

Anoop Bector: Our domestic business, in the quarter 2, over the quarter 1 it has grown and even the quarter 2 over the last year in volume it has grown.

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Alisha Mahawla:

Anoop Bector:

Alisha Mahawla:

Anoop Bector:

Alisha Mahawla:

Anoop Bector:

Alisha Mahawla:

Moderator:

Sakshi Trivedi:

Anoop Bector:

Sakshi Trivedi:

Anoop Bector: Understood. And current demands in the one and a half months that have gone by in Q3 in

the exports, are they continuing to be encouraging?

Pardon?

The exports demand for biscuits, is that strong even in the two, one and a half, two months that of Q3 or is that also now witnessing a little bit of de growth?

S

So far our trends on the exports continues to be in the good trend, right? They continue to be as per

our expectations which we have emphasized, right? So in terms of our volume trends, they stay good.

Okay. And last question, in the last quarter Q1, you were calling out that because of competition, we've upped our marketing spend and promotion spend. So what is the status of the competitive

intensity

in light of the weak demand? And is that going to maybe make us also spend a little bit more

and could further hurt our margins in the near term?

S

So competition intensity has been extremely high since October, December quarter of '23. So it

al

I started from November, December of '23 and the intensity of the competition in terms of extra dynamic sizing continues to be at the same level. It has not mellowed down much so far, but we do expect now in this and the next quarter definitely there should be some correction coming in, especially also in light of the commodity prices going up for everyone. So, we definitely expect some bit of correction coming in there in the industry.

Okay. Understood. Great. Thank you.

Thank you so much. The next question is from the line of from Sakshi Trivedi from Vijay Associates. Please go ahead.

Hi, sir, good afternoon. Thank you for the opportunity. I have a couple of questions. First would be, can you share some highlights on the biscuit segment? How is -- what's the demand in the domestic market? And can we expect similar momentum to continue in the export market?

Yes, I just answered both the questions to Ali sha, right, that domestic biscuit demand is different than it has been like that for a few quarters, but quarter-on-quarter

trends looks better. I expect

the trends too on an improvement side, but I would say the demand continues and should for next

few quarters remain little different and take little more quarters to expire. Export has been trending well for us and it is in line with our expectation. We have grown extremely well over the

past few quarters in export. And so trend in terms of demand should continue in the same direction on the export side.

Yeah, sounds good. My second question would be how do we roll out new products into the market and do we generally start rolling out newer products where we have strong presence?

So, we have new product role in all the four business segment of ours, which is B2C and B2B both.

So, we have in Cremica Biscuits, we have in English Oven, and we have also on the B2B bakery side as well as export side, right? So, in B2B side where the exports business is primarily Mrs. Bectors Food Specialities Limited

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customer led, and so we develop product for customers and they kind of give us order and the journey starts.

In a bakery B2C side where we have again, series of new products being launched, which was shared in the speech. So, they obviously we choose a market where to launch and we primarily launch in our daily NCR and north market first, so that's a stronger market for us. And then immediately replicate that in the other markets, right? Which is Bombay, Pune, Bangalore kind of markets. That's how we go. On the biscuit side again, if we have any new kind of products, we choose to do a pilot in one or two cities and then kind of replicate and take it forward to the entire market.

Sakshi Trivedi: Okay. So thanks for the detailed answer. Thank you so much.

Anoop Bector: Pleasure.

Moderator: Thank you so much. The next question is from the line of Varun Gandhi from Fident Asset Management. Please go ahead.

Varun Gandhi: Thank you again for the opportunity. My next question would be to Mr. Arnav Jain. And this would be on the balance sheet. I see that the QIP, big proportion of it was used to pay off debt. Wanted to understand what was the understanding behind this and what's the outlook for raising debt capital henceforth? Would -- do you see that as an opportunity to improve on ROE or does the debt capital structure more or less be in the same line?

Arnav Jain: So the whole objective was to, you know, lighten the balance sheet in terms of retiring all the debts that we were carrying and since we had the funds available at the time. And even from going forward perspective, there will be some selective debt raising that could be required for the additional capex that will be coming in.

But primarily, the QIP could help us in terms of funding all the large projects which are coming up right now, which was highlighted earlier along with the QIP Communications as well, that this will be primarily for the two large plants that are coming up in Khopoli and in Indore.

Varun Gandhi: I see, thank you.

Moderator: Thank you so much. The next question is from the line of Karan Bhuwania from ICICI Securities. Please go ahead.

Karan Bhuwania: Hi, good evening, sir. I have a couple of questions. Firstly, in domestic biscuits business, right? I remember we were trying to enter new geographies in North India and the states of UP, Bihar, Uttarakhand, etcetera. I just wanted to understand how has been the performance in these markets and what is the status of distribution expansion in these markets?

Manu Talwar: So, just to update you, the new geographies for us were primarily in the south and the west region. North region, we were always present for years and we were only strengthening our distribution largely in the lower part of North. So we, two years back, started a journey with

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Bombay, Pune, Bangalor

e, and then I did a few more cities in this in the last financial year. And that journey has been kind of going fine.

With the Indore Dhar plant coming up and getting, you know, commissioned in the Quarter 4 of this financial year. We will be able to further strengthen our play in the central western and some part of the south region because we will be able to improve our supply chain for it to be logistically closer to these newer territories.

So these new territories, yes, the journey so far has been fairly good. We've entered close to 50 North cities and we will strengthen it further both for Central, Western and some part of Southern cities as our indoor plants get commissioned in the Quarter 4 of this financial year.

Karan Bhuwania: Got it. I just wanted to understand also the expansion, how has it been in the lower North market side as you mentioned you were trying to strengthen it.

Manu Talwar: Were built at least INR200 in that particular month, right? That's how we take build outlet, not overall. So our direct -- direct build outlets grew very, as we have briefed earlier also and let me just take you through. So we took a very aggressive drive in from April '22 to March '24 in terms of expanding our direct reach outlets and these are all those direct reach outlets which were, which were built at least INR200 in that particular month, right? That's how we take build outlet, not overall.

So, our direct build outlets grew very expeditiously, almost from 160,000 to over 300,000 now.

So, now in this quarter also we are over 310,000 outlets where we are directly reaching and expanding. A similar reflection of these outlets on overall reach on India basis has also shown some great progress. And as per AC Nielsen now we are present and reaching out to more than

700,000 outlets. So journey has been going and we continue to kind of build on that journey.

So while we were improving our overall kind of presence. Over the last two and a half years, we enhanced our focus on the Cremica preferred outlets. These are large outlets, high-end stores. There are entire range and well-merchandised range is present. And that has definitely shown extremely good results for us.

And now we have almost close to 5,000, sorry, over 5,000, over 5,500 Cremica preferred outlets now. And we are growing them at a very high speed. And the contribution of the Cremica preferred outlet also to our overall volumes is also growing very, very well. So overall distribution, reach of over 300,000 outlets, direct reach, overall reach as per AC Nielsen crossing 700,000 and the high rated outlet should be called Cremica preferred outlet. Also we have been able to drive that growth, a very high growth in that and there's a lot of focus on CPOs now.

Karan Bhuwania: Got it, sir. Thank you, that's very helpful. Secondly, on the domestic bakery side, on the B2C side. I remember, we were trying to expand in Mumbai, Pune, Bangalore, right? But majority of our revenue stream came from Delhi NCR. Just wanted to understand how has been that this diversification generally, and how much of the revenues of the domestic B2C bakery now comes from these markets?

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Manu Talwar: So first, let me just step back and take you back. We were primarily in NCR in North India and NCR was a very big market. It was about two years back we started expanding into the upcountry of North and many other cities of North. And that journey has extremely gone well for us and now North upcountry which I call it other than the NCR contributes very, very, very well to the business and that business over two years has grown very well.

We also started journey a few months back in another big bakery market in North India, which is Punjab. And our next year focus will remain in North India a lot on building up of Punjab business over the next few years' time. But

that happens to be a very big bakery market, which we must kind of make our product available and expand there.

Coming to Bombay side, Bombay market has been going very well for us, but we have been constrained on capacity. And that's the reason we are putting a state of the art plant, bakery plant, both for the English-Oven, as well as on the bun side, on the bread and bun side.

And that plant should come in place in the '25-'26 financial year. And that will really help us in expanding further in the Bombay, Bombay upcountry, Pune and other cities, right. So that will provide a very aggressive growth engine to us because we can clearly see that Bombay consumers really like English Oven and Pune customer really like English Oven. But we need now with expanding capacity, we should be able to expand and make it present all provisions and be able to grow that very, very well.

Bangalore is a very high contributor e-commerce market and we'll be doing very well on the e-commerce side in the Bangalore along with retail general trade. And yes, we do definitely have a plan to expand further as you aware that, you know, we are building a small bakery in Calcutta, where we'll be able to start a business, not only for the QSRs, but also for the English-Oven, in the Calcutta market and then expand from there.

And this also probably will happen Quarter 1 in the next financial year where they will start rolling out. And then beyond this, we have some plans to expand some more key cities, right, where we want to build a business, but we will be in a position to share with you, probably in the next quarter investor call, that what are the cities and what the plans look like.

Karan Bhuwania: Got it, sir. Very helpful. Just a quick follow-up on this. We bought the Cremica brand for breads business as well, right? So how is the thought process in terms of which brand you'll be deploying in which particular market for the bakery side? Just wanted to get a clarity on that. Yeah.

Anoop Bector: So, you know, in this, actually, we've already launched our rusk in English Oven. And our immediate reaction is going to be launching the Cremica rusk also for our customers like Manu mentioned that we are already covering 700,000 outlets, you know, as per AC Nielsen and people are aware about Cremica brand.

So we feel that the rusk business will really, having a longer shelf life, we will be able to spread it out much further. And so, we will start using it in case of bread, English Oven has been a very well expected brand but we will keep Cremica, you know, will be within the purview but no

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immediate decisions have been taken for what we should be doing but yes, Cremica Rusk, we will roll out immediately.

Karan Bhuwania: Got it, sir. Thank you so much. Very helpful.

Anoop Bector: Yeah, good. Thank you.

Moderator: Thank you so much. Our last question will be from the line of Manav, an individual investor. Please go ahead.

Manav: Sir, I just wanted to know that you are squeezing up a competition. So what will be revenue growth guidance? It will be remained intact at around high teens or any decrease in that?

Anoop Bector: So our guidance we have clearly maintained that on annualized basis, we will be endeavouring to grow around mid to high-teens kind of range. And so on an annualized basis, our guidance remains the same on revenue. That on an annualized financial year basis, we will be achieving mid-teens to high-teens kind of growth.

Manav: Okay, sir. And on the PAT margin, so any signs of improvement that operating leverage will play out in near term or anything like that?

Anoop Bector: So in terms of EBITDA margin, as I said earlier that our annualized EBITDA margin guidance was always 14% to 15% somewhere in between. As I said, that commodity price has been extremely high over the last 30 to 50 days,

and that's kind of reflecting. There could be some minor correction but on an annualized basis, we will have an endeavour to remain between 14% to 15% range. There could be some temporary correction, but overall we will continue with that.

Manav: Okay sir, thank you so much.

Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to Mr. Anoop Bector for closing comments. Please go ahead.

Anoop Bector: Thank you everyone for joining us. I hope we have been able to answer all your queries. In case you require any further details, you may please contact us or Orient Capital, our Investor Relations partner. Thank you so much.

Moderator: Thank you so much. On behalf of Mrs. Bectors Food Specialities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

MBFSL/CS/202 4-25 12th February , 2025

To,

Department of Corporate Relations,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400001 To,

National Stock Exchange of India Ltd,

Exchange Plaza, C - 1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400051

Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q3 & FY25 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on 06th February, 2025 to discuss Q3 & FY25 results.

We request you to kindly take the same on record.

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud

Company Secretary and Compliance Officer

M.No. F10412

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“Mrs. Bectors Food Specialities Limited Q3 & 9
Months FY25 Earnings Conference Call ”

February 06, 2025

MANAGEMENT : MR. ANOOP BECTOR – MANAGING DIRECTOR , MRS.
BECTORS FOOD SPECIALITIES LIMITED

MR. MANU TALWAR - CHIEF EXECUTIVE OFFICER ,

MRS. BECTORS FOOD SPECIALITIES LIMITED

MR. ARNAV JAIN - CHIEF FINANCIAL OFFICER , MRS.

BECTORS FOOD SPECIALITIES LIMITED

MR. SUVIR BECTOR - WHOLE TIME DIRECTOR , MRS.

BECTORS FOOD SPECIALITIES LIMITED

MR. PARVEEN KUMAR GOEL - WHOLE TIME

DIRECTOR , MRS. BECTORS FOOD SPECIALITIES

LIMITED

Mrs. Bectors Food Specialities Limited

February 06, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 9 months FY25 Earnings Conference Call of Mrs Bectors Food Specialities Limited .

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Bector – Managing Director of Mrs. Bectors Food Specialities Limited. Thank you and over to you, sir.

Anoop Bector : Thank you . Good evening, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend a very warm welcome to all participants on Q3 FY25 Financial Results Discussion Call . Today on this call, I have with me Mr. Manu Talwar – our Chief Executive Officer; Mr. Arnav Jain – Chief Financial Officer; Mr. Suvir Bector – Whole Time Director; and Mr. Parveen Kumar Goel – Whole Time Director.

We also have Orient Capital with us on the call who are our Investor Relations Advisor. I hope everyone had a chance to review our investor deck and press release, which was uploaded on the exchanges and the company website.

The company maintained its growth momentum in Q3 FY25, reporting a 14.8% year -on-year increase in revenue for the quarter. Both our businesses, Biscuits and Bakery exhibited steady growth amidst a challenging environment.

Coming to the Macroeconomic Environment :

While we witnessed slight uptick in the consumer sentiment driven by a buoyant festival season, as well as ever improving rural demand, the urban demand continued to remain largely muted.

On the input cost side, prices of key commodities such as palm oil, maida, and cocoa saw significant escalation and remained elevated in the current scenario. While we expect some moderation of the same moving forward , we have executed a mix of cost saving as well as strategic pricing measures to mitigate the same. The full impact of these measures is likely to flow through by the end of Quarter 4 . Consequently, we anticipate fully absorbing and offsetting the impact by the 1st Quarter of the financial year 2025 -26.

We welcome the recent announcements in the Union Budget presented by the honorable Finance Minister and firmly believe the proposals in direct tax code, like revision of tax slab, should boost disposable income and in turn help stimulate urban demand. This augurs well for both of our businesses. In line with evolving consumer trends, we have strengthened our product portfolio through product and packaging renovations across our crackers and cream range. We are pursuing a sub -brand strategy aiming to establish these sub -brands as drivers of sustainable growth.

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and profitable growth. During the festive season, we introduced a slew of offerings in the gifting segment and for the first time, participated in the Christmas and New Year season with product offerings such as Danish Butter Cookies and Sugar Sprinkle Crackers .

On the Bakery side, taking our health focused campaign of “No Means No” forward, we executed a high impact outdoor campaign with the proposition of no maida, no palm oil and no added colors range to cater to the consumer's changing trends.

On our new product introductions, we augmented our healthy snacking portfolio with the launch of bite -sized snacks under non -stop mini crackers with the promise of baked, not fried. Under English Oven, we continue to lead the burger bun segment with the latest introduction of Gourmet Burger Buns, promising a cafe -like burger experience at home. Our frozen portfolio under the Bakery segment continues to scale up well. We are working with

the leading chains

on the development of new and innovative products.

Our exports portfolio exhibited strong growth and we continue to be a trusted partner to larger international chains. We have an exciting product portfolio in the pipeline with the upcoming facility in Dhar , Madhya Pradesh and over the next few quarters we aim to participate in newer segments.

On the domestic front, we are aggressively pursuing fast growing quick commerce and aiming to strengthen our portfolio with new age offerings. Calibrated retail expansion and increasing throughput in high volume outlets driven by technology remain cornerstone of our S&D strategy. With respect to the funds raised through the QIP, a portion of proceeds has been utilized for the repayment of borrowings, investment in subsidiaries, and financing the project cost for our upcoming plant in Dhar , Madhya Pradesh. The unutilized funds have been temporarily placed in bank deposits. We remain on track with our capital expenditure plans. The commissioning of our new Biscuits facility at Dhar , Madhya Pradesh is scheduled for April 2025 while our state -of-art facility in Khopoli is expected to be operational by the 2nd Quarter of the next financial year. Additionally, our Kolkata plant is set to commence operations in the 1st Quarter of the financial year 2025 -26. These additions enhance our ability to serve the diverse regions across the country and provide us with a competitive edge over other players.

Before we move to our Financial Performance for the quarter ; I am pleased to share that we have declared an interim dividend of INR 3 per equity share.

Starting with Biscuits , our Biscuits segment reported revenue growth of 15%, which stood at INR 308 crores in Q3 FY25, as compared to INR 268 crores in Q3 FY24. This segment has grown by 40% over Q3 FY23. Our Bakery segment revenue for Q3 FY25 stood at INR 175

crores against INR 146 crores in Q3 FY24, thus registering a growth of 20% on year -on-year basis, including retail bakery and institutional segment. This segment has grown by 37% over Q3 FY23. The consolidated revenues for the current year stood at INR 492 crores versus INR 429 crores in Q3 FY24, thus registering a growth of 15% on a year -on-year basis. EBITDA stood at INR 61.4 crores, resulting in a growth of 0.4% on a year -on-year basis. The EBITDA margin for the quarter stood at 12.5%. P AT stood at INR 34.6 crore for the quarter. And P AT margins for Q3 FY25 stood at 7%.

Moving to nine months FY25 Financial Performance :

The consolidated revenues for nine months FY25 stood at INR 1,427.8 crores versus INR 1,217.6 crores in 9 months FY24 , thus registering a growth of 17.3%. EBITDA for 9 months FY25 stood at INR 195.9 crores versus INR 183.8 crore s in 9 months FY24, thus registering a growth of 6.6% with an EBITDA margin of 13.7%. P AT for 9 months FY25 stood at INR 109 crore as compared to INR 106.7 crore with a PAT margin of 7.6%.

With this, I request you to open the floor for questions and answers. Thank you so much.

Moderator : Thank you . We will now begin the question and answer session. Anyone who wishes to ask a question may press '*' and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press '*' and 2. Participants are requested to use only handsets while asking a question. Ladies and gentlemen, we'll wait for a moment while the question queue assembles. Once again, I would like to remind participants to press '*' and 1 if you wish to ask a question. The first question is from the line of Di sha Giri a from Ashika Institutional Equities. Please go ahead.

Disha Giria: Yes, hi. So, I have a few accounting related questions. Like, I understand that the increase in raw material cost might have impacted our gross profits , but there is around 20% incre

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ase in our other expenses. So, is there a particular expense that's within it that has increased for us? And also, can you mention what is the ad expenses as a percentage of revenue for us?

Anoop Bector: So, good evening, Disha.

Disha Giria: Good evening, sir.

Manu Talwar : So, this other expenses which have gone up is largely on account of our exports, where the logistic costs are higher. So, primarily is on account of freight and forwarding , and that too on account of logistic costs. That's why this cost is higher. This cost increases a little higher , but what got mitigated by lesser expenses on power and fuel and some bit of lesser expenses . Our marketing expenses for B2C b usiness are a round 3% . That's the reason for some expenses go up there.

Anoop Bector: So, Manu , another thing I think you missed out is the Red Sea impact because of the Red Sea,

there has been an impact on us.

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Manu Talwar: Yes, that's what I said, the Red Sea impact, which is largely on account of freight and forwarding of the export side. And that impact has been there for almost 9, 10 months. So, that's one of the large reasons why our other expenses are higher than the same quarter previous year.

Disha Giria: Okay. And the advertising expenses ?

Anoop Bector: Advertising expenses for our B2C businesses has been close to 3%. So, we have two B2C businesses, which is Cremica Domestic Biscuits and English Oven . So, they have been approximately close to 3% in this financial year.

Disha Giria: So, yes. Coming down to my second question, the palm oil, maida, all these raw materials have seen the pain of inflation in the last quarter and going forward also, we are not yet sure whether it is going to decline or not. So, what do you think, what steps are you taking for our gross margin or our profitability to expand further?

Manu Talwar : Disha, we have – there has been a steep inflation primarily in the palm oil side and then also added by some in the maida ,flour side. So, we have taken action from the two sides, right? And differently for Bakery and Biscuits side of segment. What we have done is that we worked on both cost side to bring in more efficiency and also on the price side, either through the actual price increase and de -grammage . Just to brief you on the Bakery side, we have more or less taken the price increase to mitigate the cost increase, which is obviously lesser on the Bakery side. And we have done that action in this last quarter. Now, in case of the Biscuits side, we started the action in the previous quarter on the correction of the prices. And this action will spill over into the Quarter 4 of the financial year. And we will be in terms of realizing and covering a cost, which should be done by March of 2025. So, this is a brief about that. And on a Baker y side, as I said, we have covered the cost impact through the price increase and the cost efficiency.

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On the Biscuits side, we started taking action on both cost efficiency side, as well as the price correction side. And both these actions are in motion. They started in Quarter 3 of this financial year. Quarter 4, we continue the Quarter 4 - the January, February, March period. And by March, we would reach a situation where we would have covered our impact of the raw material price increases.

Disha Giria: So, on the Bakery side, there's no additional inflation impact that we are bearing. So, 100% of it is passed on to the customers as of now, correct?

Manu Talwar: Yes, so some, as I told you, some part got covered through the cost efficiency side. And yes, the balance has been covered through the price increase. And on our overall Bakery segment wise, on our English Oven side, we have covered it through the price increase to passing on to the consumer.

Anoop Bector: Another thing is on the Bakery side being a

shorter shelf life product, the price rises can happen

much faster. We are having lesser raw materials and in Biscuits there are more SKUs, we are

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carrying stocks, market stocks are lying. So, it takes a bit more time. So, we already started the exercise, like Manu has said, we will be able to execute this by the end of March.

Disha Giria: Alright, sure, thank you. That's it.

Moderator: Thank you. The next question is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: Hi folks, can you hear me?

Moderator: Yes, you are.

Rishi Mody: So, Anoop mentioned in his opening remark, and you commented on the same, the cost initiatives that we have taken on the opex front. How much of that would be structural cost reduction and like once the freight normalizes, where do we see this other opex line as a percentage of revenue coming down to?

Manu Talwar: So, we had taken up a cost efficiency project in this financial year and this project was overweight. It was in the manufacturing side, it was on the supply chain side, it was on other areas too, right? And most of these projects are getting concluded by March. There's some of the projects which continue even in the next financial year. And we are also further listing down in our annual operating plan, over as of now, what will be the further cost efficiency program which will be there. In terms of saying that what would be the impact of these cost efficiency programs in terms of on the margin side, I would say that over the next 12 months, our target should be kind of have an impact of close to half a percent on an annualized basis on our margins through this cost efficiency program.

Rishi Mody: Okay, so half percent per year you're talking about like over the next several years. Is that correct?

Manu Talwar: Yes, over the next 12 months, over the next Financial Year.

Rishi Mody: Okay. And on a normalized freight, like if I look at your last year's freight cost would be around 8% of your revenue. But if this cost structure normalizes, if I am looking at the freight cost, they have doubled YoY. I am assuming like 200 bps savings would come from the freight cost normalizing and plus this 50 bps. Is that correct or you were saying?

Manu Talwar: No. So, Rishi, what I am saying is that these are entirely efficiency based program. The Red Sea or the higher freight cost on account of exports, which is higher than I am not expecting any immediate change there, right? We haven't seen that change over the last 12 months. So, for any, there is no indication that these things are going to change immediately international in terms of sea routes and scenario is going to change immediately. We have no indication of that as of now.

As and when it happens, we will be planning on the logistic cost side on the export side, but I

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am not considering any of those, we are not seeing any of those coming on us immediate basis or there is no need for indication on that account.

Rishi Mody: Okay, got it. Second, I saw that your capex plans have been delayed by a quarter like things which were supposed to come operational in Q4 have been shifted to Q1. Is that like just a one quarter delay or if you could just give some color on that?

Manu Talwar: You see our capex side, we had scheduled our Indore Dhar plant coming up in Q4. So, it is still, it can come anytime between 15th March to 15th April, right? And that's what we have mentioned that will come in April 15. So, such a large project, you can understand it. 30 to 40 days kind of spillover is something very, very normal kind of stuff there. In case of our Kolkata project, again, Kolkata project was also scheduled around March-April of the financial year, which is likely to

o come up by first fortnight of May. So, that's kind of another minor kind of delay there. In case of Khopoli Bakery, definitely we were looking at around quarter one, around quarter one end of 25 -26, which we now see as a quarter two of 25 -26. It's a fairly large product with imported machines and other stuff so that there is a bit of a kind of a spillover there. So, and our Rajpura lines in this financial year came up well in time as planned. They were fully commissioned in the first two quarters of the financial year. So, this is a kind of a brief about our project. There were some improvement projects on the Noida site. They also kind of happened in time and they also have been kind of implemented. So, these are especially Indore and Khopoli are very, very large projects which are being done in totally Greenfield plants. So, yes, so there's a kind of a minor shift now, but no major shift there.

Rishi Mody: Finally, the price hikes, you said Biscuits is where the channel will thing happens where it takes time. So, Q4, do we expect the margins to come back to the 47 %-48% range or Q1 like, just trying to get an understanding on where the channel is extending?

Manu Talwar: We will see the full impact coming to us in the 1st Quarter. By March, we would have taken all the actions to neutralize.

Rishi Mody: Okay, got it.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes, good evening. So, I just had two or three questions. One was on the pricing. So, on Biscuits and Bakery, just give a constant range of price increases that you have had to or you are going to take. Just wanted to get a sense of what that quantum is?

Manu Talwar: So, in terms of, Harit in terms of price increase, which we are kind of taking, would anything range between approximately as of now what looks like is go to 4% to 5% kind of price increase as of now, because it's a mix of price increase, it's a mix of de-grammage and some part of the cost element. So, if you're asking pure price, price increase should kind of range around that.

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Harit Kapoor: And sir how much is that similar quantum in bread?

Manu Talwar: Pardon? Sorry?

Harit Kapoor: In bread as well, it's a similar quantum?

Manu Talwar: Bread, yes. Bread, if I remember right, is around 3 % to 4% kind of price increase. We have taken and the price increase is 3 to 4, I am saying, is more primarily on the North India side and it is much lesser on the West and the South side.

Harit Kapoor: Got it. The second question is on Biscuits. So, there is a 15% revenue growth is still exceptional in this current context. The growth is going a bit slower compared to Q2. So, if you can just elaborate a little bit on the moving parts of export and domestic. I know you don't give quantum growths in each of them, but what's happening in each of those markets where the growth is a little bit slower, where it is a bit higher. Just some color on both the sub segments within Biscuits?

Manu Talwar: So, export has been growing extremely well over the last 2 years' time. And export has obviously grown fairly aggressive over a 2-year period. And as we all know, the domestic Biscuits size, because of the hyper competition starting somewhere in November of 23, and then carrying on, which led to dipping of the pricing and offering extra grammage to the consumers by the leaders of the industry. And then we also had to follow up with our kind of action there. So, domestic Biscuits has been under kind of growth pressure, starting from Quarter 3 of last financial year and continue till now. But only the good signs which we are seeing now, at least in our part of the business is that from Quarter 3 of this financial year, we have seen for us the revenue growth, the volume growth has started

looking up and we expect a similar trend to continue in the Quarter

4 of the financial year. Yes, so export which has been kind of growing very, very aggressively over the last 2-2.5 years, obviously we can't expect a similar growth to come in export because they're sitting on a very, very high base. And so that kind of growth we expect to kind of mellow down but continue to grow well in mid-teens. But on a domestic side, which has been kind of on a flat-paced low growth side over the last four quarters, starting on Quarter 3 of the last financial year, the last quarter we started seeing movement up and we expect the same trend in this quarter. So, that's a good part of the news.

Harit Kapoor: Fantastic. And one last point. So, the bulk of this new capacity comes in the first half of next year, almost everything. How do we think about the distribution expansion drive in that context?

Do you wait for some of these things to happen over the next six months and then turbocharge it towards the second half of next year? And what are the kind of numbers you are working with in Biscuits and breads in terms of expansion on distribution?

Manu Talwar: So, we are in the process of making an annual operating plan just to give you a flavor of that.

We were running, we had a constraint on our capacities in Bombay, Maharashtra on the Bakery

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side, English Oven side especially. And there we have started building our distribution. We started kind of expanding our distribution. And there will be even before the capacity comes, there'll be a lot of work happening over the next three quarters, including this quarter, right? From January to, you can say, January to September is the time when we will be working a lot on distribution and in terms of distribution expansion on that side. Similarly, on the South side, we have started working on our distribution expansion aggressively in terms of taking it forward and building the distribution there. On the North India side, we have been consistently working and improving on our distribution side. And we are moving well on North side. North side, we are able to add a number of routes also, if I look back, they have gone up by almost 7%, 8%. In terms of build out let, if I look at over the two-year period, they have also kind of jumped up by close to 20 % odd. And if I look at over the last one year, Quarter 3 25 or Quarter 4 25, we have a jump of more than 11% in the outlets on the English Oven Bakery side. You see, as I always say that, and I will quote you one more number, let me come to the Biscuits side. On the Biscuits side, also the Quarter 3 last year, we stood at a build outlet of around 280,000 and our Quarter 3 exit we stood around 330,000. So, fair amount of jump there also in terms of, the build outlet of last year Quarter 3 and this year Quarter 3 and that's happened. We had put a lot of focus in our distribution because when we revised our Cremica preferred outlet about 3 years back, there's a good amount of work which has happened there. And these are high throughput outlet, high stores, well-merchandised, and they are giving us very, very good results, right? And so a lot of focus as a part of our strategy went in this financial year on Cremica preferred outlet and we have kind of grown over 22% of growth in the Cremica preferred outlet. And their contribution to sales has also increased. Their premiumization of these outlets has touched almost 57, 58% now. And also, while I am talking about distribution, I must mention to you that our overall premiumization, which has improved very sharply over two years, from some 26 %-27% and we were at Quarter 3 last year at 37% and now we sit over 40%. So, a fair amount of work also in terms of execution and premiumization has happened on the Biscuits side. So, I always say that distribution

and selling excellence is something is excellent we have built over the last few years and we continue to invest behind it. And alongside also that something on the commercial side we brought in control very well about two and a half, three years back in terms of NOD on stocks and distributors and we continue to maintain that discipline, right? So, our NOD continues, the number of days of outstanding in stock, they continue to be very well in control. So, we were three years back when we started with very high, then we brought it down to 27, 28 days and the stock level continues to be in that range. So, this is just a brief to you and I thought for the benefit of the audience, let me cover all these items while you ask this question.

Harit Kapoor: That's excellent. Thank you very much for this. I will come back for more questions. Wish you all the best.

Moderator: Thank you. The next question is from the line of Amit Purohit from Elara. Please go ahead.

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Amit Purohit: Yes sir, thank you for the opportunity. Sir, just on the domestic business itself, you highlighted volume growth recovery. But is it fair to assume that we would be, if not double digit, high single digit? Is that a right assumption for domestic business for the quarter?

Manu Talwar: Yes, so we kind of started growing in single digits in volumes, to be honest. And we are kind of confident that we will continue to build this trend over in this quarter and the next quarter. So, I said that, I mean that good news is that after being very low kind of flattish once this intense hypercompetition started in Quarter 3 of 23 -24, remaining on that kind of trend for four quarters now, this is Quarter 3 of 24 -25, we have started seeing the growth coming back. And especially in the general trade, we have seen a good growth. And again, within the general trade, the CPO outlet strategy is working well for us.

Amit Purohit: And sir, on the new launches which you highlighted on non-stop mini, especially the packing, is that a pack similar to something like a potato chips or a, and what is the price point at which it has been launched?

Manu Talwar: So, it's in the cracker category and we are, as MD kind of in his speech has briefed on it, we are strengthening entire, kind of renovating entire cracker in the green category and also introducing new products and that as we move into the future, you will see that kind of coming in. So, yes, so non-stop category expansion, product improvement getting closer to the snacking category and offering those products to the consumer. So, we can kind of build that category over the next few years.

Amit Purohit: Yes, but just to understand this better, what I understand from a packaging perspective, this looks like a pouch. Is there a breakage issue more or just like in potato chips, there would be some bit of air to ensure that there is less of breakage and it's more crispy?

Manu Talwar: So, packaging is robust enough. We don't expect any major... we have done our logistic test,

but we just launched about two months back. So, we haven't heard any kind of complaint about extra breakages and all that as of now. And there were robust kind of logistic tests were done to ensure that we have a good packaging to ensure the product reaches in consumer hands and in the right condition.

Amit Purohit: But it is just filled with air as well, just like in chips we have ?

Anoop Bector: Yes, there is nitrogen.

Amit Purohit: Okay. Just to mean, just a curious to understand from our distribution, we already have kind of , what was the thought process in launching this product is what I wanted to understand ?

Manu Talwar: We're launching with cracker products you 're talking about?

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Amit Purohit: Yes, so non -stop min

i cracker in pouches. The whole idea to understand is basically we already have a pretty high distribution cost. And what we understand is that whenever you launch products which have nitrogen, typically the distribution cost kind of increases further. So, just wanted to know in terms of this kind of packaging versus a normal Biscuits kind of package, how does this helps in terms of offtakes or is that a new consumer feedback that you would have got post this launch that would help us to understand?

Manu Talwar: So, Amit, first thing is that you know that over the last two years when we doubled our direct reach outlets and also in doubling our direct reach outlets , we have kept a very stiff definition for ourselves. We have kept a minimum billing of Rs. 200 to count that as a build outlet. And that's a definition kept by the biggest player in the industry. So, we kept a very strict definition. And as per the AC Nielsen, we are presenting over 700,000 outlets right now. So, it is the rightful of the strategy when you build a highway , right to get as much traffic on the highway , correct, that's the reason to build a highway. And that's what our transport minister is also doing. So, now, as a part of the strategy, we're very clear that that entire cracker strategy, which is very adjacent to the entire namkeens and all that, and it is what consumers would like to consume, we need to kind of strengthen that. And so this product is definitely in line of that to kind of strengthen the entire cracker category and build it. In terms of distribution cost increase, rather as we keep adding more product and executing well, our distribution costs are throughput per salesman, right? They'll keep increasing and the cost as a percentage to revenue will keep reducing. And that's a reason that we are now speeding up the launch of some new products, especially in the cracker and other categories to build a more traffic on the highway of 700,000 and more we are building it.

Amit Purohit: And sir, on the margin side, the second point, it was to understand your comments that probably by March and you would be able to cover up the price increase with the cost inflation. So, if I look at this quarter also, our gross margins have not declined significantly, it's just down by 30 bps. And if I look at, when we look from price increases. So, maybe by Q1 , one way to look at is that are you saying that normalized margins somewhere in the range of 14 % to 15 % is a fair estimates to look at as we look for FY 26 post or you think that the new capacities will come in and hence there could be kind of a margin profile slightly lower than this as you to build utilization levels in those facilities ?

Manu Talwar: So, first thing, Amit, you are probably comparing our margins with respect to last year same quarter, but if you look at last quarter, our margin is down almost kind of 2%, which is finally led by the commodity prices, right? So, what we are talking about, we need to work on these commodity prices to start getting closer to those kind of margins by March as a run rate of the month. In terms of overall margins, yes, we expect by quarter one, we should be back in the range of 14, 15, which has been our guidance and which has been what we haven't delivered. So, yes, our endeavor definitely is that to take back by quarter one to that range of 14 % to 15% margins to be delivered and then build on the top of that, both in terms of investing in the business and improving our margins.

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Amit Purohit: Sure. Thank you so much. Thanks.

Moderator: Thank you. The next question is from the line of Soham Samant a from Centrum Broking. Please go ahead.

Soham Samanta: Hello. Can you hear me?

Moderator: Yes, you are audible . Go ahead.

Soham Samanta: Yes. So, a couple of questions from my side. As you've guided ri

ghtly, I get the margin guidance.

So, earlier, we had a guidance of 14 to 15. But if I look, the numbers of nine months is 13 and 7

till now . So, this year, it's probably, so how will it be in Q4? It will be a sequential improvement from Q3. How do you look at it right now?

Manu Talwar: So, Samanta, we definitely, as we briefed you about the action we have taken, both in the cost and the pricing side, we definitely expect Quarter 4 to be better than Quarter 3 in terms of our margins. And we should get back to our margin range again, by quarter 1 of the next financial year.

Soham Samanta: Thank you. And the second question is related to, in the opening remarks, Mr. Anoop sir has mentioned some other categories we are planning to launch or looking. What are the other categories we are looking? What are the other adjacent categories we are looking if you can elaborate ?

Manu Talwar: Anoop, you would like to answer that?

Anoop Bector: No, it was not other categories, but these are extensions of our businesses, right? Like, rightfully, there was a question on this new, different type of packaging, what we are doing. So, our strategy for Mrs. Bector is very clear that we want to be innovative, we want to be different, we want to give consumer experiences. So, those sort of things, whether it is on the health range or on the snacking range or on the taste front or a cream. So, it's more about extension of categories, what we're currently doing. So, if it's breads, we will have different experiences in breads. If it is Biscuits, they'd have to be different. We would be, Mrs. Bector would definitely aim through its NPD to be a big differentiator in our categories here.

Manu Talwar: I will add further to this and just to brief, it's exactly like what Anoop said, but you would know that we made a very significant progress on the frozen food side over the last 1.5 years' time and we were primarily supplying in B2B segment and it's kind of done extremely well in B2B segment and we continue to add new products to that. So, by quarter one of the coming financial year, we will start introducing some of those product lines in our B2C segment, which is English Oven and start kind of building that. So, finally, we will have both sweet and savory range coming in there. So, that will add. And yes, just to further add, we have line of products, both on the health side, we have introduced, as Anoop has mentioned in his speech, but there is no Mrs. Bectors Food Specialities Limited
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palm, clean labor, no maida . So, a lot of products have been launched on the Bakery side, on the health side. And similarly, we have some products lined up on the health side, on the Biscuits side, which you will see coming in the next few months' time, along with some of the innovative products, which we would not like to share at this point of time. Let the surprise unveil when you buy it in the market.

Soham Samanta: So, if you can point some highlight on this institutional Bakery business for this quarter, is it a high single -digit growth or a mixed single -digit growth?

Manu Talwar: Can you come again, sorry. Samanta?

Soham Samanta: For the institutional Bakery, so what kind of growth for this quarter have we seen, is it a mixed single -digit, high single -digit growth?

Manu Talwar: So, it's a very good question and good you asked me. And all of us know that QSR segment has been kind of on a slow run for the last few quarters. But as I was just briefing before this to you, that we kind of invested on developing the entire frozen range. And that frozen range has given a very good fillip to us, and it has been kind of growing quarter over the quarter over the last 6 quarters, last 4 to 6 quarters. And we had a good B2B business in terms of revenue growth in the Quarter 3 over the previous year Quarter 3 . So, it was a very, very good, impress

ive run we

had in Quarter 3, and which is continuing for 2 quarters in terms of driving the B2B growth. And we want to start introducing this product, as I said, one after the other, and also B2C in this one sign, which would also further give a momentum there.

Soham Samanta: And sir last question from my side for international Biscuits . So, if I am not wrong, our contribution is 50 -50, like 50 for our own brands and 50 for private label. So, how do you look for next couple of years for this international business, like kind of growth and how do we improve our own brand contribution in this particular segment?

Manu Talwar: I will just say one line and hand it over to Suvir to do the filler. So, our international business, definitely, as I said earlier, has been growing much sharper and higher over the past 2 years. And that's the contribution obviously is better within the Biscuits is higher than 50% for exports, right? And over how we want to take it forward over the next few years, Suvir is the right person to kind of elaborate on that.

Suvir Bector: Hi. So, I think our strategy is basically that we want to position our brand all across the world. Our first step is that we have opened up an office in the Middle East. We have two people based out of Dubai, one person based out of Ghana who is looking after the West Africa. And their sole responsibility is on building a brand, looking into distribution, work alongside distributors and importers to strategically place our brand on the retailer shelves and the mom & pop shops all across the country, right. So, we are now present in because of the Middle East team, we are

present in all of the 6 GCC countries and a lot of the countries within Africa with the Cremica brand. So, what now we're trying to do is any country that we enter, we always study what the local competition is, make similar products, and always try to position our brand at the forefront. So, I think that's going to be the strategy going forward. Yes, like you said, right now, it's a 50 - 50 contribution between white label and the Cremica brand. I think it will always year -to-year differ a bit because we are also investing a lot in our relation with global retailers such as Walmart, HEB, Walgreens, CVS in the US. So, we are going to build the white label business simultaneously alongside the branded. So, it will always be a dual focused approach on what we want to build on. I hope that answers your question.

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Soham Samanta: Got it sir. Thank you very much .

Moderator: Thank you. Participants who have a question may press ** and 1 on the touchtone phone. The next question is from the line of Rajit Aggarwal from Nilgiri Investment Managers Private Limited. Please go ahead.

Rajit Aggarwal: Hi, good evening. My question is related, just a follow up from the previous participant's question related to the B2B business. While the revenue growth is noted, I just want to check have the margins been impacted similarly in B2B business as well? Or have the margins improved? So, between B2C and B2B, how have the margin movements been? And I am talking about comparison from Q2 to Q3 .

Anoop Bector: Normally in the B2B businesses, we have a hedging policy where we get predictability to our buyers . So, unless and until there is completely a distressing situation , things remain in whatever the annual business plan is . So, which has been discussed in the month of 1st Quarter of the year and it works towards the closure of that . I think Manu, you can detail it further.

Manu Talwar: I mean, you answered because we hedged it , we block our commodities for a year. And that's, we are kind of a ring fenced in case of pricing and the costing side. And based on the cost, we have an annual price revision every year around, maybe April, May, depending on how the

hedging happen, how the cost with our partners. So, that's a process running well. So, we are kind of fair on the margins.

Rajit Aggarwal: So, then we are saying is B2C business would have suffered higher margin loss as compared to the overall margin reduction that we have seen. Will that understanding be correct?

Manu Talwar: That understanding will be perfectly correct. And that in the Bakery side also to add to that, I said that on the Bakery side, because as Anoop was explaining, it is a short shelf -life product, and the industry gets quick into the action of correcting the prices. So, we also did the price correction and we kind of covered much faster and we covered ourselves in Quarter 3 in terms of margins on the Bakery side.

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Rajit Aggarwal: Right, so that's very helpful. So, the second question is related to the sequential decline in the turnover. We have been taking a lot of initiatives , be it in terms of increasing visibility through new advertisement initiatives or increasing our distribution or introducing new products. So, in light of that, I mean, do you think this volume decline is a particular concern in this quarter or we talking about decline?

Manu Talwar: So, our revenue growth on a YTD basis as a company is around 17%. This quarter we are at 15%, right? And yes , I think that everybody's very well aware of the way the consumer industry has been under extreme pressure. And most of the results, which I have seen over the past few weeks, have been a mid or low single digit kind of growth. And our guidance has always been, we will maintain on an annualized basis, a growth of around mid-teen. Second thing is that 2nd Quarter for us, as both on the domestic side, and also international side is a peak quarter, right? It is a peak quarter because the international side is all about readiness of the, getting ready for the Christmas. And so there is a large amount of shipments that will go out for the international customer to get ready on the Christmas side and also on a domestic Biscuits side, it's a peak quarter which we have. So, yes, the consumer slowdown and the slowdown in a consumer trend is certainly a concern. And we do expect, and obviously the actions taken by the honorable Finance Minister and the government should come handy in terms of reviving these consumer trends over the next 2 quarters time. But yes, that's the real situation. And that's the reason. But I will say that always see how we are performing versus the industry. And we continue to be over 2 x versus the industry trends, right? And that's what we endeavor to maintain, but you will have to look at us on an annualized basis. So, we have maintained a clear -cut guidance on mid-teens on an annualized basis and that I think we are on the right path.

Rajit Aggarwal: Great, thank you.

Moderator: Thank you. The next question is from the line of CA Arun Kumar Maroti from Subh Labh Research. Please go ahead. I believe the line for the participant has dropped. We move onto the next question. The next question is from the line of Pawan Kumar Roy, an individual investor. Please go ahead.

Pawan Kumar Roy: My questions pertain to both Bakery and this CSD section. I want to know what is your revenue in CSD and other institutions compared to the total revenue as percentage. Similarly in the QSR, what is the revenue in the QSR share is there? And I want to know what is the growth you are seeing in both segment in future and what are the margins in these segments? First question.

Manu Talwar: Pawanji, first thing to share, we kind of don't share the channel-wise revenues or volumes in this call, but just to give you a brief glimpse on that, that canteen store department, we as a company are the leaders, the entire armed forces love our Biscuits and they kind of acknowledg

e that by

buying our Biscuits in the canteen store department and we continue to kind of lead in that. So, we have a healthy contribution, and we continue to do well. The content is new to introduce new products every year in this segment to service our armed forces and other staff in the segment.

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Coming to QSR, in a Bakery segment, the QSR accounts for, we would say close to one third of the total revenue, right? That's what probably contribution is. And we continue to be the leaders in this segment, on the QSR segment. And we continue to maintain our dominance. And this dominance got further enhanced by us introducing frozen range over the last 2 years back and that we building that frozen range to continue to maintain our strength and continue to maintain and improve our share in this B2B and the QSR sector.

Pawan Kumar Roy: That is great. My next question is regarding this. How much is our market share, whether the total market in both Bakery and the other bread and bun sectors?

Manu Talwar: So, market share in case of Bakery is not so well public, but we do conduct our retail audits. And in our retail audits, we have been concerned in the NCR region, which is Delhi region, NCR region, we have improved our market share year after year, and we're getting closer to 20% market share and a strong #2 player in this area. We have expanded very well in the upcountry of North India also over the last 2 years, and which has started contributing well. And we will be focusing in the coming financial year a lot on upper North, which is Punjab side because that's another big part of the Bakery consumption market, where we started the journey this year, a lot of focus will go on that. And another flavor, and this was more about general trade I was talking about, but I would take this opportunity to brief you and other audience which are on the call, that we took the lead in English Oven Bakery on the quick commerce side. And the quick commerce side over the past 2 years, we have built our huge strength. Rather 2 years back, Blinkit gave us as a "#1 FMCG Award", and we continue to lead on that segment, right? And today, quick commerce on a Bakery side is contributing over 23 %-24% of our revenue, and we continue to build that category build. And we all know that quick commerce is a channel which is kind of growing and will grow multiple times in the coming years to come. On the Biscuits side, our market share in North India is about 4.5% and in upper part of the North, especially Punjab, we are touching around 14.5%. We continue to maintain our dominance in upper part of the North and continue to hold the share while we are improving our share in a lower part of the North. So, this is a briefly about our shares both in the Bakery and the Biscuits segment. In case of a, what I call it is, in case of QSR, you very well know we are by far the market leaders. We have a lion share there in terms with the QSR segments there.

Pawan Kumar Roy: Thank you.

Moderator: Thank you. In the interest of time, we will be taking our last question. Next question is from the line of CA Arun Kumar from Subh Lab Research, please go ahead.

CA Arun Kumar: Thank s for the opportunity. I have a couple of questions. My first question is with regard to the tie-ups we have with the Walmart and Lulu. So, whether they have started to supply them or what is the status of that?

Manu Talwar: Suvir?

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Suvir Bector: So, we are already supplying to Walmart and Lulu both. We have been a partner with Walmart for the past 2 years, and we are continuing to build our relation with the Walmart team in a very strong manner. And we'll continue to hopefully add newer and newer SKUs and get into the everyday category with them as well wit

hin this year. And Lulu, we have been working with

them since I would say the past 5 years or so. And we are still a very promising partner for them.

And we are continuing to add new categories and build our volumes with them.

CA Arun Kumar: And on the Bakewalk side, if you can share some updates, what is the current status?

Manu Talwar: So, on the Bakewalk side, as we have said earlier also, Bakewalk, we had opened the 4, you can say outlets to start offering, especially the frozen range to our consumer because that was our way of testing out the consumers, taking feedback from that. And before we start building our B2B business. And I think that feedback has been extremely helpful for us because this gave us a direct interaction with the consumer. And that's what has enabled us to grow this frozen part of the business in B2B very, very well over the last 2 years' time. And that is there. In terms of Bakewalk, how do we want to take it forward is something which we are evaluating now, in what shape and manner we will evaluate. And I think in another 3-4 months, we will be clear whether we want to take it forward or we want to leave it at this stage, how do we expand, what will be the way forward for that? I think in the next investor call, surely I think we should be able to update better on that. But I think with the objective, we had opened these 4 stores, done the Bakewalk has really helped us in terms of interacting with consumers and building a B2B business. Now, as we take it to B2C, we will be offering the similar products in the retail chains, right? And so that's how this will interact, how should we take our stores forward is something we're working on that now and in the next investor call, we should be in a better position to update you .

CA Arun Kumar: Thank you.

Moderator: Do you have any further questions?

CA Arun Kumar: No. I have done with my question.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to Mr.

Anoop Bector for closing comments. Please go ahead, sir.

Anoop Bector: Thank you everyone for joining us. I hope we have been able to answer all your queries. In case you require any further details, you may please contact us or Orient Capital, our Investor Relations Partner. Thank you so much.

Moderator: Thank you. On behalf of Mrs. Bectors Food Specialities Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

MBFSL/CS/2025-26 06th June , 2025

To,
Department of Corporate Relations,
BS
E Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 To, National Stock Exchange of India Ltd,
E
xchange Plaza, C- 1, Block G,
Bandra Kurla Complex, Bandra (East), Mumbai – 400051
Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,
SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q4 & FY25 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith
tr

anscript of the earnings conference call of the Company held on 02nd June , 2025 to discuss Q 4 &
FY2

5 results.

We request you to kindly take the same on record.

Thanking You,
Yours faithfully,

For Mrs. Bectors Food Specialities Limited
Atul Sud
Company Secretary and Compliance Officer
M.No. F10412
Page 1 of 16

"Mrs. Bectors Food Specialities Limited
Q4 FY '25 Earnings Conference Call "
June 02, 2025

M
ANAGEMENT : MR. ANOOP BECTOR – MANAGING DIRECTOR AND
PROMOTER – MRS. BECTORS FOOD SPECIALITIES
LIMITED
MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER –
MRS. BECTORS FOOD SPECIALITIES LIMITED
MR. SUVIR BECTOR – WHOLE -TIME DIRECTOR – MRS.
BECTORS FOOD SPECIALITIES LIMITED
MR. PARVEEN KUMAR GOEL – WHOLE -TIME
DIRECTOR – MRS. BECTORS FOOD SPECIALITIES
LIMITED
MUFG INTIME – INVESTOR RELATIONS ADVISOR

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Moderator: Ladies and gentlemen, good day, and welcome to the Mrs. Bectors Food Specialities Limited
Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will remain in the
listen -only mode and there will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the conference call, please signal the operator by

pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded.

I would now like to hand over the call to Mr. Anoop Bector, Managing Director, for his opening remarks. Thank you, and over to you, sir.

Anoop Bector: Thank you. Good evening, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend a warm welcome to all participants joining us for Q4 '25 and FY '25 financial results discussion call. Joining us today are Mr. Manu Talwar, our Chief Executive Officer; Mr. Suvir Bector, Whole-Time Director; and Mr. Parveen Kumar Goel, Whole-Time Director. We are also pleased to have MUFG Intime, our Investor Relations Advisor with us on the call.

I trust you have had the opportunity to review our investor presentation and press release, which have been uploaded to the Stock Exchanges as well as our company website. The company registered a 15.4% year-on-year increase in revenue for FY '24-'25 compared to FY '23-'24. Revenue for Q4 FY '25 grew by 9.8% over Q4 FY '24 amidst continued urban slowdown, further exaggerated by higher end prices to consumers due to sharp input costs being passed on has impacted the growth momentum. However, with the easing of interest rates and taxation relief provided by the Honorable Finance Minister in the budget, we are optimistic of gaining that momentum.

Despite a challenging environment, both our core businesses, Biscuits and Bakery recorded steady and resilient growth. Rising input material costs exerted significant pressure on margins. We remain confident that the calibrated price actions that were initiated in November 2024, which shall get over in Q1 '26, will enable us in mitigating the impact of inflation in this financial year.

In parallel, we continue to drive cost optimization through a focus on operational efficiencies in manufacturing and supply chain areas. On the demand side, we are encouraged by a steady recovery in rural consumption. We are also witnessing mild uptrading within low MRP packs as consumers increasingly opt for higher-value offering, reflecting an improving value perception. Additionally, with the revision in the tax slabs announced in the union budget, we anticipate an increase in disposable income, particularly in urban India. This should translate into stronger demand momentum heading into FY '26. We are pleased to share that our recent product innovations continue to gain strong acceptance in the market. Our focus remains on driving premiumization through differentiated offerings that deliver great value addition and align with evolving consumer preferences.

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In line with this strategy, under Biscuits, our new shortbread cookies made with 25% butter and no palm oil cater to the premium indulgence segment. In kids snacking category, we introduced animal-shaped crackers under the brand Teddies, with no cholesterol and no trans fat. The initial response has been encouraging, and we are actively planning product extension under this platform.

Under English Oven, we are piloting under ready-to-eat segments with the launch of muffins, brownie, Choco Lava, with the intent of making indulgence easy, a space we believe holds strong potential for growth.

Launched to meet rising demand for healthier options, we launched Zero Maida Pav, appealing to wellness-focused consumer and strengthening our health-centric

portfolio. Further on

building a premium health-focused portfolio, we launched NaturBaked, a clean label, health-forward range in Q1 '26. With the positioning, it is honest, it is clean, it is NaturBaked.

Additionally, brand innovation initiatives are underway for select legacy products to align with contemporary taste and packaging trends. Looking ahead, we have a robust innovation pipeline with several exciting launches planned that reinforce our commitment to quality, health and consumer delight.

Performance of our export portfolios continued to be strong, further reinforcing our position as a trusted partner to leading international chains. However, towards the end of Q4, the announcement of potential tariff changes introduced a degree of uncertainty in the external environment. Despite this, we remain confident in the strength of our global partnerships and our ability to navigate market dynamics while maintaining growth momentum.

Q-commerce continues to perform well, especially with newer product formats, gaining traction.

To capitalize on Q-commerce momentum, we are partnering with major brands, focusing on rapid innovation, launching impulse-friendly SKUs and ensuring agile supply chains with city-level inventory planning. On the traditional trade front, we remain focused on expanding our distribution footprint, ensuring calibrated manpower deployment for sustainable growth.

On the technology and digitization front, we have made a significant progress across functions. We are undertaking a complete revamp of our IT infrastructure, with a key focus on upgrading

our core ERP system supported by AI and ML integration to drive smarter, faster and more connected operations.

In sales and distribution, we have further strengthened the option of our distribution management system, driving greater visibility and control. We are also focusing on digitizing our manufacturing and supply chain operations, which will strengthen our process and improve our delivery, the result of which we expect to see and reap in the coming financial years.

We remain firmly committed to our capex road map. In May 2025, we commenced operations at our Indore facility. This enhances our manufacturing capability, especially for differentiated

products, and plays a pivotal role in our growth strategy. For exports, the location offers proximity to ports, enabling smoother outbound logistics. On the domestic front, it strengthens Mrs. Bectors Food Specialities Limited

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our supply chain by improving regional serviceability, enabling faster route to market, reducing logistic costs, all contributing to our ambition of building a strong pan-India presence.

On the Bakery side, we are equally focused on expanding our footprint. We are progressing well with two key projects, the new bakery facilities in Calcutta and Maharashtra. These developments are strategically aligned with our vision to make English Oven a truly pan-India brand. They will also enable us to serve QSRs and business partners that are currently beyond our reach due to supply constraints. These additions increase our nationwide servicing capabilities and enhance our competitiveness.

Before we move on to our financial performance for the quarter, I am pleased to share that the Board has recommended a final dividend of INR 3 per equity share subject to approval of the shareholders at the upcoming AGM of the company.

Financial performance. Starting with Biscuit. Our Biscuit segment revenue stood at INR 257 crores against INR 240 crores in Q4 FY '24, registering a growth of 7% compared to Q4 FY '24, including domestic and export biscuit segment. The Biscuit segment has grown by 26% compared to Q4 FY '23.

Bakery segment revenue stood at INR 179 crores against INR 151 crores in Q4 FY '24, registering a growth of 19% compared to Q4 FY '24 including retail bakery and institutional segment. The

Bakery segment has grown by 40% compared to Q4 FY '23.

The consolidated revenues for the current quarter stood at INR 446.1 crores versus INR 406.4 crores in Q4 FY '24, thus registering a growth of 9.8% on a year-on-year basis. EBITDA stood at INR 55.6 crores. The EBITDA margin for the quarter stood at 12.5%. PAT stood at INR 34.3 crores for the quarter, registering a growth of 2% on a year-on-year basis. PAT margins for Q4 FY '25 stood at 7.7%.

Moving to FY '25 financial performance, the consolidated revenues for FY '25 stood at INR 1,873.9 crores versus INR 1,623.9 crores in FY '24, thus registering a growth of 15.4%.

EBITDA for FY '25 stood at INR 251.5 crores versus INR 242.4 crores in FY '24, thus registering a growth of 3.7%, with an EBITDA margin of 13.4%. PAT for FY '25 stood at INR 143.2 crores as compared to INR 140.4 crores, with a PAT margin of 7.6%.

With this, I request you to open the floor for questions and answers. Thank you so much.

Moderator: The first question comes from the line of Abneesh Roy from Nuvama Wealth Management Limited.

Abneesh Roy: My first question is on the raw material side. Wheat crop is at a multiyear high. And even palm oil today, we have seen from May 31

st duty cut of 10%. And USD terms also, palm oil has

corrected. So my specific question is in Biscuits B2C, do you see good margin expansion starting Q2? And any chance of any price cut or grammage increase, which can partly take away this benefit?

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Anoop Bector: So currently, we are under the process of taking down the price rises, what we had initiated in the last price rise, which will -- which is getting completed in this quarter. And going forward, on the raw material side, we definitely see -- we believe in long contracts. And on the wheat side, our company faced a very less inflation in the last year.

So in this year also, our contracts have been long contracts, and -- but however, the government of India keeps increasing prices. There has been a price increase in the wheat side by INR 150 and that is the corresponding price increase, which we shall be facing in the market.

On the palm oil side, we -- you're absolutely right. The prices have also subdued. And along with that, there is a 10% duty cut, which has just come in, so which will start hitting us, giving us the benefit completely by --

partially in the quarter 2 and then on the quarter 3 basis.

So considerably considering, we should be more positive than what we are today. And the margin expansion is not going to be that large that it enables the companies to start passing down discounts at the moment, what we feel, what it looks like because there has been some inflation in the sugar side, but these costs are now well covered under the -- whatever price rises had happened, I think we shall get into a more comfortable position.

Abneesh Roy: Sir, two follow-ups there. One is palm oil in the B2C Biscuits, will it be, say, around 20% of the RM basket? And second follow-up is on wheat. Is most of the wheat for you, the buying price is locked in already? You did say long-term contracts. And is it a multi-month buying? Or most of the buying contract at least is frozen? So that way...

Anoop Bector: We end up -- this has been a practice with Mrs. Bectors. We end up doing long contracts, which are -- where we would cover around 75% to 80% of the material, depending on the quality of the flour we need because for a particular variety, especially on the Bakery side, we need very particular quality.

So what we are doing is when the contracts are happening, they are happening at the best prices.

That's what our bigger competitors would also be doing because that's the time when the contracts are entered, there is a time when wheat is at its lowest. So what we like is more planned purchase than getting -- facing any erratic decisions, right

, coming in. So in any case, because

the buying has happened in the month of April and May when the crop comes in, so it's best buying.

So on the palm oil, I'll really not be able because biscuits have different consumption of palm oil. But averagely, yes, 17% to 20% is consumed in the Biscuit side, and there will be some benefits coming in over there.

Abneesh Roy: Very useful. Last question on FY '26 outlook, almost all staples companies have been positive versus FY '25 demand. In your markets, in again, B2C biscuits, how do you see the demand side? And any comment on market share?

Manu Talwar: So just to brief you on the -- especially on the biscuit side demand. So from the quarter 4, we have started seeing a positive trend. And so we are building on that positive trend of growth. So the growth are greater than what it was in the first 3 quarters of financial year '25. So the growth

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trajectory is there. I mean it's kind of started building it up. So that's on the kind of a growth side of the biscuit -- domestic biscuits.

Abneesh Roy: Any guidance you want to give for the B2C part of the business, revenue growth?

Manu Talwar: On the B2C side, the business of Biscuit and Bakery together, we have a guidance that for this year, what it looks like B2C business, we will be growing kind of low to mid-teens kind of stuff.

That's what is visible now on an annualized basis.

Abneesh Roy: More back-ended? First half will be a bit slower?

Manu Talwar: No -- yes, it will be more back ended, yes. First half, it will be. Yes.

Moderator: The next question comes from the line of Raj Patel from R K Securities .

Raj Patel : Okay. So what does the innovation pipeline for FY '26 look like? And can we expect more health forward or indulgent-based launches?

Manu Talwar: Yes. So if you would have heard speech by the Managing Director, he referred to some of the differentiated product launch, right, which we have done. And so whether it is for the kids or whether it's a shortbread. And there are a few more lined up. So probably in the next 3 to 6 months' time, on a Biscuit side, you will see further differentiated product launches.

On the English Oven side, again, as it was highlighted in the speech that we have launched a health brand. It's a new brand called NaturBaked and we want to build up that brand and different products under the brand. Alongside that, as in the last 2-3 years, we built up of frozen product business, and we are doing that business and we have built up that business well with B2B, where we enhance on B2B. So as a pilot, we have launched a few products under the frozen category in English Oven on a B2C side. And the objective will be to also start building that up as we see the results on that side.

So there is a fairly strong pipeline this year both for Biscuit and Bakery and also primarily on a differentiated product side.

They are -- especially, we have clearly decided that we will stay away by our innovation bucket over the next few years. We will stay more on a differentiated product rather than me-too product. Rather, our new Indore Biscuit plant, which got commissioned in the May, last month. So that is further strengthening our differentiated product portfolio, both for domestic market as well as international market. So a lot of focus over the next 18 to 24 months to build a variety of new products, which are differentiated.

Raj Patel: Okay. And last question from my side. So what is the expected contribution of the new Indore facility to domestic and export operations in FY '26?

Manu Talwar: See domestic, Indore facility, which we -- the plant got commissioned, has a capacity of annually of 21,000 tonnes, right? And it brings us closer to the port as well as it helps us servicing the

geography of West India from there and Central India in a much more efficient manner. S

o we

will be using this capacity close to full. So it will gradually build up because it's a new plant.

But objective is to maximize the use of this capacity.

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Moderator: The next question comes from the line of Amit Purohit from Elara Capital.

Amit Purohit: Just on the growth rates, if you could provide some insights on the export, either on a full year basis for the quarter, how it would have been for the Biscuit business during the quarter and full year?

Manu Talwar: So on the exports side, first, Amit, as all of us are aware that over the last 3 years or 4 years, export has been growing exceptionally exponentially, right? And yes, so there are some tailwinds, which came in quarter 4 and quarter 1, right, which are there. But on an annualized basis, very confident that in exports, we should be able to grow mid-teens kind of growth in this financial year.

As far as domestic biscuits are concerned, I would say that growth quarter 4 of the financial year '25 and quarter -- it has -- growth started building up. And on an annualized -- and I see as inflation has come under very good control, interest rates have started coming down. So what we were expecting in Diwali last year, we should definitely expect now that this change of growth should clearly build up much better as we start hitting the festive season from August onwards, right?

And on a full year basis, again, I expect mid to -- low to mid-teen kind of growth on a domestic side. And that's what we're endeavoring. Yes, first half, as I replied in the previous question to Raj that it will be a slow buildup. But yes, there will be more weight on the H2 of this financial year.

Amit Purohit: So you're saying H2 probably would see a good double-digit kind of a growth in the domestic biscuit business, and that is how one should read? Or you're saying...

Manu Talwar: Yes, domestic as well as on the export side, yes.

Amit Purohit: So just to clarify, sir, sorry, but you're saying the double-digit growth would be visible in the H2 part of it? Or you said for the full year FY '25?

Manu Talwar: No, no, no. It's full year basis. What I said in the full year basis, we can expect domestic biscuits to be low teens kind of growth, and export to be somewhere around mid-teens kind of growth on annualized basis.

Amit Purohit: Sure. And for the full year FY '25, is it fair to assume that domestic would have been a mid-single-digit growth in value terms?

Manu Talwar: Yes, yes.

Amit Purohit: Okay. Okay. Okay. And sir, just on this Indore facility, which we have started. When do you think that the utilization levels may be in Q3-Q4, how does this ramp it up to like 50%, 70% utilization?

Manu Talwar: We will be hitting 50% to 70% range of utilization in just about next 50 to 60 days' time, not later than that.

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Amit Purohit: Okay. And this clearly would have a benefit on two accounts. One, you would be able to better service this West region and Central part of the region. And the second is obviously on the cost side, the freight cost would be lower, right?

Manu Talwar: Yes.

Anoop Bector: Yes. On the other side, it is also a line which can produce very different types of biscuits. So the premiumization will also start playing in. But the premiumization, what we are doing, we've already developed the products. We are going to be introducing these products into the market initially in the export market.

And so there are three benefits. One is the transportation, logistics. Then we do have NPD possibility, which is now getting exponential, right? I mean, because every biscuit plant cannot produce the required NPD, what we are aspiring. So the Indore line does have that capability to give us a lot of new biscuits for the market. But it is going to be -- it rea

lly will come in time. So

it can't come in immediately. So there would be a time of 3 to -- 3 months or a quarter or 1.5 quarters, where things will actually start flowing in very fast.

Amit Purohit: Okay. And the health foray, it is largely on the Biscuit side? Sorry, I could not understand that part that you talked about.

Anoop Bector: No, the health foray is overall. I mean we -- whatever we produce, a fraction of our production is going to be health, where we are talking on the Biscuit side, on atta -- replacing maida with atta and certain products. In the Bakery side, like we said, we are bringing in a lot of atta products where customer feels more comfortable eating it.

And then we've launched the clean label product, which is without chemicals. It's absolutely clean. The clean label brand is called NaturBaked so it is showing positive results. And with this, NaturBaked has just come in, I think, probably a month back. So it's very, very initial, but it is doing well. And that's the need of the hour that we produce products which are absolutely clean. It avoids palm oil. It avoids chemicals. So it's like eating a homemade food.

Amit Purohit: Bakery side, right? Sorry.

Manu Talwar: Amit, no, no, both sides. So Sourdough which is a very new innovative product, which we launched on the e-commerce channel. It comes with no palm oil, right? And similarly, we launched the atta pav, as well as we launched Kulcha, which is 100% atta.

So this health journey will continue to build on both sides. Yes, we have done much faster actions on the Bakery side, where the adoption by the consumer is much fast paced as compared to Biscuits, but Biscuits also, we have started doing, and there are a few more things lined up over the next 90 days.

Amit Purohit: Sure. And anything on the margin outlook, sir, for next year, given the now changes in import duty? What do you think would it be? Now a bit more earlier last quarter, you called out, I mean, probably Q1 -- post Q1 and onwards, you would see normalization of margins. Do you stand the similar guidance?

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Manu Talwar: So look, Amit, what I see, it may take almost H1 by the time the normalization of kind of margins happen for us, right? It will start getting better. But it will take about 6 to 9 months. It will be almost that kind of period as of now. It will take that time because there are a few reasons for that. The reasons -- yes, the good news on custom duty cut on the palm oil will definitely kind of help us. But you -- we've always been maintaining and as you heard in the speech also, we were taking very calibrated price increase.

We were not taking price increase in a kind of more that we just need to cover all the cost because we also need to keep the consumer in mind, right? So with these calibrated price increases, we knew that we will be able to cover so much on margin because of those prices. And there is something which will come through cost efficiency or any other positive impact on the commodity side. So yes, it would take about 6 to 9 months' time as it looks like now for us to get into the full margin recovery.

Amit Purohit: Sure. So for FY '26, 13% to 14% range is a fair estimate, right?

Manu Talwar: Our endeavor is that. Absolutely, our endeavor is that, that we kind of achieve that on a full year basis.

Moderator: The next question comes from the line of Sonia Keswani from Negen Wealth.

Sonia Keswani: Sir, I had a couple of questions on the working capital front. If I see the debtor days have largely remained constant year-on-year. But they had increased significantly in FY '24. And the reason for that was the Red Sea issue that happened. So right now, given the debtor levels for FY '25 are largely similar to FY '24 and if I assume export grew much faster than domestic, has that issue normalized? Or has it improved in a

any sense? Any color on that?

Manu Talwar: So firstly on export -- in terms of overall debtor in terms of number of days, we have improved over '24 by 10%, right? And Red Sea issue still persists. It has not gone away. It still persists. So that challenge is still there with us. But yes, it has reduced a little bit, not much. But just to clarify that our debtor days has improved by 10% over financial year '24 and in '25.

Sonia Keswani: Okay. So that improvement in debtor days has come on the export front also?

Manu Talwar: Marginally, marginally it has come from that side. Yes.

Sonia Keswani: Okay. And can you give me a rough percentage of how much exports would be as a percentage of our total revenue?

Manu Talwar: We normally don't share. We share Biscuit segment and Bakery segment, right? So please excuse me from that. As of now, we have started sharing. We share only up to the Biscuit segment and the Bakery segment.

Sonia Keswani: Got it. The other question was on inventory. It has increased by over INR 300 crores year-on-year, and even the inventory days have shot up. What is the reason behind that?

Anoop Bector: So inventory -- Manu, would INR 300 crores be right figure?

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Sonia Keswani: INR30 crores.

Manu Talwar: Pardon?

Sonia Keswani: INR30 crores, I suppose, sorry. I think INR 300 million, yes, right.

Manu Talwar: Yes. So our debtor days have gone up marginally by 10%, again over last financial year. And it primarily happened on account of some additional FG inventory being built up -- was built up in the month of March, but that's being neutralized in the first quarter. So it should get back to the same level as FY '24 by June end.

Sonia Keswani: Okay, sure. Got it. And my last question was on the Bakery segment. So this 20% growth that came in, in Q4. And if I see -- yes. So -- and it was 18% on a year-on-year perspective in FY '25. So which segment -- if you can help me understand which segment was the key growth driver in terms of Institutional and English Oven...

Manu Talwar: Last financial year, both grew well. So both B2B business and English Oven business, both have grown very, very well. Into B2B segment, I would like to just highlight that, as I was saying earlier that over the last 2-3 years, we started building up a frozen business, right? And this frozen business, both on the sweet and the savory side, has really shown a good traction over the years.

So last year, a large part of very aggressive growth, a very good growth which we saw on a frozen side, right, and which has driven. As we all know, QSR still the growth are there, but still -- they're still to come back to their previous level of good growth, but frozen business has grown extremely well on the last financial year, which was a very high double-digit growth.

Sonia Keswani: Okay. And is the -- apart from the frozen segment, the QSR segment that you said is yet to come back. So is it growing in low single digit? Or how is the number like?

Manu Talwar: No, no. So yes, they are just about low double digit for the last financial year on the revenue side, yes.

Moderator: The next question comes from the line of Harit Kapoor from Investec.

Harit Kapoor: So I just wanted to check on this innovation side. If you look at this quarter, this last quarter, which you've seen a bunch of new things that have happened driven partly also by the Quick

Commerce proliferation. It seems like '26 will be a year of significantly higher innovation given the number of things you guys are planning. Just wanted to get your sense on do you think this can be a material driver for domestic growth, both for biscuits and breads this year around, especially FY '26?

Because it seems like you have bunch of things in pipeline, along with the fact that your capex expansion is also happening. Just want to get a bit of c

olor because it seems like it's a bunch of exciting new things. So just your thoughts on this.

Manu Talwar: Yes. So very right, Harit. We have pressed the pedal for the new products and differentiated products, both for the Biscuits and the Bakery side. And we have done few launches over the

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last few months, and we will be building it up very, very aggressively over the next about 9, 12, 15 months to come.

Will they start contributing in the financial year '26 itself substantially because any new product takes time to kind of build up in terms of revenue cycle, so -- but yes, for the future perspective, these are differentiated. These are new products where we are finally taking a route of quick com, e-com and our Cremica preferred outlets on the Biscuit side. And similarly, the same way we are taking a route of quick com and also general trade in the English Oven side. But yes, we are betting a lot.

And as I said earlier that on the Biscuit especially, we're very clear that we won't be launching me-too products. Our all launches will be differentiated products as we have just done with 2, 3 products in the last 90 days, and we will build up that. The buildup will take some time. The buildup resulting in huge revenues in this financial year itself may not happen. But yes, over the next few financial years, they should create a differentiation and revenue growth trajectory for us.

Harit Kapoor: Fantastic. And the second is on distribution, specifically on biscuits and breads domestic distribution. If you could just highlight for this year, is the plan a slower rate of growth in distribution, a number of outlets, both on biscuits and breads or the pace of expansion this year, is the focus more innovation, less distribution? Just a little bit sense of distribution.

Manu Talwar: So whenever I'm interacting, I point out one thing. The objective of distribution always has been to increase the customer reach, right? And what has dynamically changed over the last 2, 3 years is that e-com and especially Quick Com has been able to demonstrate a much faster reach to the consumers. And consumers also has -- are enjoying the speed of delivery and ramping up on the Quick Com platforms, right? And we see the Quick Com platforms kind of really kind of taking off.

So from our focus point of view, the first thing is English Oven side, we have done extremely well on the Quick Com side, and we were ahead of the industry curve, and we have created a good market share there, and we continue to maintain the lead there. So on a Quick Com side, we -- our contribution in English Oven is almost -- is over 25%, right? And we continue to build and increase quarter -on-quarter.

Similarly, on the Biscuit side, we -- in our plan, we have put a lot of weight on driving the growth through the e -com, right? And all these differentiated products we just spoke about was to -- will ride on the e -com because e-com are the consumers, which want to try -- they relish the differentiated products. So a lot of it is going to drive our reach through Quick Com. Even on the Biscuit side, we have very aggressive plans to grow almost a few x times on the Quick Com side in the Biscuit. Alongside, we are playing on more weighted approach. What do I mean by weighted approach is that CPO, the Cremica-preferred outlet, has done extremely well for us. If you look at '23, '24, we were around 4,000, 4,500. Last year, we ended around 7,000. And they started contributing a fair amount of contribution to our business.

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So a lot of focus is going on CPO and further driving them. Again, we have a plan of growing CPO outlets by almost 30% in this financial year. So these are the two approaches we are taking to drive the reach -- consumer reach, right, in both Biscuits and

Bakery side.

In the Bakery side, I would just add that we will be now entering Calcutta. Another 2-3 months' time, Calcutta will be ready to expansion. So we will start getting into Eastern side of the market.

And similarly, Khopoli plant, half the plant getting ready in September, in the balance half in Jan. We will have the capacity to expand much faster in the territory, which comes within 250-300 kilometers.

So a lot of other parts of Maharashtra, which are urban and strong Maharashtra, we would be expanding there and maybe some other side of the West also. So that's also I just thought use this opportunity to brief you in terms of driving the reach.

Moderator: The next question comes from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: Sir, my first question is on the QSR side of the business. Would you be able to highlight what is the salience of QSR segment to us? And are we seeing now any improvement in QSR for first 2 months of FY '26? That's my first question.

Manu Talwar: So I think that what we clearly see that all QSR partners remain very committed to investing, opening new stores and are driving the business towards the growth side. And so yes, there are some signs of improvement, but we'll have to look at some more -- look at for some more quarters in terms of trend of growth on the QSR side.

And yes, so the partners are committing. They are opening new stores. They are driving the growth. And I'm sure growth will get back to the earlier levels in a strong double digit. Last year, we have grown our revenues in double digit.

Akhil Parekh: Okay. Okay. And salience of the business, if you can highlight that?

Manu Talwar: Pardon?

Akhil Parekh For the QSR business, how big it is for us, if you can highlight that?

Manu Talwar: So our B2B business on the Bakery side is approximately 11% to 12% of our revenue.

Akhil Parekh Okay. My second question is what are the potential sales possible from the Indore facility at the peak capacity utilization?

Manu Talwar: All the capacities which we have added, including the Khopoli, which will get commissioned in this financial year, and the current Khopoli plant will move to some other place. We should expect, on a full usage -- full utilization basis, revenue on current prices can be close to INR 3,400 crores.

Akhil Parekh This is for combined 3 facilities, you said? Sorry, I didn't get it. Indore, Khopoli, and Calcutta?

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Manu Talwar: No, no. Yes. Yes, you're right, with these all 3 facilities coming. Indore has already come in and Khopoli and Calcutta also coming in. And that today current plant, which we have in Khopoli, which will get relocated to some other territory. So taking all that into account.

Akhil Parekh Sure. And last question on the capex side. Is it fair to assume our capex cycle is over for at least next 2 years and we'll have only maintenance capex starting from, say, second quarter of FY '26?

Manu Talwar: So capex, because we have a lot of WIP in capex, whatever projects we started, Khopoli will complete this year, Indore got commissioned this year, right, in the FY '26. Khopoli will also

get commissioned in FY '26, Calcutta, so our capex cycle will start coming down considerably from FY '27.

Moderator: The next question comes from the line of Shirish Pardeshi from Motilal Oswal Financial Services.

Shirish Pardeshi: Just two quick questions. If you can spell out for FY '25, what is the volume contribution for the export business? And what is the total volume growth we have achieved in FY '25?

Manu Talwar: So other than our co-pack business, our volume growth in FY -- just give me a minute. In FY '25, our volume growth was in single-digit, right? It was a high single-digit kind of volume growth, both in Biscuit and Bakery.

Shirish Pardeshi: And what is the entire volume contrib

ution from exports for FY '25? I'm talking about the

Biscuits. I'm talking the Biscuits.

Manu Talwar: So Biscuits revenue growth -- contribution.

Shirish Pardeshi: Volume, volume.

Manu Talwar: Volume contribution will be difficult for me to answer because we look at Biscuits in pounds and we look at Bakery in pieces.

Shirish Pardeshi: That's what I'm asking, what is our Biscuit volume?

Manu Talwar: Biscuit volume contribution to what?

Shirish Pardeshi: To the overall volume, what we have achieved in FY '25.

Manu Talwar: That's why I'm saying both...

Shirish Pardeshi: Biscuits, I'm asking.

Manu Talwar: Okay, you were asking what is the contribution of domestic and biscuit, right, you're saying?

Shirish Pardeshi: No, if we have done the volume for biscuits is 100, what is the export contribution to that 100? I'm only talking about Biscuit as a segment.

Manu Talwar: Yes. So it's a 50% to 53% kind of range.

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Shirish Pardeshi: Okay. And just one follow-up here. What is the gross margin we would have achieved in FY '25 on the export biscuit business?

Manu Talwar: We don't share segment-wise gross margin, right? We share overall, which is given on the financials.

Shirish Pardeshi: Okay. The last question on the -- do we have any particular contribution to be achieved in FY '26 from the new product segment?

Manu Talwar: Yes. So we are targeting to get close to 5% of our revenue. That's our target. So we want to get close to 5% of our revenue contribution coming out of NP D.

Shirish Pardeshi: And this you will achieve with the existing product, which is already launched?

Manu Talwar: Yes. So the products which are launched and they will be launched, right. This is for the financial year '26.

Moderator: The next question comes from the line of Bharat from Moneycontrol Pro.

Bharat : Sir, can you provide the growth outlook for the Bakery business for the current year?

Manu Talwar: So Bakery business for the current financial year '26, we expect it to grow somewhere mid to high teens.

Moderator: The next question comes from the line of Amit Agarwal from Kotak Securities.

Amit Agarwal : Sir, my question pertains to raw material prices. Britannia in its latest call mentioned that they are currently experiencing commodity tailwinds, so are we experiencing the same?

Anoop Bector: Yes. So commodity prices, there is softening of commodity prices at number of places. But at certain areas, commodity prices are still strong. Milk is not -- milk is higher than last year. And cocoa prices still grew strong. But yes, there has been softening in prices of palm oil, which forms a considerable part of the inflation for our sort of product. And there is a softening in that. And also just 2 days back, we have seen some price reductions, which will come in the form of custom duty reduction. So I mean, if you look at it in that prospect, yes, there is a softening of prices.

Amit Agarwal : So can we expect our margins to improve only because of softening of raw material prices going forward?

Anoop Bector: So there would be some impact. It is too soon to really call for it because I mean the reduction in import duty has just happened 2 days back. So we are also seeing what is going to be the impact, but there will be some positive impact on this.

Amit Agarwal : And sir, Q3 call, we had mentioned that we may see improvement in operating margin trajectory from Q1 of FY '26 onwards. So are we on track to achieve that?

Manu Talwar: Pardon? Come again, sorry, Amit?

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Amit Agarwal : Q3, we had mentioned that Q1 FY '26, we will see margins improving for the company. Currently, we are at around 12.5%. So we did a margin of around 14.5%, 15% in the past. So are we on track to get back to that old level?

Manu Talwar:

So not in Q1. I just answered before also when Amit from Elara asked that as of now, the visibility is that it will take about almost up to end of the quarter 3, we should be able to neutralize our margin and get back to the earlier margins.

Amit Agarwal : Okay. And sir, any guidance on the volume front, like since we are an expanding company, we were primarily present in NCR earlier. Now we are expanding to West, East. So our volumes have grown at around high single digits. So can we see this to grow double -digit going forward?

Manu Talwar: As of now, our volume projection is also same what in line to grow high single digit and get close to double -digit volume growth, right? And that's the plan.

Amit Agarwal : No, sir, because West will start contributing because of the Khopoli plant contributing and even you mentioned that Q2, we will see even East, Calcutta starting to -- isn't that adding up to volumes?

Manu Talwar: So Calcutta will start adding from Q2 to the volumes, but Calcutta is absolutely a new market for us for English Oven, right? And so that market will take some time to kind of build up. We will be introducing the English Oven brand to the eastern side of markets, especially Calcutta to start with. And the ramp -up will take a few quarters to do that.

Amit Agarwal : Volumes more or less will remain same what we experienced in FY '25?

Manu Talwar: I'm talking in terms of growth, yes, we are aiming to grow double -digit volume growth in this financial year. So that's endeavor.

Moderator: We take the next question from the line of Gaurav Gandhi from Glorytail Capital Management.

Gaurav Gandhi : Just one question. As of now, we don't see much presence of Cremica brand biscuits on the shelves of modern retail chains or Quick Commerce platform, at least in Maharashtra. So as the new biscuit facility at Dhar has commissioned, what's the plan to improve the presence in these areas?

Manu Talwar: Yes. So with Dhar facility coming, certainly, our reach into the West region, Maharashtra, Gujarat gets stronger. And the objective is to drive our presence both in M P channel as well as the e-com, quick com channel in a much faster pace and Central India also.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I now hand the conference over to the management for their closing comments.

Anoop Bector: Thank you, everyone, for joining us. I hope we have been able to answer all your queries. In case you have any further details, you may please contact us or MUFG Intime, our Investor Relations partner. Thank you so much.

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Moderator: Thank you. On behalf of Mrs. Bectors Food Specialities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

MBFSL/CS/2025-26 22nd August, 2025

To,
Department of Corporate Relations,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 To,
National Stock Exchange of India Ltd,
Exchange Plaza, C- 1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q1 & FY26 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith
tr

anscript of the earnings conference call of the Company held on 14th August, 2025 to discuss Q1
& FY26 results.

W

e request you to kindly take the same on record.

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud

Company Secretary and Compliance Officer

M.No. F10412

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"Mrs. Bectors Food Specialities Limited Q1 FY'26
Earnings Conference Call "

August 14, 2025

M

ANAGEMENT : MR. ANOOP BECTOR - MANAGING DIRECTOR , MRS.

BECTORS FOOD SPECIALITIES LIMITED

MR. MANU TALWAR - CHIEF EXECUTIVE OFFICER ,

MRS. BECTORS FOOD SPECIALITIES LIMITED

MR. ISHAAN BECTOR - WHOLE -TIME DIRECTOR , MRS.

BECTORS FOOD SPECIALITIES LIMITED

MR. PRAVEEN KUMAR GOEL - WHOLE -TIME

DIRECTOR & CHIEF FINANCIAL OFFICER , MRS.

BECTORS FOOD SPECIALITIES LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Mrs. Bectors Food Specialities Limited Q1
FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Bector. Thank you and over to you, sir.

Anoop Bector: Thank you so much. Good evening, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend a warm welcome to all participants on Q1 FY '26 financial results discussion call.

Today on this call, I have with me Mr. Manu Talwar – our Chief Executive Officer ; Mr. Ishaan Bector – Whole -Time Director ; Mr. Praveen Kumar Goel – Whole -Time Director & Chief Financial Officer. We also have MUFG Intime with us on the call who are our Investor Relations Advisors.

I hope everyone had a chance to review our Investor Deck and Press Release which was uploaded on the Exchanges and our Company Website .

In a challenging macro environment, the Company has delivered a resilient start to FY '25-'26, recording a 7.6% year -on-year increase in revenue from operations and delivering an EBITDA margin of 12.3%.

Coming to the macro environment :

We are cautiously optimistic about the prospects of the urban segment. On the back of recent interest rate cuts and the rationalization of the tax slab, we are seeing early signs of recovery. On the inflation front, particularly in the raw materials, the sharp price hikes driven by geopolitical disruptions and supply chain bottlenecks appear to be behind us. Prices of key commodities like cocoa, palm oil and maida, even though still elevated, are now stabilizing. A stable raw material price environment going forward should translate into stable end consumer pricing and help propel demand. The sharp increase in input costs was effectively mitigated through strategic pricing actions and initiatives undertaken under Project Impact. The Bakery segment delivered its highest -ever quarterly performance of Rs . 183 crores, a 19% growth for the quarter. This was led by English Oven, whose market -leading brand equity, superior product quality, and high consumer trust have been instrumental in driving momentum. We continue to strengthen our position in the incumbent market and are now also aggressively pursuing geographic expansion through both distribution and brand- building initiatives.

Coming to the biscuit portfolio:

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A top-line growth of 3% underlines the challenges faced by the exports business. The exports business continues to operate in a highly volatile environment. The uncertainty of tariffs, slow passing of input price hikes on account of muted demand, and supply chain disruptions due to geopolitical tensions continue to be challenging. Business from America has been particularly impacted. However, we remain in close engagement with our customers to drive through this uncertainty.

On the domestic front :

All price actions have been factored in and now end pricing has stabilized. The growth rates, even on the back of sharp price hikes, have improved consistently quarter -on-quarter from Q3 last year, indicating resilience and provides an optimistic outlook as broader consumption improves. We continue to scale up and enhance business contributions from innovation. Our innovation philosophy is to upgrade and enhance consumer experience through differentiation by use of healthier ingredients, convenient formats, and rich experience products. Products like shortbreads made with 25% butter and no p

alm oil have performed well in the indulgence segment. In the kids' snacking category, we introduced animal -shaped crackers under the brand name Teddy's, which continue to scale up well. Tapping into the demand for convenience anytime in -home indulgence and building in our Bakery expertise, we entered the ready -to-eat dessert segment with the launch of Choco Lava Cake, Muffins , and Brownies , which continue to scale up well on quick commerce. In response to the growing demand for healthier alternatives, we launched our flagship coconut cookies with 'Zero Maida', offering at Rs. 20 for 100 grams. Additionally, we are building a pipeline of 'Health -First Products' , which should be out in the next few quarters.

Furthermore, we launched a clean label range of breads under NatureBake, a 'Health -First Exclusive' brand with 'No Maida, No Palm Oil, No Added Colors , and No Preservatives ' , with the proposition. 'It is Honest , it is Clean , it is NatureBake '. Developed with super seed and whole wheat flour flavors , early feedback has been encouraging, and we plan to scale up this range with more exciting offerings in the future.

On marketing :

Having recovered from the input price drop in the last quarter, we regained our committed spend to build and invest in behind our brand. In the Cremica priority markets, a blend of mass media,

TV and outdoor, and BTL activities like out-of-home campaigns, wall paintings, vehicle branding, along with participation in exhibitions and melas helped gain significant visibility for the brand. We celebrated Mother's Day with a heartfelt YouTube film, Maa Ke Sapno Ka First Birthday, honoring mothers and their dreams, which resonated deeply with our audience. As the next driver of growth, English Oven has expanded both its reach and visibility in the top 14 cities of North through a large outdoor campaign.

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On the technology front :

We have made significant advancements aimed at strengthening our operational backbone. In manufacturing and supply chain, we have rolled out digitization initiatives across 50% of our plants. In sales and distribution, the deeper adoption of our distributor management system across 60% of distributors is delivering enhanced visibility, real-time tracking, and improved order fulfillment. Additionally, our technology investments have enabled better management of trade spends and improved key sales force metrics, including productivity rate and territory coverage. On our new biscuit facility in Dhar, commenced operations in May and is currently in a phased ramp-up to ensure operational stability. Full-scale commercial production is targeted for Q 2. Once fully operational, the plant will not only deliver improved operational efficiency and enhanced service level but also strengthen our manufacturing capability for the differentiated products, playing a pivotal role in driving the growth of our product portfolio. On the Bakery front, we remain focused on scaling operations to capture growth opportunities. Our plant in Kolkata is going to be commissioned in Q3, and the facility in Maharashtra is going to be commissioned towards the end of the financial year. In line with our commitment to enhancing shareholder value and improving liquidity, the Board has approved a subdivision of equity shares whereby each fully paid equity share of Rs. 10 face value will be split into five fully paid-up equity shares of Rs. 2 each. This move, subject to the shareholder and regulatory approvals.

Moving to our financial performance for the quarter, starting with Biscuits :

Our Biscuits Segment reported revenue growth of 3%, which stood at INR 281 crores in Q1 FY'26 as compared to INR 273 crores in Q1 FY '25. The segment has grown by 26% over Q1 FY'24.

Our Bakery segment revenue for Q1 FY '26 stood at INR 183 crores against INR 154 crores in

Q1 FY25, thus registering a growth of 19% on year-on-year basis, including retail Bakery and institutional segments. This segment has grown by 35% over Q1 FY '24. The consolidated revenues of the current year stood at INR 473 crores versus INR 439.4 crores in Q1 FY25, thus registering a growth of 7.6% on year-on-year basis. EBITDA stood at INR 58.2 crores, while EBITDA margin for the quarter stood at 12.3%. PAT stood at INR 30.9 crores for the quarter and PAT margin for Q1 FY '26 stood at 6.5%.

Thank you so much. Over to you.

Moderator: Thank you. We will begin the question-and-answer session. The first question is from the line of Resham Mehta from Green Edge Wealth. Please go ahead.

Resham Mehta: Thank you. So, the first question is on Biscuits . Two-part question here. Domestic Biscuits and export Biscuits . So, domestic Biscuits , the growth has been very, very muted. Now, since we have taken all the pricing actions and the RM, the raw material costs are also largely stable, like

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you called out. What is the kind of growth that we are expecting for the balance nine months or from here on?

Manu Talwar: So, in the domestic biscuit side, what we have seen that over the last 2 to 3 quarters, there has been improvement in the revenue growth quarter-on-quarter, right? Even this quarter, revenue growth was better than last quarter, right? And we are very hopeful that these trends will kind of build up and especially when the festive season also kind of hit. So, we are definitely targeting, right, that we should be able to build up in the next two quarters and get to a run rate of a double digit growth over the next 2 quarters' time. So, that's what we are gunning for or that's what we are heading for, targeting to keep improving this growth rate from a high single digit and take it to a double digit growth and build it up.

Resham Mehta: So, just taking a step back, right, the headwinds that we were facing in our domestic biscuit business was essentially that, demand was muted and, you know, we had taken price hikes, which probably, you know, in a muted consumer environment did probably, further suppress demand and there were competitive pressures also. But now, with that, I mean, the muted demand kind of still remains or do you see that there is an improvement in the demand sentiment in urban areas?

Manu Talwar: So, there is definitely, that's why I said, if I look at Q3 of last year to Q4, Q4 to Q1 of this year, it has been quarter -on-quarter, the growth has been improving, right? There's a clear -cut trend of sequential improvement in growth quarter -on-quarter. We are at a high single digit growth in domestic biscuit business, and we are very confident that over the next two quarters there has been a fair amount of steep price increase in the last six months ' time, which is also kind of settling in now and commodity prices have also stabilized. So, we have worked and the festive season hitting, we should be able to move the growth sequentially up in the next two quarters also and get to a sustained double digit growth going to the Quarter four of this year and then the next financial year.

Resham Mehta: So, the Q1 domestic biscuit growth was in high single digits, like you called out, correct?

Manu Talwar: Yes.

Resham Mehta: Year -on-year, right? And this is year -on-year you're talking about?

Manu Talwar: Year on year, yes, absolutely.

Resham Mehta: Right, which effectively means that there has been some kind of a degrowth or very muted growth in the export side. Can you specifically call out, like, what exactly are the issues here and how big would our US exposure be and how can we kind of mitigate this?

Manu Talwar: So, basically, what happened is uncertainty had impacted the phasing of the orders, right? And because of the phasing the order, discussi

on with customer, the announcements coming and

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changing has kind of delayed these orders. And as far as our US business, which is impacted is about 20% odd, which is there. But, while these things were settling down, our dispatches in June and Quarter 2 had started building up and then again this announcement came up, heavy impact of 50%, right? And then that is again, kind of created an uncertainty, no doubt about that. We are in touch and engaging our customers and we are also hopeful that somewhere, there would be some resolution which Indian government and US government will also work out. So, very hopeful by end of August, things should be better and clear. But yes, we are engaging with the customer to kind of make this happen.

Resham Mehta: US is 20% of your export biscuit revenues, right?

Manu Talwar: Yes, approximately .

Resham Mehta: Got it. And lastly, on the margins front. So, from here on consider pricing actions have been affected and the raw material input prices are largely stable. So, can we see gross margins Q2 onwards kind of improving and going back to 47%-48% kind of levels, which effectively would, perhaps lead to transmission into improved EBITDA margins?

Manu Talwar: So, first thing is definitely we are looking at EBITDA margins to improve, right? Our EBITDA margin in this quarter was also further impacted by the business mix, right? With change and exports being low. So, but yes, in the coming quarter and the coming quarters, as we had indicated in previous call also that from Quarter 2 onwards, we will start getting back to our EBITDA margins of close to 14%. And we are working in that direction, we are confident of getting there.

Resham Mehta: The last one, if I may, so the Bakery business 19% revenue growth, can you break that up into the B2C and the QSR business?

Anoop Bector: Excuse me, Manu, just corrected that, it is 20% of the export business, not B2C.

Manu Talwar: Sorry, it is 20% of export business, it is just about, close to 5 %-6% of our overall business. So, America, which is impacted as a percentage of export is 20, but overall business should be around 5% -6%. Coming to Bakery side, obviously our B2C business is growing very healthily.

We don't share the numbers separately. But yes, English Oven growths are much more healthy and excessive compared to B2B. B2B or QSR business, we are growing, right, but it continues to be on a low growth mode as compared to English Oven, which is B2C business.

Resham Mehta: Export part is overall US revenues is just 5 %-6% and largely...

Manu Talwar: Of overall revenues.

Resham Mehta: Yes, of overall revenues and largely the impact I would imagine, would have been on the US business, on the export side.

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Manu Talwar : Let me just correct it. What has happened is that currently we do not face our supply and demand going , as normal. But what had happened was that we have a lot of Inaudible(18:51) over stocks , which could not be, it is in transit, right, the stocks were in transit. So, otherwise till now, our business is as normal, but there have been a lot of fluctuations. Once, they started with 25%, then they started with 50%. So, the shipping documents, we are waiting for our customers to respond. So, at the moment, our business, we are supplying all orders as they are. We continue,

we shall be continuing to doing similar business in Quarter 2 also. And, but the total US business is 5% of the total company sale. That is what, it is at the moment.

Resham Mehta: Sure. Thank you. I will join back the queue .

Manu Talwar: Thank you.

Moderator: Thank you. The next question is from the line of Priti Agarwal from SK Associates. Please go ahead.

Priti Agarwal: Thank you so much for the opportunity. My first question

is that the Bakery segment grew 19%

year-on-year, significantly outpacing the Biscuits Segment . So, what specific product innovation or market strategy contributed to this growth?

Manu Talwar: Ishaan, you can take this first.

Ishaan Bector: So, on the Bakery side, we have basically always been saying that our vision is to be a pan-India player. So, there's two parts to it. So we have extensively increased our distribution. We have also entered into the upper north geographies of Punjab. We are also seeing where as an early mover into the category, we have a very strong market share on the quick commerce, where we are aggressively working, we are gaining market share, our products have been well accepted.

On the general trade side, we despite a significant movement of volume going into quick commerce, we are continuing to increase our distribution. So, in both the categories, whether it is general trade or quick commerce, we are seeing positive numbers in terms of growth. So, like I have always said that English Oven still has a long journey to become a national brand and to be in a line of vision of being the top three brands in India in the Bakery segment . So, expansion is one such thing. Secondly, we have also noticed that a lot of trend has gone towards the health segment. So, we were again one of the early movers into catching this health segment. In fact, most of our breads today on the healthy side are made of no maida, they are using no palm oil.

We have also now added a new brand to our portfolio, which is called Nature Bake, which by this month will be available across all the geographies where we are currently operating in. And

this is taking the health portfolio to the next level where, on top of the no maida, no palm oil , we are also removing preservatives from our products. We are removing any kind of emulsifiers.

Right , I think we are focusing on the trend well and focusing on expanding distribution and maintaining more importantly a high market share in Q com. So, we are excited about the time.

Priti Agarwal: Understood. So, better market strategy is helping us to target specific pockets of the region?

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Ishaan Bector: Yes.

Priti Agarwal: Understood. My second question is that what is the current contribution of e-commerce and modern trade channels to overall revenue? And how do you see this evolving in the next few years for the Bakery as well as the Biscuits Segment ?

Ishaan Bector: So, for the Bakery , it's about 30% our contribution of modern trade and e-commerce, quick commerce. What we are seeing is that this contribution stood and will go up higher as expansion of these segments, quick commerce becomes deeper into tier 2 cities as well.

Priti Agarwal: Understood. And lastly, on exports, how are we navigating geopolitical disruption in the export markets, especially given our presence in more than 70 countries?

Manu Talwar: So, we are not facing any concerns other than the US market. So, otherwise, business is as normal. But what has happened is that with a lot of US disruptions going on, final deadline, a lot of shipping, transportation has been moving in and out to other countries. So, that was one disruption. Otherwise, other than the US, we don't foresee anything coming back, anything other than the US. Everything else stands normal to us.

Priti Agarwal: Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Motilal Oswal. Please go ahead.

Shirish Pardeshi: Hi team, thank you for taking my questions. Ishaan, starting from the Bakery business, can you break down this 19% in terms of volume and value?

Ishaan Bector: So, growth for us in Bakery this quarter has, I would say, 65% has been a volume led and the balance being value. A large factor of this is also focus more on premiumization

on, right? So, as

the QCom mix has improved, our listings on QCom are of the premium category, which also helps increase our premiumization mix. So, it's been largely volume driven followed by that.

Shirish Pardeshi: So, is it primarily driven by the new product in the Bread segment, the growth will be significantly higher than the overall?

Anoop Bector: No, firstly, it's not. So, a lot of our products have also become revamped, right? So, it's not like we have introduced many new products. It has been re-engineering of existing products to make them healthier. I think that has worked, right? And Nature Bake as a brand has just been launched a month ago. We are getting a good response for it. I think it is just the start of Nature Bake. So,

it's largely been through existing products rather than new products, re-engineering of existing products as a better product for the customer.

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Manu Talwar: As Ishaan explained it earlier, so, there are two things to that. Quick Commerce, we are the kind of leader there. So, our share in Quick Commerce is the Head of the GT channel and the transition of consumers from GT to e-commerce and e-commerce growing very exponentially is helping us and drive our overall growth. The growth territory where we have been investing which was outside NCR, which is whether it's a UP or Haryana or Rajasthan and now Punjab or Bombay is something which continues to be growth engines for us and will only increase in terms of growth trajectory over the coming years.

Shirish Pardeshi: Okay. Manu sir, thank you for that. It's really helpful. But just one follow-up. Nature Bake, what price premium you are charging at this time?

Manu Talwar: What?

Shirish Pardeshi: Price premium you are charging to your other maida breads?

Ishaan Bector: So, price, definitely, the whole wheat category is the multi-grain category. Our price is more expensive, also have higher gross margins for us, you know, than white Bread. And we are, very conscious of the fact that, in fact, a very big KPI for us in our organization is also premiumization as a percentage of sales and we continue to track that to and how we can improve it. As far as premiumization in the market as compared to competitors, we don't really, we are very well benchmarked to competition in terms of price.

Shirish Pardeshi: Yes, but towards our portfolio, is it at least 10% premium?

Ishaan Bector: As compared to competition?

Shirish pardeshi: Our Portfolio?

Manu Talwar: So, our realization of our mix on a per piece basis is much ahead of our competition, right? So, the question which you're asking that our premiumization percentage compared to our competition is much ahead.

Shirish Pardeshi: Okay. My last follow up on the Bakery, what is the distribution you have for the retail coverage for Bakery?

Ishaan Bector: In terms of number of outlets?

Shirish Pardeshi: Yes. And what is the plan to grow over the next one year? I mean, are you trying to look at any new markets?

Ishaan Bector: See, we are definitely looking at new markets. For us, even Punjab is a new market. I mean, at the present in Punjab, our distribution is quite limited. Even let's say the top 14 cities, right, we are seeing month on month improvement in all geographies. For us, Mumbai, as new plant comes

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up, it's going to be a priority market where we are going to see, our quality significantly ramp up. In fact, our newest plant, which is a fully automatic plant, which is going to be coming in, is also going to help in Nature Bake as a category. As you know, we are moving more towards preservative free Bread, automation is going to definitely help us, and I think it's an investment in the right direction. Calcutta is going to be coming up,

which primarily we will first be looking

at as a new market. So that will be our entry into the East, which we look forward to this year.

And yes, so this is what we are going to be doing. We are also going to be looking at adding at least one metropolitan city this year through a co-packing arrangement.

Shirish Pardeshi: Okay. My second and last question, we acquired Cremica facility and even brand. Is there any progress you can say or is there any update you have at this time?

Manu Talwar: Yes. So yes, Cremica brand, which we had acquired and we will be starting a journey with, adopting the Cremica brand in this particular quarter, the quarter we are in. And then we will build up, right? So we obviously have the first step in terms of using a Cremica brand, which will be executed in this quarter and then build it up from there onwards. So in terms of using Cremica on Bakery or not on Bakery side is something what we are into now over the next 4 to 6 months is. We are going to be investing in terms of research on our brands, where do our brands stay, what are our way forward on brands, right? And it's post that we would be more clear in terms of how do we take our brands forward. Where do we fit in the Cremica brand, which we acquired? But in terms of start using the brand in one of the segments is something which we will be executing in this quarter.

Shirish Pardeshi: Yes, I understand that, Manu sir, but I was just trying to, I am more curious because having seen the Cremica brand very strong presence in the Punjab and Haryana market, are you going to start it with the Bread segment?

Manu Talwar: So that's why I said whether to use this brand on the Bread side or not, it's something we are

investing in the research on the brand and the brand way forward, which will take about four to five months' time. And while we take a decision, because these are very serious long-term decisions, right? And so as we are instituting this investment in study and consulting is only post that after 4-5 months, we will take a call in terms of way forward. But yes, in terms of using Cremica brand in one of the categories, where we are not using it yet, we will be initiating that in this quarter.

Shirish Pardeshi: Okay. All right. And thank you and all the best.

Moderator: Thank you. The next question is from the line of Pratik Prajapati from Ambit Investment. Please go ahead.

Pratik Prajapati: Hi, sir. Good evening. I want to understand the domestic biscuit market share. Are we able to maintain the market share in last one year and what is our current market share? And the second

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question is on a distribution network side. What is our current distribution network on the biscuit side? And are we able to add any distribution network in the current quarter?

Manu Talwar: So, Prajapati, first thing is, yes, we have been able to retain our market share over the last 1-1.5 year when it has been highly, intensely competitive. And our market share in North India, where we are primarily present is over 4%, right? It is through our distribution, through our execution in the marketplace and supported by marketing, we have been able to, we have been able to kind of retain our market share, right, in Northern India, in our domestic biscuit business, right? And in terms of your second question, which was on distribution. In terms of distribution side, I want to clarify one thing that we continue to have build outlet over Rs. 200 a month, over 3 lakh outlets every month. So, that continues our direct reach is over 5 lakh outlets. And as per AC Nielsen, we are available in over 7 lakh outlets there. What we are following is to give more weightage to our weighted outlets, right? And these weighted outlets are Cremica preferred outlets, which are more premium and more kind of growth, they are de

livering us higher growth.

Second thing which we are focusing on domestic biscuit is to bring the success like we brought on English Oven on the e-comm side. So, quick commerce side is something which we are investing and driving because our objective of distribution is to reach more consumers. And today, e-commerce, as we have seen in English Oven is helping reach more consumers and customers, right. So, there's a lot of effort which is going on a quick commerce side and the Quarter 1, we had a very good growth on quick commerce side. So, we are very confident that over the next 4 to 6 quarters, we should be able to move quick commerce contribution, which was just about 1% to almost 4% to 5%, right, as a percentage of domestic business revenue, and it's moving in that direction. So, this is how I would define that how we are driving distribution, right, in terms of consumer reach for domestic biscuit business.

Pratik Prajapati: So, just to follow up on this, just want to understand, so you are more focusing on the e-commerce and quick commerce rather than more focusing on the GT and the MT side?

Manu Talwar: Okay, I will again clarify to you, what we are focusing is that our consumer reach goes up. And today, consumers are more shifting from GT to quick commerce. That's clear trend we have seen in English Oven and that strategy of ours has paid us very, very well in English Oven. So, we are investing more on quick commerce and high weighted outlets of GT channel with whom we call Cremica preferred outlets. These Cremica preferred outlets contribute more than 15% of our revenue of the GT channel, and they are growing much higher and they have much higher premiumization in these outlets. And beyond that, we are focusing more in terms of driving growth in the top 25 towns or cities. So, this is a triangular strategy in terms of reaching more consumers, more premium consumers, as well as driving the growth.

Moderator: Thank you. The next question is on the line of Vivek Gupta from Star Investments. Please go ahead.

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Vivek Gupta: So, my first question is regarding the input cost. I mean, they have remained elevated. So, what steps are being taken to optimize procurement or rather improve operational efficiency?

Anoop Bector: So, overall, we saw last year as a year where inflationary trends in commodities, especially wheat, palm, palm oil or oil and cocoa had gone up substantially. And then there has been a relief where government has given, has cut down on duties which has given the much needed relief. So, on our strategy, we look at especially on the wheat front where we do long-term hedging and palm oil is looking more subdued than last year. And cocoa prices, we are seeing, going forward, the futures are looking better than last year. So, that is where we are on the three-commodity side.

Vivek Gupta: Okay. So, my second question was regarding. So, on the advertising side strategy, are we looking

to onboard or resign our current brand ambassadors again? Also, are we focusing more on influencer engagement side or how is it?

Manu Talwar: As far as brand ambassador, we are in the process of evaluating that. We are forward on that. We continue to invest behind our brands and even in this quarter, we have upped our investment on brands versus previous quarter, both English Oven and Cremica. So, our journey to invest behind brands, which we strengthened over the last 2-3 years, it continues to kind of move in that direction. And so that we have also upped our investment in this quarter versus last quarter on behind our English Oven and Cremica brand.

Vivek Gupta: Okay. Thank you. That was from my side.

Moderator: Thank you. The next question is from the line of Akhil Parekh from B & K Securities. Please go ahead.

Akhil Parekh: Thanks for the opportunity. So, my first

question on the EBITDA margins, you highlighted that we will go back to 14% by second quarter. So, would it be largely driven by improvement in gross margin?

Manu Talwar: So, yes, it will be driven by both improvement in gross margin as well as the efficiencies in the cost below that. It would be both. And that's all will happen and also the scale, the revenue growth. So, three things. Revenue growth, bringing a scale, which will give a more better leverage of fixed cost, the improvement in value of gross margin. And third is bringing more efficiency in cost as a percentage.

Akhil Parekh: It's ideally because two more plants are yet to be commissioned, right? In Q3 and Q4? So, there will be a lot of upfront costs and sales will come through probably in FY '27 and '28 as they ramp up. So, isn't it a fair assumption that even though we may see improvement in margins led by gross level, but probably the other expenses and employee costs also will remain at elevated level till the time the other two plants ramp up next year?

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Manu Talwar: Yes. So, there will be some stabilization cost in terms of fixed cost of manpower and other expenses while these plants stabilize. Dhar plant came up in May. So, it's getting stabilized in this quarter. It will get stabilized. Calcutta is a very small plant. But yes, in terms of that plant starts delivering better revenues will take a few months. So, we will have some amount of fixed cost to bear for first few months by the time we start building the revenues, which primarily will happen in the next financial year. As far as Bombay plant is concerned, it will come up in two phases. The first phase will come up in Q3 of this financial year and second phase will come towards the end of the Q4. Yes, there will be some stabilization cost, which would be there, which will be able to leverage better in the next financial year.

Akhil Parekh: So, but despite that, you're saying we should be able to reach 14% in 2Q and hopefully it will improve from there on in FY '27 as well?

Manu Talwar: Yes, that's our endeavor.

Akhil Parekh: Okay. And sir, second and last question is on the Biscuits Segment. If you can just provide channel-wise sales mix in the Biscuits Segment?

Manu Talwar: On domestic biscuit?

Akhil Parekh: Yes.

Manu Talwar: So, you know, there are two large channels and there are other channels. In the two large channels, our general trade kind of contributes over 70% and modern trade e-comm combined contributes around 9%-10%. So, that's broadly I can share at this point of time. And then there are other channels which are there.

Moderator: Thank you. The next question is from the line of Sunidhi Joshi from KP Capital. Please go ahead.

Sunidhi Joshi: I just wanted to understand the key reasons behind this margin compression and how you plan to address it going forward?

Manu Talwar: You wanted to understand the reason of margin dilution, right?

Anoop Bector: Yes, compression.

Manu Talwar: You see, margin dilution primarily happened because of the steep increase in commodity prices December onwards. But we gradually started taking the price increase on a domestic biscuit side.

We are true with price increases and the full impact of that is being visible in the Quarter 2. As far as exports are concerned, we have spoken to customers and work on cost optimization. But we have not been able to pass on the entire part of the cost because our customers are already under pressure because of logistic costs and the local benchmark products available. How will we improve the margin now onwards is that as I told you that on a domestic side of the biscuit

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business, we have taken now all the price increases, the full impact of that is being visible in

this. The revenue

leverage or revenue growth would help. And Quarter 1 also there is one reason of margin getting impacted was our business mix and the business mix of exports being impacted more in the Quarter 1, which is being corrected in Quarter 2, will also help us to move towards a targeted 14% EBITDA margin. So, these are the two things. And third is that we are running a cost improvement program, which is called Impact, and that helps us leveraging on the cost side and impact positively on the EBITDA margins.

Sunidhi Joshi: Understood. And are there any new product launches or brand extensions planned for the upcoming quarters that you see could drive incremental growth?

Manu Talwar: Yes. As Ishaan was briefing you, we just launched Nature Bake on the Bakery side, where we are investing behind that brand and we want to kind of make it clean labor health-related brand.

In terms of Biscuits, we have clearly decided on a domestic biscuit side that we would create differentiated products. So, we are clearly taking a route of differentiated products to be launched. And so, what we launched was a shortbread, which kind of had been launched on a quick commerce and has seen very good customer response. And then we have launched for the kids, which is on the cracker side. And these are the mini crackers, which is again, we are building it up. And we again launched on the coconut, which is one of our leading categories, our leading variety. We have launched a coconut with zero maida, which has again shown a very positive response in the market. And so, animal cracker for kids, shortbread, which is again a no-palm oil product, and the coconut. These are the three products which we have kind of launched in the previous quarter. Yes, there are some more launches which have been lined up in this quarter and next quarter. I would not like to share this. I would also like to highlight as our Dhar plant has been commissioned and Dhar plant comes with a manufacturing capability of rolling out some of the very differentiated products. We won't be kind of sharing this on this call being confidential, but yes, in the coming months, you would be able to see some of those exciting differentiated products being further launched. So yes, a very global journey which has been planned on our new product side, which some of them have been launched and which will be built up. And there are some of them being planned in the Quarter 2 and Quarter 3 of this financial year.

Sunidhi Joshi: Sure. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Ronak Shah from Equirius Securities. Please go ahead.

Ronak Shah: Yes, thanks for the opportunity. My first question is regarding the competitive intensity. So how you are seeing the competition from both from the legacy players as well as the unorganized small regional players?

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Manu Talwar: Competition intensity continues to be high. It has not reduced for the last 18 months. Rather, if you would have heard the investor call just about 10 days back of the largest player in the industry there and we had clearly reflected on the high intensity, the regional intensity which is there. So intensity continues to be probably I would say at the same level. Our confidence continues to come through our distribution, execution, e-commerce focus and launching differentiated products so that we can build it over a period of time, right? And expanding through new products. So these are the few actions which we are building and strengthening in terms of build up. And that approach also remains on the English Oven side as much as on the Cremica biscuit side.

Ronak Shah: And sir, just to add on to that. So have we increased our ATL and BTL spends or how we are competing in terms of the execution and all?

Manu Talwar: So as far as BTL spends are concerned,

we are able to get efficiency. So what we have done over the last 9-10 months, we have been able to launch. We had an SFA which was helping us in terms of tracking, driving productivity efficiency. But now we have rolled out Botree DMS with almost 600 of our distributors. And here we are able to do a better secondary management, better scheme management and claim management. And we will also have a visibility of the inventory and the stock outs. So through the DMS, we are able to build and we have started to build efficiency on the BTL side. On the ATL side, on the marketing side, we continue to invest behind our brand. Digital continues to remain as a large platform to drive consumer connect alongside outdoor and a bit of a television media.

Ronak Shah: Okay, sir. Second question is regarding the margin. So, as you highlighted that the two capacities which are going to ramp up and it will take some time to stabilize that. So, how are you seeing the margin profile in next 1.5 to 2 years?

Manu Talwar: As I said, the first step for us after this commodity price impacted our margin was to get back to our margins. And then, continue to maintain those margins on a consistent basis. But the long

term endeavor is very clear that we are a Company which is equi focus on the revenue growth and margin growth. And that's what we have demonstrated over the past few years. So endeavor will be to also keep strengthening and growing up EBITDA margins alongside, growing our revenues.

Ronak Shah: Okay. So, sir, can we expect around 15 % to 16% kind of range in FY '27-'28 with all these initiatives and the efforts?

Manu Talwar: I won't quote the number on that because we also need to invest behind our growth. But yes, we will continue to build our margins in the next financial year.

Ronak Shah: Okay. Thanks a lot, sir.

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Moderator: Thank you. The next question is from the line of Resha m Mehta from Green Edge Wealth. Please go ahead.

Resham Mehta: Thanks for the follow up. Just one question. So, since you called out that one reason for the impact on margins was also the lower revenues from biscuit exports. So, can you just spell out what is the difference in margins between domestic biscuit business and the export business?

The overall domestic business and the export business?

Manu Talwar: So, we don't share margins separately. But only thing I can tell you, domestic biscuit business margin is below our average EBITDA margin and export is above that.

Resham Mehta: Any differential that you want to call out? I mean, not...

Manu Talwar: No, as of now, we don't call out that.

Resham Mehta: Fair. All right. Thank you so much.

Moderator: Thank you. Due to time constraints, we will take that as the last question for today. I now hand the conference over to Mr. Anoop Bector for closing comments.

Anoop Bector: Thank you everyone for joining us. I hope we have been able to answer all your queries. In case you require any further details, you may please contact us or MUFG s Intime, our investor relation partner. Thank you so much.

Moderator: Thank you. On behalf of Mrs. Bectors F ood Special ities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

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ursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on 13th November , 2025 to discuss Q2 & FY2 6 results.

We

request you to kindly take the same on record.

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or Mrs. Bectors Food Specialities Limited

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Company Secretary and Compliance Officer

M.No. F10412

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"Mrs. Bectors Food Specialities Limited Q2 and H1 FY
2026 Earnings Conference Call "

November 13, 2025

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ANAGEMENT : MR. ANOOP BECTOR – MANAGING DIRECTOR &
PROMOTER , MRS. BECTORS FOOD SPECIALITIES
LIMITED

MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER ,
MRS. BECTORS FOOD SPECIALITIES LIMITED

MR. SUVIR BECTOR – WHOLE -TIME DIRECTOR , MRS.
BECTORS FOOD SPECIALITIES LIMITED

MR. PARVEEN KUMAR GOEL – WHOLE -TIME
DIRECTOR AND CHIEF FINANCIAL OFFICER , MRS.
BECTORS FOOD SPECIALITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Mrs. Bectors Food Specialities Limited Q2 and H1 FY '26 Conference Call.

As a reminder, all participant lines will be in the lesson -only mode . There will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Bector , Managing Director and Promoter . Thank you, and over to you, sir.

Anoop Bector : Thank you so much and good evening everyone. On behalf of Mrs. Bectors Food Specialities Limited , I extend a very warm welcome to all participants joining us for our Q2 and H1 FY '26 Financial Results discussion call.

Today on this call, I have with me Mr. Manu Talwar – our Chief Executive Officer; Mr. Suvir Bector – Whole -Time Director; Mr. Parveen Kumar Goel – Whole -Time Director and Chief Financial Officer. We also have with us our Investor Relations Advisors from MUFG Intime .

I hope everyone has had an opportunity to review our Investor Deck and Press Release, which has been uploaded on the Stock Exchanges as well as on our Company Website .

I am pleased to share that the company has delivered its highest ever quarterly revenue of Rs. 551.4 crores, reflecting a growth of 11.1% , seeing a sequential improvement as well versus our Q1 growth of 7.6 %.

With this, our H1 of FY '26 has grown by 9.5% over H1 of FY '25. The strong top-line achievement was driven by both our verticals, Biscuits and Bakery , each delivering their highest ever quarterly numbers.

On macroeconomic environment and outlook:

We wholeheartedly welcome and thank the Government of India for rolling out GST 2 reforms under the esteemed leadership of Prime Minister Shri Narendra Modi Ji. These reforms, coupled with easing interest rates, mega taxation relief in Budget 2024 led to a spurt in festive demand and now show early signs of a broad-based improvement in consumption. Our entire domestic Biscuit portfolio now benefits due to the rate cut from 18 % to 5%.

With the announcement, we demonstrated strong operational agility by promptly executing price reductions across our portfolio, ensuring that the benefits were directly and immediately passed on to consumers. While the GST reduction remained a structurally positive development, it temporarily disrupted trade as channel partners awaited further price adjustments in anticipation of revised MRPs.

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Consequently, we witnessed a brief moderation in domestic Biscuit sales during September and early part of October. Distribution expansion remains a key pillar of our revenue growth management strategy, a strength that has been consistently demonstrated over the past few years. We are working on our strategy for the next phase of the RGM strategy, including distribution, products and margins for the period 2026- 2030.

Exports continued its resilient growth trajectory amidst global uncertainties and slowdowns. With an anticipated impact of tariffs, we pursued an aggressive strategy to diversify and mitigate the likely impact. We remained hopeful of a favorable outcome from the ongoing trade discussions between India and the US, which would have a positive impact on our export business, further accelerating our growth momentum in the coming quarters.

We remain focused on expanding markets and buyers across with an aim to increase our branded presence as well as our white-label footprint. Overall, we remain optimistic about the growth trajectory of our export business, supported by a strong franchise customer -first approach and an aggressive geography and portfolio diversification strategy.

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The English Oven brand continues to deliver high double -digit growth, driven by strong brand equity, a robust pipeline of new products, and a continued distribution expansion. Quick commerce has emerged as a key growth catalyst, significantly enhancing both reach and visibility for the English Oven. We continue to maintain leadership in the QCom segment, which is witnessing an exponential growth.

In the upcoming quarter, we will be further entering the East India market with the launch of the English Oven in Kolkata, followed by further expansion into Southern India. The commissioning of our Khopoli Bakery plant in Q4 will provide additional momentum to our distribution and revenue growth in Maharashtra.

We continue to invest behind our core brands, English Oven and Cremica. The Cremica brand has been performing strongly in international markets, now contributing over 50% of export

revenue.

To further strengthen our brand portfolio, we are in the process of developing a comprehensive brand strategy, which is expected to be finalized by Q4 FY '26, with a strong emphasis on the new-age consumer trend, evolving consumption patterns.

On the technology and digital transformation front, we had embarked on a comprehensive overhaul of our IT infrastructure, with a primary focus on upgrading our core ERP system. We are making consistent progress and remain on track to transition to SAP S4 HANA by Q4 FY '26, with complete implementation targeted by first quarter of financial year 2027 .

Now, I will discuss financial performance:

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Starting with Biscuits, our Biscuit segment revenue reported a revenue growth of 10%, which stood at Rs. 350 crores in Q2 FY '26 as compared to Rs. 320 crores in Q2 FY '25. This segment has grown by 35% over Q2 FY '24.

On Bakery segment , revenues for Q2 FY '26 stood at Rs. 194 crores against Rs. 167 crores in Q2 FY '25. Thus, registering a growth of 16% year -on-year basis, including retail, Bakery and institutional segment. This segment has grown 38% over Q2 FY '24.

The consolidated revenues for the current quarter stood at Rs. 551.4 crores versus Rs. 496.3 crores in Q2 FY '25. T hus, registering a growth of 11.1% year -on-year basis. EBITDA for the quarter stood at Rs. 69.3 crores, with EBITDA margin coming in at 12.6%. PA T stood at Rs. 36.5 crores with a growth of 18.2% on a quarter -on-quarter basis. Our PA T margin for Q2 FY '26 was 6.6%.

Moving to H1 FY '26 financial performance:

The consolidated revenue of H 1 FY '26 stood at Rs. 1,024.4 crores versus Rs. 935.7 crores in H1 FY '25. Thus, registering a growth of 9.5%. EBITDA for H1 FY '26 stood at Rs. 127.5 crores versus Rs. 134.5 crores in H1 FY '25 , with EBITDA margins of 12.4%. PA T for H1 FY '26 stood at Rs. 67.4 crores as compared to Rs. 74.4 crores , with a PAT margin of 6.6%.

With this, I would request to open the floor for questions and answers . Thank you so much.

Moderator : Thank you very much, sir. We will now begin the question-and -answer session. The first question is from the line of Harit Kapoor from Investec. Please go ahead, sir.

Harit Kapoor: Yes, hi. Good evening. Congrats on a good set of results, especially on the revenue side. So, my first question is on Biscuits. In this 10% growth, in your opinion, how much impact would you have seen because of the GST transition on Biscuits, as well as how much impact do you believe you would have seen because of the imposition of tariffs? So, if you could just help us understand the normative environment, what that growth could have actually looked like.

Manu Talwar : So, good afternoon, Harit ji. Our impact on overall quarterly revenues on the part of GST should be close to 1 %-odd which was there. And on account of tariffs, we definitely had an impact in the H1 on account of, tariffs, ambiguity tariffs going up.

But now we are a

Imost looks like the indication by what the representative of both the governments have been very positive. We saw a positive outcome coming soon, and that

definitely will have a positive impact in terms of further enhancing our growth and margins, on account of US treaty. So, that is how I look at it.

Harit Kapoor: Okay. The second bit was on the margin. So, if you look at the raw material environment from quarter one to quarter two has actually eased off a little bit. But your gross margins have actually

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tailed off a little bit from quarter one to quarter two. Is there a product mix or a segment mix issue here that has happened in this quarter?

Or, is there a higher cost because of the tariffs? Or if you could just help us understand, what is resulted in a bit of a dip from quarter one to quarter two?

Manu Talwar : So, there were about two, three reasons. D efinately one reason was that, what happens as per the accounting policy on an international export business, whatever freight we recover, that gets, clubbed along with the revenues . And freight which were higher in the same quarter last year, so, that clubbing of revenue has kind of made a difference there.

Second is there is a somewhat of a business mix impact, which is there, w hich has impacted here. And a third item is that there are certain incentives by DGFT , which government has temporarily put on hold to kind of review the same and then release and basically , strengthen that whole process . So, there is some impact on part of that.

So, that is why probably that there is the margin that remains flat over the last two quarters at around 2.5% .

Harit Kapoor: This DGFT factor which shows up in your operating income, is that something that there is a

permanent reduction happening there? Or is this a temporary stoppage till, the...

Manu Talwar : It is a temporary . Okay.

Anoop Bector : Actually, I will take it. So, we have two options, actually, we in this Harit, that either we can take an advanced license and import because we are exporting our goods . So, we can either get a DFIA, where we get a license and we are able to dispose of the license in the market. Or we have to create our own infrastructure to start importing things duty- free.

So, it is basically, I think, like Manu said, it is more about, reviewing. And I mean, from August 27th, they were put on hold. So, we have not been able to book that much incentive, for the time being. But so, we are pursuing with the government and, I think there will be a solution soon on that.

Harit Kapoor: Got it. The other thing was on the...

Anoop Bector : Or we will move to an advanced license, where we will start importing raw materials, you understand?

Harit Kapoor: Either way, at least from a profit standpoint, it becomes neutral I mean, from...

Anoop Bector : Yes, it will. But currently, we are not importing because we did not go that route . But in case there is the benefits of importing are more than the licensing, then we will go for imports, direct

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imports. So, where we can import whatever ingredients are being used in our Biscuits, we can import them duty-free.

Harit Kapoor: Understood. Just one thing on the Biscuit export bit. So, there would have been some disruption, especially in the US. I just wanted to understand whether the, how one is dealing with that in the interim, whether is it that you are kind of your buyer and you are sharing, this impact? Yes , go ahead.

Anoop Bector : So, currently, there has not been anything like that, which has happened. All of our large customers have accepted all their orders. In fact, what has happened is our buyers are still visiting us. We are working on our strategy going forward. And but definitely, they are also waiting the tariffs to come down t

o a more rational levels , I mean, at a 50%, it does become a bit tough.

So, I mean, going forward, the projects which are on the infrastructure stage, new product developments, where we are working with our relationship partners, it continues in the same manner. But if you ask me, has the business been impacted? Yes , there has been some impact on the business where people are going slow because they are expecting, the tariffs to come down. So, the ordering is slow. So, that is, I think it is more temporary, which will come into place very shortly.

Manu Talwar : But if you see our exports overall have grown. So, they have grown more than last year. I mean, so, that, I think that has been a good thing about exports.

Harit Kapoor: Understood. I will get back to you for more. Thank you.

Moderator : Thank you. The next question is from the line of Amit Purohit from Elara. Please go ahead, sir.

Amit Purohit : Yes, sir. Thank you for the opportunity and good performance on the Biscuit side, domestic Biscuit. Sir, could you just provide some insights on the domestic Biscuit would be fair to say it would be double -digit ? And exports would be slightly lower than the domestic business growth in the Biscuit sector?

Manu Talwar : Amit, we do not share as vertical wise growth . But overall Biscuit s, they are both formed in a kind of a similar trajectory for this quarter. As I told you, the domestic Biscuit was definitely impacted a bit because of the GST implementation, which I think every F MCG company has very well expressed in the month of September. And I also shared that impact was close to 1% on the quarterly revenues. But yes, both have kind of performed well in that direction.

Amit Purohit : Okay. And could you just provide some insights on the raw material input cost? You highlighted the export incentive in the other operating income impacting the margins, but how is the RM index for us? Is it comfortable or it is going down?

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Anoop Bector : So, on the RM side, it is what we had anticipated in our operating plan. So, it is very tough to look at on a quarterly -to-quarterly basis, I mean, because, there is certain times there is a hedging certain times markets can be. B ut at the moment, I think, RM should not be and not be a concern, going forward, not should not be any major concern on this.

Amit Purohit : No, so I wanted to compare first half last year versus first half this year.

Anoop Bector : Yes, Manu, you can probably say.

Manu Talwar : Amit , on the quarter -on-quarter basis, the quarter two, over quarter one has been consistent. There is no major deviation in the prices on an overall basis. So, whatever volatility we face and we came with the prices for the quarter one, they have remained on an overall basis in line with that. Quarter two does not have any additional negative impact on account of variance versus

quarter one on commodity prices.

Amit Purohit : Okay . And could you just provide some outlook in terms of growth for the next F Y '27 or just how should one think about it on the margin on the second half? Probably margin improvement is a fair estimate, right, versus first half is that for FY '26 and F Y '27 wanted your thoughts on top line growth, because now we are close to now double -digit revenue growth. Our aspirations have been somewhere around teen .

Manu Talwar : Absolutely, Amit and our aspiration remain in the same direction. We want to be a company which want to achieve for the next financial year and endeavor working and planning for that is to achieve somewhere within two little high peaks. And that is our endeavor to devise a business plan, which we are working on as of now for the next financial year and get back there in that range of growth, which we have very well achieved over the past few years. So, yes, absolutely bang on. That is endeavor.
And

also on the margin side, there has been some temporary setbacks, as I call it. But endeavor is to get back to that above 14 % EBITDA range and then improve it beyond that. The first step is to work towards achieving that 14 % EBITDA and kind of 14 % to 15 % EBITDA, maintain it and then take next steps on improving beyond that. So, these are cardinal to our strategy, both the things.

Amit Purohit : Yes. And lastly, on the freight cost with the Dhar plant being operational now, would there be some savings and would you be able to quantify something aiding into margin improvement? Last year, I think, our freight costs have been pretty high, close to high single digit at an overall company level.

Manu Talwar : So, definitely with Dhar plant, we have Dhar plant, we have put two lines . And we have as of now commissioned first line and we are commissioning the second line right there. So, in the next financial year, we should definitely see a positive impact on our logistic cost because of that. We will definitely see that and that is as per the plan.

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Amit Purohit : Sure. Than ks a lot, sir .

Moderator : Thank you. The next question is from the line of Mrunmayee Jogalekar from Asit C Mehta Investment Intermediates . Please go ahead.

Mrunmayee Jogalekar : Thank you for the opportunity and congratulations on a good set of numbers. S ir, I had a couple of questions. So, firstly, in the Bakery segment , you mentioned that English Oven has seen a high double -digit growth. So, is it a fair assumption that even QSR growth was maybe in the low double -digit kind of range?

Manu Talwar : So, no. QSR growth in this quarter was in single -digit. It was not in double -digit.

Mrunmayee Jogalekar : Okay. Got it. And so, this you mentioned about the target EBITDA margin of about 14%. So, would it be possible to reach that in H2, the coming couple of quarters? Or maybe because of the new plan t also coming up, this will be more of a FY '27 event?

Manu Talwar : So, definitely, our endeavor is to keep improving the EBITDA margin. But yes, for sure, FY '27 is one. We will definitely achieve that 14% or above EBITDA margin for the next financial year.

Mrunmayee Jogalekar : Okay. And, sir, just one last question. I think the earlier target was for the full year export growth to be around low teens. Is that something that is still possible for FY '26?

Manu Talwar : For the export growth, yes, we will be again targeting the low teens kind of growth for the full financial year. And so, yes, we are still gunning for that.

Mrunmayee Jogalekar : All right, sir .

Manu Talwar : We are still gunning to touch. You see, what is the hope now? The hope definitely is that we should hear some good news also on the US -India Treaty. And with that getting resolved, we should see an upsurge in our growth on international export side. And we are e ndeavoring that we should be able to touch double -digit kind of growth for the exports.

Anoop Bector : Hi, Anoop Bector here. Another thing is the confidence of international buyers into our company is growing. And so we are already working with a number of other companies, large retailers, the possibility of business getting transacted in the next three months - four months, in the next quarter, or within this year, start of the business can happen. So, what is important is that we are continuing to develop products with international customers, more international large retailers are coming to us. So, there is a lot of confidence in the international business. Biscuits are concerned that Mrs. Bectors is a good potential from India.

Mrunmayee Jogalekar : Great, sir. That is it from my side. Thank you.

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Moderator : Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal Mutual

Fund. Please go ahead.

Aliasgar Shakir : Yes, thanks so much for the opportunity, sir. First question is on margin. So, you said that FY '27, you will try to reach (+ 14%) margin . But just from a quarterly point of view and given the volatility we have seen in raw material prices in the last few quarters, is that now fully behind and you have taken large part of the price increase?

So, in that context, should the coming quarter onwards, you should be able to, reach your stable state margins of 14% plus?

Manu Talwar : So, we would definitely see a margin improvement as over the next two quarters And our endeavor is clearly to move towards 14 %. But the previous question which I answered, I clearly said that definitely next full financial year, complete year, we should be, endeavoring to deliver 14% plus EBITDA margin.

Aliasgar Shakir : And correct me if I am wrong, but if my memory serves me right, earlier we were indicating 15% plus, is it? Am I right? I mean, have we toned down that expectation because of any reason or I am not very sure?

Manu Talwar : No. So, we have been very consistent for past almost few quarters, that we will be endeavoring to deliver EBITDA between 14 % to 15 %. Once we stabilize at that range, we will work towards taking it above 15% EBITDA. But then November, December last year is when we had a huge commodity price hike and which had to be kind of managed and tackled with, which took about few months to kind of, take and correct our pricing and other things to kind of manage that part of impact from the margin.

So, yes, we have been always maintaining a rightful place along with investing behind closures. What we need to try and understand is that this quarter also when we have grown about 11% is close to 2x of, industry average . And we also need to keep investing behind. We are a young company and there has to be an investment behind, also the growth along with margin. So, we have been very consistent that we will be, maintaining EBITDA margin of 14% above.

If you ask me a mid -term kind of scenario, we have been a company which clearly believe in growth in both revenue and margin. And say next over two years – three years, will we be improving our margin? 100% we will be moving in that direction and kind of working to up our margin alongside revenue growth.

Aliasgar Shakir : Got it. I have a question each on your both segment Bakery and Biscuits. So, Bakery has done fairly decent growth. I understand we have now started a facility both in Maharashtra and I think another one is coming in Indore as well as Kolkata, I guess. So, given that this is a particular category which, has to be operating close to the facility.

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So, how should you see these two – three facilities coming up? Should that debottleneck your, I mean, funnel and we should see, a stronger growth over here ? I know that QSR is also a category which may have not been doing very well for you. So, that would have probably had some impact. But otherwise, from a retail point of view, should this drive growth? And also, is it higher margin? So, that should also help you improve your margin?

Manu Talwar : So, answer to your first question, definitely, yes. We have been investing behind this capacity and geographical expansion is to boost our growth because in Bombay, definitely, we were tight on our capacity. We needed to up our capacity and we have put one of the world-class plants, fully automated plant to, which will not only give us efficiencies on the manufacturing side, but also, it will open up our growth aspiration.

So, with this plant coming up in the quarter four , English Oven will be able to expand their distribution reach in Maharashtra very extensively or rather be able to approach some of the territories which are outside Maharashtra also with it. So, definitely, with Khopoli

plant coming

up, we can expect a firing a growth engine and expanding our distribution in this western part of India.

Alongside western part of India, we have further planning to expand also in southern part of India in this quarter and we should see that moment. We will be able to share in our next investor call more details about it. Kolkata is a new journey which is starting on the eastern side of India, where eastern side of India, we were not present with our own manufacturing. We put up a small plant to make a start both on English Oven side as well as on the B2B Bakery business side and that also is kind of taking off in this quarter and which will again, help us to cover that geography as offer our English Oven kind of superior product to east customers and drive the revenue growth.

So, yes, expansion of capacities by us has definitely helped us fuel the growth. We have very strong aspirations for English Oven brand and very tough, very aspirational type targets for us.

So, definitely, over next two years to three years, we want to be Pan India in the top two, three brands, Bakery brands of India.

Alongside this, which I briefed earlier also to drive the B2B business, we had started offering the frozen range and that had shown a good traction last year. Now, we are working on that for

the, next leg of growth and journey on the frozen food side, which will strengthen our, the B2B business also. And out of this frozen range, we have launched selected few products as a pilot on the QuickCom in the northern India, in Delhi sector, and we have seen the traction building also for that.

Rather, frozen products will also offer us a good international market and be seeing some good responses. We will be happy to share with you in our next investor call on that also. So, yes, overall Bakery business capacity is going to help us big time, they very well required and we

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continue to, build our strength and English Oven is definitely a very, very strong brand. We are very aspirational of, becoming a pan-India player in next two years to three years time and become one of the top two or three brands in India.

Aliasgar Shakir : And this will be margin accretive.

Manu Talwar : Yes, it will be.

Aliasgar Shakir : So, that should also help you improve your margins at the overall basis. And just last one question on Biscuit, if I may squeeze. So, Biscuit, I just want to understand how is the competitive landscape right now? I know you are expanding your regions and going to many new markets, which is helping you drive growth. But in terms of competition, in terms of the new market, how the position is, I mean, if you can share some comments and what is the growth outlook of industry and as well as you in the domestic side, given that, raw material prices are now softening, are people increasing the discounts and so on and so forth?

Manu Talwar : You see, the first thing is that good news on the domestic Biscuit business side is that GST revision from 18% to 5%, that is a big change. And that will definitely fuel the overall industry growth, overall Biscuit industry growth. And it will also, bring the consumers more towards the branded Biscuit side than before. So, both are in the positive direction in terms of driving the growth for the industry.

The industry continues to be competitive, but as in the speech as expressed by the Managing Director, that we completely believe in RGM strategy, which is led by distribution, which is led by product strategy. And we very well demonstrated, over the last three years – four years on that.

Now, we are clearly devising a strategy, which we will be sharing with you in the next investor call with absolute clarity in terms of how and where we will be driving our distribution and what will be our product strategy for the next three years – four years

to drive our revenue growth there.

But largely, this strategy will be in two capsules. One will be in the North India. And one, because now we have a plant in the Central India, Dhar. So, one will be in the Central and the Western part of India, and some bit of touching South India.

So, more details, I would request you wait. We will be working extensively on this strategy because this is a strategy to, take our distribution numbers, take our weighted availability numbers from currently about 30 %-odd to in three years - four years, we definitely want to touch about 50 %-odd, so we are working on that in a very extensive manner. So, that distribution, product, and margin, all three strategies are very well stitched. And then we kind of focus on executing for the next three years - four years.

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Aliasgar Shakir : Got it. This is very useful. Thank you so much.

Moderator : Thank you. The next question is from the line of Resha Mehta from GreenEdge Wealth. Please go ahead, sir.

Resha Mehta : Thank you. So, the Biscuit segment revenue has grown by around 9.5%. So, would it be fair to assume that both domestic and exports would have grown in single -digits?

Manu Talwar : So, yes, both of them have grown in the same trajectory. But in case of domestic Biscuit, as I said, that we have an impact on account of September billing on account of GST implementation.

So, domestic, yes, could have done better. But because of the big step of GST implementation, which every FMCG phase, we had an impact in our September billing and some bit of partial approval.

Resha Mehta : Right. So, what I was trying to understand was that neither of the segments of domestic and export have grown in double -digit s. So, both are in single -digits, basically.

Manu Talwar : So, export has touched double -digit in this quarter.

Resha Mehta : Got it. And, Bakery, the growth rates have, kind of come off. So, we were growing at, since the past few quarters, we have been growing at around 19% thereabouts. But this quarter, the growth has kind of slowed to 16%. So, is it purely attributed to the slowdown in the QSR side of the business? Or is there some

element of capacity constraint or reach constraint or something of that sort?

Manu Talwar : So, our English Oven continues to grow very well. And they continue on the same trajectory they have been, delivering over the past few quarters, which is high growth trajectory. Yes, B2B business had a bit of a bit of a slowdown in this quarter. But we see definitely, the indication we have a quarter three, we certainly see coming back in quarter three .

Resha Mehta : Got it. And, in H2, would the Biscuits growth also, expected to move to double -digit s, considering that, in the domestic market, the GST transition does sort of settle. And also, let us say, assuming, the trade deal goes through.

Manu Talwar : Yes, with trade deal going through, definitely, we should see and the GST implementation underway, we should see a upsurge in the growth rates on the Biscuit side.

Resha Mehta : And, on the CAPEX side, so in, so what is the guidance when FY '26, and FY '27?

Manu Talwar : So, you see, most of our big CAPEX , like we commissioned our Dhar Indore plant in May of this financial year Another smaller CAPEX of Calcutta will get commissioned in this quarter.

And in the quarter four , our Khopoli Bombay plant, which is a another big CAPEX, which will get implemented.

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So, our last part of CAPEX spend, which we had initiated in the last financial year, would get over by end of this financial year by March of '26. And then we will, from next financial year, we will come down to a very normalized kind of CAPEX. Only one CAPEX, which would happen next financial year will be related to our up

grade of capacity of the Bangalore plant, where we will have to move to a newer location and increase our capacity there. But it would not be as heavy as this year and last year. So, most of the heavy CAPEX would get accomplished in this financial year by March '26.

Resha Mehta : Any quantification is possible, like for this current financial year? And maybe what is the maintenance CAPEX going ahead?

Manu Talwar : So, in this current financial year, let me answer the form. The next financial year, the CAPEX should be approximately around Rs. 100 crores . And this year, our CAPEX should be touching close to Rs. 400 crores.

Resha Mehta : Okay, current year is Rs. 400 crores and next financial year, you said it will be under Rs. 100 crores .

Manu Talwar : It will be a ballpark of Rs. 100 crores.

Resha Mehta : Right. And, in terms of reach, if you could call out like for both the segments, domestic Biscuits and the retail Bakery , what is our reach today in terms of, number of outlets and how has that grown over the last six months?

Manu Talwar : So, in case of, direct reach of our Biscuit segment , where we go and deliver directly is about 5 - 5.5 lakh outlets. We directly reach to those outlets and deliver to those outlets . And as per AC Nielsen, our overall reach is over 700,000 outlets, right, where our products are available. On a Bakery side, our direct reach is close to around 40,000 outlets . And that is also, I think, grown over the last two quarters - three quarters, approximately by 10%.

Resha Mehta : And what has been the growth on the Biscuit side over the last six months?

Manu Talwar : So, growth, okay, growth on the Biscuit side in terms of outlet reach has been about 4% to 5% percent in the last two quarters, approximately. But as I said, you see, what has happened is that we had a very extensive growth from year '22 to '25 We literally doubled our direct reach outlet in the period of these '22 to '25 years. And so there was a very extensive growth.

This year, our focus on the outlet was largely on the weighted outlet growth, where we were working on our, key account outlet, which is a program, crema preferred outlet program we run. So, we ran on that. Those outlets have grown very well. Those outlets have grown by almost 30%-odd, and they are high-revenue outlets. So, more focus was on a weighted outlet approach.

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But now, as I said in the previous response also, now we are making a detailed plan for next three years - four years , very similar to what we did from '22 to '25. We are making a detailed plan of our distribution, product, and margin, right, and for both the territorial North and West Central India. And we should be happy to share with you. And that journey would start sometime from April and will have, will be just similarly, exciting revenue growth journey for the next few years for the domestic businesses.

Resha Mehta : That is helpful. And just lastly, what would be the new product salience for us? So, let us say products launched in the last two years, what would be their revenue contribution?

Manu Talwar : So. our NPD sellers as of now for this financial year on our 12 month rolling numbers we take is about 2% to 3% .

Resha Mehta : Got it. Thank you so much.

Moderator : Thank you, ma'am. The next question is on the line of Unni from Geogit Investments Limited. Please go ahead.

Unni : First of all, thanks for the opportunity. Could you provide an update on the progress of the Bakery segment's capacity expansion along with the associated CAPEX for the same project?

So, yes, that is my question.

Anoop Bector : So, I will take this. We have created capacities, our Bhiwadi plant, we have already increased our bread capacities. And, which was earlier at 4,000 per hour line. Now we have got another 4,000 per hour line. And we have some m

ore for small rolls and buns, our equipment has arrived.

I think within the next quarter, we should be able to set that started.

Our Khopoli plant, which is going to be one of the very large facility. And, we anticipate to fully make this plant operational by April. And our Kolkata facility should be, be activated within the next quarter. So, I think, this is an ample capacity, which has got created. We started working with few third-party manufacturers. They are also adding up to our capacities. So, we are at the moment, with the expansion plans, whatever is there, I think, our capacities are well in place on the Bakery side.

Unni : Okay. So, could you please provide the CAPEX for the Bakery's expansion?

Anoop Bector : We just gave this investment. Actually, Manu, can you please update? We just gave it just now in the last question.

Manu Talwar : CAPEX for Bakery Biscuit as a company put together for this financial year will be close to Rs. 400 crores. That would be approximately our CAPEX for the this financial year, for this year.

And that is how, as Anoop bhai had elaborated on capacity, that we have a fair amount of capacity increase. Our capacity, what is our current capacity by end of this financial year, by Mrs. Bectors Food Specialities Limited

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April of '27, will go up by almost 30%. And then we have a Bangalore expansion coming up next year, which will further enhance the capacity. So, there will be enough room for growth to be serviced over the next few years.

Unni : Okay. Thank you, sir. Thank you.

Moderator : Thank you. The next question is from the line of Darshit Vora from Asit C Mehta Institutional Equities. Please go ahead.

Darshit Vora : Hello. All my questions have been answered. Thanks.

Moderator : Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes, I just had a follow-up on the, on your innovation slides. Maybe if you could just, take us through on both Biscuits and breads. I mean, on Cremica, you see obviously shortbread, which you had done, I think, last quarter. But there is also mini crackers, as well as non-stop brand, sub-brand, which, you put out. So, maybe a little bit on that, your intentions there, as well as, what you are doing on the bread side, both shortbread as well as the frozen, which you have launched in quick commerce. So, some sense on this would be helpful. Thank you.

Manu Talwar : So, yes. Harit, in terms of, pipeline for the new product, there is enough action, as you said. We had a shortbread, which is getting a good traction. We had non-stop mini crackers. We have teddies, which have been launched. We have just launched the peanut butter with cheese as a variant. So, this is on the Biscuit side.

On the Bakery side, again, we have the new brand Nature Baked, which is a clean label brand, which has been launched, and which has been invested behind to build as a clean label brand. We have launched two SKUs in that, and we are getting ready to launch some few more SKUs. And as I have briefed in between that, we have started a frozen range on B2B side, but ready-to-eat dessert, which can be just warmed up in a microwave and eaten right away and stored at home. The frozen range, we have just introduced a few SKUs in NCR market to kind of see their response. And there are a few others which are in the pipeline.

So, there is a fair amount of both in terms of traction of what has been launched and what is being planned to launch.

Harit Kapoor: Great. Thank you.

Anoop Bector : Actually, Harit, our main aim is to get into products which are very away from competition and products which are available in the market. So, we are definitely getting a lot of traction, on the shortbreads. We have also seen that Danish Cookie Tins, we are trying to pursue them in the Indian market, which is where we have an exc

ellence on and competition is lacking over there.

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So, I mean, also our NPD department, our NPD section, which is where we created a whole NPD

area with the equipment's and a complete team is there. So, I think our tendency is going to be to give products which are very away from the competition. And this journey will take some time because, you are creating new customers, you are creating a new experience, but our products are getting well accepted. And especially on the newcomers . So, we are launching these products more on newcomers at Cremica Preferred Outlets. So, the journey is happening right, so that is a good point.

Harit Kapoor: Okay. Thank you.

Moderator : Thank you. The next question is from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit : Yes, sir. Just on the GST, you indicated an impact of 1%. Now, the whole inventory is gone.

There would not be any impact of that in the coming quarter

Manu Talwar : No, there should not be any impact. There was some marginal impact in October, as I said. But yes, going forward, there would not be any impact.

Amit Purohit : Yes. Sure. Okay. Thanks a lot, sir. Thank you.

Moderator : Thank you. As there are no further questions, I will now hand the conference over to the management for the closing comments.

Anoop Bector : Yes. Thank you. Thank you, everyone, for joining us. I hope we have been able to answer all your queries. In case you require any further details, you may contact us or MUFG Intime , our investor relation partner. Thank you so much.

Moderator : Thank you. On behalf of Mrs. Bectors Food Specialities Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

MBFSL/CS/202 5-26 19th February , 2026

To,
Department of Corporate Relations,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 To,
National Stock Exchange of India Ltd,
Exchange Plaza, C - 1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code: 543253 Scrip Symbol: BECTORFOOD

Dear Sir/Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL – Q3 & 9M FY26 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on February 13, 2026 to discuss Q 3 & 9M FY26 results.

We Request you to kindly take the same on record .

Thanking You,

Yours faithfully,

For Mrs. Bectors Food Specialities Limited

Atul Sud

Company Secretary and Compliance Officer

M.No. F10412

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“Mrs. Bectors Food Specialities Limited
Q3 & 9 Months FY '26 Earnings Conference Call ”
February 13, 2026

MANAGEMENT : MR. ANOOP BECTOR – MANAGING DIRECTOR AND
PROMOTER – MRS. BECTORS FOOD SPECIALITIES
LIMITED

MR. MANU TALWAR – CHIEF EXECUTIVE OFFICER –

MRS. BECTORS FOOD SPECIALITIES LIMITED

MR. PARVEEN KUMAR GOEL – WHOLE -TIME
DIRECTOR & CHIEF FINANCIAL OFFICER – MRS.

BECTORS FOOD SPECIALITIES LIMITED

MUFG INTIME – INVESTOR RELATIONS ADVISOR

Mrs. Bectors Food Specialities Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Mrs. Bectors Food Specialities Limited Q3 and 9M FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Bector, Managing Director and Promoter. Thank you, and over to you, sir.

Anoop Bector: Thank you so much, and good evening, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend a very warm welcome to all participants joining us for our quarter 3 results discussion call for the financial year 2026.

Today, I'm joined by Mr. Manu Talwar, our Chief Executive Officer; and Mr. Parveen Kumar Goel, Whole -Time Director and Chief Financial Officer. We also have with us our Investor Relations Adviser from MUFG Intime. I hope everyone had an opportunity to review our

investor deck and press release, which have been uploaded on the stock exchanges as well as on our company website.

The company reported revenue from operations of INR533.3 crores in the third quarter of FY'26, reflecting a growth of 8.4% year -on-year. The Biscuits vertical delivered a resilient 5.7% year -on-year growth, impacted by GST 2.0 transition as well as continued uncertainty due to punitive tariffs. The bakery vertical recorded a strong 13.2% year -on-year growth, led by English Oven brand.

EBITDA percent came in at 12.9%, which is 44 bps up over quarter 3 of the financial year 2025.

Amid a dynamic global trade environment, many India -based manufacturers with growing international linkages like us, navigated a period of uncertainty in the recent times.

The proposed trade agreement between India and the United States marks a meaningful step forward in economic, strategic and geopolitical terms, reinforcing India's position as a globally competitive manufacturing and sourcing hub.

We express our sincere gratitude to honourable Prime Minister, Shri Narendra Modi, for envisioning the same and for progressive trade facilitation measures and tariff rationalization from 50% to 18%, which has strengthened confidence in the India's export ecosystem, enhanced the attractiveness of Indian food and FMCG manufacturing for a long -term global partnerships and advanced the vision of Viksit Bharat. This development will enable us in regaining momentum and strengthening our exports vertical.

On the domestic front, implementation of GST 2.0 reforms led to transitional inventory impact. However, the significant benefits to the consumer bode well for the category, and we are already witnessing the consumption picking up. Post GST rationalization , we passed on the full benefits to consumer through MRP reductions and increased grammages, enhancing value for the consumer.

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On the bakery front, English Oven continues to be the key driver of performance, supported by sustained momentum from our QSR partnerships. English Oven's strong trajectory is underpinned by brand pull, health -first initiatives and distribution excellence. I'm happy to share with you that we successfully commissioned our Kolkata plant in January, making our foray into East.

Further, we expanded the English Oven brand into Hyderabad market, marking a strategic entry into a key growth region. We are progressing towards commissioning of the Khopoli plant, targeted in the next few months, which will further enhance our capacity and operational flexibility. Together, these initiatives are expected to strengthen our presence across key markets,

improve supply chain efficiencies and support sustained growth through deeper regional penetration.

Our new product development strategy remains anchored around building a strong health -oriented portfolio, with the full rollout of Zero Maida range and NaturBaked reinforcing our better -for-you positioning, the foray into ready -to-eat desserts under the frozen range continues to scale up, enabling English Oven to participate beyond breakfast and snacking in a household. The ready -to-eat pipeline remains robust with key launches planned over the coming quarters. On the biscuits front, we had a successful Diwali season with the gifting portfolio realizing a 20% plus growth, introduction and scaling up of Golden Bites, Fruit and Nut and Pista Almond cookies.

The bakery cookies complements our strategy of premiumization in general trade, along with quick commerce first products like Zero Maida Coconut, which continues to do well. Rounding up the quarter, we had a very successful collaboration with Blinkit on Christmas, where our flagship Danish Butter Cookie tins penetrated 3 lakh -plus households and generated brand goodwill.

Before we move to our financial performance for the quarter, I am pleased to share that we have declared an interim dividend of INR0.6 per equity share. Talking about the financial performance, our Biscuit segment reported revenue growth of 6%, which stood at INR325 crores in Q3 FY '26 as compared to INR308 crores in Q3 FY '25.

The segment has grown by 21% over Q3 FY '24. Our Bakery segment revenue for Q3 FY '26 stood at INR198 crores against INR175 crores in Q3 FY '25, thus registering a growth of 13% on a year -on-year basis, including Retail Bakery and Institutional segment. This segment has grown by 36% over Q3 FY '24.

The consolidated revenues for the current year stood at INR533.3 crores versus INR492.1 crores in Q3 FY '25, thus registering a growth of 8.4% on a year -on-year basis. EBITDA stood at INR68.4 crores, resulting in a growth of 11.4% on a year -on-year basis.

The EBITDA margins for the quarter stood at 12.8%. PAT stood at INR38.1 crores for the

quarter, resulting in a growth of 10.1% on a year -on-year basis and PAT margins for Q3 FY '26 stood at 7.1%.

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Moving to 9 months financials FY '26. The consolidated revenue for 9 months FY '26 stood at INR1,557.7 crores versus INR1,427.8 crores in 9 months FY '25, thus registering a growth of 9.1%. EBITDA for 9 months FY '26 stood at INR195.9 crores. EBITDA margin for 9 months FY '26 stands at 12.6%.

PAT for 9 months FY 26 stood at INR105.5 crores. In Q3, PAT is impacted on account of provisioning owing to new Labo ur Code amendments. With this, I request you to open the floor for questions and answers. Thank you so much.

Moderator: The first question is from the line of Raghav Maheshwari from Kamaya -kya Wealth Management .

Raghav Maheshwari: So sir, my first question is on the Khopoli expansion. As we move closer towards commissioning this plant, could you help us quantify the peak revenue potential from this particular facility at optimum utilization? And what is the timeline that you are assuming for reaching towards that optimum level?

Anoop Bector: This plant is actually quite a large facility, and the infrastructure has been created for much more than what we have. But at the moment , what I can guide you is that the plant capacity for breads would be around 132,000 breads a day. And in case of buns, we would be doing around a million buns a day. So this was actually in the buns case, it is going to be double than what we have. In case of breads, it's going to be much larger because breads was a very small business, and we were getting it done from outside. So these two factories , in the next few years are going to be commendable and would give a very good quality br

eads, and we are looking at good growth numbers.

On the exact side, how many years I'll take, I don't have those numbers with me. But whenever I mean, we have the next 3 years plans, which we can share it later. But at the moment, this is the best what I can tell you.

Raghav Maheshwari: Okay, sir. So could you help us with the asset turn on this capex , if not revenue potential?

Anoop Bector: Yes. So asset turnover on this asset is, like I said, the infrastructure has been created for a much bigger business, right? So asset turnover, I think will be on the lower side will be -- Manu, can you share this?

Manu Talwar: Yes. So as this facility has been built for a longer tenure and in bakery, especially we need to invest in one go for the 5, 7 years of capacity. So in next 2 to 3 years' time, we should start hitting an asset turn of 2, 2.5 for this plant, but it will tak e about 3 years to get to that asset.

Raghav Maheshwari: Got it, sir. And sir, my second question is on the export side, which has been a strong performer for us. And with this trade deal likely coming into effect from Q1 onwards and the EU FDA also now concluded, we are expecting a favourable shift in the operating environment ?

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So sir, could you help us quantify what kind of financial enhancement we should expect from these developments? And like do you primarily see this as a volume driver? Or we can also see a structural improvement in EBITDA margins?

Anoop Bector: So this has been relatively new, right? I mean, it just happened. But yes, this will relatively improve any manufacturer from India's ability to sell in the EU and America. And we are very, very hopeful of getting a big benefit out of this opening from a 5 0% punitive tariff to an 18% tariff. So hopefully, we would be able to have a lot of value addition in the business.

Raghav Maheshwari: Okay, sir. And sir, if you can list down some growth drivers for FY '27?

Manu Talwar: So our growth driver for FY '27, yes, definitely, export will be a better growth driver this year because of the whole trade treaty and some other uncertainty, although export has been growing over the last 4 years, been growing on an average of high -doubl e digit in the last 4 years. But this year has been a low on account of this tariffs and other things.

So we expect export to get back into a good growth engine for us to get into mid -teens to high - teens kind of growth. Similarly, bakery, English Oven continue to expand, as you would have heard in the MD speech that we have opened up Kolkata and so we opened up our East region. We have also opened up another big city on bakery in the southern region . And we continue to kind of expand in other regions. So English Oven should continue this journey of growing and our Khopoli plant, which is getting commissioned in the next few months' time, so we have very aggressive plans for Bombay and Maharashtra in te rms of growth.

So English Oven will remain a high -growth engine for us with probably expecting another 1 or 2 cities further getting added during this coming financial year, right? Domestic biscuit business, again, has seen a sequential improvement in growth in this quarter over the last quarter. And trends are looking good.

We are very clearly investing. As we shared last time, we're investing in a 400 to 500 kilometers range from our both Indore plant as well as from our Punjab plant and going deeper in our penetration coverage. So that also should be good. Coming on a B2B business for bakery, yes, B2B business on our bakery side, QSR is still on a low burn, but we're very confident that now there should be a turnaround there.

But what we did over the last 2, 3 years, we added a frozen business and the frozen business has built into a good business, which has become almost 20% of our B2B bakery business and has a great gro

with potential. And so we're expecting that, again, to leverage and to grow that part of the business.

And also, as mentioned in the speech, we have started introducing some of the frozen products in our retail. These are some of the pilots which we have done in the NCR. And but we see that also should start stabilizing and growing there. So these are some of the few growth engines across the business areas, which should help us grow well in the coming financial year.

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Raghav Maheshwari: Noted, sir. That helps, sir. And what is the percentage of B2B as compared to the total revenue?

Manu Talwar: B2B bakery you're asking?

Raghav Maheshwari: No. So overall business, in the bakery, what is the percentage of B2B revenue?

Manu Talwar: You're talking of B2B bakery or you're talking exports and B2B put together?

Raghav Maheshwari: I'm talking about exports and bakery put together, sir ?

Manu Talwar: Exports and B2B bakery put together should be closer to 45%, 46%, 47% around that, yes.

Anoop Bector: But what is the QSR as a B2B, I think more relative would be the Indian B2B, which is our QSR business, right?

Manu Talwar: Another thing which I want to take the opportunity of highlighting here is that you see our Cremica brand biscuit, we have a large domestic business, but Cremica brand is also a very large business internationally. We are selling Cremica brand over 50 countries. Cremica brand has done also very well in this financial year.

It is contributing over 50% of our revenues internationally, which is in our export division. So the Cremica brand from your question point of view, the Cremica brand is both there internationally as well as domestic, and it's a fairly large business, both in India as well as outside India.

Moderator: The next question is from the line of Soham Samanta from Motilal Oswal.

Soham Samanta: So just wanted to check, is it fair to assume that our export growth of this quarter, lower -double digit, while the domestic is flat to marginal on year-on-year?

Manu Talwar: So our export has grown lower in this quarter. So our export growth was single digit and our domestic growth was high -single -digit, almost touching double digit. It was around that much.

But yes, export was a low -single digits.

Soham Samanta: You have to say domestic is high single -digit and majorly it will come from volume?

Manu Talwar: Come from, sorry?

Soham Samanta: Volume, domestic biscuit ?

Manu Talwar: So there has been GST changes and all that, which has obviously led to higher. So we have definitely grown in volumes in this quarter, but it's also the value growth.

Soham Samanta: So if you assume that high -single digit, in that case, what would be the volume? Low -single -digit volume?

Manu Talwar: Let me just answer you.

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Anoop Bector: So I think there have been a lot of changes because the GST 2.0 changes. So I think at this point of time, comparison might not be right because we have been in the transition.

Soham Samanta: Okay. And sir, last on a margin, how do you look right now because in Q3 last quarter also, we are targeting 14% plus. So how do you look Q4 and FY '27?

Manu Talwar: See, as I explained to you last time that for us, margin starting from quarter 1 of next financial year, as I said that we can look at in the H1 of next financial year, we should start getting to the 14% range.

Soham Samanta: Okay. And what about the gross? So any marginal improvement you can see from gross margin as well in FY '27?

Manu Talwar: Gross margin. So in the gross margin, you're asking, right?

Soham Samanta: Yes.

Manu Talwar: So gross margin, I will be able to give more clarity in the next call. We are just in the process of concluding our AOP. So to exactly comment on the g

ross margin side would be a little tough.

But yes, you can expect some marginal improvement there.

Soham Samanta: Okay. Okay. And sir, last thing that in this quarter, what is the , B2C growth English Oven ? It is mid-teens?

Manu Talwar: Yes. It's a high teens growth.

Soham Samanta: High teens. Okay. Okay . Thank you .

Moderator: The next question is from the line of Ronak Shah from Equirus Securities Private Limited.

Ronak Shah: Sir, my first question is regarding the domestic biscuits. So as the market leader has already highlighted that the competition is very high. So can we elaborate that considering the high competition from local plus your larger national players, the growth rate into the domestic biscuits will going to be into the high -single to low -double digit only in near-term?

Manu Talwar: See domestic biscuit business has been for a while a very highly competitive and intense business. And in a territory of North India, definitely is a highly competitive business, both with big player and local players, right?

We have seen a sequential improvement over the last quarter and this quarter in the growth. And yes, you're very right. We do expect the next 2 quarters to march towards the low teens kind of growth, and that's what we are targeting to achieve in the next financial year.

Ronak Shah: Okay. Okay. So sir, it is fair to assume that the double -digit growth will come from the second half of FY '27 into the biscuits -- domestic biscuits especially?

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Manu Talwar: No, no. see, as I said, growth even in this quarter, we had a high -single -digit growth. So we see sequentially with the consumer GST impact also turning positive quarter -on-quarter. It should keep improving.

Ronak Shah: Okay. Got it. Sir, my second question is on bakery part. So though we have clocking around 13% to 14% sort of growth, but it sounds a bit conservative considering the TAM plus the opportunity plus the activation in terms of the green label and all which we are doing. So what has caused our slower growth rate? And going forward, by when we are again targeting a high -double -digit or high teens sort of growth rate into the bakery segment?

Manu Talwar: So I just, I think, mentioned that in the English Oven, we have grown high teens. It's only the B2B business, which had a lower growth. That's why average is around 13.5%, 14% there. So English Oven continues to march at a good growth rate and shall continue to do that as well as expand further. We are very, very firm on becoming a pan -India strong brand over the next 2 years' time. And that's why we added 2 more geographies in this quarter and in the first quarter of the FY26 .

And while we are building these geographies and our Bombay, Maharashtra geography will see a huge expansion as we updated you the Khopoli plant will come up soon in the next few months' time. And we are also likely to add another few cities in this financial year. So English Oven growth is robust and will continue to be robust.

Ronak Shah: Got it. And sir, last piece on the exports part. So can you highlight some qualitatively how we are diversifying apart from the U.S.A. and from the profitability front, considering the lower tariff now being into the system, are we expecting a significant improvement into the U.S. exports and the margin as well?

Manu Talwar: Please, please go ahead.

Anoop Bector: Yes, I'll go ahead. See, what is happening is Mrs. Bectors has always invested and has built up a capability to export biscuits to every segment of countries, right? So we are exporting to around 60, 70 countries today. And out of them, U.S. A is one of them. South America is big for us.

Europe is going to be turning out to be good opportunity.

U.K. with the new FTA, Europe with new FTA, U.S. A over the last 6 months from we had seen all projects coming on t

o hold. So we feel Mrs. Bectors is fully ready, geared up to get the benefit of these opportunities. So we will see good value and not value biscuits, but premiumization from our perspective, which we will deliver to these markets.

Manu Talwar: And Anoop, I would request to you also, you can brief them how we have upgraded our capabilities on distinctive biscuit category in India and international market

Anoop Bector: So I mean today, Mrs. Bectors is one of the largest suppliers of Danish cookie tins to the U.S. A

And so the Indore plant was specifically built with the mind that we are going to be feeding the U.S.A market.

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So for the last 6 months since the time Indore plant had started, actually we didn't want to use that capacity into India because that plant could make very specific good products. So now things will get activated. We already have used this time last 6 months to prepare the products, so I think the benefits will come in now very clearly to the company.

Ronak Shah: Okay. Okay. If you may permit for last one. Can you just highlight on the export incentive, which has been paused from the government? Are there any updates on that part?

Anoop Bector: Yes. So that absolutely right. So there was definitely in the last 6 months, from August onwards, we have not been able to get those benefits. And in fact, if those benefits had come in, our margins would have shown a very different sort of numbers.

But what our company has now done is we are going to be utilizing that we start importing raw materials, which are duty-free because for our exports, we can import RM, raw materials against advance license. We are going to start doing this slowly. I think in the next 6 months, we should be geared up to recover the damages.

Ronak Shah: Okay. So in terms of quantification, can it be into the range of 20 to 30 -odd bps of your margin with those incentives?

Manu Talwar: No, our impact on our overall revenue would be almost close to 1%, close to that.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: So I just had two or three questions. One was on the growth rates. So you've spoken a lot about how you expect business to accelerate. Should we assume that given that export business starts to normalize, hopefully, early next year and even your capacity in bread comes through only in Q1 that these growth rates on the revenue side are Q1 FY '27 onwards kind of a picture and Q4 also will be in a similar to slightly up and down band. Is that the right way to kind of think about near-term growth, on the revenue side?

Manu Talwar: You're right. Yes, that's the right way to think.

Harit Kapoor: Got it, got it.

Manu Talwar: That's what is going to happen is that from Q1, we should start seeing an improvement in our growth rate and it should kind of buildup. And looking at the situation now, trade treaty signed, nothing much going adverse largely, we should be targeting to get for the next financial year, close to mid-teens kind of growth.

Anoop Bector: So all these deals are getting signed in U.S. A is getting signed in March. And so I think U.K. and Europe are also going to be signed probably in the second quarter or something. So over the year, I think on the growth side, things look into a much stronger wicket.

Harit Kapoor: Got it. Got it. The first half performance in Bakery was about 17 %-odd growth. Q3 has been 13%. This lower growth versus first half, you would attribute it entirely to B2B, is it?

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Manu Talwar: So largely, I would say, largely is B2B is a reason. Yes. But in the Q1, and the H1, our growth were higher. You see, I'll just give you a brief. We had a price increase in October or November of '24, right? So H1 was cycling that ad

vantage also. But this quarter, again, our growth has been high teens in the bakery. So if I kind of try and normalize that, the growth has been pretty consistent there with 1% or 2% here and there. But yes, the H1 had an advantage of cycling the low-priced tariffs, right?

Harit Kapoor: So you're saying that the bakery business is more volume-led growth this time is what you're trying to...

Manu Talwar: In Q3, yes.

Harit Kapoor: Yes. Got it. And just as a comment, I would recommend if you could also give -- I know your tonnages across are very different, but henceforth or whenever possible, if you can also give a broad range of where the volume growth have been either separately for biscuits and bakery or overall for the business because that helps us understand the pricing differential also because in the B2B business, we can't really pick it up from the market. So if possible, if you can kind of do that math, that will be fantastic?

My next question was on the margin side. So look, the export incentive has not been there this quarter it was there for 2 months in Q2. But still, we've seen a sequential improvement in the gross margin, right?

I think an earlier participant also had a gross margin question. But from your perspective, is this

improvement is driven by mix because B2C has done better in both biscuits and in breads? Or is it also an RM -- some RM benefits also kind of starting to flow through now? How would you interpret this sequential improvement?

Anoop Bector: So Harit, let me first clarify on the RM margins. We have always believed in predictability. So we are one of those companies who didn't get the benefits of lower prices. So that's one thing because we had done our hedging till March. So there were no benefits which have come in from the raw material side. But Manu can explain you the best regarding this.

Manu Talwar: Yes, yes, yes. So I think Anoop has covered that answer, and it's largely the business, business mix and efficiencies. So RGM, revenue growth management and business mix and there's some bit of efficiency, which has helped us to improve that margin over last quarter.

Harit Kapoor: Got it. Got it. And last question was Anoop ji, this export incentive thing and you're looking to import now, does that completely offset whenever you start kind of offsetting this impact with your import strategy, does that completely offset the area.

Anoop Bector: In fact, we have been waiting that this because this was suspended. It was not finished or so it was only suspended. So we kept believing that this will come back. It is just a short-term thing.

You know what, incentives because we people have been a very high value drivers.

I mean, for us, our Danish cookie tins are very highly priced. So as a percentage, what we used to get -- I mean, I think we'll not probably be able to recover 100% of what we were getting, but

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we will target to get towards that. I mean -- but it is going to take us 3 to 6 months because I have to create this complete import. We have already targeted a few raw materials, which we have already started sending the POs. But I think in the next 4, 5 months, we will get out of it.

Harit Kapoor: Understood. Understood. And despite you saying that -- so it will take 4, 5 months in your view, but even though it will take 4, 5 months?

Anoop Bector: So if we reach the optimization, reach optimization, right? Not 4, 5 months to start. We've already started, but it will reach 4, 5 months to optimize it, right?

Moderator: The next question is from the line of Darshit Vora from Asit C Mehta Institutional Equities.

Darshit Vora: Most of my questions have been answered, but I had one part with respect to the larger competitor has hinted at a strategy towards competing fiercely. So do we have any kind of plans that we are either making

or have in pipeline to compete with the players even the regional competition?

Manu Talwar: So you're talking of Cremica domestic biscuit business, right?

Darshit Vora: Yes, yes.

Manu Talwar: So in our domestic biscuit business, as I said, there are 2-pronged strategies, out of which one is obviously, we explained to you that how we are going to penetrate deeper within the 400 kilometers of our Punjab and Indore plant, right, and drive the distribution growth and expansion there.

Second, alongside that, while we are investing behind our brands and varieties, which are doing well like Coconut, Bourbon, Digestive and all, we have also in the over the last 8, 9 months, if you look at, we have launched a series of premium products, which MD had mentioned in his speech also, right, which are premium cookies as well as some of the health varieties and some in terms of premium like sourdough and other products, right?

So objective is to now the products which we have launched over the last 9 months' time, we also invest behind to keep building those products. So objective behind that is that we are very clear now that what we will be launching is a differentiated product, which we have done.

And we want to build these products over the years because getting into the again me-too kind of product doesn't give you that differentiated strength in a highly competitive business. So these are the 2, 3 large strategies which we are on execution mode now, and these will be our sources of growth for our RGM of domestic biscuits.

Darshit Vora: All right. All right. And secondly, just extrapolating this competition point to the bakery business as well. On the quick-com front, we have seen some of the quick-com companies as well coming out with their brands and some other smaller companies also launching their own brands in the bakery side, even the premium ended bakery side. So have we seen some kind of impact of that competition?

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Manu Talwar: No. quick-com is also a very competitive platform, but we have been an early starter in year '22 in quick-com as we continue to invest on this platform. We're very confident of this platform

kind of growing in a changing consumer environment, and that's what has happened. So we have a stronger share in quick -com business, much ahead of our general trade share, and we continue to grow very, very aggressively here.

So quick -com in English Oven is now contributing almost 33%, 34% of our revenues, right? And this is kind of improving every quarter and every year. So if I remember right, over the last 1 year itself, we would have doubled. We have doubled our revenue contribution. So a, English Oven is a high -growth business.

In this high -growth business, quick -com has contributing almost 33%, 34% and this contribution has literally doubled over the last 12 months, right? So it's a strong journey. We have a strong hold. We're investing behind it, and we remain ahead in this journey versus many other players.

Darshit Vora: Okay. That's great to hear. And finally, just also on the B2B part. So we have seen certain newer brands and players also entering, certain international brands also entering the chain QSR space.

So do we or have we seen some client additions or new brand additions in our B2B portfolio?

Or do we plan to add something?

Anoop Bector: I would not know. If you would tell us which brand you're talking about, we can tell you we're part of them or not. Because we have Tim Hortons, which is a coffee chain, we supply to them.

So we'll need to know. I mean, we supply to most of the burger guys . So we hold a very strong position over there. So you need to tell us who is the person who will come in. So that probably we can know because otherwise, we will not come to know otherwise.

Manu Talwar: All the new premium range is where we are

present with our frozen range also getting very

strong. So we are offering them a variety of products, right? And we are still in discussion on many of the new products with these chains. So in terms of customer ad ditions on our B2B bakery side, there has been a robust performance, especially led by the frozen range of our products. Because our share in a bun business in quick -com is already upward of 80%, 85% .

Moderator: The next question is from the line of Chirag Shah from White Pine Investment Management.

Chirag Shah: Sir, just a question on this India U.S. A tariff. So as things are, is it back to normal business or there is some added tailwind? And if yes, which countries generally we compete with, which gives us some advantage?

Anoop Bector: When U.S. A trade tariff had happened , so we are covering most of the countries . But what we are seeing is in our journey, in our trade fairs, with our people who are visiting, we feel Europe is coming out strong. So Europe which was earlier not there or very limited for Indian food products other than ethnic is now getting into the mainstream.

So what you have to understand about exports is that we have a very limited ethnic consumer.

Our consumer is more mom -and-pop stores. As a general, we compete with the local competition. We're giving them the local product. So that is the differential which is there with us.

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I think Europe is coming out extremely well. We also see America as they have started responding and coming back on to the old projects which they had put on hold till the time these duties were not clarified. So I think there's a great opportunity in Sout h America, in Europe, in U.S.A as well. So U.K. is going to be very good for us.

Chirag Shah: So my question was, so it is back to normal business, right, before the entire tariff tantrum happened ?

Manu Talwar: No, no, no.

Chirag Shah: We are back to normal business or there is an added advantage that we have ?

Anoop Bector: No, no, no. We have not lost any business, but new projects from U.S. A stopped coming in, which will now start coming in. But yes, definitely, we had to part away with some extra discounts or something, small discounts, not very big discounts. So we did not do business. Other than small, few, yes. Few retailers, yes, we lost , but that does not mean, otherwise, we w ill continue our business .

Chirag Shah: And sir, which country we would be competing for import if they are importing from A or B or C, something, which are the other 2 countries?

Anoop Bector: India is very unique. China is not our competitor in these products. So as I said, we make for the market. We will make products for Walmart, like most of the tins, which are Danish cookie tins, which were earlier going from Europe are now going from Mrs. Bectors. So I mean, we do not have competitors from any other country as such. That's what is it at the moment, right?

Moderator: The next question is from the line of Ajay Thakur from Anand Rathi Securities.

Ajay Thakur: So I wanted to understand a bit more on your Strategy 2.0, which you had indicated will be rolled out possibly in FY '26 towards the 2026. So I wanted to get a more sense in terms of is it kind of finalized and when can we expect that rollout to happen? And if you can share some broader conte xt of that, it would be helpful?

Manu Talwar: Yes. I think I answered in one of the beginning question, our sources of growth across the business area, which I explained. So export, obviously, with this tariff agreement happening and with new capability of some new products coming up in Indore and one or more of plant, we should again see a resurgence of our export growth, which has been there well over the past few years, but yes, this year was a little low .

Coming to another biscuit winner, domestic biscuits, which on a

quarter -on-quarter has seen

improvement in growth. And we are investing in our distribution coverage in 400 kilometers from both our Punjab and Indore plant.

We have launched a series of premium products in the last 9 months' time. So we'll be again continue investing behind them to kind of build it and further strengthening our brand marketing as we are carrying out a brand study of both Cremica and English Oven. So make a go -forward
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strategy on both the brands, which will further enhance the growth on the domestic Cremica Biscuits side and take it to a low teens kind of growth next year.

English Oven, as I brief that it continues to be on a strong growth path, which has been growing at kind of high teens kind of growth. And we launched in the last few months in Calcutta region and Hyderabad, further expanding our geographies .

And our Bombay plant will come up in next few months' time, which will help us good quality bun and bread supply, and we will strengthen our distribution not only in Bombay, in many parts of Maharashtra, and that will become another large source of growth for English Oven.

So English Oven continue to grow in the existing new territories plus we are planning to add some more territories in the coming financial year. B2B business, as I briefed that frozen business is showing a good traction, which we built over the last 2, 3 years' time. And now we have enough on pipeline as a promising for good revenue growth in the next financial year.

And QSRs also continue to expand in invest in their store expansion, and there should be a turnaround. So these are the business -wise sources of growth and a strategy, what you call it, for the next financial year.

Ajay Thakur: Understood. Also wanted to get a bit more sense on the margin. We have seen a small bit of improvement. And obviously, given the fact that we will be utilizing the duty -- import duty incentives -- duty export incentives. So in that context, hopefully, the margin should start improving further possibly from Q4 onwards. So I wanted to get more sense in terms of what kind of improvement can we see in Q4 and then going forward?

Manu Talwar: So as I've been briefing in the previous call that our target was to get to 14%. We would have got to 14% , but for the export incentive, which kind of suddenly was put under suspension by the government . Otherwise, we would have been at 14% in this quarter. So now improving from here to getting to in the 14% range is what we expect in the H1 of the next financial year, and that's the path we are progressing on.

Moderator: The next question is from the line of Resha Mehta from Green Edge Wealth.

Resha Mehta: So the first question is on the Bakery QSR. So fair to say it would have grown, let's say, in mid - single digits for Q3?

Anoop Bector: Yes, yes.

Resha Mehta: Okay. And here, again, would it be fair to assume that since we are already so well penetrated on the bun side, so any incremental growth here would largely be driven by new categories like frozen foods unless the macro demand for the QSR improves, which sees the growth from the bun side as well. Would that be the right understanding?

Manu Talwar: Yes, broadly, yes. But yes, as we have started our Calcutta plant, so that will give us a fill up of the East region business even on the bun side . There are many new small customers also mushrooming where we had a capacity constraint both in Bombay and Bangalore. So Bombay

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plant coming up will help us to service that new customer, which we were as of now not able to service them and add them to our portfolio.

Similar is a challenge in Bangalore. And Bangalore also we're investing in our expanded new plant there in the coming financial year. So that will help. So yes,

so some bit of growth, which

we were not able to capture of new customers in both West and South territory will get available with the capacity falling in place. And the Calcutta region would obviously is a geography new

to us other than McDonald's is what will add to our business. So broadly, what you said is right.

Resha Mehta: So with that, then FY '27 onwards, can we expect this to touch like double -digit or a high -single -digit kind of a growth for the bakery QSR?

Manu Talwar: So bakery B2B business, yes, we will be targeting a low teens kind of growth in the coming financial year.

Resha Mehta: Right. And on the export biscuit business, so while we have seen a low -single -digit growth in Q3, if you could break it up into the U.S. A and the non -U.S.A business. So as I understand, the U.S.A business is almost 20% of our exports business. So how much would have U.S. A business degrown? And how much would have the non -U.S.A business grown?

Manu Talwar: Most of the territories have grown. So we don't share number to that granularity. But broadly, yes, our challenge in Q3 was U.S. A, which is kind of now will get rectified .

Resha Mehta: So okay. So the non -U.S.A business would have registered a double -digit kind of a growth? Or would we have seen some slowdown there?

Manu Talwar: I don't have a ready number as of now. So yes and we normally don't get into sharing such a granular number. But directionally, as I said, it is true.

Resha Mehta: And so the export business also with the U.S. trade deal coming through, right, would that also be a low -double -digit kind of a number that we are targeting for growth for FY '27?

Manu Talwar: Yes.

Anoop Bector: Yes.

Resha Mehta: And now that the trade deal has been announced, so are we already seeing like more inquiries from the U.S. A business? Or it's still status quo?

Anoop Bector: We have started and people have started talking to us, right, that -so like I mean, we had a deal, if the trade deal had not had happened, we would have lost the deal because there are certain businesses which are like the Danish cookie tins , we are approved supplier with them.

But if it was 50%, we would not have got that. They were not going to come back to us or we would have had to discount heavily, so which has gone into our favour . So already things have started happening. India is back into their mind, where even the buyer was confused as much as we were confused .

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So it's very difficult to create a supply chain. So effectively, I think going forward, India is going to emerge as a big player in sports and food products and biscuits being one of them. And America being a very large consumer will really give a benefit. But those companies will benefit who are prepared. Like I mentioned earlier, we manufacture for the market, for the U.S. market. We do not manufacture ethnic products .

We do ethnic wherever there's a need. But our main competition happens, if I do America -- if I'm selling biscuits into America, I'm doing a cheese cream for them, a cracker for them. It's a product which they keep eating. They are consumers of that product, right? So it's not that I'm giving them a jeera biscuit or something else. So we are sure that things will be much more productive .

Resha Mehta: Sure, sure. And...

Anoop Bector: It is so new. In fact, the agreement has -- right now, we don't even know. I mean we know we're going to have 18% tariffs. But we don't know. It might be different . It might be lower, it might be something else , because in the newspapers, we read that certain food items are being considered as 0. Now if that is the case, we don't know . So I think end of March, we'll have a clear clarity on what is happening. But yes, things are moving in the right direction.

Resha Mehta: Understood. And just the last one on the domes

tic biscuits business. So while you all have articulated the future growth levers for the domestic biscuit business, but I just wanted to kind of double -click on why the domestic biscuit business has been sluggish?

So see, the GST -related disturbance is something that even the industry leader has faced. And if you look at our domestic biscuit business, the growth versus, let's say, Britannia is hardly 200 bps higher, while we are probably 1/8 their size, right?

And so is it -- if I exclude the GST part, is it -- I mean, what is it that has impacted our growth in the domestic biscuit business over the last 1 year? So is it like a lot of competition? Were we constrained on capacities? Were there any execution gaps? If you could just kind of help me on this?

Manu Talwar: Let me brief you, right? That's still briefed in the last actually. You see domestic biscuit business, if you remember, we had a huge commodity spike in prices starting October, November of '24, right, palm oil and other things . And with the hyper competition is something which had put a very large adverse pressure on our domestic biscuit profitability and margin .

And so it was very important for us to kind of first make sure that we correct our margins there and get the business again to a good sustainable level. And that's what took about close to 8, 9

months to get that into mode. And then we started about kind of getting into the, again, distribution expansion, new products and other things a few months back, which will now is getting back into the investing behind a high growth, investing on distribution brand more. And we have seen a sequential improvement in our growth over the last quarter to this quarter, and that journey will continue. So our expectation is to get to into low teens kind of growth in the next coming financial year, and we're confident we should be able to achieve that.

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Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I would now hand the conference over to the management for the closing comments.

Anoop Bector: Thank you, everyone, for joining us. I hope we have been able to answer all your queries. In case you require any further details, you may please contact us or MUFG Intime, our Investor Relations partner. Thank you very much. Bye.

Moderator: Thank you once again, sir. On behalf of Mrs. Bectors Food Specialities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2026

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MRS. BECTOR'S
CREMICA

MBFSL/CS/2026-27 0274 June, 2026

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Dear Sir/Madam,
SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL — Q4 & FY26 UNDER
THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS),
REGULATIONS 2015

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on 29th May, 2026 to discuss Q4 & FY26 results.

We Request you to kindly take the same on record.

Thanking You,
Yours faithfully,
For Mrs. Bectors Food Specialities Limited
ATU | Digitally signed
by ATUL SUD
Date: 2026.06.02
S U D 17:02:48 +05'30'

Atul Sud
Company Secretary and Compliance Officer
M.No. F10412

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Mrs Bectors Food Specialities Ltd

"Mrs. Bectors Food Specialities Limited

Q4 & FY26 Earnings Conference Call'

May 29, 2026

Mrs Bectors Food Specialities Ltd

MANAGEMENT: MR. ANOOP BECTOR — MANAGING DIRECTOR AND
PROMOTER — MRS. BECTORS FOOD SPECIALITIES
LIMITED

MR. MANU TALWAR — CHIEF EXECUTIVE OFFICER —

MRS. BECTORS FOOD SPECIALITIES LIMITED

MR. PARVEEN KUMAR GOEL — WHOLE-TIME
DIRECTOR AND CHIEF FINANCIAL OFFICER — MRS.

BECTORS FOOD SPECIALITIES LIMITED

MR. ISHAAN BECTOR — WHOLE-TIME DIRECTOR —

MRS. BECTORS FOOD SPECIALITIES LIMITED

MR. SUVIR BECTOR — WHOLE-TIME DIRECTOR — MRS.

BECTORS FOOD SPECIALITIES LIMITED

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Mrs Bectors Food Specialities Ltd

Moderator:

Anoop Bector: Mrs. Bectors Food Specialities Limited

May 29, 2026

Ladies and gentlemen, good day, and welcome to the Mrs. Bectors Food Specialities Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions once the opening remarks concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Bector, Managing Director and Promoter. Thank you, and over to you, sir.

Thank you so much, and good afternoon, everyone. On behalf of Mrs. Bectors Food Specialities Limited, I extend a very warm welcome to all participants joining us for our Quarter 4, 2026 and Financial Year 2026 Results Discussion Call.

Today, I'm joined by Mr. Manu Talwar, our Chief Executive Officer, Mr. Parveen Kumar Goel, Whole-Time Director and Chief Financial Officer; Mr. Ishaan Bector, Whole-Time Director; and Mr. Suvir Bector, Whole-Time Director. We also have with us our Investor Relations Advisor from MUFG Intime. I hope everyone has had an opportunity to review our investor deck and press release, which have been uploaded on the stock exchanges as well as on our company website.

FY26 marks a significant milestone for Mrs. Bectors Foods. We have crossed the INR2,000 crores revenue mark, a goal we had set our sights on and are proud to have achieved it. From INR988 crores in financial year 2022 to INR2,044 crores in financial year 2026, the company has grown at a 20% CAGR over these 4 years.

With that, Biscuits vertical grew at 20% CAGR and the Bakery vertical at 23% CAGR. These 4 years

have been equally defined by the foundations we have built across several dimensions.

Over the last 4 years, the company has undergone a meaningful transformation across every dimension of the business.

We transitioned to a professionally managed setup through deliberate leadership hiring, strengthening of IT infrastructure and benchmarking and execution excellence across sales and distribution. A clear brand and sub-brand strategy was defined to move towards long-term brand equity creation and sharper market positioning. Reinforcing visibility and laying the foundation for sustainable demand-led growth.

We have made substantial investments in expanding our manufacturing capacity across both Biscuits in Rajpura and Indore and Bakery in Kolkata, Khopoli and Bhiwadi. These additions represent some of the most significant capacity scale-ups in the company's recent history, strengthening our capacity to meet growing demand, support new product launches and build the operational headroom needed to sustain our next phase of growth.

Attuned to evolving consumer behavior, we have been and will be deliberately building quick commerce as a channel of significance. Structured mindset of cost optimization was institutionalised through project impact. On the International business front, we have steadily entered new markets and geographies.

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Mrs Bectors Food Specialities Ltd

aD» @ Mrs. Bectors Food Specialities Limited

May 29, 2026

We have earned the trust of partners through consistent quality and reliable delivery, onboarded new customers through channels and foray into new countries with a calibrated market by market approach. Today, our products reach consumers in more than 70 countries, a testament not just to the reach we have built, but to the credibility we have earned on the global stage.

In Q4 '26, the company reported a revenue from operations of INR485.86 crores, reflecting a year-on-year growth of 8.9%. The Biscuits vertical delivered a resilient 8.4% year-on-year growth and witnessed a sequential uptick despite navigating geopolitical headwinds from the West Asia conflict.

This sequential recovery was partly supported by the GST reforms through increased grammages and reduced MRPs. Though we anticipate this tailwind being tempered in the coming quarter as inflationary pressures from the export intensifies, with the raw material and packaging material costs rising and some degree of price sensitivity expected in the market.

The Bakery vertical recorded 8.5% year-on-year growth in Q4 FY26 with strong double-digit momentum through January and February before the complete shift of the Navaratri season into March tempered the closing months performance. EBITDA margin came in at 12.7%, an improvement of 25 basis points over Q4 '25.

On a full year basis, the company delivered a 9.1% growth. The Biscuits business delivered a growth of 6.7% FY26, presented a challenging operating environment across multiple fronts. The year opened with uncertainty surrounding punitive tariffs and closed with pressures of West Asia conflict.

In between the GST 2.0 reforms rolled out by the Government of India, while a positive structural development for the industry over the long-term, posed the short-term inventory-led challenges in quarter 3 of the financial year 2026.

With a discernible impact on domestic biscuit growth during that period, the Bakery business delivered a strong growth of 14%. The current environment presents pressure across three key areas: disruption in supply chain and logistic costs within the exports business, escalating crude prices, driving inflation across raw materials, packaging and fuel and the recent impact of minimum wage hike across key states.

That said, mitigation measures are being actively pursued through calibrated price increases and cost efficiency measures under Project IMPACT. With implementation underway from April '27, the gradual clearing of u

ncertainty around tariffs has and is expected to provide further tailwinds as we move ahead.

While the full impact of inflation-led price hike on consumer sentiment will be seen in the coming quarters barring the uncertainties stemming from the West Asia conflict, we remain hopeful of a stable demand environment across the categories we operate in, underpinned by stable consumption trends. A continuing focus on premiumization and sustained investments in brand building.

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Mrs Bectors Food Specialities Ltd =D | &

Moderator:

Abneesh Roy:

Anoop Bector: Mrs. Bectors Food Specialities Limited

May 29, 2026

On new product launches, we expanded our health portfolio under NaturBaked. Our clean label brand with the introduction of protein bread, a deliberate response to the growing consumer shift towards functional health forward eating as more Indians actively seek higher protein in their daily diet.

We extended our dessert range with the launch of Cheesecake Jars under the English Oven tapping into the growing consumer appetite for premium ready-to-eat desserts experiences and the broader premiumization trend gaining momentum across urban markets.

Rounding out the quarter, our Valentine Day collaboration with Blinkit continued the momentum from our Christmas partnership with our Danish Butter Cookies then reached over 3 lakh households and generated meaningful brand goodwill.

On the operations front, we successfully commissioned our Kolkata plant in January, marking our foray into the East and enabling us to serve general trade, modern trade and institutional partners in the region.

We also expanded the English Oven brand into Hyderabad, marking a strategic entry into key growth markets. Our Mumbai plant commissioned in Q4 FY26. It is now in its ramp-up phase and is expected to progressively scale out over the coming quarters.

Together, these initiatives are expected to strengthen our presence in the Bakery industry across key markets, improved supply chain efficiencies and support sustained growth through deeper regional penetration.

Financial performance. Talking about FY26 financial performance, the consolidated revenues for FY26 stood at INR2,043.6 crores versus INR1,873.9 crores in FY25, thus registering a growth of 9.1%. EBITDA for FY26 stood at INR257.7 crores versus INR251.5 crores in FY25, thus registering a growth of 2.5% with an EBITDA margin of 12.6%. PAT for FY26 at INR140.9 crores with a PAT margin of 6.9%.

With this, I request you to open the floor for questions and answers. Thank you so much.

Thank you very much. The first question is from the line of Abneesh Roy from Nuvama.

My first question is on the current cost inflation you are seeing. If you could specifically comment on wheat raw material, we have picked up conflicting signals, but most of the studies are saying that this year, although wheat crop was good, there was a damage because of the unseasonal rains.

So how much is the current inflation from the bottom in the last 3 months? And how is the overall scenario for the raw material basket? Currently, when you're seeing the petrol hike and all this. So if you could tell us in terms of RM basket, how much is the inflation? And how is the wheat raw material?

So in the RM side, there has been inflation, especially which comes from palm oil and crude and also from our packaging material. So these are actually the three major impacts, which have

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come in. And other than that, because this will be, on the wheat front, we are as per our AOP, we have done good for this quarter.

And we are also quite booked for the next quarter and the wheat quality like for our, in the bakery side, our major business is, part of our business is QSR, we block it for the year. So our inflations are covered over there. On the biscuit side, where the wheat quality

actually only damages

certain part of gluten. So biscuits don't require gluten. So we do not feel that there should be a substantial impact.

So if it is specific to wheat, yes. So totally, if I see what we anticipate and what we have seen

until now, we look at around 3% impact, which comes in from all our areas, right, which is including labor, logistics. Logistics is very fresh for domestic. It might come in a bit later. We have not yet got it. But so that's where we are. And Manu can talk about the recovery, if you want to know about the recovery also.

Abneesh Roy: Yes, yes. I would like to know.

Anoop Bector: Yes Manu, over to you.

Manu Talwar: So largely, it is coming from the packaging, as Anoop said, and it's about 3%, including some of the impact on minimum wages because there have been minimum wages, steep revision in UP as well as now we're hearing in Kamataka also. But yes, we had taken the recovery actions in terms of pricing and cost efficiency. So we expect ourselves to be covered on this inflation to keep our value addition in line in the H1.

So as of now, if nothing further deteriorates on pricing, we should be more or less in line with our gross margin, which is value addition for quarter 1. So with pricing actions and cost some bit of cost efficiency on manufacturing side.

Abneesh Roy: Sir, my second and last question is on biscuits. So 8% growth Y-o-Y, 16% growth on a 2-year basis. Are you happy with this performance given you have huge headroom to expand market share in many states, and what will be the outlook on market share in FY27? Second is odd pricing by, say, Parle, ITC of INR4.5 and INR9, pricing which they had done post GST 2.0. Did that impact you in any way in the branded biscuits in the domestic business?

Manu Talwar: So answering on your both questions, were we happy with the last quarter or last year growth on biscuit? I would say it was a somber kind of growth. And we are looking at doing much better than that in this coming financial year. We are very confident of touching on the biscuit segment somewhere between low to mid-teens kind of growth in this financial year.

Things look promising. Last year, both domestic as well as export was impacted. Export impact largely came because of U.S. tariff issue, which kind of clouded around almost a full financial year on the domestic biscuit side, although GST change was a good change, but it has link to your second question.

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Abneesh Roy:

Manu Talwar:

Moderator:

Percy Panthaki:

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The post GST revision, some of the large players continued at a INR4.50 pricing, as you said, and we had moved to INRS and Britannia moved to INRS and so that definitely had its impact in the last quarter of the financial year, quarter 3 and quarter 4 of the year.

But now, obviously, things are settling in, in terms of rightful pricing by everyone. I would say one of the large players is still into transition has not fully transitioned, but they have started the transition and everybody is coming to the right coinage pricing. So this year, it should be fine.

Sir, one follow-up on that. So that odd pricing, was that an aberration because these players have tasted success. So would you be confident that either you or any other player will not go back to INR4.59, say when the raw material again remain turns favorable or unrespective of that, ultimately, it doesn't have too much to do with raw materials. If someone chooses to go to INR4.59, they gain market share. So would you be confident that this is just an aberration by the industry player?

Yes, it's an aberration. And I think that most of the players in a rightful manner went to INR5, will be more careful, including us. The next time, any grammage increase or decrease whenever it happens, I would say at least

we will be very, very watchful of the competition and which we normally are probably this time was a miss because one of a very large player decided to stay at a lower pricing.

The next question is from the line of Siddhesh Deshmukh from IIFL Capital.

This is Percy Panthaki here. Just a question on your Bakery segment. We have been in the past doing high teens kind of growth on that segment. Even Q2 was 16% and then Q3 slowed down to 13% and now it is at 9%. So what is really the reason behind this slowing growth in the Bakery segment? And what kind of growth do you think is realistically possible over the next few quarters?

So, the only impact was, as I'll explain to you, we are largely North-based business. This time, Jan and Feb went very well. So, Navaratri was in March and Navaratri is a time. Last year, it was in April. During Navaratri, the bread consumption were at depth because of North India, they fast and they don't need nonvegetarian eggs and all. So that's a seasonal cyclic thing, which

happened in the last quarter. There is nothing to do with the business trend.

So we continue to be bullish. English Oven has been growing at high teens for the last 4 years, and we expect a similar trend to continue on that. On the QSR side, there are some initial good signals after almost 2, 2.5 years that their consumption is moving up, and we are very hopeful that trend should continue. So on the QSR side, we expect a low-teens kind of growth in this financial year.

And bakery overall should also be at the low teens kind of a level?

Overall as a company?

Bakery?

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Anoop Bector:

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No, bakery, bakery.

Bakery will be at a mid-teens kind of level on an overall basis.

Understood. Secondly, on margin, given that we are seeing inflation in a few commodities. How do you see your gross margin and EBITDA margin for the overall company on a Y-o-Y basis for the full year?

So you must appreciate that the situation remains very, very dynamic and the way pricing is volatile literally on a quarter-on-quarter basis. But based on whatever is our pricing and whatever the war impact, which we just stated is close to 3%. We have taken actions to cover it up, right?

So we should be able to cover up to not impact on our margins negatively on EBITDA margin side and also on the gross margin side. But if something very volatile happens in the future, we will take certain actions, but I won't be able to comment on that. But as of now, whatever impact has come in inflation because the war, we have taken a few actions to cover up that impact.

And so as we told the last time also that we will be working towards improving our EBITDA margins. And so as of now, we are fairly optimistic that quarter-on-quarter, we should see improvement in the EBITDA margins side.

So would it be fair to assume that unless, let's say, crude suddenly spikes up again above 100, we should at least be maintaining EBITDA margins on a Y-o-Y basis?

Yes, we should be maintaining. Yes, unless until the crude kind of breaks the roof. And in India, if you look at India, the oil prices have started going up only recently, and there have been, I think, 4 or 5 revisions in the last 2 weeks! time. It will have a larger impact on the inflation, right? So if you ask me, I see the impact of this to start showing somewhere in quarter 2, right? And that's what on the logistics and other side because logistic cost is something fundamental base to everything, which gets moved. So, as of now, whatever has happened, we have covered ourselves. And we will take all necessary actions to do our best to cover up the future cost impacts also.

And last question, if I might squeeze in on the Biscuits portfolio. Could you just tell us like without specifying an

y numbers if that's a problem, like which are the two or three states, which are sort of growing significantly above average and which are the two or three states whose growth is lagging versus the average in the Biscuits portfolio, not just for this quarter, but let's say, for FY26 as a whole?

So you see our growth -- okay, let me explain to you how are we driving? So, we are driving our distribution primarily within 400 kilometers of our North plant, which is in Rajpura, which is Punjab. And that will be the large source of growth for us. Secondly, as our MP plant Indore plant, that plant has come up.

So we will be driving our distribution in the Central India and some part of Western India. So that will be our source of growth. So these two will be source of growth. So within North, of

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Soham Samanta:

Manu Talwar:

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Manu Talwar:

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course, we have a higher share in Upper India. So large part of source of growth will be lower part of North.

The next question is from the line of Soham Samanta from Motilal Oswal Financial Services.

Sir, I wanted to check on this quarter Biscuit number. So, I mean it grew 8%. So within 8%, what is the bifurcation in export and domestic this last quarter, export was a low-single-digit, so how is the export markets doing right now?

So export was again low-single-digit even in this quarter, in the quarter 4. But yes, things are optimistic and things are looking brighter now. And you should get to see good growths in both export and domestic in the quarter 1, quarter 2.

Again, exports will grow. What is our target, mid-teens kind of a growth we take for FY27?

Mid-teens, low to mid-teens kind of growth.

Last quarter, if I'm not wrong, challenges about these competitive pressure from Latin America and all, how is the competition right now over there?

So you see, it was not a competition kind of issue. There was an issue on account of local competition, creating a regulatory and duty pressure on us. So we have collaborated and taken help of our Commerce Ministry and External Affairs ministry, rather, our Export Head and Director, Suvir Bector wasn't there. He just returned from there, having meeting with the Indian ambassador as well as Dominican ambassador to India, and he was present in that country. So these efforts are now giving some positive results, which had created pressure in the last financial year. And we're very hopeful that with all the efforts by the Commerce Ministry as well as External Affairs Ministry and by us and our partner there should resolve this problem, and we should be able to grow well in this territory in this financial year.

Okay. And sir, next question on English Oven, last time we spoke, our target we are catering the market like Chennai, Hyderabad and all, how we are looking at this market as of now? Or what is the traction over there right now?

I would request Ishaan to take up this.

Yes. So we have launched Calcutta and we've launched Hyderabad. I think the response in Calcutta has been fairly good. On Q-com, I mean we are already reaching a high-single-digit market share. So clearly showing that brand acceptance is there, I think we're also making strong inroads into GT, into general trade.

Hyderabad is positive, however, slightly muted compared to Calcutta. Right now in Hyderabad, we're going to be focusing largely through the Q-com segment as we said to establish the brand in the market, followed by them getting into general trade. But we're very hopeful of these two markets adding to our portfolio because as we scale success in not only these two markets, but further couple of markets is going to be very important for the growth of English Oven.

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Soham Samanta

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Ishaan Bector:

Moderator:

Ronak Shah:

Anoop Bector:

Manu Talwar:

Ronak Shah:

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So what are the next couple of markets you're looking?

So see, we've been getting a good response in Punjab as well, right? We will further make improvement to Punjab. I think Chennai will be another market that we will look at. If you ask me where the biggest opportunities for English Oven are at the moment? I think our biggest opportunity still is Mumbai, right?

I think we still have low market share. I think the new plant that is coming up is going to really unlock supply chain inefficiencies that we have at the moment as we are very largely dependent on co-packers and we are very hopeful that this new plant is really going to bring in that supply chain efficiency, cost reduction, but also significant improvement in quality. So I think if you're asking in Mumbai, we can 3x from where we are at the moment. So I would say that Mumbai, Calcutta and Hyderabad scale up and then maybe Chennai or Ahmedabad.

The next question is from the line of Ronak Shah from Equirus Securities.

So my first question is regarding the export incentive. So last quarter, there is a hold on the export incentive. So is there any update on that? And secondly, the management was trying to offset that via a few initiatives. So what are that initiatives? Are there any benefit coming from

that aspect?

So, on the export incentive, we are pursuing with the government. And on restart of the incentive, but still the file is in progress. I think probably with certain amendments, they might be bringing out the file. But nothing concrete as yet.

On the import side, we had evaluated certain possibility but have not been able to fully utilize direct import other than we are importing some whey powder. So which is being used in the biscuit side. But other than that, this is still, I think we are pursuing with the Ministry of Food Processing and to take this forward.

Mr. Ronak, I will just add further to that, that you asked what we have done in the business, export business is that we have worked on our cost efficiencies as well as on pricing with customers. So we have moved well in terms of covering that part of DFIA incentive partially. And while we continue to pursue for that incentive, rather there was a ministry and roundtable, Just about 3 days back with Secretary for Food Processing, and we have taken up with them. But yes, we have worked on cost and the pricing to cover up quite a bit of that impact.

Understood. Understood, sir. Now second question is on the project impact 1.0. So it's been last a few odd quarters when we have implemented. So are you seeing any quantitative benefits which you can highlight to us? Because if we see last 6-odd quarters, your margin is largely into the range of 12.5%-odd. So can you highlight what are the benefits you are yielding right now? And what can be the trajectory going forward?

So Mr. Ronak, this is now project impact, which we started 2 years back, has become an annual where we do our annual plan, we do make cost efficiency. And last year, this impact had a fairly decent good results for us, both on the manufacturing cost side, somewhat on the supply

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Ronak Shah:

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Ronak Shah:

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chain side, and somewhat also on the FMB side, right? These were the three areas where we kind of worked on and also on the recipe rationalization side.

So this year, again, we had made a plan and we review it on a monthly basis, which is definitely, as I told you in case of exports also that through the cost efficiency, we are recovering some part of the impact of DFIA. So this program is certainly running fine and building up in terms of defining the tar

get for cost savings and then monitoring them on a monthly basis to ensure they are fulfilled.

Got it. Got it. And sir, lastly, on the distribution front. So we have realigned strategy via focusing more near into the plant vicinity. So now if we see the throughput per store, how you are seeing the changes in trajectory? And secondly, in terms of the overall distribution expansion, how are now revisiting your earlier targets in terms of the direct and the overall reach?

Yes. So, what we are planning for this financial year is that we are going to take our billed outlets, which we track and were around 310,000—320,000, and increase them by 40,000 outlets this financial year, and keep building it up. Our focus, as I said earlier, would remain within 400 kilometers of our plant.

Okay. And in terms of the overall reach, what is the current status? And over next 2 to 3 years, how you are aiming for that?

You see I would say that we in North India, are around 35% weighted availability as per ACNielsen and our reach is around. So objective over the next 3 years or next 4 years, rather 2030 would be to take this weighted availability between somewhere around 40% to 45%.

So that should be the target, which also would mean that in terms of outlets, which all over India, we are around over 700,000 outlets available. So we should get somewhere between 900,000 to 1 million outlets. But the large focus will always remain on the weighted outlets, because that's what we want to achieve take our weighted availability to up by 15% to 20% over 4 years.

The next question is from the line of Lokesh Manik from Vallum Capital.

Sir, my question was on the Frozen Foods segment. So just a clarification here. When we say that we are supplying to small cafes, are we supplying the bread itself? Or we are supplying the finished products in the sense that even the ingredients we are making in the sauces and everything, it's the finished product that we are supplying? Just a clarification.

Ishaan?

So, it's a mix of both. So, in some cases, we supply raw dough which is not like a baked bread. In some cases, it's a baked bread. And in some cases, like we have products like Toasties, which

also have sauces and cheese and veggies on it. But -so they are not procured from outside. So, it's not like we are manufacturing the sauce anything. I mean it's all procurement. But it's a mix of ready-made sandwiches and...

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Lokesh Manik:

Ishaan Bector:

Lokesh Manik:

Ishaan Bector:

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Okay. So how do you see the growth now going forward here? Because this is a very interesting segment, given that your association with a lot of QSR players, you also help them come out with new products on their menus, which you can leverage towards these small B2C outlets. So what is the thought process your strategy to scale this part of the business which looks very interesting as a future growth driver?

See, as I would say, as we are upgrading our facilities. So, with the new bread plant, which is coming up in Khopoli, right? We are also talking about setting up the Bangalore facility. Our idea is to have each plant, which can do burger bun breads and value-added products. Now those value-added products could be frozen, frozen dough. Or it could also be sourdough, right?

In fact, in our North-based plant, we have just increased capacity for our sourdough breads in the market, right? So at the end of the day, their focus is on value addition. I think through the Q-commerce space, now we are playing not only on the B2B side, but also on the B2C side, on all these categories.

So you can see that we have a frozen range of products, which are available on Q-com in Delhi NCR. We are seeing month-on-month growth there. Sourdough is something where we always had a capacity bottleneck actually, right?

So with that happening, that is going to

bring value addition to our English Oven brand as well.

So as these bakeries turn up, I would say that in the, let's say, coming quarters, the coming years, we will get a fair sense of how much capacity is needed in each of these businesses.

But what is very positive is when we understand the business, we already have a proof of concept. We are already selling these products in the market. So we've already started building our relationships with our customers both on the B2B and the B2C side, which gives us a lot of confidence that as volumes ramp up, we are able to scale quickly.

Great. So just if you can give us a sense of perspective that today, value-added products will be what percentage of revenue for bakery or consol, whichever is convenient for you? And what is the aspiration to take this let's say, 4, 5 years down the line by FY30, if that's the vision?

See how we look at it as we look at, let's say, our premiumization that we look at internally. So we are at about 55%, 56% premiumization on the English Oven front. Like NaturBaked, right, NaturBaked as a business as a new brand, I would say, it's become quite reasonably accepted in the market. And we'll be touching like an ARR of almost INR10 crores for a new brand, right? And we see it scaling up quickly. So, our focus on premiumization is going to continue, right?

I think NaturBaked has seen very, very positive movement towards the clean label side, sourdoughs coming in. So I think our target more so than is how can we bring this premiumization to let's say 65%, so see positive uptick quarter-on-quarter on these metrics.

The next question is from the line of Aachal Pal from Monarch Network.

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Aachal Pal:

Anoop Bector:

Manu Talwar:

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Aachal Pal:

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So I have three questions. First, how much did the export business grow on a full year basis? And second question is on Khopoli plant. So just wanted to know what is the current utilization rate? And have you commissioned second production line? Or any update on that?

So yes, I'll take the. Manu, you start, okay then I will follow-up.

So export growth last year was in single-digit, right? So that was the kind of growth we had. On Khopoli, Anoop can update you.

Yes. So Khopoli, our Bun line has already been commissioned and has already started. So since it's a very large line, we are a little bit -- we are yet working with our equipment suppliers to

have it fully commissioned within the right manner because a major part of the equipment comes from abroad. On the Bread line, Bread line is nearing completion. I think within this quarter, we'll be rolling out products end of the quarter. And so I think we are in tune, we are in line with everything here.

Okay. So any number if you want to quote on the utilization rate, like what is the current status and?

Utilization because right now -- currently, on the utilization side, we're running both the lines. We're running up old line also, we're running the new line also. You understand. So whenever we find a small defect, we pass on the line to the team, okay, now because we are running the line -- I mean, substantially, but whenever there's a need, we have to pass it down, right? So we're running both the lines. So it will not be very fair to tell you exactly percentage, this is the percentage. But the line is well commissioned. It has come out beautifully well. It's a very automated line. And in fact, we would -- once in the probably after the monsoons now because Khopoli got lots of rain, we would definitely invite you all to the facility.

It's one of the best facilities in not only in India and probably a lot of many other European countries, too. So we will not be able to specify today. It will not be fair on me, but on utilization, it will lead to a substantial utilization

because also QSR numbers are also growing now and they're more positive. So I think it will be very fair. So right now, it will not be right to give you the number right now.

Okay. Okay. My last question. In this quarter, we have launched our English Oven Jar dessert. So what kind of traction we are getting for this? And which are the markets we have launched it?

So currently, we are focusing only on Delhi NCR. Blinkit has been our launch customer, but we have 2 or 3 customers who are following up with us to launch the product sale with them as well. We have also made a small investment for a line, automated line, which can increase our capacity for doing jar desserts that can be leveraged not only in B2B, but also in B2C.

So right now, it's still small scale. But from what we have looked at the unit economics are very positive. In fact, even with the limited supply chain, we are cash flow positive in this business.

So I think as our capacity increases, not only will we be more bullish on B2B, but also on B2C.

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Moderator:

Rohit Harlikar:

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Moderator:

Darshit Vora:

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The next question is from the line of Rohit Harlikar from Aditya Birla Money.

My question is on the biscuits export business. So with U.S. tariffs having reduced from peak levels. So are we seeing order volumes come back for this business?

I can take it up. Hi. So yes, the tariffs has reduced substantially. So we were actually visiting the U.S. a week back. We've discussed a lot of potential new business with clients. And with the reduced tariffs and India's good relation with the U.S. Customers are already onboarding us on some new projects. So I think it will be a great start with a couple of new retailers and new projects going forward.

And this low single-digit growth for Q4 in exports, was it because of the West Asia conflict or even the U.S. contributed to the lower growth?

It was a bit of both, but a lot of influence was there from the U.S. tariffs because at the peak, the tariffs were at 50%, which made it hard for a lot of importers who were importing our brand or their own white labels. It made them harder for them to change the price point for the consumers. So that had hampered the business a bit. And right now, we are seeing, like I mentioned, the positive trend started to go forward. And we had a little impact also because of the U.S. and Iran conflict going on.

And for the H1, so some of this impact should continue, right, from West Asia and U.S. to ramp up. And then H2?

So a bit on the West Asia, minor impact will be there, but we are already finding other avenues of growth in other territories, and we are still working on building the volume in the GCC region,

only majority two of our markets have been impacted, which are Bahrain and Kuwait. Barring that, we are still able to deliver our shipments into the UAE, Saudi and Qatar through the Saudi. So our teams are actively working on finding solutions to still deliver the goods in the market and being very competitive at it.

Okay. So for FY27, mid-teens kind of growth can we expect or like low to double-digit?

I think yes. So as the CEO mentioned, our target is low to mid-teen growth coming in. So that's our target as of now.

The next question is from the line of Darshit Vora from Asit C Mehta Institutional Equities.

Yes, hi. Am I audible?

Yes, sir.

Thank you for the opportunity. And I just wanted to add that in the previous con calls, that we have done, we have said that we are starting, I mean, we were able to start to get towards the 14% kind of EBITDA margins by H1. And then for the full year, more than 14% of the margins. So given the price hikes that we've done and considering that there is no further raw material

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Darshit Vora:

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Abhishek Mathur:

Manu Talwar:

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inflation from here onwards. Do you see that to be something that is achievable? Or are we slightly downgrading that kind of thing?

As the situation stands now, as I said that we should see improvement in our EBITDA margin quarter-over-quarter. So quarter 1, we should see improvement over quarter 4 and quarter 2 also, we should see improvement over quarter 1.

Objective is to get as close as possible to 14%, but you must appreciate the kind of disruptive inflatory impact, which have been there, which we have done our best to cover up. But yes, as of now, where we stand, we should see improving our EBITDA margin, both in quarter 1 and quarter 2.

All right. All right. Got it. And finally, would it be fair to say that our domestic bakery English Oven has grown in low -- in early double digits?

Pardon, sorry?

Our domestic retail bakery has grown by early double digits?

Yes. They have grown in high teens, yes.

The next question is from the line of Abhishek Mathur from Systematix Group.

On the Biscuits business, just wanted to check what is our sales salience of the INRS and INR10 packs currently in our portfolio? And related to that, do we also maintain certain forward covers in certain key commodities such as Wheat or palm oil, something like what the market leader does. That's all I wanted to check. Thanks.

Okay. I'll just quickly tell you on the percentage of INR5, INR10, which is about 65% to 70% - around 65%-odd, which is fairly in line with the industry. And I'll hand over to Anoop to brief you on the commodity future cover.

Yes. So we would -- normally, if you ask me, is there a strategy to hedge for a particular time currently, no. But wherever we feel the situation needs hedging, we definitely do hedge. So like in case of wheat, we would hedge wheat flour. So in case of sugar, when we feel that sugar prices, can climb up till this particular type of month. we will hedge. Milk powder we normally -- we hedge. So edible oils, we also hedge.

But how much are we hedging or what has been our hedge at a particular time when prices have gone up or gone down is actually -- it's not to be disclosed. So but as a hedge, we definitely see to secure over time. So I mean wheat harvest is in April or early March. So we will see that we are hedged depending on the wheat crop. So this year, the wheat crop has been good.

So our hedging would be restricted for particular quarters, right? Last year, there was -- they said the -- what we felt was that there was a wheat shortage, because the year last year, we saw a lot of inflation. So it all depends very situational. Yes, whenever there is a need, we definitely work towards hedging.

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Mrs Bectors Food Specialities Ltd

Moderator:

Anoop Bector:

Moderator:

Anoop Bector:

Moderator: Mrs. Bectors Food Specialities Limited

May 29, 2026

Thank you. Ladies and gentlemen, due to the interest of time, this will be the last question. I now hand the conference over to the management for closing comments. Over to you, ma'am.

Hello?

Yes, sir. Over to you for the closing comments..

Okay, sir. Yes. Thank you, everyone, for joining us. I hope we have been able to answer all your queries. In case you require any further details, you may please contact us or MUFG Intime, our Investor Relations partner. Thank you so much.

Thank you. On behalf of Mrs. Bectors Food Specialities Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

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